Lightstone Enterprises Limited

הערכת שווי של נכס המלון אשר הזכויות בו שועבדו לטובת מחזיקי אגרות החוב (סדרה ד') של החברה:

- Moxy Chelsea

הערכת שווי של נכס המלון אשר הזכויות בו שועבדו לטובת מחזיקי אגרות החוב (סדרה ו') של החברה:

- Moxy Times Square

March 25, 2026

LIGHTSTONE ENTERPRISES LIMITED

Re. Valuation Report

Dear Sirs,

We, Capright, hereby grant our consent to Lightstone Enterprises Limited (hereinafter: the "**Company**") to the inclusion of the appraisal report described below within the Company's Consolidated Financial Statements as of December 31, 2025 to be published in March 2026 on the Tel Aviv Stock Exchange.

Property Name	***Date of Appraisal Update Report***	***Date of which the Appraisal Update Reprot was signed***
Moxy Chelsea	December 31, 2025	March 18, 2026

Best Regards,



Douglas J. Ticus, MAI, MRICS
Principal
Capright, LLC

CAPRIGHT

DELIVERING TRANSPARENCY

Appraisal Report

of:

MOXY NYC CHELSEA

105 WEST 28TH STREET

NEW YORK, NEW YORK 10001

Date of Value:

DECEMBER 31, 2025

Date of Report:

MARCH 18, 2026

Prepared For:

LIGHTSTONE ENTERPRISES, LTD.

299 PARK AVENUE

NEW YORK, NEW YORK 10171

Prepared By:

CAPRIGHT

401 NORTH MICHIGAN AVENUE

SUITE 1750

CHICAGO, ILLINOIS 60611

No. 50679

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CAPRIGHT

DELIVERING TRANSPARENCY

March 18, 2026

Mr. Seth Molod
Chief Financial Officer
Lightstone
299 Park Avenue
New York, New York 10171

Re: MOXY NYC Chelsea
105 West 28th Street
New York, New York 10001

Dear Mr. Molod:

At your authorization, we have prepared an appraisal estimating the As Is market value of the fee simple interest of the above referenced real property. Our findings are set forth in the attached appraisal report. The intended user of this appraisal is Lightstone Enterprises, Ltd. The intended use of this appraisal is for financial reporting by Lightstone Enterprises, Ltd.

The subject property is a 350-room full-service hotel that was constructed in 2019. There are four food and beverage outlets at the hotel including the Lobby Bar, the Café D'Avignon, the Pizza and Bocce, and the Fleur Room rooftop bar. Additional amenities include approximately 1,130 square feet of meeting space, a fitness center and a business center. The hotel is operated as a MOXY, a Marriott International brand. The improvements are situated on a 0.15-acre site.

The hotel is located in Manhattan County within the New York-Newark-New Jersey NY-NJ-PA metropolitan statistical area (MSA). According to STR, this location is within the Midtown South submarket and is considered to be an urban location. STR classifies the MOXY brand as upper midscale, select service. These classifications are made based on the brand standards and average daily rate of the hotels operated under the brand throughout the country. The subject property was developed to a higher standard and is considered an upper upscale property for the purposes of this analysis. Given the number of food and beverage outlets and the revenue derived from food and beverage operations, the hotel is considered a full-service property for the purposes of this analysis. The property is more thoroughly described in the report that follows.

Our analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice (USPAP) of the Appraisal Foundation and the requirements of the Code of Professional Ethics and Standards of Valuation Practice of the Appraisal Institute. In addition, this report conforms to the requirements of the Financial Institution Reform, Recovery, and Enforcement Act (FIRREA)

and has been prepared in compliance with the client's appraisal guidelines as outlined in the Scope of Work.

Throughout our analysis, we have relied on information provided by representatives of property ownership, which is assumed to be accurate. Should it be discovered that any of this information is incorrect, we reserve the right to amend the value conclusion rendered herein.

Predicated on the research and analysis contained in this report, we conclude that the As Is market value of the fee simple interest in the MOXY NYC Chelsea, as of December 31, 2025, is:

THREE HUNDRED TWENTY-TWO MILLION DOLLARS
($322,000,000)

The above value estimate is subject to the following extraordinary assumptions and hypothetical conditions. The use of extraordinary assumptions and hypothetical conditions could affect assignment results.

Extraordinary Assumptions:

- **None**

Hypothetical Conditions:

- **None**

Further, this value estimate is subject to the assumptions, limiting conditions, and certification contained in the following report. The report in its entirety, including all assumptions and limiting conditions, is an integral part of, and inseparable from, this letter.

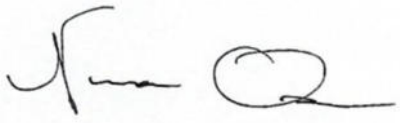
It has been a pleasure to assist you on this assignment. Please do not hesitate to contact us if we can be of further service.

Respectfully submitted,

CAPRIGHT



Jules H. Marling IV, MAI, CRE, FRICS
Managing Principal
Certified General Real Estate Appraiser
New York License No. 46000048458
Expires October 28, 2027
jmarling@capright.com



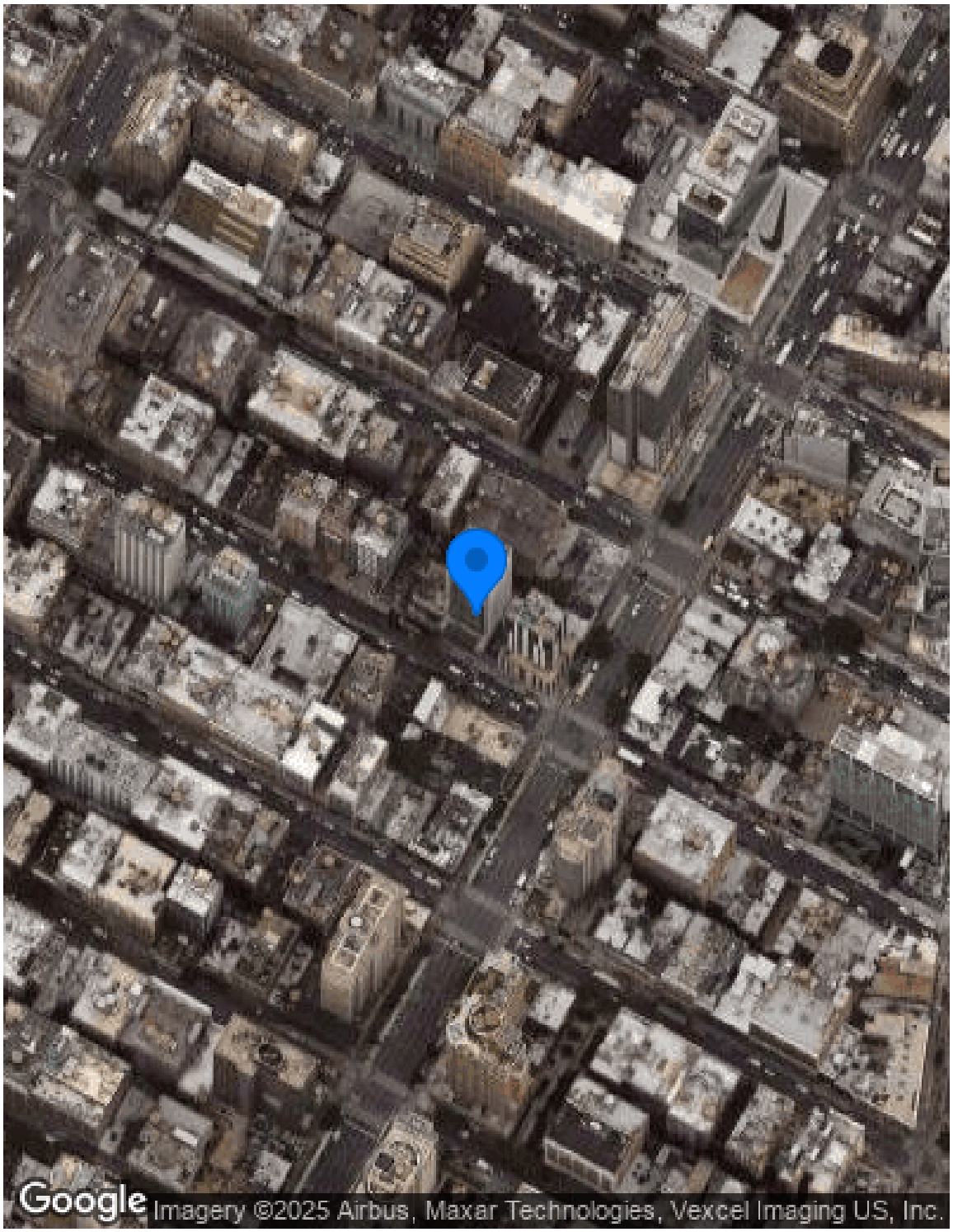
Nina A. Owen, MAI
Managing Director, Hospitality
nowen@capright.com

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ADDENDA

- **Legal Description**
- **Competitive Hotel Properties**
- **Comparable Hotel Sales**
- **Evidence of Licensure**
- **Professional Qualifications**



AERIAL PHOTO



EXTERIOR VIEW FROM THE SOUTH



EXTERIOR VIEW FROM THE WEST



EXTERIOR VIEW FROM THE EAST



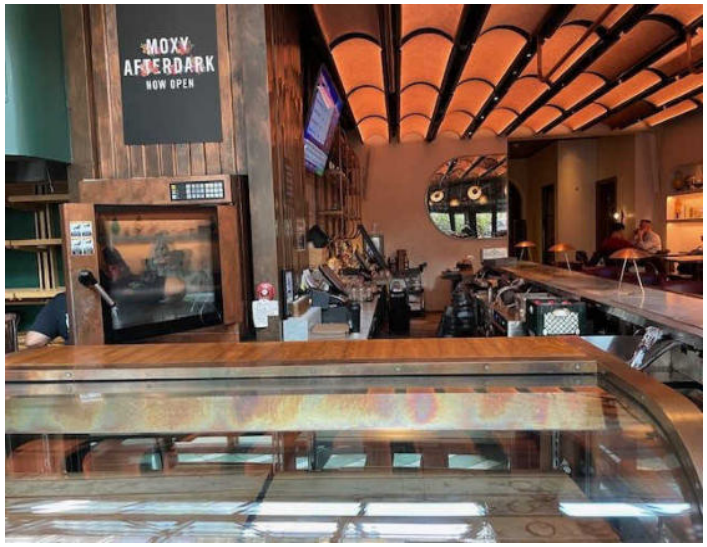
HOTEL ENTRANCE



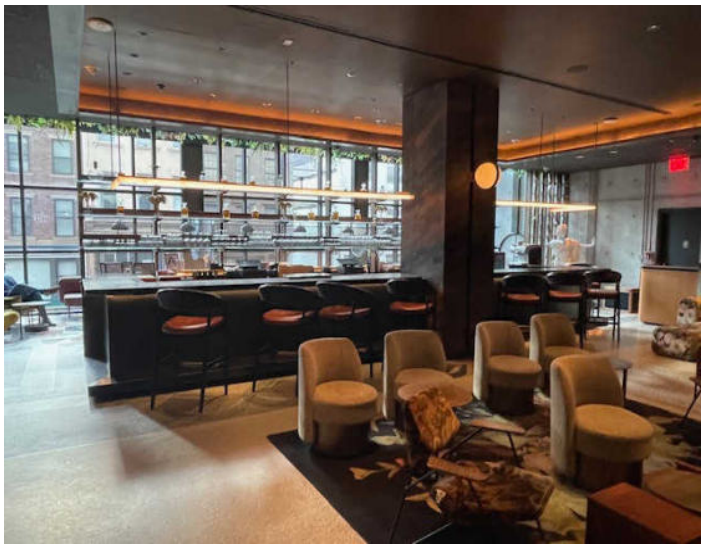
HOTEL ENTRANCE



LOBBY RECEPTION



CAFE D'AVIGNON



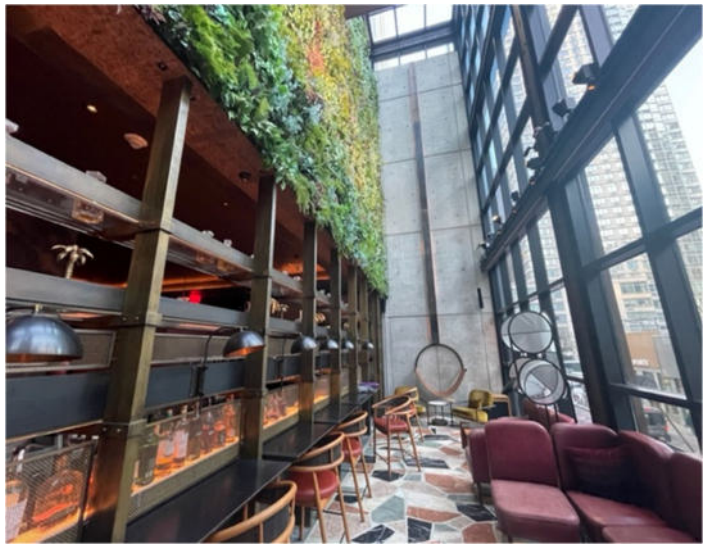
LOBBY BAR



LOBBY BAR



THE BACKYARD



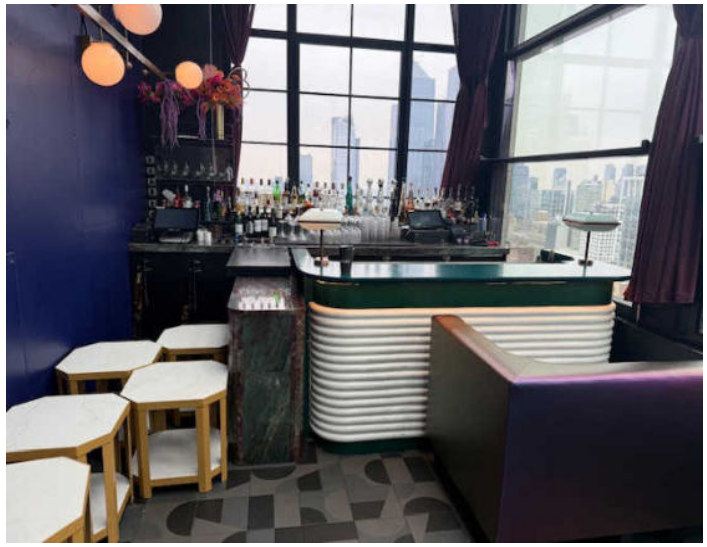
CONSERVATORY



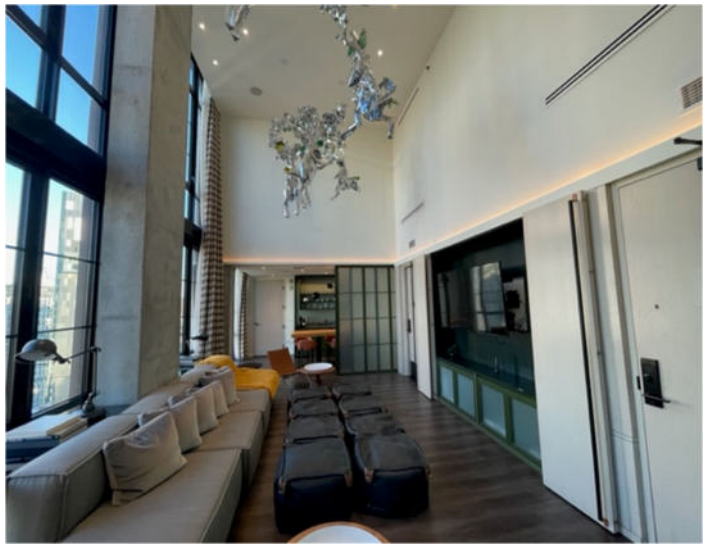
FLEUR ROOM



FLEUR ROOM



FLEUR ROOM



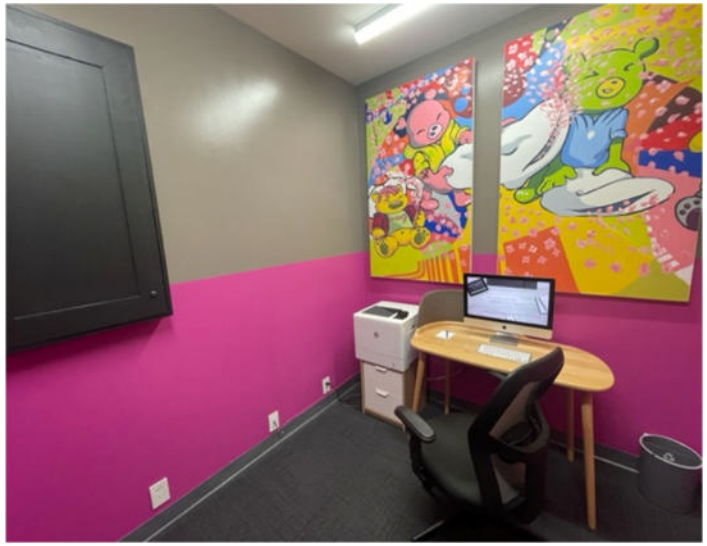
MONDO SUITE INTERIOR



MEETING STUDIO



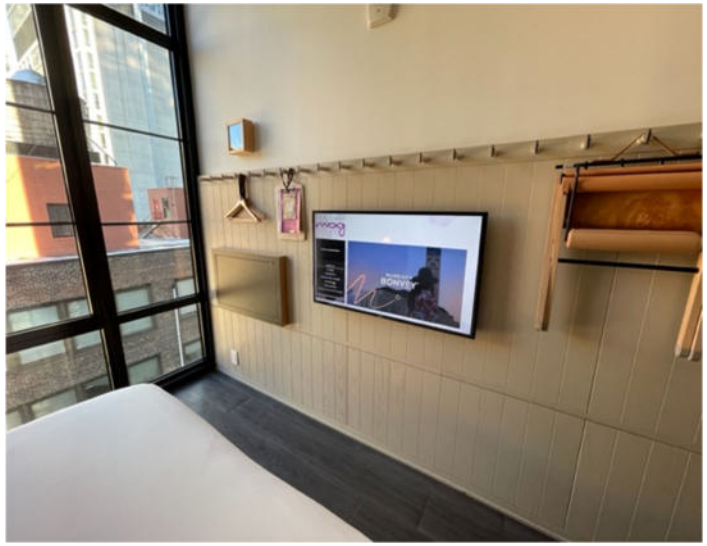
FITNESS CENTER



BUSINESS CENTER



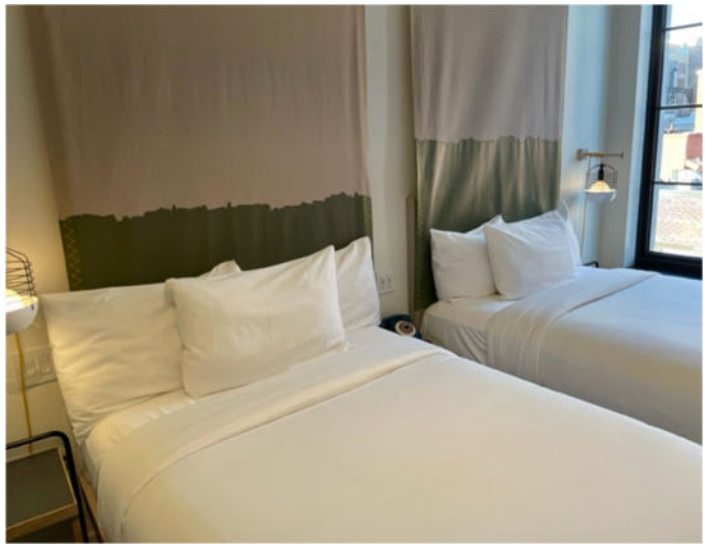
KING-BEDDED GUESTROOM



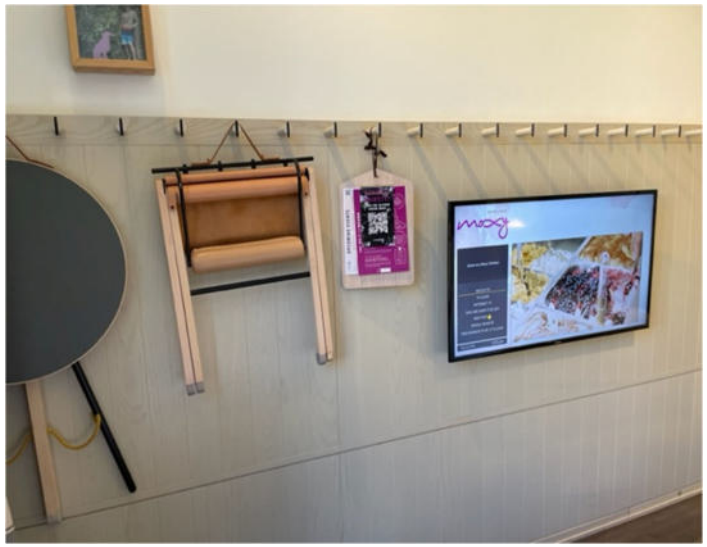
KING-BEDDED GUESTROOM



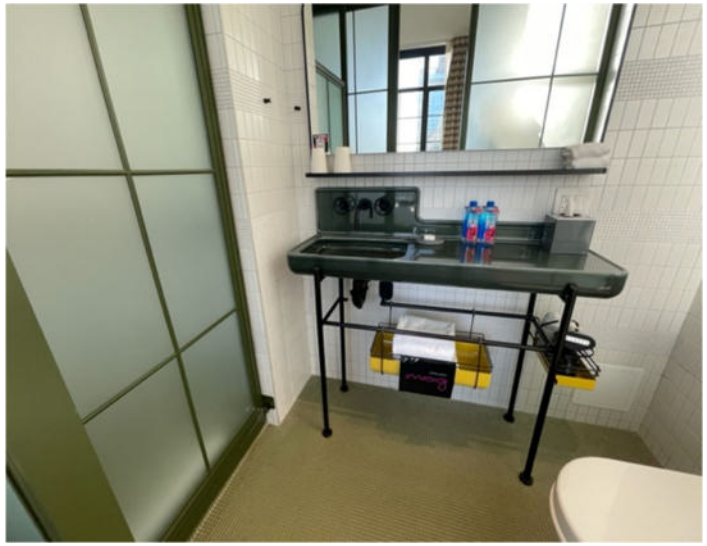
GUESTROOM BATHROOM



DOUBLE-BEDDED GUESTROOM



DOUBLE-BEDDED GUESTROOM



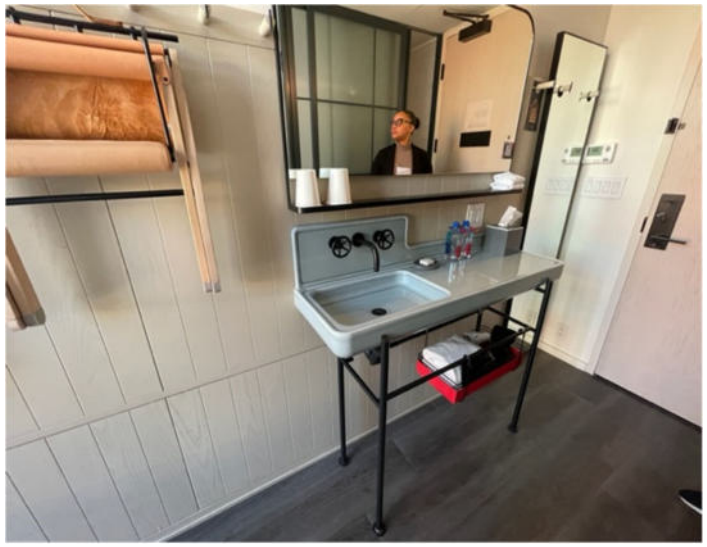
GUESTROOM BATHROOM



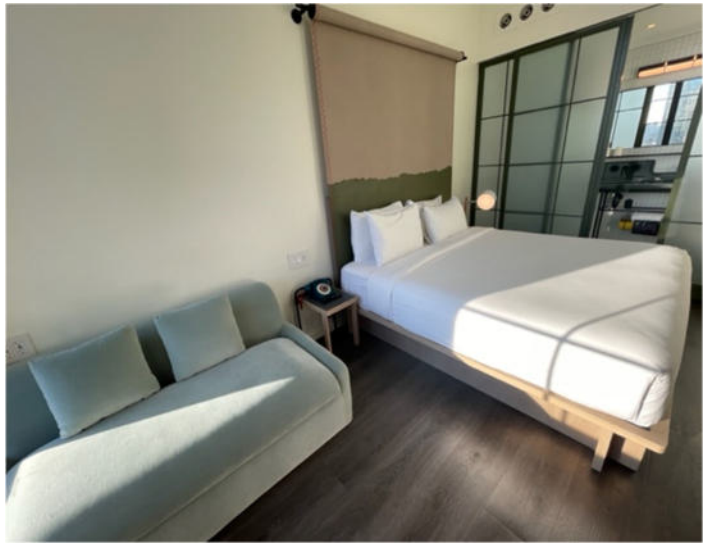
BUNK ROOM



GUESTROOM INTERIOR



GUESTROOM BATHROOM



EXECUTIVE CITY VIEW INTERIOR



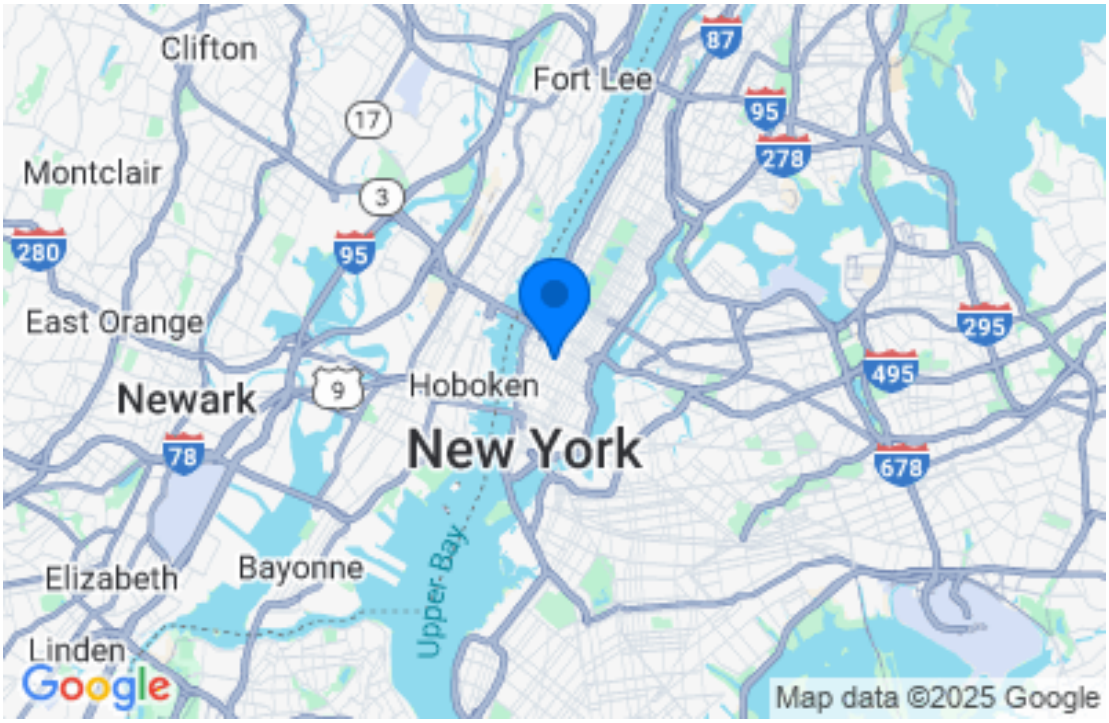
GUESTROOM BATHROOM



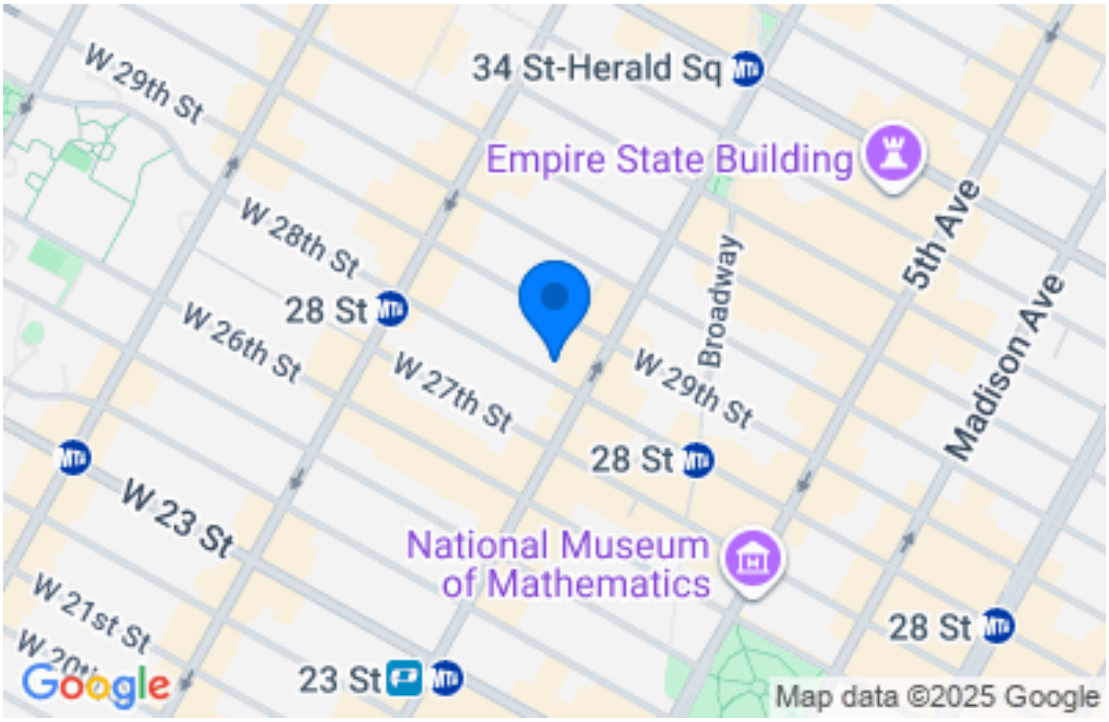
LOOKING WEST ON 28TH STREET



LOOKING EAST ON 28TH STREET



REGIONAL LOCATION MAP



Property Name/Address: MOXY NYC Chelsea
105 West 28th Street
New York, New York 10001

Descriptive Location: The subject is situated along the north side of West 28th Street, between Sixth Avenue, also known as Avenue of the Americas, and Seventh Avenue. This location is within the Borough of Manhattan, County of New York, city and state of New York.

Property Type: Full Service

Property Owner: LSG 105 West 28th LLC

Interest Appraised: Fee Simple

Intended User/Use of Appraisal: The intended user of this appraisal is Lightstone Enterprises, Ltd. The intended use of this appraisal is for financial reporting by Lightstone Enterprises, Ltd.

Basic Property Data:

Hotel Site Area:	6,534 square feet or 0.15 acres
Site Shape:	Rectangular (64' x 296')
Zoning:	M1-6 and C6-4X
Year Built:	2019
Construction:	Steel frame
No. of Stories:	35
GBA:	145,344
No. of Rooms:	350
Parking:	Valet parking is available

Highest and Best Use:

As Vacant:	Hotel development
As Improved:	Current use as a hotel

Valuation Methodology: Our value estimate for the subject property was determined via the Income Capitalization Approach. More specifically, we relied on the discounted cash flow (DCF) methodology. Additional support for our final value conclusion was provided by the direct capitalization methodology as well as the Sales Comparison Approach. The cost approach was not developed because the age of the property and the lack of comparable sales in the market make market-derived estimates of depreciation very difficult. Further, this approach is not utilized by market participants to price hotel assets.

Date of Inspection: November 21, 2025

As Is Date of Value: December 31, 2025

Estimated Exposure Period: 9 months or less

Estimated Marketing Time: 9 months or less

Investment Rate Assumptions:

ADR Growth Rate:	Varies
Expense Growth Rate:	3.00%
Real Estate Tax Growth Rate:	3.00%
Overall Capitalization Rate (OAR):	7.25%
Terminal Capitalization Rate:	7.50%
Discount Rate (IRR):	9.50%
Cost of Sale:	1.50%

"As Is" Market Value Indication:

Income Capitalization Approach:	$322,000,000
Sales Comparison Approach:	$319,000,000
Cost Approach:	N/A
Final Value Conclusion:	**$322,000,000**
Value Per Room:	**$920,000**

Extraordinary Assumptions: None

Hypothetical Conditions: None

PROPERTY IDENTIFICATION
The address of the subject property is 105 West 28th Street, New York City, Borough of Manhattan, New York County, New York, New York 10001. The property is identified by the Borough of Manhattan as Block 804 and Lot 32. The Legal Description is included in the Addenda of this report.

OWNERSHIP AND PROPERTY HISTORY
The title to the subject property is currently vested in the name of LSG 105 West 28th LLC., an entity affiliated with the Lightstone Group. The current owner built the hotel, which opened in February of 2019. No sale transactions involving the subject property have occurred over the past three years. The property is not currently under contract or listed for sale.

PURPOSE OF THE APPRAISAL
The purpose of this appraisal is to provide an estimate of the current market value of the subject property. *Market Value* is defined as follows:

> The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:
>
> 1. Buyer and seller are typically motivated;
> 2. Both parties are well informed or well advised, and acting in what they consider their best interests;
> 3. A reasonable time is allowed for exposure in the open market;
> 4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
> 5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.[1]

INTENDED USER AND INTENDED USE OF THE REPORT
The intended user of this appraisal is Lightstone Enterprises, Ltd. The intended use of this appraisal is financial reporting by Lightstone Enterprises, Ltd.

DATE OF APPRAISAL
The As Is date of appraisal is December 31, 2025.

DATE OF PROPERTY INSPECTION
Nina Owen, MAI inspected the subject property on November 21, 2025.

DATE OF REPORT
The date of this appraisal report is indicated on the letter of transmittal.

PROPERTY RIGHTS APPRAISED
The interest appraised in the subject property represents the fee simple estate. The *fee simple estate* is defined as:

[1] The definition of market value is compatible with the OTS, RTC, FDIC, NCUA, and the Board of Governors of the Federal Reserve System definition of market value as well as the definition of market value contained in *The Dictionary of Real Estate Appraisal*, Seventh Edition, Chicago, Appraisal Institute ©2022.

> Absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power and escheat.[2]

DEFINITION OF GOING CONCERN

The market value conclusion rendered herein includes the value of the *going-concern*, which is defined as:

> The market value of an established and operating business including the real property, personal property, financial assets, and the intangible assets of the business.[3]

SCOPE OF WORK

There are four main aspects to the development and reporting of this appraisal. First, there are certain necessary procedures that were followed to arrive at a credible value estimate. Second, the report scope and content reflect the specific needs of the client. In other words, certain procedures and analyses may have been included or excluded to the extent that they were requested by the client and did not prevent a credible value estimate from being reported. Third, the development of the appraisal is limited to the extent that specific data items may not have been available. Fourth and last, there is the level of detail in which the appraisal has been communicated.

Procedures: The following checklist summarizes the procedures and analysis performed in conjunction with this appraisal assignment and deemed necessary in order to arrive at a credible value estimate for the appraised property.

	Procedure:	Yes	No	N/A
➢	Researched regional, city, and neighborhood data.	√		
➢	Researched market trends (i.e., supply, new construction, demand, occupancy, average daily rate etc.) for the subject property type.	√		
➢	Considered relevant comparable improved sales and comparable hotel information.	√		
➢	Analyzed site data.			√
➢	Reviewed data regarding taxes, zoning, utilities, easements, and city services that impact the subject property.	√		
➢	Analyzed information pertaining to any physical improvements located on the subject site.	√		
➢	Physically inspected the subject property and its surrounding market area.	√		
➢	Determined the Highest and Best Use of the site as vacant and as currently improved.	√		
➢	Performed an Income Capitalization Approach.	√		
➢	Performed a Sales Comparison Approach.	√		
➢	Performed a Cost Approach.			√
➢	Determined the approach or approaches to value that are most reliable and reconciled to a final value conclusion.	√		
➢	Determined reasonable marketing and exposure times associated with the concluded value.	√		

Client Requirements: In preparing this appraisal, we have complied with the following guidelines and specific requirements provided by the client at engagement.

---

[2] *The Dictionary of Real Estate Appraisal*, Seventh Edition, Chicago, Appraisal Institute ©2022.
[3] *The Dictionary of Real Estate Appraisal*, Seventh Edition, Chicago, Appraisal Institute ©2022.

- Appraisal guidelines as set forth in the Engagement Letter for this assignment.

Availability of Data: We have received all requested property level information that would have a material impact on our value conclusion. In our opinion, the quality of the information that we received was sufficient to arrive at a credible opinion of value for the client's intended use.

Level of Detail: This appraisal report incorporates a full explanation of the data, reasoning, and analyses that were used to develop the opinion of value. It also includes thorough descriptions of the subject property and the market for the subject property type.

EXPOSURE TIME AND MARKETING PERIOD

The concept of *exposure time* is historical in nature and is presumed to have occurred prior to the effective date of the appraisal. Alternatively, the *marketing period* occurs after the effective date of the appraisal and may or may not be directly related to the value presented. The actual sale price could increase, decrease, or remain static during the marketing period depending upon market conditions and the type of property being appraised.

Since most investors' perceptions and estimates of marketing period are based largely on exposure times that they have recently encountered in similar transactions, it stands to reason that there should be some correlation between marketing periods and exposure times. In fact, in the absence of perceived changes in the market or other extenuating circumstances, marketing period and exposure time should be identical. That is to say, if all other things are held constant, a property that (retrospectively) required an exposure time of one year could be expected to have a marketing period (prospectively) also of one year.

The *PwC Real Estate Investor Survey: Third Quarter 2025* indicates marketing times in the National Luxury/Upper-Upscale Lodging Market range from 3.0 to 24.0 months, averaging 8.7 months, a decrease from 9.6 months the prior quarter and an increase from 7.4 months one year prior.

Based on an analysis of general market conditions for this property type and a review of exposure times from recent transactions in the subject property's market area, it is our opinion that an appropriate exposure time and the marketing period for the subject property is 9.0 months or less.

NEW YORK-NEWARK-JERSEY CITY MSA OVERVIEW

The subject property is located within the New York–Newark-Jersey City Metropolitan Statistical Area (MSA). This MSA is further subdivided into four metropolitan divisions: New York-Jersey City-White Plains, NY-NJ Metropolitan Division; Nassau County-Suffolk County, NY Metropolitan Division; Dutchess County-Putnam County, NY Metropolitan Division; and Newark, NJ-PA Metropolitan Division. The 25-county metropolitan area includes 12 counties in New York State coinciding with the five boroughs of New York City, the two counties of Long Island, and five counties in the lower Hudson Valley, 12 counties in Northern and Central New Jersey, and seven counties in northeastern Pennsylvania. A map of the MSA is set forth below.



POPULATION/DEMOGRAPHICS

The table below summarizes the main demographic indicators for the MSA, the states and the country.

POPULATION/DEMOGRAPHICS					
	New York MSA	New Jersey	New York	Pennsylvania	United States
Population					
2010 Census	18,839,745	8,791,899	19,378,097	12,702,379	308,745,538
2025 Estimate	20,079,870	9,425,430	19,998,175	13,074,028	339,887,819
2030 Projection	20,158,207	9,551,159	19,911,436	13,138,831	347,149,422
2010 - 2025 % Annual Change	0.46%	0.50%	0.23%	0.21%	0.64%
2025 - 2030 % Annual Change	0.08%	0.27%	-0.09%	0.10%	0.42%
Households					
2010 Census	6,897,026	3,214,361	7,317,754	5,018,904	116,716,292
2025 Estimate	7,512,741	3,536,538	7,815,341	5,279,915	132,422,916
2030 Projection	7,623,371	3,619,303	7,890,659	5,340,558	136,716,884
2010 - 2025 % Annual Change	0.61%	0.68%	0.47%	0.36%	0.85%
2025 - 2030 % Annual Change	0.29%	0.46%	0.19%	0.23%	0.64%
2025 Average Household Size	2.62	2.62	2.48	2.39	2.50
Income					
2025 Estimated Median Household	$101,061	$104,287	$85,744	$77,579	$81,624
2025 Estimated Average Household	$150,021	$146,475	$129,716	$107,937	$116,179
Source: Esri					

After significant pandemic-era declines, the metro region rebounded strongly in 2023 and 2024. The rebound in the metro's growth since 2022 is largely due to higher net international migration. While many people left NYC during the pandemic, moving to suburbs or other states, that outflow has slowed, and some domestic migration has resumed in recent years. Births still contribute, though less than in earlier decades.

ECONOMY AND EMPLOYMENT

The economy of the New York Metro Area is diverse and includes several industries that drive its growth. The services sector has shown the most significant growth in job creation recently. The financial services industry, which encompasses banking, finance, and communications, is the largest in New York and a major contributor to the state's economy. New York City hosts the New York Stock Exchange, NASDAQ, American Stock Exchange, New York Mercantile Exchange, and New York Board of Trade. The professional and business services industry, which includes management consulting, technology, and legal services, is another leading sector in New York. Regarding manufacturing, the area is a major hub for production and shipping. The tech sector has expanded rapidly in recent years and has become increasingly vital to New York. The education sector also has a significant impact on the state and its residents.

The following charts show the top employers, the employment by industry, and the historical unemployment rates for the region.

TOP EMPLOYERS IN THE REGION

	Top Employers	Industry	No. Employees
1	City of New York	Municipal Government	224,000
2	NYC Department of Education	Education	139,000
3	Northwell Health	Healthcare	105,000
4	Metropolitan Transportation Authority	Public Transit	74,000
5	Mount Sinai Health System	Healthcare	48,000
6	NYC Health (HHC)	Healthcare	45,000
7	JPMorgan Chase & Co.	Banking	37,000
8	NYU Langone Health	Healthcare	28,000
9	Verizon Communications	Communications	26,800
10	Montefiore Health System	Healthcare	23,000

Source: Crain's New York Business 2025

EMPLOYMENT BY INDUSTRY FOR THE REGION

Employment by Industry	Workforce (%)
Agriculture/Mining	0.20%
Construction	5.90%
Manufacturing	5.30%
Wholesale Trade	2.00%
Retail Trade	8.80%
Transportation/Utilities	6.40%
Information	3.10%
Finance/Insurance/Real Estate	9.00%
Services	55.20%
Public Administration	4.30%

Source: Esri

HISTORICAL UNEMPLOYMENT RATES			
Year	New York MSA	New York	United States
2014	6.4%	6.3%	6.2%
2015	5.3%	5.2%	5.3%
2016	4.8%	4.9%	4.9%
2017	4.4%	4.6%	4.4%
2018	4.0%	4.1%	3.9%
2019	3.6%	3.9%	3.7%
2020	10.3%	9.8%	8.1%
2021	7.6%	7.1%	5.3%
2022	4.4%	4.3%	3.6%
2023	4.3%	4.1%	3.6%
2024	4.5%	4.3%	4.0%
Aug-24	5.1%	4.8%	4.4%
Aug-25	5.2%	4.7%	4.5%
Source: Bureau of Labor Statistics			

Government and public services are the largest single “industry” by employment. Healthcare dominates the private employment landscape. Multiple hospital systems, such as Northwell, Mount Sinai, NYC Health, Montefiore, NYU Langone, New York-Presbyterian and Memorial Sloan Kettering are all among the top employers. Global financial firms, including JPMorgan, Citi, Bank of America and Morgan Stanley have a strong presence in the area. Diverse sectors are represented. Beyond health, finance, and government: retail (Macy’s), utilities (Con Edison), logistics (UPS), transportation (airlines), education (universities), and professional services all supply major employment. Because employment isn’t monolithic, the region has built-in resilience against sector-specific downturns. Growth in life sciences and R&D suggests the metro is evolving and reinventing itself in new, high-growth areas.

TRANSPORTATION

Four major airports service the New York City area, which are JFK International Airport, La Guardia Airport, as well as Teterboro Airport and Newark Liberty International Airport, both of which are in New Jersey. Most international flights are serviced out of JFK, while La Guardia tends to service shorter domestic flights. Newark handles both domestic and international flights, while Teterboro is the area’s primary general aviation airport handling business jet traffic along with cargo and medevac flights.

The New York City metropolitan area is served by an integrated system of interstate and arterial roadways. The primary roadways entering the subject’s greater market area are Interstate 78, Interstate 80, Interstate 87, and Interstate 95. Interstate 287 is generally a beltway around the city, while numerous spurs of Interstate 78 and Interstate 95 abound, Interstate 678 runs through Queens and connects to John F. Kennedy International Airport.

Located on the shores of New York Harbor, which opens into the Atlantic Ocean, the New York/New Jersey seaport is the largest port complex on the East Coast. Several rivers create geographic boundaries between New York City boroughs and other states. As such, ferries provide vital linkages to Manhattan from Brooklyn and Staten Island, as well as to New Jersey communities.

New York City is cited as having the most extensive public transportation system in the nation. The Metropolitan Transportation Authority (MTA) operates over 2,000 miles of track. The Port

Authority of New York and New Jersey PATH subway system also connects Manhattan to New Jersey.

CONCLUSION

The New York metropolitan area is the nation's business, financial, and cultural hub. It is also a major manufacturing center and shipping port with a vibrant technological sector. The densely populated island of Manhattan serves as the core hub of activity and the primary employment area. Despite challenges such as the pandemic's impact on tourism, New York's economy stays resilient and continues to expand. While there is some near-term uncertainty given current economic conditions, the market is well placed for substantial long-term growth.

LOCAL AREA OVERVIEW

The subject property is located in Chelsea, on the west side of Manhattan in New York City. STR tracks this area in the South Midtown hospitality market. The boundaries are roughly 14th Street to the south, the Hudson River and West Street to the west, Sixth Avenue to the east, and 34th Street to the north. Hudson Yards is situated at the northern edge of the local market area. To the northeast are the Garment District and the rest of Midtown South, and to the east are NoMad and the Flatiron District. The Meatpacking District is located to the southwest, with the West Village and the remainder of Greenwich Village to the south and southeast.

The neighborhood is mainly residential, with a mix of apartments, city housing projects, townhouses, and renovated rowhouses. Additionally, there are many retail venues and art galleries. The Chelsea Lofts district, the old fur and flower district, is roughly between Sixth and Seventh Avenues from 23rd to 30th Streets. West Chelsea, between Tenth and Eleventh Avenues and 16th to 28th Streets, has become a new global hub for contemporary art, with over 200 galleries showcasing both emerging and established artists. Above 23rd Street, near the Hudson River, the area is post-industrial, featuring the elevated High Line viaduct that runs along the river through Chelsea. In the early 2000s, the High Line was transformed into a popular aerial greenway and rails-to-trails park. The area's two public housing projects are the Chelsea-Elliot Houses, between 25th Street, Ninth Avenue, 28th Street, and Tenth Avenue, and Fulton Houses, between 16th Street, Ninth Avenue, 19th Street, and Tenth Avenue. West Chelsea, the western part of Chelsea once called Gasoline Alley, was mostly a manufacturing zone that has been rezoned for high-rise residential development. A section between the Hudson River and Tenth Avenue was designated a historic district in 2008.

Room Night Demand Generators: Hotels in the market area target a range of demand sources in the commercial, group, and leisure segments. The following figure outlines several of the local area demand generators.

LOCAL AREA DEMAND GENERATORS		
Corporate	**Group**	**Leisure**
Accenture	Fashion Institute of Technology	Art Galleries
Amazon	Fordham University	Chelsea Market
Deloitte	Jacob K. Javits Convention Center	Chelsea Piers
Google	Madison Square Garden	Empire State Building
META	New York University	Hudson Yards
Palantir		Little Island Park
Pfizer		Pier 62
Target		Rubin Art Museum
VMWare		The Edge
Wells Fargo		The High Line
		The Shed
		Times Square
		Whitney Museum of American Art
Source: Independent research by Capright		

Growth Patterns: Much of the recent development in the local market area is focused on the Hudson Yards rail-yard project, located at the northern edge of Chelsea. With an estimated cost of $25 billion upon completion, Hudson Yards is one of the most expensive real estate developments ever built in the United States and the largest private development in the country's history. The development is bordered by West 42nd and 43rd Streets, 7th and 8th Avenues, West 28th and 30th Streets, and Hudson River Park. When fully developed, the district will have capacity for approximately 26 million square feet of new office space, 20,000 housing units, including nearly 5,000 affordable units, 2 million square feet of retail space, and 3 million square feet dedicated to hotels.

Phase 1, the eastern phase, contains two office towers on Tenth Avenue, plus a retail podium between them. The southern tower is the 52-story, 10 Hudson Yards, which opened in 2016. The other tower on Tenth Avenue is the 80-story, 30 Hudson Yards, the city's third-tallest building, which was completed in 2019. Bordering Eleventh Avenue are two mixed-use buildings, 15 Hudson Yards and 35 Hudson Yards. 15 Hudson Yards, the more southerly of the two towers, is connected to a semi-permanent structure, a performance and arts space known as The Shed. The mixed-use 15 Hudson Yards was topped out in February 2018. 35 Hudson Yards, a mixed-use skyscraper located to the north of 15 Hudson Yards, was topped out in June 2018. Phase 1 also includes a 7-story mall called Shops & Restaurants of Hudson Yards that opened in March of 2019.

Several companies have relocated their headquarters or New York City offices to Hudson Yards or nearby developments. These include financial firms, law firms, as well as various technology, fashion, and media companies. 10 Hudson Yards is home to Coach, Boston Consulting Group, and Sidewalk Labs. Tenants at 30 Hudson Yards include Time Warner, DNB Bank, Wells Fargo Securities, and Facebook. 50 Hudson Yards, which opened in 2022, houses the headquarters of BlackRock. Several law firms, including Boies, Schiller & Flexner, Cooley LLP, and Milbank, Tweed, Hadley & McCloy, are located at 55 Hudson Yards, along with Facebook, electronic trading platform MarketAxess, and pharmaceutical company Intercept Pharmaceuticals. A number of financial firms have moved out of Midtown or the Financial District to Hudson Yards, including KKR, Silver Lake, and BlackRock.

In 2024, the Manhattan West development over the rail yard west of Ninth Avenue between 31st and 33rd streets was completed, with the opening of Two Manhattan West, a two-million-square-foot office tower, in January. This delivery was the culmination of a 20-year development process for the seven-million-square-foot, mixed-use neighborhood developed by Brookfield Properties. Key components of the project include:

- Two Manhattan West: The most recently completed tower, standing at 935 feet tall.
- One Manhattan West: A supertall skyscraper completed in 2019, reaching 996 feet.
- Additional Buildings: Four other buildings, including the Pendry hotel tower and the Eugene residential component, as well as the renovation of two former industrial buildings into office spaces.
- Public Space: The development includes two acres of public space, forming a central plaza.

The completion of Manhattan West is a significant milestone in the redevelopment of Manhattan's Far West Side. It establishes a link between the Midtown business district, Penn Station complex, and Hudson Yards, creating a new destination on the west side of the city.

The new development in Hudson Yards now focuses on a new office skyscraper and a large second-phase expansion of the Western Rail Yards, featuring thousands of apartments, open space, and a school. 70 Hudson Yards is a 47-story, approximately 1.1 to 1.4 million square foot office tower that broke ground in June 2025 on Hudson Boulevard between West 35th and 36th Streets. The tower is expected to reach about 717 feet and is marketed as New York's first zero-operational-carbon office high-rise, with completion anticipated in the late 2020s. The next major phase, in the Hudson Yards West / Western Rail Yards area—often called Hudson Yards West or Phase 2—involves decking over the Western Rail Yards and adding around 4,000 housing units, with at least 625 permanently affordable and another 139 nearby units preserved as affordable. Plans include four mixed-use towers, a new office building, and a 6.6-acre park ("Hudson Green") connecting to the High Line, as well as a 750-seat K-8 public school and a daycare facility. City officials approved the rezoning and affordable housing agreement for Hudson Yards West in mid-2025, and local leaders have indicated the project could start construction around 2026, though full buildout is not expected until the 2030s. Overall, the combined Hudson Yards project is projected to deliver approximately 18 million square feet of commercial and residential space, along with thousands of apartments, as remaining parcels are developed over the next decade.

Access: New York City, being the most populous city in the United States, has a transportation system which includes one of the largest and busiest subway systems in the world, the world's first mechanically ventilated vehicular tunnel, and an aerial tramway. There is an extensive bus system in each of the five boroughs, the Staten Island ferry systems, and numerous taxis and ride-share drivers throughout the city. The neighborhood is served by the M7, M10, M11, M12, M14 SBS and M23 SBS New York City Bus routes. New York City Subway routes include the 1, 2, and 3 services on Seventh Avenue, the A, C, and E services on Eighth Avenue, and the F and the M services on Sixth Avenue. The 34th Street Hudson Yards station on the 7 and trains opened in September 2015 with its main entrance in Chelsea.

Despite New York's reliance on public transit, roads are a defining feature of the city. Manhattan's street grid plan greatly influenced the city's physical development. In Manhattan,

twelve numbered avenues run parallel to the Hudson River, and 220 numbered streets that run perpendicular to the river.

LOCAL AREA CONCLUSION AND RELEVANCE TO THE SUBJECT PROPERTY

The subject's immediate neighborhood is experiencing moderate growth at present and is anticipated to continue to experience moderate growth. Several key room night demand generators are located in Chelsea and Hudson Yards. The network of roads, trains and buses provides convenient linkages to other areas of the central business district, as well as the airports serving the metropolitan area. Overall, the outlook for the subject's local market area is positive.

US HOTEL MARKET OVERVIEW

The U.S. economy appeared to gain momentum in the third quarter, with stronger consumer spending and increased business investment in AI-related equipment. The outlook improved as the quarter ended, with revised data for the first half of the year showing household spending rising by 2.7% in August, adjusted for inflation. This followed a 2.5% annualized growth rate in July, which was upwardly revised from 2.1%, as consumer spending on services expanded.

Higher-income households have driven stronger spending as gains in equities and home prices boost household wealth, providing a larger spending cushion. In contrast, lower-income households have become more dependent on borrowing, straining budgets as interest costs on debt increase. The end of October marked the expiration of food benefits under the Supplemental Nutrition Assistance Program (SNAP), affecting 42 million low-income households. As funding expired without resolution by the second week of November, household budgets have worsened. Delinquency rates on credit card balances and personal loans, while no longer increasing, remain high.

Downward revisions to labor market data earlier in the year indicate a downside risk. In its last report on job gains, delivered before the government shutdown, the Labor Department showed that employers added 22,000 jobs in August, which is far below expectations for the fourth consecutive month. The three-month moving average of job gains then stood at just over 29,000, compared to 232,000 at the beginning of the year. Private data from ADP, a payroll processing service provider, indicated a loss of 32,000 private sector jobs in September. The company estimates that the average weekly job gain in October was 15,000, totaling 60,000 for the month. However, September 30 marked the end of the fiscal year, when approximately 100,000 federal workers who had accepted the administration's deferred resignation offer earlier in the year were scheduled to be removed from the government's payroll, more than offsetting the expected gains in private payrolls.

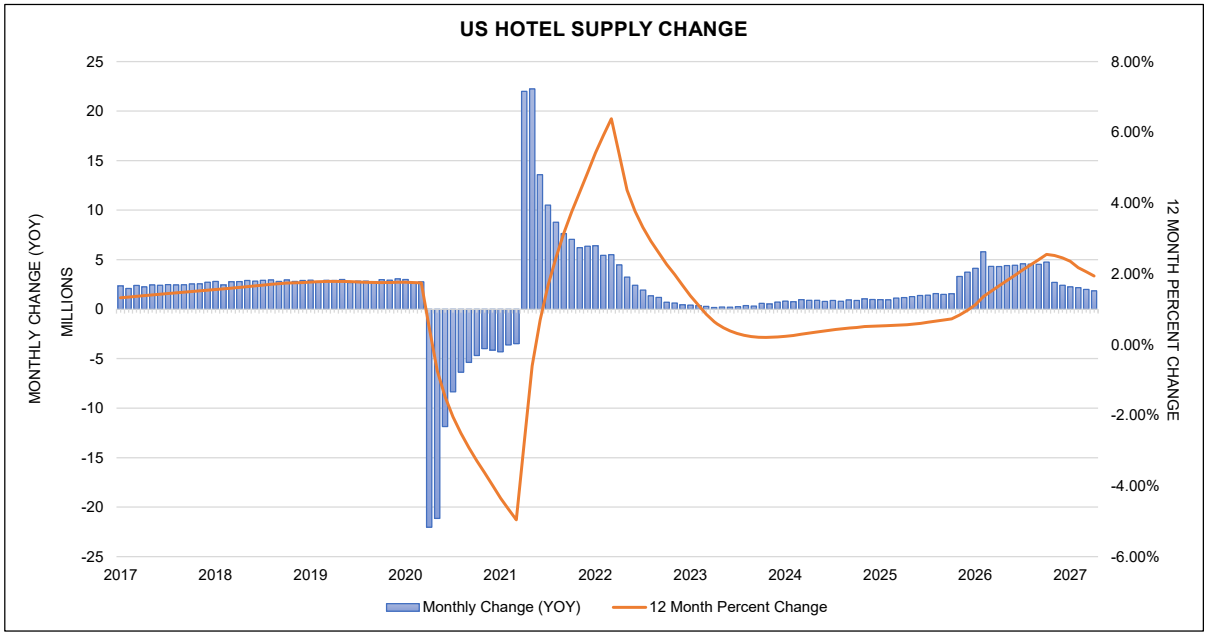
At its September meeting, in response to a weakening labor market, the Federal Reserve's policymaking committee lowered its target policy rate by 25 basis points, the first cut since last December. With limited visibility into the labor market due to the absence of official data, the committee reduced the rate again in October, noting that the risk of a slower labor market outweighed the risk of rising inflation.

Inflation has slowed from its cycle peak in 2022 but remains above the Federal Reserve's target. The consumer price index for September, released late due to the government shutdown, showed inflation at 3.0%, well above the Fed's 2.0% target. The increased costs from higher tariffs are starting to show in inflation data, especially for goods affected by tariffs. During this year's quarterly earnings calls, importers reported tolerating thinner margins and absorbing some costs rather than raising prices and risking losing customers. However, analysts expect consumers will likely face higher prices in the coming months.

The near-term outlook shows economic activity and job growth slowing further this year as tariffs increase prices and costs, which will impact consumer spending and investment. Estimates for third-quarter growth are around 3%, but a significant slowdown is expected in the fourth quarter. However, growth is anticipated to pick up again somewhat next year as expansionary provisions of the One Big Beautiful Bill Act take effect. Over the longer term,

restrictive immigration policies and the retirement of Baby Boomers will likely reduce the labor supply and slow growth in future years.

Supply: The following figure illustrates the national hotel supply from 2017 to 2024, with a forecast through the first quarter of 2027.



As of September, the number of hotel rooms actively under construction has decreased to 137,000, marking a notable change after twenty consecutive quarters of relative stability, during which construction levels consistently stayed between 150,000 and 160,000 rooms. This extended plateau was mainly caused by high interest rates. In comparison, the pre-pandemic pipeline peaked at around 212,000 rooms.

Current lending conditions remain tough. Industry sources say that construction loans are generally priced at SOFR plus 650 to 750 basis points, assuming a 65% loan-to-cost ratio. These terms are widely seen as too expensive, prompting many developers to delay projects in hopes of future rate drops. Consequently, project timelines are lengthened, and the number of rooms in planning continues to rise.

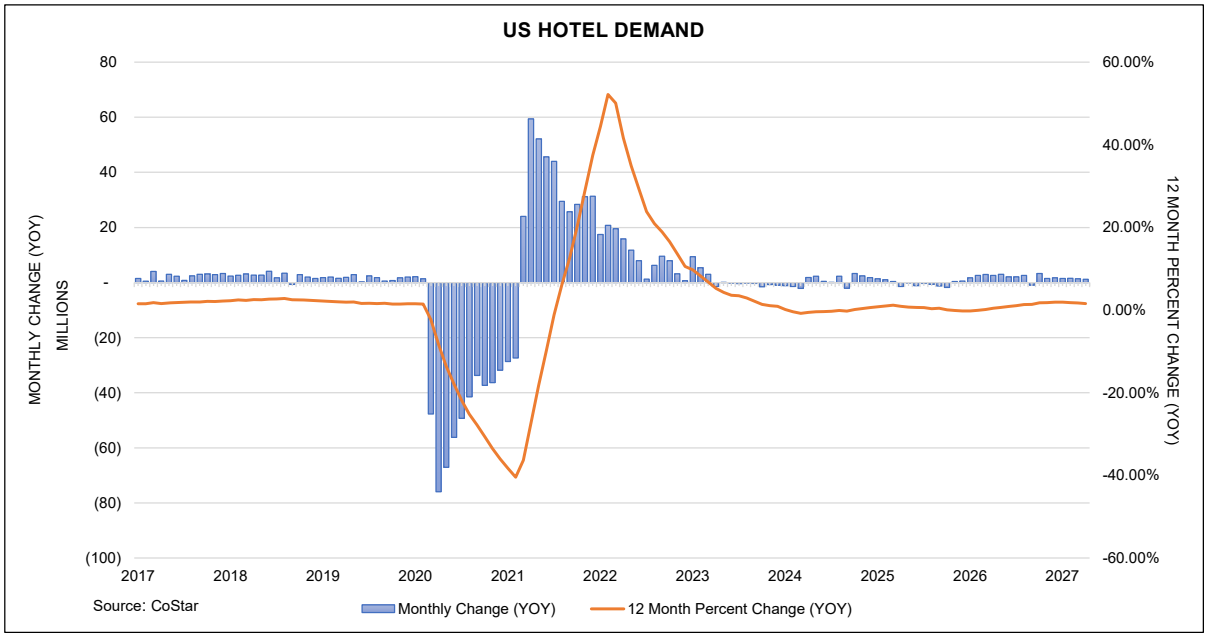
Labor market constraints further deepen the slowdown. According to August data from the Bureau of Labor Statistics, while the total number of construction workers continues to grow, the growth rate has slowed down. Notably, the number of foreign-born workers has decreased for two consecutive months and is expected to decline further, adding pressure on subcontractors and their ability to competitively bid on new contracts.

Although some planned projects are likely to secure financing and move into active development, the typical three- to four-year timeline for hotel openings suggests that U.S. supply growth will stay limited. Currently, year-over-year supply growth is at 0.7%, a small rise from last year, but still well below the long-term average of 1.6%.

New York City leads all markets with nearly 8,000 rooms under construction. Despite updated permitting regulations, an additional 10,000 rooms are in final planning or earlier stages. Other markets showing strong potential for future supply growth include Nashville, Miami, Phoenix, Denver, and Dallas. However, given the financing headwinds, it remains uncertain whether these pipelines will fully materialize.

The makeup of the development pipeline has stayed consistent over the past three decades. Branded limited-service hotels continue to dominate, favored by guests, developers, and lenders alike. About 70% of rooms currently under construction are in the lower chain scale segments. Developer sentiment indicates that limited- and select-service properties will continue to lead new development. While luxury hotels are still being proposed, they often depend on a condominium component to be financially viable. These units are typically pre-sold, and in some states, sales from those units are considered equity, which helps developers secure financing for both the hotel and its residential tower.

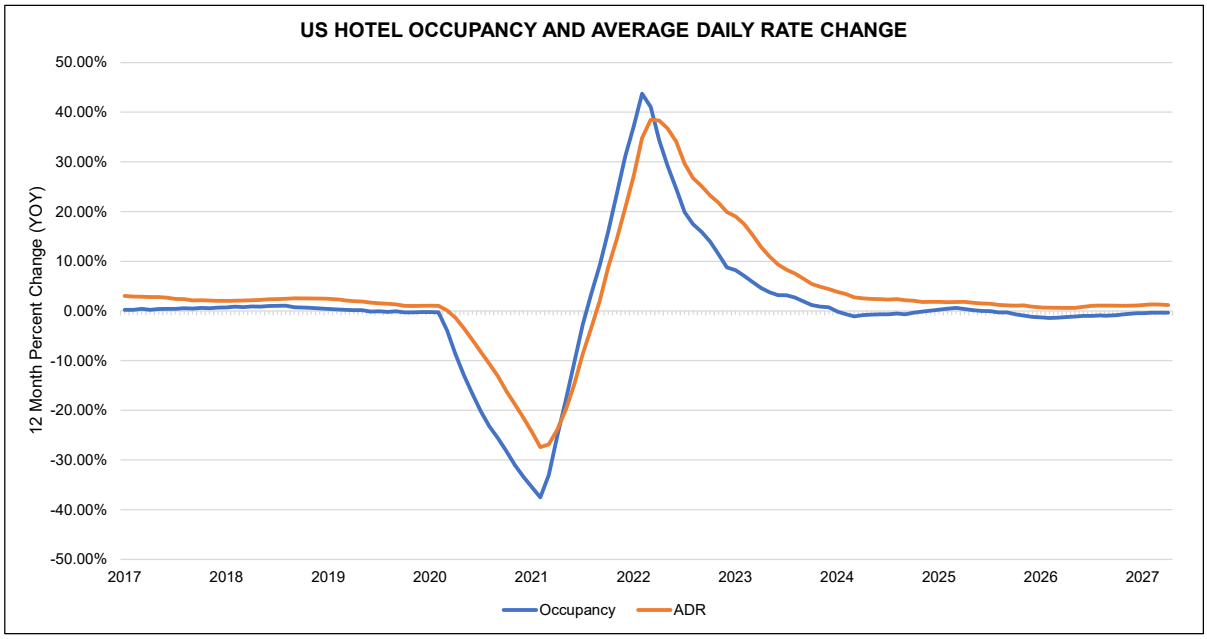
Demand: The following table illustrates the national demand change from 2017 to 2024, with a forecast through first quarter of 2027.



Transient demand is only slightly higher than last year, while group demand has now fallen for six straight months. This persistent weakness in group demand reflects broader economic uncertainty, worsened by inconsistent tariff enforcement. Companies managing volatile input costs are reducing discretionary spending, which impacts corporate travel. Meanwhile, U.S. leisure travelers are dedicating a larger portion of their budgets to non-discretionary expenses, leaving less for travel. International inbound travel remains weak, with passenger arrivals through August down about 3%. In contrast, outbound travel by Americans has increased over 2% this year, despite a weaker dollar, indicating that higher-income travelers are still choosing overseas trips. September data is not yet available due to the government shutdown, but it is unlikely to change the current trend.

Looking ahead, corporate demand is expected to stay subdued amid ongoing uncertainty, especially in downtown markets. Some leisure travelers are choosing cruises, which provide an all-inclusive experience, over traditional hotel stays that involve separate costs for lodging, food and beverages, and airfare. Ultimately, macroeconomic volatility remains the main factor driving consumer hesitation and weak demand.

Performance: The following figure illustrates the national occupancy and average daily rate change from 2017 to 2024, with a forecast through the first quarter of 2027.



The post-pandemic rebound for the U.S. hotel industry has peaked. The industry has now recorded two consecutive quarters of RevPAR declines, leaving year-to-date growth flat at 0%. The full-year 2025 forecast of -0.1% faces increasing risk of further downward revisions. Expectations for Q4 2025 and Q1 2026 remain negative, mainly due to distortions caused by hurricanes and the inauguration during those periods.

Several major markets with declining RevPAR, such as Las Vegas and Detroit, are experiencing tough year-over-year comparisons because of one-time events in 2024. Meanwhile, cities like Denver, Nashville, and Phoenix, which saw significant supply growth over the last decade, are now dealing with softer demand and limited pricing options. On a more positive note, San Francisco, New York, and Chicago are showing signs of recovery, with San Francisco posting an 8% increase in RevPAR year-to-date.

Sales: In the third quarter of 2025, hotel transaction volume reached approximately $5.7 billion, a decline from $6.4 billion in the same period last year. Year-to-date hotel transaction volume stands at $15.3 billion, roughly $1.5 billion below the 2024 total of $16.8 billion and significantly lower than the $19 billion recorded in 2023. This slowdown highlights the dual challenge of achieving acceptable pricing and securing favorable financing terms. In the

limited-service segment, ownership transfers often trigger property improvement plans (PIPs), which can effectively double the anticipated per-room cost and derail potential transactions.

Despite these headwinds, trophy assets continue to command premium valuations. A notable example is Ryman Hospitality Properties' acquisition of the JW Marriott Desert Ridge for $865 million. The 950-room resort was sold by Trinity Investments, which had invested roughly $100 million in upgrades following its 2019 purchase for $602 million. Trinity also partnered with Certares in the sale of EAST Miami to Blackstone for approximately $300 million, following their recent collaboration on the recapitalization of the Hyatt Regency Greenwich. Over the past year, Trinity, Magna Capital, and Brookfield have been the most active sellers, while Ryman, Blackstone, and The Reuben Brothers led on the buy side.

A recurring theme in industry discussions is the increasing pressure on Limited Partners (LPs) in closed-end funds, which usually operate on five- to seven-year timelines to deliver returns. This situation often compels General Partners (GPs) to liquidate assets prematurely, even when expected appreciation hasn't materialized, thus jeopardizing their promote. GPs are more and more caught between the need to sell and the effort to raise capital for new funds. While this tension hasn't yet led to a surge in transactions, LPs are becoming more vocal in demanding liquidity, urging GPs to return capital to investors.

US HOTEL MARKET CONCLUSION

The U.S. hotel industry’s post-pandemic rebound has stalled, with two straight quarters of RevPAR declines leaving year-to-date growth stagnant. The 2025 forecast of -0.1% faces additional downside risk, as expectations for the fourth quarter of 2025 and the first quarter of 2026 remain negative due to hurricane impacts and the inauguration. Persistent inflation combined with weak rate growth continues to squeeze margins.

NEW YORK HOSPITALITY MARKET

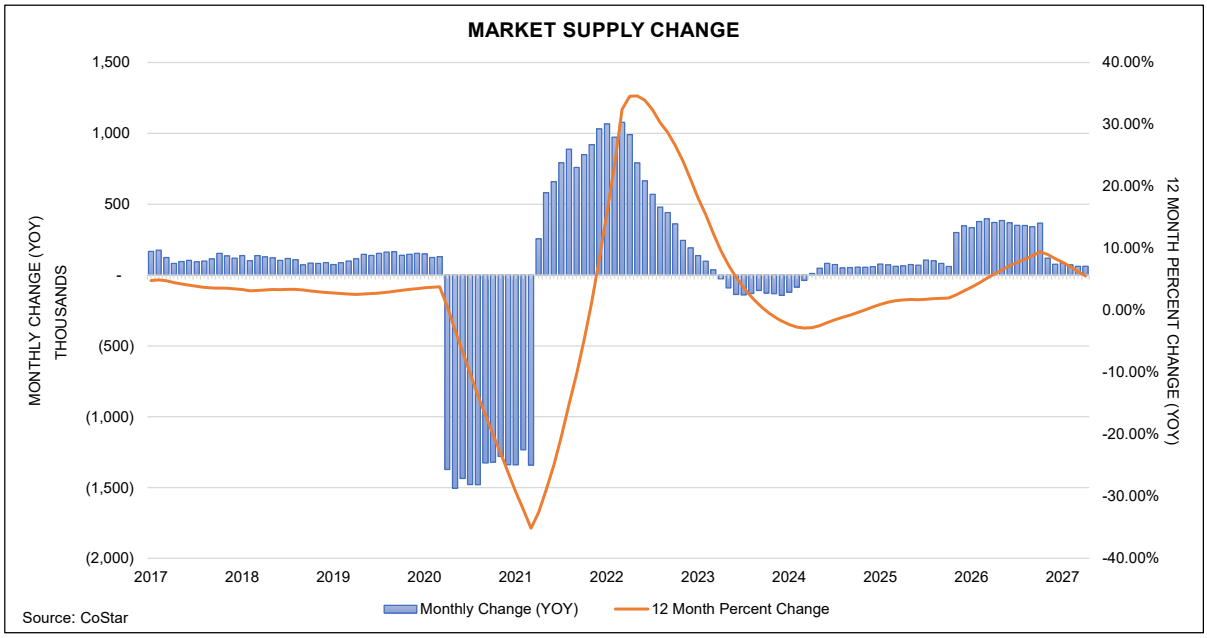
The New York City market covers an area with 10 submarkets, including the city’s five boroughs: Manhattan, Brooklyn, Queens, the Bronx, and Staten Island. As the largest city in the U.S. with a population over 8.4 million, New York is a popular destination known as the country’s top financial hub. The market features some of the world's most visited tourist attractions and is famous for its iconic skyline, marked by a high concentration of skyscrapers.

The New York City hospitality market is supported by various economic drivers that create demand for hotel rooms across all segments. As the nation’s leading financial center, business transient and weekday demand are fueled by Wall Street, the New York Stock Exchange (NYSE), banking and law firm corporate headquarters, and the dense presence of Class A office buildings that attract both companies and business travelers.

Group demand is also significant in New York, driven by the largest convention center in the market, the Javits Center, located in the Midtown South submarket. The 3.3 million-square-foot facility completed a 1.2 million-square-foot expansion in May 2021, which is expected to generate an additional 200,000 room nights per year, according to The New York Convention Center Operating Corporation. While market demand for groups remains strong throughout the year, it typically peaks in September, aligning with the UN General Assembly.

The presence of heavily visited leisure demand generators complements hotel demand from business and group travel. Tourist attractions such as Times Square, Central Park, the Empire State Building, the 9/11 Memorial & Museum, the Metropolitan Museum of Art, Madison Square Garden, Yankee Stadium, Broadway, Rockefeller Center, and the Statue of Liberty provide leisure travelers with a wide variety of options year-round. Additionally, the city's internationally renowned restaurants and nightlife, along with lively neighborhoods like the Village, Williamsburg, DUMBO, and Astoria, further boost New York City's appeal to visitors. Because of the large number of domestic and international travelers frequenting these sites and neighborhoods, these attractions generate demand both on weekends and weekdays.

Supply: The following figure illustrates the supply change in the market from 2017 to 2024, with a forecast through the first quarter of 2027.



Higher borrowing costs, the steep rise in material prices, and labor shortages in the construction industry have been the main reasons for the slowdown in construction starts in most markets. However, the New York City market has defied national trends. New York has one of the largest development pipelines in the country, with 8,211 rooms under construction across the five boroughs. This represents a 6.0% increase in supply compared to the existing 136,000 rooms, which is significantly higher than the national growth rate of 2.3% of the country's supply. Nonetheless, after these under-construction rooms are delivered, New York's pipeline is expected to slow down, as fewer than 3,000 rooms are currently in the final planning stage.

Several factors are affecting New York City's pipeline. Over 16,000 rooms have been leased by both governmental and non-governmental entities to accommodate refugees, immigrants, and the unhoused. While some of these hotels may reopen once their contracts expire, others might remain closed permanently. In June 2025, the city of New York signed a $929.1 million contract with the Hotel Association of New York City Foundation to extend the program through June 2026.

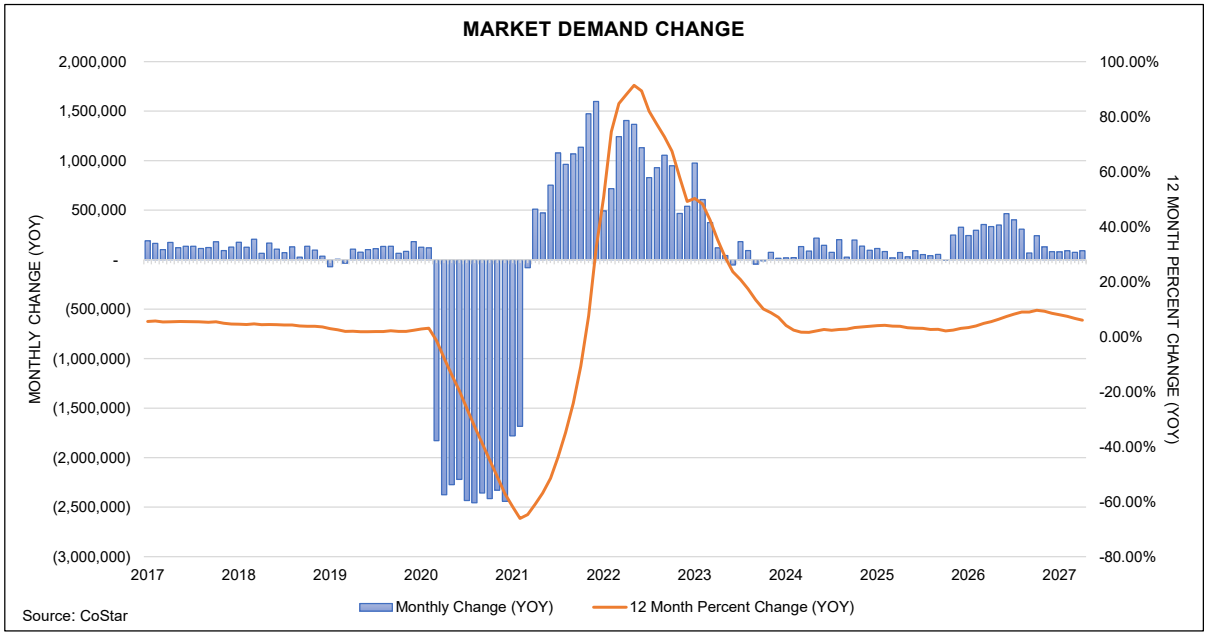
In addition, the enactment of Local Law 18, which enforced strict guidelines on the operation of short-term rental units, has significantly decreased the number of units available in the city through platforms such as Airbnb. The decline in short-term rental supply has benefited hotel performance, especially during high-demand nights.

According to market participants, the 2021 passage of the "Citywide Hotel Special Permit" is also expected to negatively affect ground-up hotel development. The law requires developers to go through the land use process, regardless of current zoning, to build a hotel in any of the five boroughs, which could add between two and four years to the permitting process for a new hotel. As a result, supply growth is expected to be slow over the next few years.

Hotel and casino developers continue to pursue one of three casino licenses expected to be announced by the end of the year. In June 2025, eight formal proposals for casino licenses were submitted to the state's Gaming Commission. As of October 2025, only three developments in the city are still under consideration: Metropolitan Park and Resorts World in Queens, and Bally's in the Bronx. A final decision on the awarding of casino licenses is scheduled for December 2025.

With nearly 2,600 rooms under construction, the Midtown West Times Square submarket has the highest concentration of hotels currently being built, as well as the three largest under-construction hotels in New York. These include the 529-room Kimpton Rockefeller Center, scheduled to open in 2025; the 825-room hotel at The Torch, set to open in 2027; and Atlas Hospitality's 424-room Voco, expected to open in early 2026.

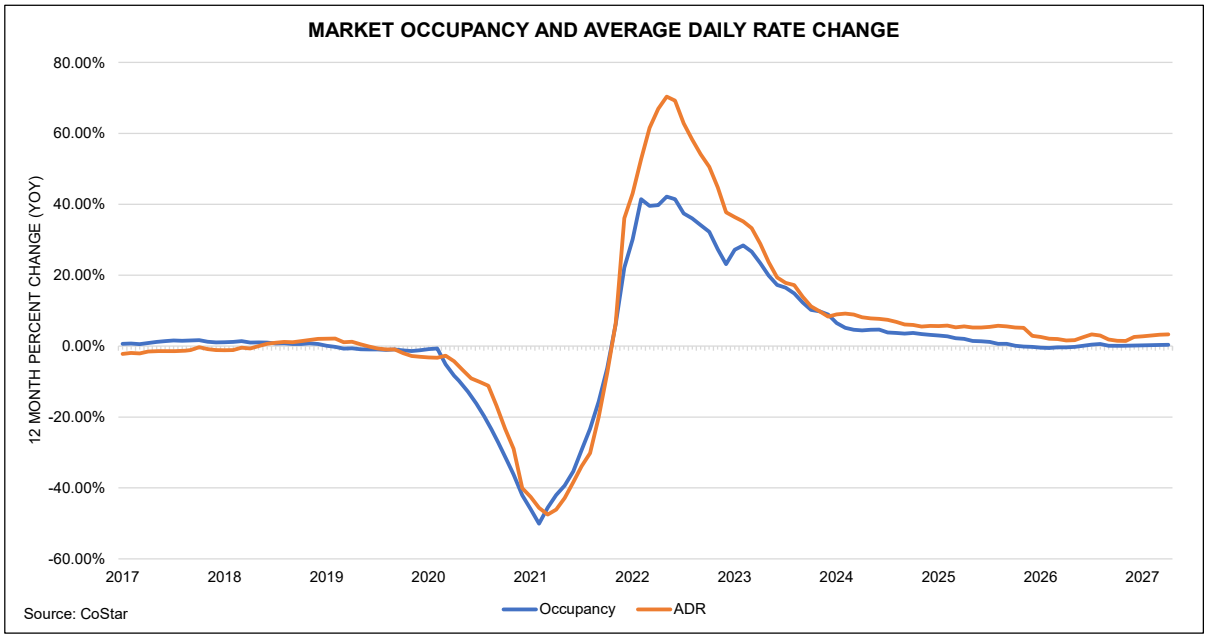
Demand: The following figure illustrates the change in demand from 2017 to 2024, with a forecast through the first quarter of 2027.



Association meetings and corporate groups, along with corporate transient and leisure demand, have remained strong. Year-to-date, weekend demand, which indicates leisure

activity, has grown by 1%. Meanwhile, weekday demand, reflecting business transient and group activity, has stayed steady. By October 2025, market occupancy reached 84.4%, about 3% below the pre-COVID peak of 87%. The market's failure to return to pre-COVID occupancy levels is due to the delivery of over 26,000 rooms in the past decade, which has created supply-side pressure on occupancy.

Performance: The following figure illustrates the occupancy and average daily rate change in the market from 2017 to 2024, with a forecast through the first quarter of 2027.



Throughout the first three quarters of the year, hotel performance in the New York market has demonstrated strong operating fundamentals, with continued robust RevPAR growth. By October 2025, RevPAR increased by 5.3% over the past 12 months, outpacing the U.S., most top-25 markets, and urban markets on the East Coast, such as Boston, Washington, D.C., and Philadelphia. Much of the market's success can be attributed to the ongoing recovery of business and group demand, along with heightened leisure demand. Notably, RevPAR growth was driven more by ADR increases than by occupancy.

Although the New York market has performed well through the first three quarters, the outlook for the coming quarters remains positive, though moderation is expected. RevPAR growth is forecasted to slow to 2.7% through the remainder of 2025. The slowdown in RevPAR is anticipated to be primarily driven by negative trends in hotel performance for submarkets outside of Manhattan, including JFK Jamaica, LaGuardia Queens North, the New York City Area, and East River-Queens Brooklyn West. Conversely, continued gains within the borough of Manhattan are expected to propel the market to positive RevPAR growth through December 2025.

Sales: Although tight debt markets and the high cost of borrowing relative to historical norms have slowed hotel investment volume nationwide, sales have significantly increased in New York City. While $1.3 billion in hotel value was traded through October 2024, sales volume

grew 60% to $2.1 billion by October 2025. The rise in activity has revealed notable trends: hotel trades have remained focused on hotels in the upscale to luxury classes, with a slight shift toward lower-tier properties.

Through October 2024, luxury and upper-upscale hotel transactions made up 70% of total sales volume, while upscale hotels accounted for only 11%. During the same period in 2025, deals involving luxury and upper-upscale hotels represented 57% of total sales, with upper-upscale hotels now comprising 30% of transactions. As of October 2025, this trend is exemplified by Magna Hospitality's purchase of a four-property portfolio, including the 374-room Motto by Hilton New York City Chelsea, the 196-room Hilton Garden Inn New York Times Square North, the 320-room DoubleTree by Hilton New York Times Square, and the 239-room Fairfield by Marriott Inn & Suites New York, for a total of $489.8 million.

Although investor interest in upscale hotels in the market has grown through October 2025, transaction activity continues to be led by demand for luxury and upper-upscale hotels. For example, several notable luxury hotels have traded in recent months. The sale of the 271-room New York EDITION in October 2025 for $235 million, or about $867,000 per key, marks the highest-valued single-asset deal in over a year. California-based Kam San Company bought the luxury hotel from Abu Dhabi Investment Authority. Additionally, the 276-room The Dominick sold for $174 million in October 2025, or roughly $630,000 per key. The luxury condo hotel was acquired by London-based Cain International from CIM Group, with a capitalization rate of 5.5%. Finally, one of the largest deals this year was the sale of the 292-room Kimpton Hotel Eventi. Located in the Chelsea neighborhood of Midtown South, it sold for $174.5 million, or $597,000 per key. The buyer, BRE Hotels & Resorts, a Blackstone portfolio company, purchased the property from DLJ Real Estate Capital Partners in a transaction that closed in May 2025.

Looking ahead, industry participants expect the surge in investment volume at the end of 2025 to persist, fueled by easing credit conditions and expectations of further rate cuts by the Federal Reserve. Deal flow is driven by a combination of local, national, and international players, and these trends are likely to continue in the near future. Local and national investors are expected to remain the main contributors to transaction activity, with strong interest in higher-end properties. Additionally, interest in upscale hotels continues to rise.

NEW YORK HOSPITALITY MARKET CONCLUSION

Through October 2025, RevPAR in the New York City market increased by 5.3% over the past 12 months, significantly outperforming the nationwide growth rate of 0.4%. Similar to most urban markets in the Northeast, RevPAR growth was mainly driven by notable gains in ADR rather than occupancy. ADR rose by 5.2% to $330 over the last 12 months, while occupancy saw a slight increase of 0.1%, reaching 84.1% during the same period.

Hotels in the market continue to perform well, as hoteliers in New York have been able to boost weekend occupancy, which is up 1% compared to the same period last year, reflecting increased leisure demand. Additionally, group RevPAR rose by 4.8% over the past 12 months, driven by a 7.4% increase in ADR, indicating that the pace of conferences, conventions, and meetings is returning to pre-COVID demand levels.

Throughout the rest of 2025, RevPAR growth is expected to slow to 2.7%, with occupancy remaining flat and ADR growth projected to increase modestly by 2.9%. Weaker-than-expected economic growth remains a downside risk to the forecast.

MIDTOWN SOUTH HOSPITALITY SUBMARKET

The Midtown South Submarket is the second-largest in New York City, with over 30,000 rooms, accounting for 22% of the city's room inventory. It stretches from Hudson Yards and the Hudson River on the west to the NYU hospitals and the East River on the east. Due to its proximity to the Javits Center and exposure to more lower-rated groups and convention business, Midtown South typically has the lowest RevPAR of the six Manhattan submarkets. Specifically, RevPAR in Midtown South is about $100 less than the RevPAR of the top-performing area in Manhattan, the Uptown Submarket.

Hotel performance in the submarket is driven by many attractions and amenities that benefit all travel segments, such as banking and corporate headquarters, the 3.3 million square foot Javits Center, Madison Square Garden, the Empire State Building, Hudson Yards, and Koreatown. The submarket also acts as Manhattan's transportation hub, featuring Penn Station, Moynihan Train Hall, and being just two blocks from Grand Central Station and one block from the Port Authority. Due to the concentration of primary demand generators and easy access to these sites, the Midtown South submarket benefits from growth in convention and group demand, as well as a steady influx of leisure travelers.

The following table summarizes the submarket performance:

SUBMARKET OVERVIEW						
Class	Rooms	T12 Occ	T12 ADR	T12 RevPAR	T12 Deliveries	Under Construction
Luxury & Upper Upscale	10,893	83.4%	$387	$323	0	917
Upscale & Upper Midscale	17,643	90.9%	$27	$249	0	220
Midscale & Economy	864	---	---	---	0	0
Total	**29,400**	**87.9%**	**$312**	**$256**	**0**	**1,117**
Average Trend	Current Month	3 Month	YTD	12 Month	Historical Average	Forecast Average
Occupancy	92.8%	90.9%	87.5%	87.9%	78.3%	92.4%
Occupancy Change	-0.1%	0.6%	2.2%	2.5%	8.9%	1.4%
ADR	$396	$359	$299	$312	$272	$340
ADR Change	6.2%	5.9%	4.6%	5.4%	12.1%	2.5%
RevPAR	$367	$326	$262	$274	$213	$314
RevPAR Change	6.1%	6.6%	6.9%	8.0%	22.1%	3.9%
Source: STR						

Over the past 10 years, an average of 3,100 rooms were under construction annually, but most of the deliveries, approximately 9,000 rooms, occurred in the submarket during the pre-COVID period. In the last 3 years, new construction averaged about 1,000 rooms per year, with just over 1,000 new deliveries since 2019. Higher borrowing costs, a sharp rise in material prices, and labor shortages in the construction industry have been the primary reasons for the slowdown in new construction starts. Nonetheless, hoteliers in the submarket have benefited from limited deliveries in recent years, which have led to exceptionally high operating metrics that are comparable to or exceed pre-COVID levels.

The Midtown South Submarket's hotel pipeline remains active, but the pace of new development has slowed through 2025. As of September 2025, no new rooms have been added to the submarket, and none are scheduled to open before year's end. Four hotels with a total of 1,292 rooms are under construction, accounting for 3.7% of the current

inventory. Most of this under-construction stock is in the upper upscale and luxury segments. Notable properties that have broken ground include the 379-room New York City Manhattan Midtown, Tribute Portfolio; the 365-room Canopy by Hilton Midtown; and the 173-room Xadia Hotel. The Xadia Hotel is particularly notable for its unique cantilevered design. When it opens in early 2026, it will be the first luxury hotel to debut in the market since Virgin Hotels New York City, with 460 rooms, opened in February 2023. Additionally, the 197-room Gramercy Park Hotel, a luxury property that has been closed for renovation since the onset of the pandemic, is scheduled to reopen later this year.

Comments about future hotel casinos continue to make headlines as developers pursue one of three casino licenses expected to be announced by year's end. However, two proposed mixed-use casino projects, Freedom Plaza and The Avenir, in the Midtown Submarket, were rejected. As of September 2025, Manhattan is no longer in the running for a casino.

The Midtown South Submarket continues to benefit from strong group demand and ongoing increases in return-to-office mandates. RevPAR performance was driven by a 5.4% increase in ADR, while occupancy also increased significantly by 2.5% due to robust demand. As of October 2025, occupancy stands at approximately 87.9%, about 1% below its pre-COVID peak. Additionally, 12-month demand has surpassed the pre-COVID peak of 8.8 million room nights by roughly 500,000 room nights.

Because of the Javits Center in Midtown South, this submarket is heavily affected by large groups and conventions, leading to congestion during major events. As a result, it has the highest occupancy in Manhattan and the surrounding Metro area. Conversely, at $310 through October 2025, it has the lowest ADR out of the six Manhattan submarkets. Group room rates are typically negotiated at a discount relative to transient rates, thereby lowering the ADR in this submarket.

Similar to the trend seen across the New York market, the strong performance of luxury class hotels continues to be a key driver of the submarket's growth. Through October 2025, RevPAR growth in Midtown South's luxury segment was 12.8%, while RevPAR growth in the non-luxury hotel categories was 7%. According to market participants, although group demand remains a primary driver in the submarket, luxury hotels have benefited from higher overall demand, enabling them to offer high-priced, negotiated corporate rates from a position of strength.

Corporate travelers are a primary demand driver in this submarket. The Penn Plaza Garment office submarket, which partially includes the hotel submarket, accounts for a significant share of total room demand. Through October 2025, weekday demand increased by 2.2% compared to the same period last year, showing the continued return of business transient demand to the area. According to placer.ai's office index, New York City offices are now seeing more foot traffic than before the COVID-19 pandemic. For example, NYC office visits rose by 1.3% compared to July 2019, marking the first time since the pandemic that the city has surpassed its pre-COVID office attendance levels. This trend sets New York City apart, as most urban markets have yet to regain their pre-pandemic office attendance figures.

Tight debt markets and the high cost of borrowing compared to historical norms have led to a slower hotel investment volume nationwide. However, this has not been the case in the Midtown South Submarket, where sales activity has increased after a sluggish trend in 2024.

Total sales volume over the past 12 months reached $527 million, which is 15% above the three-year average of $353 million. Additionally, through October 2025, $452.8 million in sales have been transacted, more than three times the $96 million traded during the same period last year.

While deals through August 2024 were limited in the Midtown South submarket, the few trades that occurred reflected strong investor interest in independent hotels. By October 2025, investor focus had shifted from independent to branded hotels. For example, while independent hotel trades made up 50% of sales volume through August 2024, non-branded hotels accounted for 17% of sales through October 2025. The purchase of the leasehold for a two-property portfolio, including the 320-room DoubleTree by Hilton New York Times Square and the 239-room Fairfield Inn & Suites New York Midtown, underscores this trend.

Additionally, deal flow through August 2024 was evenly driven by local, foreign, and national investors, but the dominance of local players became a new trend through October 2025. Up to August 2024, local investors made up one-third of acquisitions. However, their presence doubled in 2025, reaching 66%. Homegrown investors are focusing on assets and submarkets where they have operational expertise and perceive a market advantage. For example, the sale of the 292-room Kimpton Hotel Eventi for $174.5 million, or about $597,000 per room, illustrates this trend. In a press release, the buyer, BRE Hotels & Resorts, a Blackstone portfolio company, cited New York City's growth in travel and increased hotel demand as key factors.

The only independent hotel transaction this year is the Fifth Avenue Hotel, which sold for $76.4 million, or $1 million per key. The sale involved a 66.8% equity stake in the 110-key hotel through Empire Management's partial transfer of ownership. The hotel, inspired by the Gilded Age, is located in a landmark building, the Second National Bank Building. This historic structure, formerly known as the Mansion and dating back to 1907, was renovated at an estimated cost of around $360 million.

Through October 2025, Midtown South has performed well, with its RevPAR growth of 8.0% over the past 12 months surpassing that of the overall New York market. Much of the submarket's success can be attributed to the ongoing recovery of group and business demand, which pushed the submarket's RevPAR to $269. Looking ahead, RevPAR growth is projected to slow to 6.7% for the rest of 2025. However, RevPAR growth in Midtown South is expected to greatly outpace the overall New York City market, which is forecasted to slow to 1.8%. Industry participants anticipate that investment volume will increase in the final months of 2025 due to easing credit conditions and hopes of further rate cuts by the Federal Reserve. Still, the deal flow remains driven by local players with in-depth knowledge of targeted assets in established submarkets. These localized asset-picking strategies are unlikely to be abandoned or overtaken soon.

COMPETITIVE HOTELS

The most common measurement of supply in the lodging industry is the number of available guestrooms. This set was chosen on the basis of location, product type, and accommodated demand. The following table summarizes the competitive set.

SUMMARY OF COMPETITIVE HOTEL PROPERTIES

No.	Property	Total Rooms	Year Built	Meeting Space (SF)	Market Segmentation Corporate	Group	Leisure	YTD October 2025 Occupancy	ADR	RevPAR
1	Ace Hotel New York 20 West 29th Street New York, New York	286	1904	4,000	35%	25%	40%	85 - 90%	$295 - $300	$255 - $260
2	Hilton New York Fashion District 152 West 26th Street New York, New York	280	2010	1,140	45%	20%	35%	85 - 90%	$295 - $300	$255 - $260
3	Courtyard New York Manhattan Chelsea 135 West 30th Street New York, New York	273	2013	397	40%	15%	45%	85 - 90%	$295 - $300	$255 - $260
4	Arlo NoMad 11 East 31st Street New York, New York	249	2016	1,800	30%	20%	50%	80 - 85%	$290 - $295	$240 - $245
5	Innside by Melia NoMad 132 West 27th Street New York, New York	313	2016	1,689	30%	20%	50%	85 - 90%	$295 - $300	$260 - $265
Subject	Moxy NYC Chelsea 105 West 28th Street New York, NY	350	2019	1,510	25%	7%	68%	94.2%	$337.43	$317.86

Source: Independent market research performed by Capright

A map, photographs, and property specifics for each competitive hotel are included in the Addenda of this report.

SUBJECT PROPERTY'S MARKET POSITIONING

The Moxy brand is a Marriott lifestyle brand in the upper midscale segment. STR classifies the MOXY brand as upper midscale select service. These classifications are based on the brand standards and the average daily rate of hotels operated under the brand nationwide. The subject property was developed to a higher standard and is considered an upper upscale property for this analysis. Additionally, at the subject property, a significant percentage of revenue comes from food and beverage operations. The number of outlets at the hotel, as well as the revenue they generate, is unusual for a select service hotel. It is more typical of an upscale boutique hotel. As a result, the hotel is considered a full-service hotel for this analysis.

STR REPORT

We considered the STR Report for the subject property and the competitive set as a check of our internal market research. The following table presents data for the competitive set and illustrates the overall market performance. The subject property is not included in the data.

STR COMPETITIVE PROPERTIES HISTORICAL PERFORMANCE

Year	Market Occupancy	Percent Change	Average Daily Rate	Percent Change	RevPAR	Percent Change
2021	53.2%	---	$ 197.43	---	$ 104.97	---
2022	70.2%	32.0%	$ 284.11	43.9%	$ 199.44	90.0%
2023	80.5%	14.7%	$ 282.20	-0.7%	$ 227.20	13.9%
2024	82.8%	2.9%	$ 287.69	1.9%	$ 238.33	4.9%
CAGR	11.69%		9.87%		22.75%	
YTD October 2023	79.7%	--	$ 270.60	---	$ 215.74	---
YTD October 2024	81.8%	2.7%	$ 274.27	1.4%	$ 224.48	4.1%
YTD October 2025	86.4%	5.5%	$ 285.75	4.2%	$ 246.76	9.9%
CAGR	2.73%		1.83%		4.58%	
TTM October 2023	79.4%	---	$ 280.54	---	$ 222.69	---
TTM October 2024	82.3%	3.6%	$ 284.99	1.6%	$ 234.48	5.3%
TTM October 2025	86.6%	5.3%	$ 296.65	4.1%	$ 256.89	9.6%
CAGR	2.94%		1.88%		4.88%	

Source: STR

While it is widely utilized, it is important to note some of its limitations. Specifically, hotels are occasionally dropped in and out of the sample, and not all hotels report data in a consistent and timely matter. As a result, the data set is sometimes skewed upwards or downwards depending on the particular market and the overall quality of the data is negatively impacted. For this reason, there may be slight differences between our market research and the data collected by STR.

ADDITIONS TO SUPPLY

Hotel projects under development were researched through discussions with local hotel managers and planning officials. Additionally, STR data was considered. Hotels that have broken ground were included along with projects in planning that have zoning approvals and

financing in place. As discussed in the Market Analysis section of this report, 1,117 rooms are under construction in the submarket.

Among these properties, the NYC Manhattan Midtown Hotel, a Tribute Portfolio hotel, is likely to compete with other hotels in its competitive set. Located at the corner of 37th Street and 11th Avenue, the hotel entrance is directly across from Javits Center. The 52-story building will feature 379 guestrooms. Hotel amenities will include a full-service restaurant, a speakeasy-style bar and lounge, meeting rooms, a fitness center, a golf simulator, and an activity room. Standing at 52 stories with two below-grade levels, the building rises 608 feet above street level and will be a prominent part of the New York City skyline. The Tribute Portfolio brand comprises boutique hotels with unique personalities, united by character and positioned at the upper end of the market. This hotel will likely compete with the hotels in the competitive set for both group and transient demand generated by the Javits Center. It has been entered into the competitive set as 30% complete.

The Canopy by Hilton New York Midtown, located at 255 West 34th Street, is a long-delayed development on the southern edge of the Garment District. It overlooks Moynihan Train Hall and is near Penn Station, directly across from Madison Square Garden. Reportedly, the hotel will feature 365 rooms. The plan includes approximately 15,000 square feet of retail space at the base of the building, along with meeting areas and food and beverage outlets on the lower floors. Guest rooms will begin at about the fourth floor, with a fitness level and terraces. The architect of record is Stonehill Taylor, a New York-based hospitality specialist whose portfolio includes MOXY Times Square and the Hilton New York Midtown. Hilton's Canopy brand focuses on locally inspired, design-driven lifestyle hotels positioned above standard select-service hotels. Considering the amenities planned and the brand affiliation, this hotel will compete with others in its market for leisure demand and has been included in the competitive set at 50% competitiveness upon completion.

The additions to supply are summarized in the following table:

ADDITIONS TO SUPPLY

Name	YOC	Opening Date	No. Rooms	Percent Competitive	Additional Competitive Rooms
NYC Manhattan Midtown Hotel (Tribute Portfolio)	2026	5/31	379	30%	114
Canopy by Hilton New York Midtown	2027	1/31	365	50%	183
Total Additional Rooms					296
Total Annualized Additional Room Night Inventory					108,113

Source: STR

DEMAND SEGMENTATION

Room night demand varies based on the nature of travel. Lodging demand is generated from three different segments: corporate, group/meeting and leisure travelers.

Commercial Demand: Corporate travelers are another critical demand driver in this submarket. Tenants are choosing to renew their leases in smaller but higher-end properties, and this trend, together with more forceful return-to-office mandates, should support midweek occupancy. The Manhattan West development was completed in 2024, and development at Hudson Yards is ongoing. The businesses moving into these developments should help increase corporate room night demand in the coming years.

Meeting and Group Demand: Meeting and group demand is driven by events at local businesses, associations, and social, military, educational, religious, and fraternal (SMERF) organizations. In the local market area, much of the group demand comes from conventions at the Jacob K. Javits Convention Center and the associated events surrounding these meetings. Madison Square Garden also generates group room nights. Colleges and universities in the area, especially the Fashion Institute of Technology and New York University, host conferences and events that attract groups. Due to the retail venues, art galleries, and proximity to Broadway and the Meatpacking District, the area attracts wedding parties and other social groups. Group demand in the local market was strong in 2025 and is expected to remain strong in the coming years.

Leisure Demand: As the country's largest city, New York offers a wide range of cultural and recreational activities. Leisure demand continues to grow, but at a slower pace than in recent years. Across the U.S., inflation and economic uncertainty are impacting consumer confidence. At the same time, international travel to the city remains below 2019 levels.

Latent Demand: In addition to the basic demand growth driven by economic trends in the local and national markets, we also examined the potential for demand growth from sources of previously unmet demand. Latent demand refers to potential room nights in the marketplace that current hotels cannot accommodate and exists in two forms: induced demand and displaced demand. For this analysis, induced demand has been excluded since no new demand generators are planned. Given the overall occupancy rate in the market, displaced demand does not seem to be present.

Seasonality: In the local market area, demand is lowest from mid-November through February because inclement weather and cold temperatures make New York City a less attractive travel destination. June through September are the peak demand months. The spring months of March, April, and May, along with October through mid-November, are shoulder periods in the market.

DEMAND GROWTH CONCLUSIONS

STR projects occupancy changes of 4.9% in 2025, 11.3% in 2026, 6.1% in 2027, 1.2% in 2028, and 0.6% in 2029 in the Midtown South Hospitality submarket. Given the extensive data collected by STR and their expertise in forecasting hotel demand, we have relied on these projections in our analysis. Subsequently, demand is expected to grow at an average rate of 2.0% annually. The overall demand growth forecast for the subject's market is illustrated as follows:

PROJECTED MARKET ROOM NIGHT DEMAND AND OCCUPANCY

Year		Year 1	Year 2	Year 3	Year 4	Year 5
Historic Room Night Demand	562,883					
Estimated Demand Growth		4.9%	11.3%	6.1%	1.2%	0.6%
Forecast Total Room Night Demand		590,464	657,187	697,275	705,642	709,876
Existing Rooms Supply		638,750	638,750	638,750	638,750	638,750
Proposed Rooms Supply		24,332	41,668	108,113	108,113	108,113
Forecast Total Rooms Supply		663,082	680,418	746,863	746,863	746,863
Forecast Market Occupancy		**89%**	**97%**	**93%**	**94%**	**95%**

FORECAST OF OCCUPANCY AND AVERAGE DAILY RATE

To project the future occupancy levels of the subject, the expected demand that the hotel can reasonably capture is estimated. The extent to which the hotel can capture demand was

assessed through a fair share penetration analysis. A hotel's fair share is defined as the number of available rooms divided by the total supply of available rooms in the competitive market, including the subject. If the hotel has a competitive advantage, it may achieve market penetration exceeding 100% of its fair share, while competitive disadvantages are reflected in penetration below 100%.

Penetration: Market penetration, or penetration rate, is the ratio of captured demand to the fair share of demand. Actual penetration by the subject property may differ from its fair market share due to factors such as age, location, amenities offered, product pricing, chain affiliation, quality of management, marketing efforts, and image. The current market penetration rates of the competitive hotels and the subject are illustrated as follows:

COMPETITIVE SET OCCUPANCY AND PENETRATION				
Property	Rooms	Occupancy Penetration	Fair Share	Market Share
Subject Property	**350**	**107%**	**17%**	**18%**
Ace Hotel New York	286	99%	14%	14%
Hilton New York Fashion District	280	100%	14%	14%
Courtyard New York Manhattan Chelsea	273	99%	13%	13%
Arlo NoMad	249	94%	12%	11%
Innside by Melia NoMad	313	99%	15%	15%
Additions to Supply	296	100%	14%	14%
Total/Average	**2,047**		**100%**	**100%**

Historically, the subject property has achieved an above average occupancy penetration, at 107%.

Occupancy Projection: The overall accommodated room night demand is multiplied by the subject's fair share and by the projected penetration ratio to derive the subject's accommodated room night demand. The following figure illustrates the capture room night demand at the subject property.

OCCUPANCY FORECAST					
Year	Year 1	Year 2	Year 3	Year 4	Year 5
Total Market Room Night Demand	590,464	657,187	697,275	705,642	709,876
Subject Property's Penetration Rate	107%	107%	107%	107%	107%
Subject Property's Market Share	18%	18%	18%	18%	18%
Subject Property's Capture	108,015	120,221	120,221	120,221	120,221
Subject Property's Potential Occupancy	85%	94%	94%	94%	94%
Year	Year 6	Year 7	Year 8	Year 9	Year 10
Total Market Room Night Demand	724,074	738,555	753,326	768,393	783,761
Subject Property's Penetration Rate	107%	107%	107%	107%	107%
Subject Property's Market Share	18%	18%	18%	18%	18%
Subject Property's Capture	120,221	120,221	120,221	120,221	120,221
Subject Property's Potential Occupancy	94%	94%	94%	94%	94%

The historic occupancy penetration rate was utilized to project occupancy through the forecast period.

Average Daily Rate Projection: Average daily rate per occupied room (ADR) is calculated by dividing the total rooms revenue for a period by the number of rooms sold during that period. Although the ADR analysis follows the occupancy projection, occupancy and ADR

are highly correlated. Occupancy cannot be projected without specific assumptions regarding rate. This relationship is best illustrated by revenue per available room (RevPAR), which reflects the property's ability to maximize rooms revenue. The following table summarizes the ADR, RevPAR results and calculated penetration levels for competitive hotels and the subject.

COMPETITIVE SET ADR AND REVPAR PENETRATION				
Property	ADR	ADR Penetration	RevPAR	RevPAR Penetration
Subject Property	**$337**	**110%**	**$318**	**118%**
Ace Hotel New York	$295 - $300	98%	$255 - $260	96%
Hilton New York Fashion District	$295 - $300	97%	$255 - $260	96%
Courtyard New York Manhattan Chelsea	$295 - $300	98%	$255 - $260	96%
Arlo NoMad	$290 - $295	96%	$240 - $245	91%
Innside by Melia NoMad	$295 - $300	98%	$260 - $265	97%
Total/Average	**$305**	**100%**	**$269**	**100%**

Historically, the subject property has had an above average rate penetration of 110%.

STR is projecting an average daily rate change of 4.9% in 2025, 3.8% in 2026, 1.6% in 2027, 2.1% in 2028, and 3.3% in 2029 in the Midtown South Hospitality submarket. Given the amount of data collected by STR and their experience forecasting hotel performance, we have relied on these projections in our analysis. Subsequently, the average daily rate is projected to increase at the underlying rate of inflation of 3.0 % throughout the projection period. The following table illustrates the base-year average daily rate and the growth rates that are applied to each rate through the projection period.

ADR FORECAST					
Year	Year 1	Year 2	Year 3	Year 4	Year 5
Market ADR Rate Growth	4.9%	3.8%	1.6%	2.1%	3.3%
Market ADR	$320.34	$332.51	$337.83	$344.92	$356.31
Subject Property's Penetration Rate	110%	110%	110%	110%	110%
ADR Forecast	$352.37	$365.76	$371.61	$379.42	$391.94
Year	Year 6	Year 7	Year 8	Year 9	Year 10
Market ADR Rate Growth	3.0%	3.0%	3.0%	3.0%	3.0%
Market ADR	$366.99	$378.00	$389.34	$401.02	$413.06
Subject Property's Penetration Rate	110%	110%	110%	110%	110%
ADR Forecast	$403.69	$415.80	$428.28	$441.13	$454.36

CONCLUSION

The subject's occupancy, ADR, RevPAR, and corresponding room revenue for the first several years of our projection analysis are illustrated as follows:

SUBJECT PROPERTY ROOMS REVENUE FORECAST					
Year	Year 1	Year 2	Year 3	Year 4	Year 5
Available Room Nights	127,750	127,750	127,750	127,750	127,750
Accomodated Demand	108,015	120,221	120,221	120,221	120,221
Occupancy	85%	94%	94%	94%	94%
ADR	$352.37	$365.76	$371.61	$379.42	$391.94
RevPAR	$297.94	$344.20	$349.71	$357.05	$368.84
Rooms Revenue	$38,061,230	$43,971,911	$44,675,461	$45,613,646	$47,118,896
Year	Year 6	Year 7	Year 8	Year 9	Year 10
Available Room Nights	127,750	127,750	127,750	127,750	127,750
Accomodated Demand	120,221	120,221	120,221	120,221	120,221
Occupancy	94%	94%	94%	94%	94%
ADR	$403.69	$415.80	$428.28	$441.13	$454.36
RevPAR	$379.90	$391.30	$403.04	$415.13	$427.58
Rooms Revenue	$48,532,463	$49,988,437	$51,488,090	$53,032,733	$54,623,715

The subject's projection of rooms revenue is illustrated again in the Income Capitalization Approach section of this report.

BASIC REAL ESTATE TAX INFORMATION

The subject properties are located in the borough of Manhattan, New York County, New York New York. The New York City Department of Finance levies real estate taxes for real property in the city. Real estate taxes in New York City are paid in semi-annual installments, in July and January. The tax year begins July 1st and ends June 30th. The subject property is classified as Class 4 Commercial Property.

The Market Value of commercial properties is recalculated every year. The Assessed Value is determined by multiplying the Market Value by the Assessment Ratio, which is 45 % for Class 4 properties. New York state law requires that year-over-year increases to a property's Assessed Value be phased-in over a five-year period. This means that 20 % of a year-over-year increase in the assessment is applied in the current year and the four following years. This phase-in process results in the Transitional Assessed Value and real estate taxes are calculated by applying the tax rate to the lower of the Assessed Value or the Transitional value.

The following table shows the historical assessments, tax rates and real estate taxes for the subject property.

SUMMARY OF REAL ESTATE TAXES

Property Identification Number: Borough: Manhattan, Block: 804 Lot: 32

Tax Year/Payable	2025/26	2024/25	2023/24
Land Value	$3,600,000	$3,600,000	$3,600,000
Improvement Value	$74,453,000	$50,417,000	$47,126,000
Total Assessed Value	$78,053,000	$54,017,000	$50,726,000
Taxable Value	$24,798,510	$23,742,360	$22,826,700
Local Tax Rate	10.8480	10.7620	10.5920
Real Estate Taxes	**$2,690,142**	**$2,555,153**	**$2,417,804**
Real Estate Taxes / Room	**$7,686**	**$7,300**	**$6,908**

Source: New York City Department of Finance

To determine the reasonableness of the current taxes on the subject property data on the following of comparable hotels in the market area was considered.

REAL ESTATE TAX COMPARABLES

Property	Rooms	Year Built	2025/26 Assessed Value	Assessed Value Per Room	Real Estate Tax	Real Estate Tax Per Room
Arlo NoMad Hotel	249	2016	$16,678,810	$66,983	$1,809,317	$7,266
Ace Hotel New York	286	2009	$29,153,070	$101,934	$3,162,525	$11,058
Hilton New York Fashion District	280	2010	$22,864,720	$81,660	$2,480,365	$8,858
Courtyard New York Manhattan Chelsea	273	2013	$20,320,740	$74,435	$2,204,394	$8,075
Subject Property	350	2019	$24,798,510	$70,853	$2,690,142	$7,686

Source: New York City Department of Finance

The tax comparables illustrate a range of real property assessed value of $66,963 to $101,934 per room, which generally supports the assessment for the subject property of $70,853 per room.

According to the New York Department of Finance's website, there are no delinquent taxes on the subject property.

As illustrated in the following map, the subject property is located within the M1-6 Manufacturing District and the C6-4X Commercial district.



The underlying zoning requirements pertaining to the property are summarized in the following table.

ZONING SUMMARY	
Current Zoning Classification:	M1-6, Manufacturing District and C6-4X Commercial District
Special District:	Allows for tower above a base building
Zoning Description:	High-Bulk Commercial Use
Hotels Permitted:	Yes
Legally Conforming:	Yes
Zoning Change Likely:	No
Permitted FAR:	FAR Factor: 10; 112,355.08 square feet allocated available
Property FAR:	112,117.7 Square Feet
Permitted Sign Regulations:	Five times street frontage (500 SF total)
Parking Requirement:	None
Source: New York City Department of City Planning	

The subject property appears to be a legal, conforming use.

RESTRICTIVE COVENANTS AND CONDITIONS

We did not receive a title policy in conjunction with this assignment. Accordingly, we assume there are no restrictive covenants that would adversely impact the marketability or value of the subject property.

Location: The subject is situated on the north side of West 28th Street, between 6th Avenue and 7th Avenue. The address is 105 West 28th Street, New York, New York 10001

Site Area/Dimensions: The subject site shape is rectangular (64' x 296') and encompasses a total land area of 6,534 square feet or 0.15 acres.

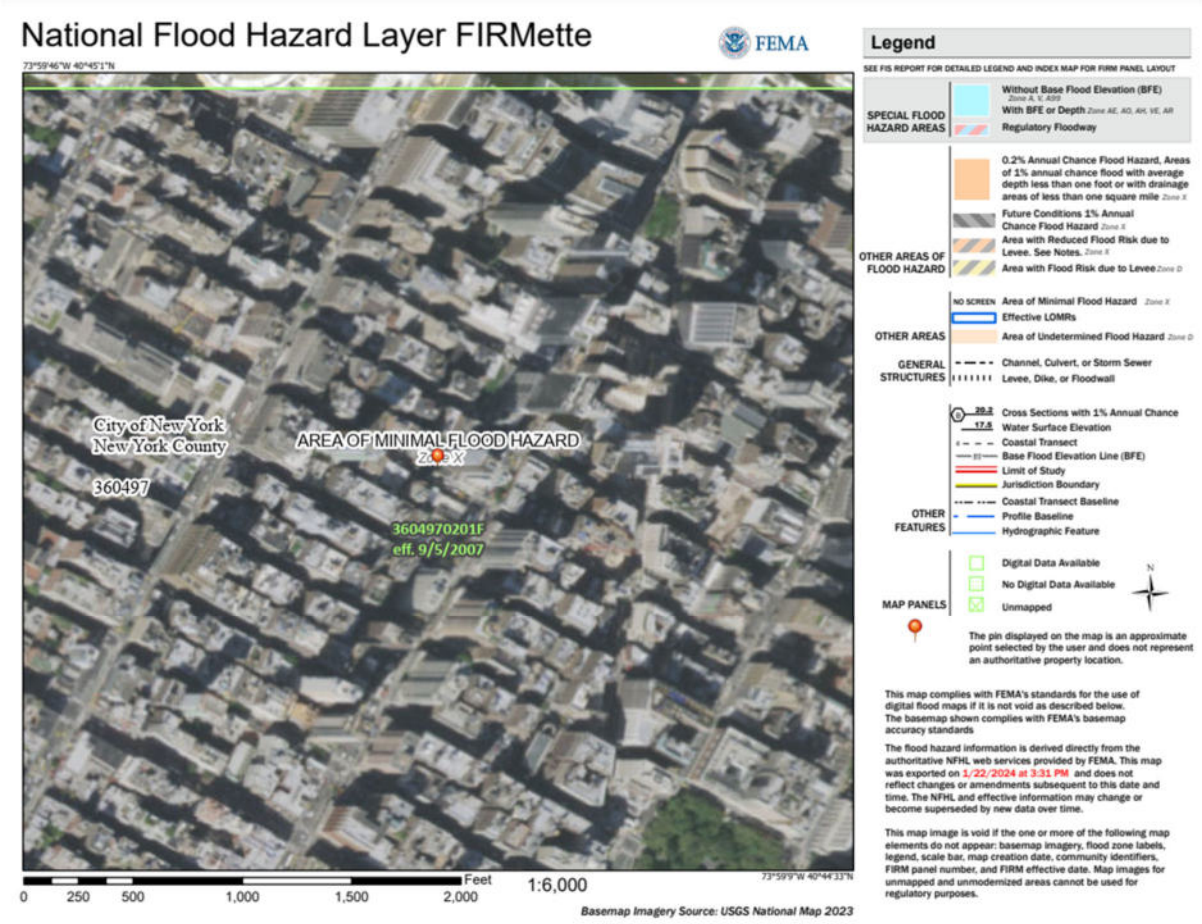
Topography/Drainage: The site is generally level and at grade with surrounding streets and development. There were no apparent drainage problems at the time of our inspection.

Accessibility/Visibility: Vehicular and pedestrian access is available via 28th Street. In the vicinity of the subject property, 28th Street is an asphalt paved one lane eastbound roadway. The street is improved with concrete curbs and sidewalks, as well as street lighting.

Soil Conditions: We were not provided with a soil report in conjunction with this assignment. At the time of our inspection, we did not notice any signs of settlement. However, Capright is not qualified to determine the suitability of soil conditions at the subject site. Therefore, this appraisal specifically assumes that soil conditions are adequate to support any building improvements that would reflect the highest and best use of the property.

Easements/Encroachments: We were not provided with a title report in conjunction with this assignment. This appraisal specifically assumes that the subject property is not encumbered by any easements or encroachments that would materially impact its marketability or value.

Utilities: All municipal utilities are available and connected to the subject site.



Flood Hazard:

According to maps published by the Federal Emergency Management Agency (FEMA), the subject lies within Zone X as indicated on FEMA Community Map Panel No. 3604970201F, effective on 9/5/2007. FEMA defines Zone X as follows: "This area has been identified in the community flood insurance study as an area of moderate or minimal hazard from the principal source of flood in the area. However, buildings in this zone could be flooded by severe, concentrated rainfall coupled with inadequate local drainage systems. Local stormwater drainage systems are not normally considered in the community's Flood Insurance Study. The failure of a local drainage system creates areas of high flood risk within this rate zone. Flood insurance is available in participating communities but is not required by regulation in this zone." [4]

[4] *Answers to Questions About the National Flood Insurance Program*, Federal Emergency Management Agency publication FIA-2, © 2011.

Environmental Issues: We were not provided with an environmental site assessment. There were no readily apparent signs of environmental contamination at the time of our inspection. It is noted, however, that Capright is not a qualified environmental expert. Accordingly, this appraisal specifically assumes that there is no environmental contamination at the subject property that would materially impact its marketability or value.

Development Limitations: The site's size, shape, and topography are adequate to support numerous types of development.

The following description of improvements is based on information provided by representatives of property ownership, third-party information, our knowledge of construction techniques, and our visual inspection of the subject property.

Basic Information:

Property Type:	Full Service Hotel
Number of Buildings:	1
Number of Stories:	35
Gross Building Area:	145,344
Number of Rooms:	350
Year Built:	2019
Year Renovated:	N/A
Land-to-Building Ratio:	0.04 to 1
Parking:	Valet parking is available for guests.
Landscaping:	None

Construction Features:

Construction Type:	Class B[5],Full-Service Hotel
Foundation:	Concrete
Structural System:	Steel frame
Floor Construction:	Reinforced concrete
Exterior Walls:	Reinforced concrete
Windows:	Insulated glass
Roof:	Concrete deck with a rubber membrane cover

Mechanical Equipment:

Heating/Ventilation/AC:	HVAC is provided to the public areas via a central system. PTAC units service the guestrooms.
Electrical Service:	Adequate for current operations
Plumbing:	Adequate for current operations
Elevators:	There are four passenger elevators and one service elevator in the building.
Fire Protection:	The hotel has a wet fire sprinkler system. This appraisal specifically assumes that the subject property has adequate fire alarm systems, fire exits, fire extinguishers, and/or other protection measures to meet local Fire Marshall requirements.

Design and Layout: Guests enter the hotel off of 28th Street into a vestibule that leads to a ground floor reception area. The Café D'Avignon is situated to the east of the reception area. The lobby, the lobby bar, the meeting space, the Conservatory and the Pizza and Bocce space are located on the second level. Guestrooms are distributed from the third to the 33rd level. The 35th floor provides a sound barrier between the guestrooms and the Fleur situated on the 25th floor. The fitness center and the business center are on the first basement level, along

[5] Per *Marshall Valuation Service*, the primary characteristic of Class B buildings is the reinforced concrete frame in which the columns and beams can be either formed or pre-cast concrete. They may be mechanically stressed. It is a fire-resistant structure.

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with a receiving area. The executive office, employee areas and housekeeping department are on the second below grade level.

Guestrooms: The following table summarizes the guestroom distribution in the building.

GUESTROOM DISTRIBUTION	
King	232
Double	81
Executive King	29
Bunk	8
Total	350
Compiled by Capright	

The king bedded guestrooms are furnished with a king bed, two end tables, a folding chair and a bed tray. The double bedded guestrooms have two double beds, two end tables, a folding table and a folding chair. Guestroom amenities include a 43" flat screen HDTV with free access to streaming apps, an open pegboard closet, a personal safe, a garment steamer and a hair dryer. The guestroom bathrooms include a separate commode area and a separate show area. A ceramic sink is located in the living space. At the time of our site inspection, the guestrooms were in good condition.

Food& Beverage Outlets: There are four food and beverage outlets at the hotel. In-room dining is also available. The following table illustrates the seat count at each venue:

RESTAURANT AND LOUNGE FACILITIES		
Name	Seating Capacity	Type
Café D'Avignon	124	Café and Bakery
The Backyard	21	Lounge
The Lobby Bar & Secret Garden	110	Bar and Lounge
The Fleur Room	125	Rooftop Bar
Total Seats	380	
Compiled by Capright		

At the time of our site inspection, the restaurant venues were in good condition.

Meeting Space: The hotel has second-floor meeting studios and the Mondo suite. There are also public spaces on-site that can be booked for meetings and events. The following table illustrates the meeting space in the building.

MEETING SPACE	
Name	Square Footage
Second Floor Meeting Studios	380
Mondo Suite	750
Total	1,130
Compiled by Capright	

At the time of our site inspection, the meeting space at the hotel was in good condition.

Amenities: Additional amenities include a business center and a fitness center.

Interior Finish:

Lobby:	The interior finish of the lobby areas includes concrete walls that are painted or trimmed with wood or decorative wall coverings. The floors are concrete, tile, carpet or wood.
Corridors:	The guestroom corridors have carpeted floors, vinyl covered walls and painted ceilings.
Guestrooms:	The guestrooms have wood and tile floors. The walls have painted walls with wood trim and the and the ceilings are painted.
Guestroom Bathrooms:	The floors are ceramic tiled. The showers have ceramic tile surrounds. The ceilings are painted. The sinks have ceramic vanities.
Back of the House:	The subject property has several kitchens and storage areas. In addition, there are administrative offices and an employee area. Overall, these areas appear adequate for the operation of the hotel and meet current brand standards.

ADA Compliance: The Americans with Disabilities Act (ADA) became effective January 26, 1992. We have not made a specific compliance survey and analysis of this property to determine whether it is in conformance with the various detailed requirements of the ADA. Since we are not qualified to determine compliance with the requirements of ADA, the values reported herein do not consider the effect of possible non-compliance issues. Please refer to the specific limiting condition regarding ADA compliance.

Quality/Overall Condition: The hotel is of good quality construction and is comparable to its competitors in the local market. At the time of our site inspection, the hotel was in good condition.

Functional Utility: The subject is a functional full-service hotel. We conclude that the functional utility of the hotel is good.

Economic Age/Life: According to *Marshall Valuation Service*, properties of the subject type have an average economic life of approximately 60 years. Based on our inspection of the subject improvements, we have estimated the effective age of the subject property to be 6 years.

Highest and best use is defined as follows:

> The reasonably probable use of property that results in the highest value. The four criteria that the highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum productivity.[6]

It is recognized that in cases where a site has existing improvements, the concluded highest and best use as if vacant may be different from the highest and best use given the existing improvements (as improved). The existing use will continue, however, until the land value, in its highest and best use, exceeds that total value of the property under its existing use plus the cost of removing or altering the existing structure.

Highest and best use analysis involves analyzing the subject site according to the following four criteria:

- *Physically Possible:* This criterion pertains to physical characteristics impacting the development potential of the site such as size, shape, topography, availability of utilities and soil conditions. The lack or impairment of any of these factors may make certain types of development impossible or impractical.

- *Legally Permissible:* The second criterion relates principally to zoning restrictions. A community's development policies or environmental goals may encourage certain uses and preclude others. Other factors impacting a site's legal permissibility include private restrictions.

- *Financially Feasible:* This criterion measures which of the physically possible and legally permissible uses are likely to be profitable. A full feasibility study on all potential uses is generally beyond the scope of an appraisal. Thus, reliance is placed upon the intent of the zoning, neighboring uses, market supply and demand indications, and evidence of new development.

- *Maximally Productive:* The fourth test is to assess which of the financially feasible uses produces the greatest net return to the land. Once a certain use is considered financially feasible, a determination is made as to the density, quality, and type of project that will be most profitable to construct.

The highest and best use analysis presented in this appraisal is not intended to be an exhaustive analysis of every possible use for the subject. Rather, it is intended to provide sufficient analysis of the most likely and most reasonable alternatives for the subject.

Physically Possible: The subject site contains approximately 0.15 acres. The site is on paved streets and is served by necessary utilities. There are no adverse soil conditions of which we are aware. The shape of the parcel is rectangular, but with no specific development limitations. The topography is generally level, posing no significant development limitations. Thus, from a physical standpoint, the site is considered adequate for many types of development.

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[6] *The Dictionary of Real Estate Appraisal*, Seventh Edition, Chicago, Appraisal Institute ©2022.

Legally Permissible: The second issue concerns legal permissibility, which is closely tied to zoning. The subject has a zoning classification of M1-6 Manufacturing District and the C6-4X Commercial district which allows for large offices, hotels, department stores, entertainment, and large mixed use buildings.

Financially Feasible: The economic and competitive forces prevailing in the local market shape financial feasibility. New York is the largest city in the country. However, office vacancy rates are still elevated as a result of the pandemic and changing work patterns. Currently, there is an oversupply of retail space, particularly larger, department store spaces. Based on our analysis and the economic forces in the local market, we conclude that the financially feasible use of the site as if vacant is for hotel or mixed-use development.

Maximally Productive: Recently, the local hospitality market has gained significant momentum and additional growth, driven by increased average daily rates, is anticipated to continue for the next several years. In this challenging interest rate environment, hotels are offering higher investor returns than many other property types. Considering these factors, the maximally productive use of the subject site as if vacant would be for development of the site with a hotel development.

Highest and Best Use of The Site As If Vacant: The concluded highest and best use of the subject as if vacant is for development of a hotel.

Highest and Best Use of The Site As Improved: The subject property is currently improved with a hotel. The positive net operating income generated by the subject property indicates that the improvements contribute significantly to the value of the land. Given the economic viability of the subject property as improved, there would be no reason to demolish or substantially alter the existing structure. Therefore, it is our opinion that the highest and best use of the subject property, as improved, is for its current use as a hotel.

The appraisal process is defined as an organized procedure by which an asset is valued. There are three traditional approaches to valuing real estate. In practice, an approach to value is included or omitted based on its applicability to the property type being valued and the quality and quantity of information available in the marketplace. These approaches and their significance and applicability to the valuation of the subject are summarized as follows.

The Income Capitalization Approach: involves an analysis of a property in terms of its ability to produce a net annual income. It is concerned with estimating the present worth of future benefits that can be derived through ownership of a property. In utilizing this approach, either stabilized net operating income is capitalized at an overall rate or a projected cash flow stream is discounted in order to arrive at an estimate of value. The selected overall capitalization rates and discount rates are market derived. The Income Capitalization Approach is generally most useful in valuing income-producing properties that would normally be purchased by investors rather than by users. Since the most likely purchaser of the subject property would be an investor, we consider this approach highly relevant.

The Sales Comparison Approach: is based on the assumption that a prudent buyer would not pay more for a property than it would cost to acquire a comparable substitute property. Since no two properties are ever identical, the necessary adjustments for differences in quality, location, size, market appeal, financing, and a number of other factors that affect prices paid for properties must be made. The limitation of this approach is that the motives of the individual purchasers and sellers vary depending on their need for cash, their tax position, their personal preferences, available financing, and a host of other factors that must be taken into consideration. As a result, it is often difficult to obtain sufficient information about a comparable sale to be able to make precise comparisons. Nevertheless, we believe this approach provides important information as it considers market transactions that have recently occurred in the relevant marketplace.

The Cost Approach: is predicated on the principle that an investor would pay no more for an existing property than it would cost to acquire land and construct a building with similar utility. The Cost Approach was not developed due to the difficulty involved with accurately estimating developer profit and accrued depreciation. More important, this approach is not typically used by buyers and sellers in acquisition/disposition analyses, other than as a test of the overall strength of the market (i.e. are properties selling at, above, or below reproduction cost).

Reconciliation: We conclude the valuation process by considering the reliability of the market data used in and the overall applicability of each approach to value. We then decide the appropriate weight that should be given to the value indications derived via each approach and reconcile to a final estimate of value.

METHODOLOGY

In the Income Capitalization Approach value is estimated through an analysis of a property's income producing capabilities. The two most common valuation techniques employed in this approach are discounted cash flow (DCF) and direct capitalization analyses.

The DCF addresses fluctuating income streams that are caused by various lease terms, changes in income and/or expenses, capital improvements, and other factors that cause operating performance to fall above or below market norms. In the DCF analysis, revenues and expenses are projected over a relevant holding that would be considered a reasonable investment horizon for a typical investor. The projected net cash flows over the holding period and the value of the property at reversion are then discounted to present value at a market-derived rate.

Direct capitalization is the method used to convert a single year's estimate of income into a value indication. Within this analysis, no precise allocation between return on and return of capital is made because investor assumptions or forecasts concerning the holding period, pattern of income, or changes in value of the original investment are not developed. Direct capitalization is most appropriate when analyzing a property with a stable income stream or in estimating the property's reversion value at the end of the holding period.

Selection of Methodology: Several factors must be considered in evaluating the appropriateness of using DCF and direct capitalization methodology. When a hotel is operating at a stabilized level, buyers and sellers will utilize the direct capitalization methodology in determining a purchase price, particularly for limited-service hotels. This involves estimating the stabilized annual net operating income and capitalizing this income using a market-derived overall rate. We have relied primarily on DCF methodology as it more accurately accounts for the fluctuation in income during the holding period. In addition, it reflects the changes in occupancy and ADR that could occur in the short term as new competition is added to the subject's market and the country recovers from the business disruption that occurred as a result of the pandemic. We have, however, employed direct capitalization methodology as a means of testing the reasonableness of our DCF value indication.

CASH FLOW ASSUMPTIONS

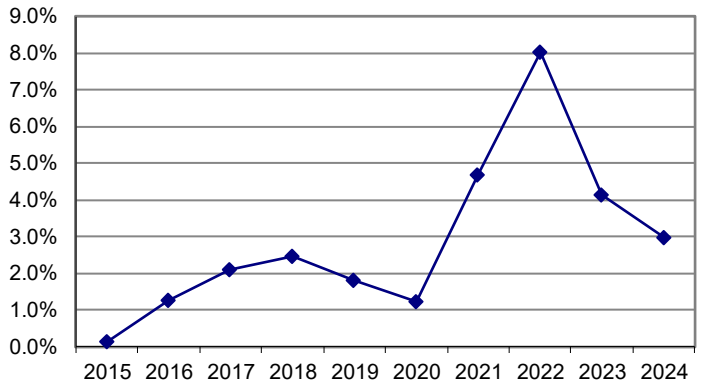
Based upon the methodology and investment considerations already discussed and our first-year revenue and expense projections forecast through the investment period, we have developed the Income Capitalization Approach. The following assumptions are employed in our analysis of the subject property.

Holding Period: To estimate value for the subject property using DCF methodology, we have made a 10-year cash flow projection. Since a typical investor is concerned not only with the return on capital but also with the return of capital, our analysis takes into account the re-sale of the property at the termination of the investment holding period based on the year 11 projected net operating income. We have selected this holding period because it is an investment horizon that a typical purchaser would consider. Our analysis is performed on a fiscal year basis with the pro forma year beginning January 1, 2026.

Expense Growth/General Inflation: Except where otherwise noted, operating expenses, capital items, and other income sources are expected to grow annually at the general inflation rate. In estimating an appropriate general inflation rate for the holding period, we have reviewed annual increases in the US Consumer Price Index over the past 10 years. This information is summarized in the following table.

HISTORICAL INFLATION DATA

Year	Change in CPI
2015	0.1%
2016	1.3%
2017	2.1%
2018	2.5%
2019	1.8%
2020	1.2%
2021	4.7%
2022	8.0%
2023	4.1%
2024	3.0%
Average	**2.9%**



Source: U.S. Bureau of Labor Statistics - CPI Index

From 2015 to 2024, the average annual increase in the CPI over the past 10 years has been 2.9 %. As shown above, average CPI dipped to a low of 0.1 % in 2015, but recently spiked to a high of 8.0 % in 2022, which was the highest level in nearly 40 years. The robust economic recovery that followed the COVID-19 pandemic, combined with significant government spending and low interest rates, fueled a drastic surge in inflation. In response, the Federal Reserve increased the Federal Funds Rate by 75 basis point monthly increments from June through November 2022. The result was a significant increase in the cost of capital and a notable decline in CPI. In 2024, CPI was down to an average of 3.0% for the year.

Respondents in the Third Quarter 2025 *PwC Real Estate Investor Survey* indicated expected average annual expense change rates ranging from 2.0% to 15.0%, with an average of 5.0% in the luxury and upper-upscale lodging segment nationally. Based on the above considerations, as well as conversations with hotel operators, we have estimated the general inflation rate at 3.0% over the duration of our cash flow projections.

Historical Operations: In estimating future revenues and expenses for the subject property, we have considered its available historical operations. We were provided with the 2021 to 2024 income statements, as well as the 2025 budget. In addition, we were supplied with a year-to-date statement for the period ending October 31, for 2024 and 2025. The following tables summarizes the financial data provided to the appraisers.

HISTORICAL YEAR-END OPERATING RESULTS

	Actual				Actual				Actual				Actual				Budget			
Period	2021				2022				2023				2024				2025			
Number of Rooms	350				350				350				350				350			
Rooms Available	127,750				127,750				127,750				128,100				127,750			
Rooms Occupied	82,228				106,229				115,342				121,095				119,786			
Occupancy Rate	64.4%				83.2%				90.3%				94.5%				93.8%			
Average Daily Rate	$206.92				$308.70				$317.10				$322.52				$332.51			
RevPAR	$133.18				$256.69				$286.30				$304.88				$311.78			
	Amount	Ratio	PAR	POR	Amount	Ratio	PAR	POR	Amount	Ratio	PAR	POR	Amount	Ratio	PAR	POR	Amount	Ratio	PAR	POR
DEPARTMENTAL REVENUE																				
Rooms	$17,014,348	80.1%	$48,612	$206.92	$32,792,443	72.8%	$93,693	$308.70	$36,575,094	74.0%	$104,500	$317.10	$39,105,074	79.1%	$111,729	$339.04	$39,899,971	71.1%	$114,000	$333.09
Food & Beverage	$3,317,543	15.6%	$9,479	$40.35	$9,308,003	20.7%	$26,594	$87.62	$9,467,442	19.2%	$27,050	$82.08	$11,550,026	23.4%	$33,000	$100.14	$12,371,647	22.1%	$35,348	$103.28
Other Operated Departments	$901,798	4.2%	$2,577	$10.97	$2,940,987	6.5%	$8,403	$27.69	$3,391,231	6.9%	$9,689	$29.40	$3,530,232	7.1%	$10,086	$30.61	$3,827,336	6.8%	$10,935	$31.95
Other Income	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00
TOTAL REVENUE	$21,233,689	100.0%	$60,668	$258.23	$45,041,433	100.0%	$128,690	$424.00	$49,433,767	100.0%	$141,239	$428.58	$54,185,332	100.0%	$154,815	$469.78	$56,098,954	100.0%	$160,283	$468.33
LESS: DEPARTMENTAL EXPENSES																				
Rooms	$3,230,419	19.0%	$9,230	$39.29	$5,415,613	16.5%	$15,473	$50.98	$6,399,367	17.5%	$18,284	$55.48	$6,698,440	17.1%	$19,138	$58.07	$7,413,125	18.6%	$21,180	$61.89
Food & Beverage	$2,907,837	87.7%	$8,308	$35.36	$7,709,059	82.8%	$22,026	$72.57	$8,280,512	87.5%	$23,659	$71.79	$10,638,630	92.1%	$30,396	$92.24	$10,545,955	85.2%	$30,131	$88.04
Other Operated Departments	$160,235	17.8%	$458	$1.95	$757,574	25.8%	$2,164	$7.13	$1,198,429	35.3%	$3,424	$10.39	$1,186,507	33.6%	$3,390	$10.29	$1,277,499	33.4%	$3,650	$10.66
Other Income	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00
TOTAL DEPT. EXPENSES	$6,298,490	29.7%	$17,996	$76.60	$13,882,246	30.8%	$39,664	$130.68	$15,878,308	32.1%	$45,367	$137.66	$18,523,577	34.2%	$52,925	$160.60	$19,236,579	34.3%	$54,962	$160.59
DEPARTMENTAL PROFIT																				
Rooms	$13,783,929	81.0%	$39,383	$167.63	$27,376,831	83.5%	$78,220	$257.72	$30,175,727	82.5%	$86,216	$261.62	$32,406,634	82.9%	$92,590	$280.96	$32,486,846	57.9%	$92,820	$271.21
Food & Beverage	$409,706	12.3%	$1,171	$4.98	$1,598,944	17.2%	$4,568	$15.05	$1,186,930	12.5%	$3,391	$10.29	$911,396	7.9%	$2,604	$7.90	$1,825,692	3.3%	$5,216	$15.24
Other Operated Departments	$741,563	82.2%	$2,119	$9.02	$2,183,412	74.2%	$6,238	$20.55	$2,192,802	64.7%	$6,265	$19.01	$2,343,725	66.4%	$6,696	$20.32	$2,549,837	4.5%	$7,285	$21.29
Other Income	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00	$0	0.0%	$0	$0.00
TOTAL DEPARTMENTAL PROFIT	$14,935,198	70.3%	$42,672	$181.63	$31,159,187	69.2%	$89,026	$293.32	$33,555,459	67.9%	$95,873	$290.92	$35,661,755	65.8%	$101,891	$309.18	$36,862,375	65.7%	$105,321	$307.74
LESS: UNDISTRIBUTED OP EXP.																				
Administrative & General	$1,570,901	7.4%	$4,488	$19.10	$2,697,494	6.0%	$7,707	$25.39	$2,701,261	5.5%	$7,718	$23.42	$2,801,193	5.2%	$8,003	$24.29	$2,939,161	5.2%	$8,398	$24.54
IT Systems	$245,265	1.2%	$701	$2.98	$308,080	0.7%	$880	$2.90	$345,355	0.7%	$987	$2.99	$298,255	0.6%	$852	$2.59	$323,971	0.6%	$926	$2.70
Sales & Marketing	$772,873	3.6%	$2,208	$9.40	$1,208,405	2.7%	$3,453	$11.38	$1,607,613	3.3%	$4,593	$13.94	$1,749,165	3.2%	$4,998	$15.17	$5,969,993	10.6%	$17,057	$49.84
Franchise Fees	$1,166,512	5.5%	$3,333	$14.19	$3,093,863	6.9%	$8,840	$29.12	$3,531,303	7.1%	$10,089	$30.62	$3,983,644	7.4%	$11,382	$34.54	$0	0.0%	$0	$0.00
Property Operations and Maintenance	$834,711	3.9%	$2,385	$10.15	$1,139,161	2.5%	$3,255	$10.72	$1,239,766	2.5%	$3,542	$10.75	$1,245,594	2.3%	$3,559	$10.80	$1,457,373	2.6%	$4,164	$12.17
Utilities	$794,168	3.7%	$2,269	$9.66	$801,100	1.8%	$2,289	$7.54	$940,225	1.9%	$2,686	$8.15	$981,522	1.8%	$2,804	$8.51	$1,035,359	1.8%	$2,958	$8.64
TOTAL UNDISTRIBUTED OP EXP.	$5,384,431	25.4%	$15,384	$65.48	$9,248,103	20.5%	$26,423	$87.06	$10,365,523	21.0%	$29,616	$89.87	$11,059,373	20.4%	$31,598	$95.88	$11,725,857	20.9%	$33,502	$97.89
GROSS OPERATING PROFIT (GOP)	$9,550,768	45.0%	$27,288	$116.15	$21,911,084	48.6%	$62,603	$206.26	$23,189,936	46.9%	$66,257	$201.05	$24,602,382	45.4%	$70,293	$213.30	$25,136,518	44.8%	$71,819	$209.85
Less: Management Fee	$533,378	2.5%	$1,524	$6.49	$1,000,000	2.2%	$2,857	$9.41	$1,000,000	2.0%	$2,857	$8.67	$1,000,000	1.8%	$2,857	$8.67	$1,255,028	2.2%	$3,586	$10.48
LESS: FIXED CHARGES																				
Property Taxes	$2,739,045	12.9%	$7,826	$33.31	$2,282,199	5.1%	$6,521	$21.48	$2,351,772	4.8%	$6,719	$20.39	$2,485,270	4.6%	$7,101	$21.55	$2,758,242	4.9%	$7,881	$23.03
Insurance	$565,393	2.7%	$1,615	$6.88	$469,435	1.0%	$1,341	$4.42	$399,141	0.8%	$1,140	$3.46	$666,155	1.2%	$1,903	$5.78	$689,157	1.2%	$1,969	$5.75
Other Fixed		0.0%	$0	$0.00		0.0%	$0	$0.00	$48,815	0.1%	$139	$0.42	$24,553	0.0%	$70	$0.21	$0	0.0%	$0	$0.00
Capital Reserve/Replacement	$440,293	2.1%	$1,258	$5.35	$1,614,572	3.6%	$4,613	$15.20	$846,261	1.7%	$2,418	$7.34	$1,137,957	2.1%	$3,251	$9.87	$1,508,658	2.7%	$4,310	$12.59
TOTAL FIXED CHARGES	$3,744,731	17.6%	$10,699	$45.54	$4,366,205	9.7%	$12,475	$41.10	$3,645,989	7.4%	$10,417	$31.61	$4,313,935	8.0%	$12,326	$37.40	$4,956,057	8.8%	$14,160	$41.37
NET OPERATING INCOME (NOI)	**$5,272,659**	**24.8%**	**$15,065**	**$64.12**	**$16,544,879**	**36.7%**	**$47,271**	**$155.75**	**$18,543,947**	**37.5%**	**$52,983**	**$160.77**	**$19,288,447**	**35.6%**	**$55,110**	**$167.23**	**$18,925,433**	**33.7%**	**$54,073**	**$157.99**
% of Total Revenue	**24.8%**				**36.7%**				**37.5%**				**35.6%**				**33.7%**			
GOP Growth Rate	**---**				**129.4%**				**5.8%**				**---**				**8.4%**			

Note: Departmental Expenses illustrated as % of Departmental Revenue not as a % of Total Revenue.
Source: Property management; compiled by Capright

HISTORICAL YEAR-END OPERATING RESULTS								
	Year-to-Date				Year-to-Date			
Period	October 2024				October 2025			
Number of Rooms	350				350			
Rooms Available	106,750				106,400			
Rooms Occupied	100,288				99,772			
Occupancy Rate	93.9%				93.8%			
Average Daily Rate	$305.51				$322.61			
RevPAR	$287.02				$302.51			
	Amount	Ratio	PAR	POR	Amount	Ratio	PAR	POR
DEPARTMENTAL REVENUE								
Rooms	$30,639,040	72.4%	$87,540	$305.51	$32,187,077	72.7%	$91,963	$322.61
Food & Beverage	$8,737,404	20.7%	$24,964	$87.12	$8,983,109	20.3%	$25,666	$90.04
Other Operated Departments	$2,915,998	6.9%	$8,331	$29.08	$3,109,909	7.0%	$8,885	$31.17
TOTAL REVENUE	$42,292,442	100.0%	$120,836	$421.71	$44,280,094	100.0%	$126,515	$443.81
LESS: DEPARTMENTAL EXPENSES								
Rooms	$5,319,523	17.4%	$15,199	$53.04	$5,970,848	18.6%	$17,060	$59.84
Food & Beverage	$8,640,131	98.9%	$24,686	$86.15	$8,016,648	89.2%	$22,905	$80.35
Other Operated Departments	$965,120	33.1%	$2,757	$9.62	$736,903	23.7%	$2,105	$7.39
TOTAL DEPT. EXPENSES	$14,924,774	35.3%	$42,642	$148.82	$14,724,400	33.3%	$42,070	$147.58
DEPARTMENTAL PROFIT								
Rooms	$25,319,517	82.6%	$72,341	$252.47	$26,216,228	81.4%	$74,904	$262.76
Food & Beverage	$97,273	1.1%	$278	$0.97	$966,461	10.8%	$2,761	$9.69
Other Operated Departments	$1,950,878	66.9%	$5,574	$19.45	$2,373,006	76.3%	$6,780	$23.78
TOTAL DEPARTMENTAL PROFIT	$27,367,668	64.7%	$78,193	$272.89	$29,555,695	66.7%	$84,445	$296.23
LESS: UNDISTRIBUTED OP EXP.								
Administrative & General	$2,290,249	5.4%	$6,544	$22.84	$2,399,247	5.4%	$6,855	$24.05
IT Systems	$244,298	0.6%	$698	$2.44	$240,869	0.5%	$688	$2.41
Sales & Marketing	$1,408,294	3.3%	$4,024	$14.04	$4,834,067	10.9%	$13,812	$48.45
Franchise Fees	$3,134,012	7.4%	$8,954	$31.25	$0	0.0%	$0	$0.00
Property Operations and Maintenance	$1,014,945	2.4%	$2,900	$10.12	$1,078,568	2.4%	$3,082	$10.81
Utilities	$813,901	1.9%	$2,325	$8.12	$897,588	2.0%	$2,565	$9.00
TOTAL UNDISTRIBUTED OP EXP.	$8,905,699	21.1%	$25,445	$88.80	$9,450,339	21.3%	$27,001	$94.72
GROSS OPERATING PROFIT (GOP)	$18,461,969	43.7%	$52,748	$184.09	$20,105,355	45.4%	$57,444	$201.51
Less: Management Fee	$1,000,000	2.4%	$2,857	$9.97	$1,344,167	3.0%	$3,840	$13.47
LESS: FIXED CHARGES								
Property Taxes	$2,061,894	4.9%	$5,891	$20.56	$2,210,370	5.0%	$6,315	$22.15
Insurance	$518,970	1.2%	$1,483	$5.17	$521,827	1.2%	$1,491	$5.23
Other Fixed	$24,553	0.1%	$70	$0.24	$0	0.0%	$0	$0.00
Capital Reserve/Replacement	$1,189,376	2.8%	$3,398	$11.86	$1,200,439	2.7%	$3,430	$12.03
TOTAL FIXED CHARGES	$3,794,793	9.0%	$10,842	$37.84	$3,932,635	8.9%	$11,236	$39.42
NET OPERATING INCOME (NOI)	**$13,667,176**	**32.3%**	**$39,049**	**$136.28**	**$14,828,553**	**33.5%**	**$42,367**	**$148.62**
% of Total Revenue	**32.3%**				**33.5%**			
GOP Growth Rate	**---**				**8.9%**			

Note: Departmental Expenses illustrated as % of Departmental Revenue not as a % of Total Revenue.
Source: Property management; compiled by Capright

Income Comparables: The subject property's historical performance was compared with statistical data from the 2024 Hotel Profitability Study published by *STR*. In addition, income statements from luxury and upper upscale boutique hotels were considered to determine the market level income and expenses for each component of the subject property. For reasons of confidentiality, the identity of these income comparable hotels is not disclosed. The tables on the following pages present this data.

COMPARABLE HOTEL OPERATING STATISTICS - SELECTED CATEGORIES

Property	Full Service - Total U.S.			Full Service - Chain-Affiliated			Full Service - Middle Atlantic			Full Service - Upper Upscale Class			Full Service - Urban		
Year	2024			2024			2024			2024			2024		
Occupancy	67.10%			67.22%			69.36%			67.31%			65.82%		
Average Daily rate	$246			$244			$287			$230			$248		
RevPAR	$165			$164			$199			$155			$163		
Average Size	317			326			320			447			397		
	RTS	PAR	POR	RTS	PAR	POR	RTS	PAR	POR	RTS	PAR	POR	RTS	PAR	POR
REVENUE															
Rooms	62.5%	$60,004	$246.18	62.6%	$59,595	$243.95	73.8%	$72,369	$286.80	61.3%	$56,232	$229.66	66.5%	$59,357	$247.77
Food	16.6%	$15,900	$65.23	16.6%	$15,773	$64.57	11.7%	$11,474	$45.47	17.5%	$16,022	$65.44	15.6%	$13,925	$58.13
Beverage	5.4%	$5,163	$21.18	5.3%	$5,073	$20.77	3.7%	$3,666	$14.53	5.1%	$4,660	$19.03	4.8%	$4,262	$17.79
Other Food and Beverage	6.6%	$6,381	$26.18	6.7%	$6,354	$26.01	5.4%	$5,313	$21.06	7.5%	$6,851	$27.98	6.8%	$6,082	$25.39
Other Operated Departments	4.2%	$4,065	$16.68	4.1%	$3,929	$16.08	1.8%	$1,760	$6.98	3.6%	$3,325	$13.58	2.6%	$2,352	$9.82
Miscellaneous Income	4.7%	$4,555	$18.69	4.7%	$4,495	$18.40	3.5%	$3,469	$13.75	5.1%	$4,660	$19.03	3.7%	$3,301	$13.78
Total Revenue	100.0%	$96,068	$394.14	100.0%	$95,220	$389.77	100.0%	$98,051	$388.57	100.0%	$91,749	$374.72	100.0%	$89,279	$372.67
DEPARTMENTAL EXPENSES															
Rooms	27.1%	$16,276	$66.78	27.0%	$16,077	$65.81	31.7%	$22,970	$91.03	27.0%	$15,161	$61.92	28.6%	$16,986	$70.90
Food & Beverage	72.2%	$19,827	$81.34	71.8%	$19,521	$79.91	89.2%	$18,250	$72.32	67.6%	$18,607	$75.99	74.9%	$18,185	$75.91
Other Operated Departments	66.7%	$2,710	$11.12	66.7%	$2,623	$10.74	77.7%	$1,369	$5.42	63.8%	$2,123	$8.67	61.7%	$1,451	$6.06
Total Departmental Expenses	40.4%	$38,814	$159.24	40.1%	$38,220	$156.45	43.4%	$42,589	$168.78	39.1%	$35,890	$146.58	41.0%	$36,622	$152.87
Total Departmental Profit	59.6%	$57,255	$234.90	59.9%	$56,999	$233.32	56.6%	$55,462	$219.79	60.9%	$55,859	$228.14	59.0%	$52,658	$219.81
UNDISTRIBUTED OPERATING EXPENSES															
Administrative & General	8.5%	$8,210	$33.68	8.5%	$8,070	$33.03	9.3%	$9,161	$36.31	8.2%	$7,535	$30.77	8.9%	$7,921	$33.07
Information & Telecommunications Systems	1.2%	$1,181	$4.85	1.2%	$1,169	$4.79	1.3%	$1,307	$5.18	1.2%	$1,122	$4.58	1.4%	$1,212	$5.06
Marketing	6.1%	$5,875	$24.10	6.1%	$5,824	$23.84	6.1%	$5,945	$23.56	6.0%	$5,530	$22.59	6.6%	$5,867	$24.49
Franchise Fees	1.0%	$952	$3.90	1.0%	$980	$4.01	0.9%	$931	$3.69	1.0%	$929	$3.79	0.9%	$801	$3.34
Property Operations & Maintenance	4.4%	$4,193	$17.20	4.4%	$4,143	$16.96	4.9%	$4,778	$18.94	4.4%	$3,997	$16.32	4.5%	$3,976	$16.60
Utility Costs	2.9%	$2,807	$11.52	2.9%	$2,797	$11.45	2.7%	$2,625	$10.40	3.0%	$2,784	$11.37	3.0%	$2,667	$11.13
Total Undistributed Operating Expenses	24.2%	$23,219	$95.26	24.1%	$22,984	$94.08	25.2%	$24,747	$98.07	23.9%	$21,896	$89.43	25.1%	$22,443	$93.68
GROSS OPERATING PROFIT	35.4%	$34,036	$139.64	35.7%	$34,016	$139.24	31.3%	$30,715	$121.72	37.0%	$33,963	$138.71	33.8%	$30,214	$126.12
Management Fees	3.8%	$3,630	$14.89	3.8%	$3,635	$14.88	4.2%	$4,086	$16.19	3.8%	$3,447	$14.08	3.6%	$3,200	$13.36
INCOME BEFORE FIXED CHARGES	31.6%	$30,406	$124.75	31.9%	$30,380	$124.36	27.2%	$26,629	$105.53	33.3%	$30,516	$124.63	30.3%	$27,014	$112.76
Selected Fixed Charges															
Non-Operating Income	0.3%	$310	$1.27	0.3%	$290	$1.19	0.7%	$657	$2.61	0.2%	$197	$0.81	0.3%	$277	$1.16
Rent	1.9%	$1,825	$7.49	1.9%	$1,786	$7.31	1.5%	$1,492	$5.91	1.7%	$1,516	$6.19	1.5%	$1,317	$5.50
Property Taxes	3.3%	$3,137	$12.87	3.3%	$3,135	$12.83	4.6%	$4,517	$17.90	3.2%	$2,954	$12.07	3.9%	$3,525	$14.71
Insurance	1.5%	$1,441	$5.91	1.5%	$1,418	$5.81	1.0%	$995	$3.94	1.4%	$1,298	$5.30	1.4%	$1,213	$5.06
Reserve for Replacement	2.7%	$2,580	$10.58	2.7%	$2,610	$10.68	2.6%	$2,519	$9.98	2.9%	$2,626	$10.72	2.7%	$2,395	$10.00
EBITDA	**26.9%**	**$25,827**	**$105.96**	**27.1%**	**$25,827**	**$105.72**	**21.5%**	**$21,117**	**$83.68**	**28.6%**	**$26,263**	**$107.26**	**25.0%**	**$22,277**	**$92.99**

Source: HOST Report; Smith Travel Research

COMPARABLE HOTEL OPERATING STATISTICS - SELECTED CATEGORIES

Type	Upper Upscale			Luxury			Upper Upscale			Luxury			Luxury		
Number of Rooms	**331**			**291**			**150**			**159**			**344**		
Year	**2023**			**2023**			**2023**			**2021**			**2018**		
Occupancy	**62.8%**			**79.8%**			**78.2%**			**80.0%**			**74.8%**		
ADR	**$228.31**			**$297.98**			**$219.33**			**$301.00**			**$409.07**		
RevPar	**$143.38**			**$237.79**			**$171.52**			**$240.80**			**$306.04**		
	RTS	**PAR**	**POR**	**RTS**	**PAR**	**POR**	**RTS**	**PAR**	**POR**	**RTS**	**PAR**	**POR**	**RTS**	**PAR**	**POR**
REVENUE															
Rooms Revenue	65.0%	$52,634	$229.62	81.9%	$86,814	$298.05	19.0%	$26,903	$81.64	42.0%	$87,893	$301.00	56.7%	$111,704	$409.07
Food & Beverage Revenue	30.6%	$24,743	$107.94	4.1%	$4,385	$15.05	9.0%	$12,657	$38.41	57.2%	$119,830	$410.38	37.3%	$73,628	$269.63
Other Operated Departments	0.6%	$514	$2.24	14.0%	$14,790	$50.78	0.6%	$886	$2.69	0.8%	$1,616	$5.54	0.9%	$1,809	$6.62
Miscellaneous Income	3.8%	$3,085	$13.46	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	1.3%	$2,540	$9.30
Total Operating Revenue	**100.0%**	**$80,976**	**$353.27**	**100.0%**	**$105,990**	**$363.89**	**100.0%**	**$40,446**	**$122.73**	**100.0%**	**$209,340**	**$716.92**	**100.0%**	**$197,164**	**$722.03**
DEPARTMENTAL EXPENSES[1]															
Rooms Expenses	20.4%	$10,719	$46.76	35.3%	$30,687	$105.36	18.1%	$4,863	$14.76	25.7%	$22,547	$77.22	29.1%	$32,505	$119.04
Food & Beverage Expenses	58.4%	$14,444	$63.01	73.9%	$3,241	$11.13	64.5%	$8,160	$24.76	72.0%	$86,283	$295.49	66.5%	$48,968	$179.32
Other Operated Departments	28.2%	$145	$0.63	0.0%	$0	$0.00	22.3%	$197	$0.60	39.7%	$642	$2.20	78.8%	$1,425	$5.22
Miscellaneous Expenses	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00
Total Operating Expenses	31.3%	$25,308	$110.41	32.0%	$33,928	$116.48	32.7%	$13,220	$40.12	52.3%	$109,472	$374.90	44.7%	$88,188	$322.95
Total Operating Profit	**68.7%**	**$55,668**	**$242.86**	**68.0%**	**$72,062**	**$247.41**	**67.3%**	**$27,226**	**$82.62**	**47.7%**	**$99,868**	**$342.01**	**55.3%**	**$108,976**	**$399.08**
UNDISTRIBUTED OPERATING EXPENSES															
Administrative & General	10.2%	$8,236	$35.93	7.3%	$7,718	$26.50	7.0%	$2,826	$8.57	6.1%	$12,811	$43.87	7.7%	$15,167	$55.54
Information & Telecommunication	1.6%	$1,275	$5.56	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	1.5%	$3,050	$11.17
Sales & Marketing	8.2%	$6,631	$28.93	3.4%	$3,584	$12.31	10.1%	$4,103	$12.45	4.3%	$9,082	$31.10	5.6%	$11,085	$40.59
Franchise Fees	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00
Property Operations and Maintenance	4.0%	$3,211	$14.01	4.7%	$4,973	$17.07	4.0%	$1,614	$4.90	2.8%	$5,799	$19.86	4.5%	$8,792	$32.20
Utilities	2.7%	$2,211	$9.65	2.6%	$2,801	$9.62	2.3%	$937	$2.84	1.8%	$3,698	$12.66	3.1%	$6,066	$22.21
Total Undistributed Operating Expenses	26.6%	$21,565	$94.08	20.2%	$21,405	$73.49	23.4%	$9,480	$28.77	15.0%	$31,390	$107.50	22.4%	$44,161	$161.72
GROSS OPERATING PROFIT	**42.1%**	**$34,103**	**$148.78**	**47.8%**	**$50,656**	**$173.92**	**43.9%**	**$17,746**	**$53.85**	**32.7%**	**$68,478**	**$234.51**	**32.9%**	**$64,815**	**$237.36**
Management Fees	3.0%	$2,429	$10.60	2.8%	$3,003	$10.31	3.5%	$1,426	$4.33	3.0%	$6,384	$21.86	3.0%	$5,907	$21.63
INCOME BEFORE FIXED CHARGES	**39.1%**	**$31,674**	**$138.18**	**45.0%**	**$47,653**	**$163.60**	**40.4%**	**$16,320**	**$49.52**	**29.7%**	**$62,094**	**$212.65**	**29.9%**	**$58,908**	**$215.73**
Selected Fixed Charges															
Property and Other Taxes	2.3%	$1,867	$8.14	7.4%	$7,859	$26.98	5.1%	$2,083	$6.32	2.7%	$5,623	$19.26	5.8%	$11,450	$41.93
Insurance	2.1%	$1,722	$7.51	0.7%	$711	$2.44	0.8%	$331	$1.01	0.3%	$654	$2.24	0.5%	$957	$3.51
Other	1.0%	$843	$3.68	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	-$1	$0.00
Reserve for Replacement	4.0%	$3,239	$14.13	3.8%	$4,007	$13.76	3.0%	$1,214	$3.68	4.0%	$8,371	$28.67	0.0%	$0	$0.00
Total Non-Operating Expense	**9.5%**	**$7,670**	**$33.46**	**11.9%**	**$12,577**	**$43.18**	**9.0%**	**$3,629**	**$11.01**	**7.0%**	**$14,648**	**$50.16**	**6.3%**	**$12,407**	**$45.43**
EBITDA	**29.6%**	**$24,003**	**$104.72**	**33.1%**	**$35,076**	**$120.42**	**31.4%**	**$12,691**	**$38.51**	**22.7%**	**$47,447**	**$162.49**	**23.6%**	**$46,502**	**$170.29**

[1]Departmental expense ratios are based on departmental revenues; all others are based on total revenues.

Source: Independent market research performed by Capright

Fixed and Variable Revenue and Expense Analysis: Operating revenues and expenses for hotels have a component that is fixed and a component that is variable with respect to increases or decreases in occupancy. The fixed component increases at an inflationary level, while the variable component is adjusted in proportion to the use of the hotel facility. The applicable fixed and variable ratios were derived through discussions with hotel experts and are consistent with industry norms. These ratios and the associated revenue component drivers are illustrated as follows:

FIXED AND VARIABLE PERCENTAGES			
	Fixed %	Variable %	Driver
Revenue			
Rooms	N/A	N/A	N/A
Food & Beverage	20%	80%	Occupied Rooms
Other Operated Departments	30%	70%	Occupied Rooms
Other Income	20%	80%	Occupied Rooms
Departmental Expenses			
Rooms	60%	40%	Occupied Rooms
Other Operated Departments	50%	50%	Occupied Rooms
Other Income	50%	50%	Occupied Rooms
Undistributed Operating Expenses			
Administrative & General	90%	10%	Total Revenue
IT Systems	90%	10%	Total Revenue
Sales & Marketing	0%	100%	Occupied Rooms
Franchise Fees	0%	100%	Occupied Rooms
Property Operations and Maintenance	70%	30%	Occupied Rooms
Utilities	90%	10%	Occupied Rooms
Management Fee	0%	100%	Occupied Rooms
Fixed Charges			
Property Taxes	100%	0%	N/A
Insurance	100%	0%	N/A
Other Fixed	100%	0%	N/A
Capital Reserve/Replacement	0%	100%	N/A

Revenues: The rooms revenue conclusions were presented in the Market Analysis section of this report. The departmental revenue is modeled on a per occupied room basis. The base year assumptions are as follows:

- Food and beverage revenue estimate, at $100.00 per occupied room
- Other Operated department revenue, at $28.00 per occupied room
- Miscellaneous revenue, at $2.00 per occupied room

These revenue projections are based on the subject property's historical performance. The estimates are supported by the Host Report data for full-service hotels and the comparable hotel data.

Departmental Expenses: For hotels, departmental expenses are typically modeled as a percentage of departmental revenue. The base year assumptions are as follows:

- Rooms expense, at 18% of rooms revenue

- Food and beverage expense, at 90% of food and beverage revenue
- Other Operated Department expense, at 30% of other operated revenue
- No miscellaneous expense

These departmental expense projections are based on the subject property's historical performance. The hotel's food and beverage operations are operated by an entity affiliated with Tao Hospitality Group. All management fees due to Tao Hospitality Group are included in the food and beverage expense line item on the hotel's historical income statements and have been modeled similarly for this analysis. The estimates are supported by the Host Report data for full-service hotels and the comparable hotel data.

Undistributed Expenses: Undistributed expenses are analyzed on a per available room basis. The base year's assumptions are as follows:

- Administrative and general expense, at $8,000 per available room
- IT systems expense, at $900 per available room
- Sales and marketing expense, at $7,650 per available room
- Franchise fee, 5.5% of rooms revenue
- Property operations and maintenance expense, at $3,600 per available room
- Utilities expense, at $2,800 per available room

The undistributed expenses are based on the subject property's historical performance. The Host Report data for full-service hotels and the comparable hotel data support the estimates.

Management Fees: The subject property operates with a Hotel Management Agreement between LGS 105 West 28th LLC and JM1-28 LLC, an entity affiliated with Magna Hospitality Group, L.C. The execution date of the agreement is February 28, 2025. The agreement is effective as of the execution date. The initial term is for one year. The base management fee is equal to 2.5% of gross revenues for the first twenty-four months after the opening of the hotel and 3.0% of gross revenues for the remainder of the initial term. The base management fee is subject to an annual cap of one million dollars.

Based on the terms of the current agreement, the hotel would be sold unencumbered by a Management Agreement. The most probable buyer will implement a new third-party management contract after the transaction. Based on a review of hundreds of management contracts and interviews with dozens of management companies actively pursuing contracts of this nature, we conclude that market conditions currently support an assumption of a management fee in the range of 2.0% to 5.0% of total revenues for a property of this type. For the purpose of this appraisal, we have selected 3.0% of rooms and other income revenues as a reasonable management fee.

Fixed Expenses: Fixed expenses include property taxes, insurance, other fixed costs and reserve for replacement. The property tax expense was presented earlier in the report. The projection of insurance expense and other fixed costs are based on the subject property's operating performance. The reserve for replacement is projected at 4.0%.

The following table presents the average of the HOST Report data for full-service hotels and the average for the comparable luxury and upper upscale hotels. These categories were used

to determine market levels for the subject property in all categories. This data is presented along with the subject property's full year actual 2024 income and expense statement and the first year of the projection for comparison purposes.

REVENUE AND EXPENSE ASSUMPTIONS

	Subject 2024			HOST Report Average			Income Comparable Average			Capright Year 1		
Number of Rooms	350			353			255			350		
Rooms Available	128,100									127,750		
Rooms Occupied	121,095									93,258		
Occupancy Rate	94.5%			67.7%			75.1%			84.6%		
Average Daily Rate	$322.52			$251.75			$291.14			$352.37		
RevPAR	$304.88			$170.75			$219.90			$297.94		
	Ratio	PAR	POR	Ratio	PAR	POR	Ratio	PAR	POR	Ratio	PAR	POR
DEPARTMENTAL REVENUE												
Rooms	79.1%	$111,729	$339.04	65.3%	$61,511	$250.87	52.9%	$73,190	$263.88	91.9%	$32,790	$123.06
Food & Beverage	23.4%	$33,000	$100.14	27.0%	$25,380	$103.75	27.6%	$47,049	$168.28	1.7%	$622	$2.33
Other Operated Departments	7.1%	$10,086	$30.61	3.3%	$3,086	$12.63	4.2%	$5,420	$19.05	4.9%	$1,742	$6.54
Other Income	0.0%	$0	$0.00	4.4%	$4,096	$16.73	1.0%	$1,125	$4.55	0.0%	$0	$0.00
TOTAL REVENUE	100.0%	$154,815	$469.78	100.0%	$9,407	$383.98	100.0%	$126,783	$455.77	98.5%	$35,688	$131.93
LESS: DEPARTMENTAL EXPENSES												
Rooms	17.1%	$19,138	$58.07	28.3%	$17,494	$71.29	25.7%	$20,264	$72.63	23.5%	$7,706	$28.92
Food & Beverage	92.1%	$30,396	$92.24	75.2%	$18,878	$77.10	67.1%	$32,219	$114.74	75.0%	$467	$1.75
Other Operated Departments	33.6%	$3,390	$10.29	67.3%	$2,055	$8.40	33.8%	$482	$1.73	50.0%	$871	$3.27
Other Income	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00	0.0%	$0	$0.00
TOTAL DEPT. EXPENSES	34.2%	$52,925	$160.60	40.8%	$38,427	$156.78	38.6%	$54,023	$192.97	25.3%	$9,043	$33.94
LESS: UNDISTRIBUTED OP EXP.												
Administrative & General	5.2%	$8,003	$24.29	8.7%	$8,180	$33.37	7.7%	$9,352	$34.08	3.8%	$1,351	$5.07
IT Systems	0.6%	$852	$2.59	1.3%	$1,198	$4.89	0.6%	$865	$3.35	0.5%	$163	$0.61
Sales & Marketing	3.2%	$4,998	$15.17	6.2%	$5,808	$23.72	6.3%	$6,897	$25.08	4.6%	$1,639	$6.15
Franchise Fees	7.4%	$11,382	$34.54	1.0%	$918	$3.75	0.0%	$0	$0.00	5.5%	$1,967	$7.38
Property Operations & Maintenance	2.3%	$3,559	$10.80	4.5%	$4,218	$17.20	4.0%	$4,878	$17.61	3.1%	$1,118	$4.19
Utilities	1.8%	$2,804	$8.51	2.9%	$2,736	$11.17	2.5%	$3,143	$11.40	4.3%	$1,537	$5.77
TOTAL UNDISTRIBUTED OP EXP.	20.4%	$31,598	$95.88	24.5%	$23,058	$94.10	21.5%	$25,600	$93.11	21.8%	$7,775	$29.18
GROSS OPERATING PROFIT (GOP)	45.4%	$70,293	$213.30	34.7%	$32,589	$133.09	39.9%	$47,160	$169.68	52.9%	$18,870	$70.82
Less: Management Fee	1.8%	$11,382	$34.54	3.8%	$3,600	$14.68	3.1%	$3,830	$13.75	2.2%	$799	$3.00
LESS: FIXED CHARGES												
Property Taxes	4.6%	$7,101	$21.55	3.7%	$3,454	$14.08	4.7%	$5,776	$20.53	5.7%	$2,019	$7.58
Insurance	1.2%	$1,903	$5.78	1.4%	$1,273	$5.21	0.9%	$875	$3.34	1.0%	$373	$1.40
Capital Reserve/Replacement	2.1%	$3,251	$9.87	2.7%	$2,546	$10.39	3.0%	$3,366	$12.05	2.2%	$799	$3.00
TOTAL FIXED CHARGES	8.0%	$12,326	$37.40	7.8%	$7,273	$29.67	8.5%	$10,018	$35.92	9.5%	$3,397	$12.75
NET OPERATING INCOME (NOI)	**35.6%**	**$55,110**	**$167.23**	**30.9%**	**$21,716**	**$88.74**	**28.3%**	**$33,312**	**$120.02**	**41.1%**	**$14,674**	**$55.07**

Note: Departmental Expenses illustrated as % of Departmental Revenue not as a % of Total Revenue.
Source: Property management, STR HOST Report, and independent research; compiled by Capright

INVESTMENT CRITERIA

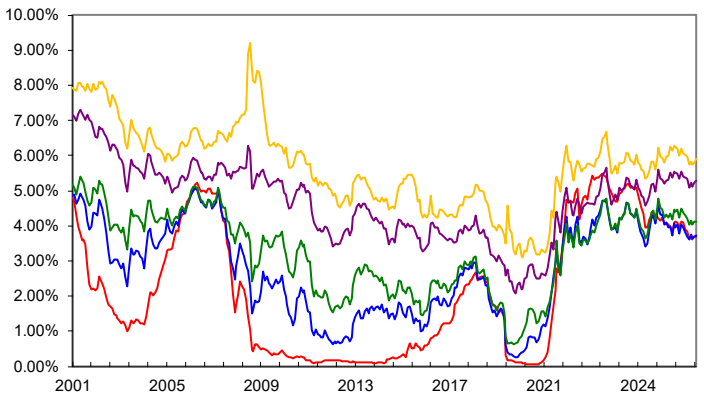
To perform the Discounted Cash Flow Analysis, we must select appropriate investment rates. This includes the selection of an appropriate terminal or reversion capitalization rate as well as an appropriate discount or yield rate; also referred to as the internal rate of return (IRR). By its nature, this is a judgmental process, however, selected rates should approximate the investment criteria anticipated by the most probable buyer of the subject property.

A number of things should be considered in selecting investment parameters. These include: review and analysis of alternative non-real estate investments; review and analysis of published real estate investor surveys; interviews with active market participants; derivation of rates from empirical market data; and, use of in-house experience with similar types of investments.

Alternative Investments: Real estate returns have traditionally been compared to those of other alternative investments such as Treasury Instruments, Commercial Paper, Money Market Funds, and Corporate Bonds. When evaluating a specific property, such a detailed comparison is generally considered beyond the scope of the assignment since asset class choices typically involve more factors than just comparing returns.

The following graph and table display historical data from alternative bond investments and corresponding yield rates. This asset class has been selected based on holding period criteria. Specific conclusions are not derived as the data is intended only to provide a frame of reference.

SUMMARY OF ALTERNATIVE INVESTMENTS



Nov 17, 2025

Treasury	
1-Year	3.69%
5-Year	3.72%
10-Year	4.13%
Corporate Bonds	
Moody's Aaa	5.30%
Moody's Baa	5.90%

Source: Federal Reserve Statistical Release H.15 & Moody's Analytics, Inc.

US Treasury Bonds, near risk-free, are considered the safe rate offering the lowest yield. On the other hand, corporate BB or C rated issues (junk bonds) offer among the highest rates. For real estate investments, rates may be influenced by risk, degree of liquidity, burden of management, tax benefits, and future appreciation or depreciation. Adjustments must be made to the above “safe rates” to compensate for these factors. Consequently, required real estate yields are generally higher than those for non-real estate investments.

Current Global Macroeconomic Risk Factors: With annualized GDP growth at positive 3.8% as of second quarter, economists are projecting a slightly higher 2025 average growth than what was previously projected, between 1.5% and 1.9%. Recent employment data shows signs of weakness with average job creation at 29,000 per month, down from 150,000 in early 2025. The unemployment rate is currently near 4.5% with expectations of increasing slightly to 4.6% over the next year before declining.

The US inflation rate was 2.9% for the twelve months ending August 2025 due in part to uncertainty and caution around trade policy, and inflation is expected to increase slightly to 3.0% by the end of 2025. The Federal Reserve implemented a rate cut of 25 basis points in September, with additional rate cuts expected over the coming year. The 10 Year treasury rate is expected to remain in its current range of approximately 4.0% to 4.5% through the end of 2025. Deal activity is expected to increase with more investors planning to make new acquisitions.

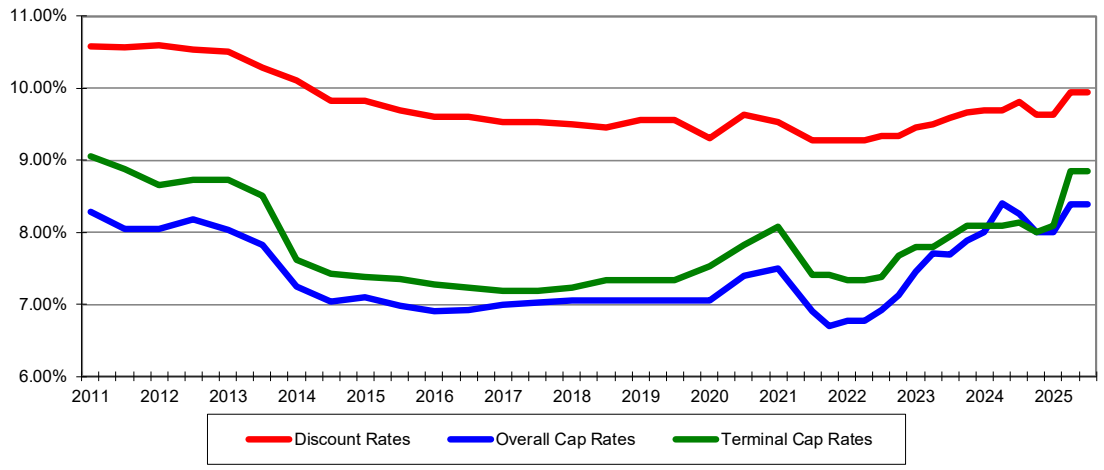
The US economy is expected to face further uncertainty due to tariffs. Changes in public policy are affecting commercial real estate. Investors are weighing political risk as part of investment decisions.

International conflicts in Ukraine, Iran, and the Middle East, as well as military campaigns against terror and drugs, contribute to uncertainty for investors. The global supply chain has felt the impact through the slowed flow of goods. Heightened uncertainty has contributed to upward pressure on prices.

Environmental, Social and Governance (ESG) are a consideration for many real estate investors. ESG requirements can influence investment approaches since they can impact future returns. Many institutional investors have shifted to a more focused ESG investment thesis, evaluating these considerations when placing investments. Reducing energy consumption and carbon emissions are top considerations. ESG considerations are being factored into the valuation in this report based on recent transactions occurring in the market.

Investor Surveys: One of the more useful approaches in estimating an approximate rate of return required by the most probable buyer is to analyze the current investment parameters applied by institutional investors and advisors to real estate pension and portfolio funds. The following graph and table present the results of the *PwC Real Estate Investor Survey – National Luxury/Upper-Upscale Lodging Segment.* This survey comprises investors' assumptions and return requirements for hotel properties and provides a national basis for comparison. Investors surveyed include pension funds, pension fund advisors, investment advisors, direct advisors, direct investors, and investment bankers.

PWC REAL ESTATE INVESTOR SURVEY - NATIONAL LUXURY/UPPER UPSCALE LODGING SEGMENT



Key Indicators	Current Quarter	Prior Quarter	Year Ago
Discount Rate (IRR)			
Range	7.50% – 12.00%	7.50% - 12.00%	7.50% - 12.00%
Average	**9.81%**	**9.94%**	**9.81%**
Change (Basis Points)	--	-13	0
Overall Capitalization Rate (OAR)			
Range	5.00% - 10.00%	6.00% - 10.00%	6.00% - 10.00%
Average	**7.57%**	**8.38%**	**8.25%**
Change (Basis Points)	--	-81	-68
Terminal Capitalization Rate			
Range	6.00% - 10.00%	6.50% - 11.00%	6.25% - 10.00%
Average	**7.91%**	**8.84%**	**8.13%**
Change (Basis Points)	--	-93	-22

Source: PwC Real Estate Investor Survey 3Q25

The *PwC Real Estate Investor Survey: Third Quarter 2025* indicates marketing times in the National Luxury/Upper-Upscale Lodging Market range from 3.0 to 24.0 months, averaging 8.7 months, a decrease from 9.6 months the prior quarter and an increase from 7.4 months one year prior.

Respondents in the *Third Quarter 2025 PwC Real Estate Investor Survey* indicated expected average annual expense change rates ranging from 2.0% to 15.0%, with an average of 5.0% in the National Luxury/Upper-Upscale Lodging Market. Based on the above considerations and discussions with hotel operators, we have estimated the general inflation rate at 3.0% over the duration of the cash flow projection.

The PwC survey indicates a range in terminal rates between 6.0% and 10.0%, centering on 7.91% for the National Luxury/Upper-Upscale Lodging market. This is 34 basis points higher than the average going-in cap rate.

Capitalization Rates Extracted from Recent Sales: Typically, the best indication of overall capitalization rates comes from an analysis of recent sale transactions. Overall capitalization rates extracted from recent sale transactions are set forth in the following table.

SUMMARY OF OVERALL CAPITALIZATION RATES FROM RELEVANT SALES						
Property Name	Location	Size (Rooms)	Year Built	Date of Sale	$/Room	Overall Rate
Courtyard Boston Tremont	Boston, Massachusetts	315	1925	1/1/2025	$390,476	5.90%
Thompson Denver	Denver, Colorado	216	2022	1/23/2025	$439,815	4.75%
Westin Washington DC	Washington, DC	406	1981	2/19/2025	$226,601	7.50%
SoHo 54 Hotel	New York, New York	160	2008	2/1/2025	$350,000	5.71%
Eventi	New York, New York	292	2010	5/1/2025	$597,603	7.30%
The Andrews Hotel	San Francisco, California	50	1975	3/27/2025	$203,000	6.68%
Fairmont Dallas	Dallas, Texas	545	1969	4/10/2025	$203,670	10.00%
JW Marriott Desert Ridge Resort & Spa	Phoenix, Arizona	950	2002	6/10/2025	$910,526	7.80%
Hilton Houston NASA Clear Lake	Nassau Bay, Texas	243	1983	8/22/2025	$111,111	5.00%
Freepoint Hotel Cambridge	Cambridge, Massachusetts	121	1963	5/1/2025	$247,934	8.00%
Marriott Seattle Waterfront	Seattle, Washington	361	2003	8/5/2025	$401,662	8.10%
Virgin Hotel Chicago	Chicago, Illinois	250	1928	6/30/2025	$320,000	3.00%
The Westin Westminster	Westminster, Colorado	370	2000	9/4/2025	$305,405	8.60%
Min:						**3.00%**
Max:						**10.00%**
Average:						**6.80%**
Source: Independent market research performed by Capright						

As shown above, the overall “going in” rates indicated by the comparable sale properties range from 3.0% to 10.0% with an average rate of 6.8%.

Overall Selection Criteria: The consensus of those actively engaged in the marketplace for real estate investments is that investment parameters, based upon forecasting techniques and assumptions similar to those utilized herein, fall within a broad range, depending upon numerous risk factors including, among others:

- *Location:* the better the location the lower the discount and terminal capitalization rates;
- *Physical Characteristics of the Property:* the newer the property, the higher the quality of materials and finishes, and the better the design and layout of the physical asset, the lower the discount and terminal capitalization rates;
- *Quality, Quantity and Durability of Income:* the higher the room rate and occupancy rates translate into lower discount and terminal capitalization rates.

Our analysis of these and other risk factors as they pertain to the subject property is summarized in the following table.

ANALYSIS OF PROPERTY-SPECIFIC FACTORS	
Positives	**Negatives**
➢ New York City is the largest tourism market in the country with numerous diverse room night demand generators. ➢ The subject property is proximate to Jacob K. Javits Convention Center and numerous leisure room night demand generators. ➢ Several companies are moving into Hudson Yards at the north end of the submarket. ➢ The property is in good condition. ➢ The food and beverage venues at the hotel add to the energy at the property and enhance the guest experience. ➢ The MOXY brand is supported by the Marriott International global marketing and distribution network.	➢ New supply has opened recently, and additional hotels are under construction in the submarket. ➢ The subject property derives approximately 20 percent of revenue from food and beverage, which has a higher risk profile than rooms revenue and other hotel income. ➢ High inflation has increased risk in the market, particularly with respect to leisure demand.

Selection of Investment Rates: Our concluded discount and terminal capitalization rates for the subject property are discussed in the following paragraphs.

Capitalization Rates: Based on the above considerations, an appropriate stabilized overall capitalization rate is reasonably concluded at 7.25%. This rate is slightly below average for the National Luxury Upper Upscale Lodging Segment according to the *Third Quarter 2025 PwC Real Estate Investor Survey* but is supported by the recent sales of luxury and upper upscale hotels.

The terminal capitalization rate is typically determined as a function of the appropriate initial capitalization rate for the property. Terminal capitalization rates are generally higher than initial capitalization rates to reflect the general risk and uncertainty of forecast property performance and to account for the physical aging of the property over the holding period. In a stable or an upward trending market, the relationship of a higher terminal capitalization rate to a lower initial rate usually holds true. The degree of difference between initial and terminal capitalization rates is determined by the market's anticipation of future values relative to current values. In a market with depressed values due to limited market participation, terminal capitalization rates may be less than initial rates as investors anticipate more normalized market conditions at the end of the holding period. Terminal rates are typically between 25 and 100 basis points higher than overall rates to account for the aging of the property and other risk factors. Given the asset's overall quality, the appropriate terminal capitalization rate

should be 25 basis points higher than the overall rate for the subject property. As such, we have applied a terminal capitalization rate of 7.5%.

Discount Rate: Considering the age, overall condition, location, and occupancy of the subject property along with numerous property-specific factors, we have selected a discount rate of 9.5% for the subject property.

Cost of Sale: Selling costs at reversion include commissions and closing costs. Commissions are individually negotiated between the seller and the broker for each transaction. Generally, the percentage of commission charged varies inversely with the anticipated sale amount. Based on our analysis of market conventions for transactions of properties of the subject type, we have estimated the cost of sale at 1.5% of the gross sale proceeds within our analysis.

DISCOUNTED CASH FLOW CONCLUSION

Based on the assumptions discussed within this analysis, the projected cash flows and values via the discounted cash flow methodology are presented on the following pages. The cash flows commence January 1, 2026.

CASH FLOW PROJECTIONS

Year	1	2	3	4	5	6	7	8	9	10	11
Ending October	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
Number of Rooms	350	350	350	350	350	350	350	350	350	350	350
Occupancy	85%	94%	94%	94%	94%	94%	94%	94%	94%	94%	94%
ADR	$352.37	$365.76	$371.61	$379.42	$391.94	$403.69	$415.80	$428.28	$441.13	$454.36	$467.99
RevPAR	$297.94	$344.20	$349.71	$357.05	$368.84	$379.90	$391.30	$403.04	$415.13	$427.58	$440.41
REVENUES											
Rooms	$38,061,230	$43,971,911	$44,675,461	$45,613,646	$47,118,896	$48,532,463	$49,988,437	$51,488,090	$53,032,733	$54,623,715	$56,262,426
Food & Beverage	$11,045,620	$12,382,763	$12,754,246	$13,136,873	$13,530,979	$13,936,909	$14,355,016	$14,785,667	$15,229,237	$15,686,114	$16,156,697
Other Operated	$3,126,950	$3,467,174	$3,571,189	$3,678,325	$3,788,674	$3,902,334	$4,019,405	$4,139,987	$4,264,186	$4,392,112	$4,523,875
Misc. Income	$220,912	$247,655	$255,085	$262,737	$270,620	$278,738	$287,100	$295,713	$304,585	$313,722	$323,134
TOTAL REVENUE	**$52,454,713**	**$60,069,503**	**$61,255,981**	**$62,691,581**	**$64,709,170**	**$66,650,445**	**$68,649,958**	**$70,709,457**	**$72,830,741**	**$75,015,663**	**$77,266,133**
LESS: DEPARTMENTAL EXPENSES											
Rooms	$7,229,580	$7,761,684	$7,994,534	$8,234,370	$8,481,401	$8,735,843	$8,997,919	$9,267,856	$9,545,892	$9,832,269	$10,127,237
Food & Beverage	$10,160,766	$11,144,487	$11,478,821	$11,823,186	$12,177,882	$12,543,218	$12,919,515	$13,307,100	$13,706,313	$14,117,502	$14,541,027
Other Operated	$958,591	$1,040,152	$1,071,357	$1,103,497	$1,136,602	$1,170,700	$1,205,821	$1,241,996	$1,279,256	$1,317,634	$1,357,163
Misc. Income	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
TOTAL DEPARTAMENTAL EXPENSES	$18,348,937	$19,946,323	$20,544,712	$21,161,054	$21,795,885	$22,449,762	$23,123,255	$23,816,952	$24,531,461	$25,267,405	$26,025,427
TOTAL DEPARTMENTAL PROFIT	**$34,105,776**	**$40,123,180**	**$40,711,269**	**$41,530,528**	**$42,913,285**	**$44,200,683**	**$45,526,704**	**$46,892,505**	**$48,299,280**	**$49,748,258**	**$51,240,706**
LESS: UNDISTRIBUTED OPERATING EXPENSES											
Administrative & General	$2,774,563	$2,889,695	$2,972,268	$3,058,747	$3,151,425	$3,245,967	$3,343,346	$3,443,647	$3,546,956	$3,653,365	$3,762,966
IT Systems	$312,138	$325,091	$334,380	$344,109	$354,535	$365,171	$376,126	$387,410	$399,033	$411,004	$423,334
Sales & Marketing	$1,772,537	$2,047,802	$2,080,566	$2,124,258	$2,194,359	$2,260,190	$2,327,995	$2,397,835	$2,469,770	$2,543,863	$2,620,179
Franchise Fees	$2,093,368	$2,418,455	$2,457,150	$2,508,751	$2,591,539	$2,669,285	$2,749,364	$2,831,845	$2,916,800	$3,004,304	$3,094,433
Property Operations & Maintenance	$1,221,622	$1,297,800	$1,336,734	$1,376,836	$1,418,141	$1,460,685	$1,504,506	$1,549,641	$1,596,130	$1,644,014	$1,693,335
Utilities	$970,050	$1,009,400	$1,039,682	$1,070,872	$1,102,999	$1,136,089	$1,170,171	$1,205,276	$1,241,435	$1,278,678	$1,317,038
TOTAL UNDISTRIBUTED EXPENSES	$9,144,278	$9,988,242	$10,220,781	$10,483,573	$10,812,998	$11,137,388	$11,471,509	$11,815,655	$12,170,124	$12,535,228	$12,911,285
GROSS OPERATING PROFIT	**$24,961,498**	**$30,134,938**	**$30,490,488**	**$31,046,954**	**$32,100,287**	**$33,063,295**	**$34,055,194**	**$35,076,850**	**$36,129,155**	**$37,213,030**	**$38,329,421**
Less: Management Fee	$1,000,000	$1,000,000	$1,000,000	$1,000,000	$1,000,000	$1,000,000	$1,000,000	$1,000,000	$1,000,000	$1,000,000	$1,000,000
INCOME BEFORE FIXED CHARGES	$23,961,498	$29,134,938	$29,490,488	$30,046,954	$31,100,287	$32,063,295	$33,055,194	$34,076,850	$35,129,155	$36,213,030	$37,329,421
LESS: FIXED CHARGES											
Property Taxes & Related	$2,770,847	$2,853,972	$2,939,591	$3,027,779	$3,118,612	$3,212,171	$3,308,536	$3,407,792	$3,510,026	$3,615,326	$3,723,786
Insurance	$502,374	$517,446	$532,969	$548,958	$565,427	$582,390	$599,861	$617,857	$636,393	$655,485	$675,149
Capital Reserve/Replacement	$1,522,449	$1,707,647	$1,684,436	$1,669,718	$1,674,581	$1,724,819	$1,776,563	$1,829,860	$1,884,756	$1,941,299	$1,999,537
TOTAL FIXED CHARGES	$4,795,670	$5,079,065	$5,156,996	$5,246,455	$5,358,620	$5,519,379	$5,684,960	$5,855,509	$6,031,174	$6,212,109	$6,398,473
PROPERTY CASHFLOW	$19,165,828	$24,055,874	$24,333,491	$24,800,499	$25,741,666	$26,543,916	$27,370,234	$28,221,341	$29,097,981	$30,000,921	$30,930,948
NET OPERATING INCOME	**$19,165,828**	**$24,055,874**	**$24,333,491**	**$24,800,499**	**$25,741,666**	**$26,543,916**	**$27,370,234**	**$28,221,341**	**$29,097,981**	**$30,000,921**	**$30,930,948**

DISCOUNTED CASH FLOW

Discount Rate:	9.50%
Terminal Capitalization Rate:	7.50%
Cost of Sale:	1.50%
Reversion Year NOI:	$30,930,948
Reversion Value:	$406,226,454

Fiscal Year Ending December	Cash Flow	Present Value Factor	Present Value
2026	$19,165,828	0.91324201	$17,503,039
2027	$24,055,874	0.83401097	$20,062,862
2028	$24,333,491	0.76165385	$18,533,697
2029	$24,800,499	0.69557429	$17,250,590
2030	$25,741,666	0.63522767	$16,351,819
2031	$26,543,916	0.58011659	$15,398,566
2032	$27,370,234	0.52978684	$14,500,390
2033	$28,221,341	0.48382360	$13,654,151
2034	$29,097,981	0.44184803	$12,856,886
2035	$30,000,921	0.40351419	$12,105,797
Reversion	$406,226,454	0.40351419	$163,918,137
Value Indication			$322,135,934
Rounded			**$322,000,000**

DIRECT CAPITALIZATION ANALYSIS

Direct capitalization is the procedure in appraisal analysis that converts a single year's income expectancy into a market value indication through the application of a market-derived overall capitalization rate. The first step in the direct capitalization method is to determine the stabilized net operating income (NOI) that the property is capable of generating. Stabilized occupancy occurs in year two of the cash flow. Therefore, we have discounted these one year of net operating income at a 3.0 percent inflationary rate to reflect stabilized net operating income as of the date of value. The NOI is capitalized at the previously selected overall capitalization rate of 7.25%. The value conclusion by the direct capitalization method is calculated as follows.

CALCULATION OF THE COST TO STABLIZE					
	Stabilized Income	Projected Income	Estimated Income Loss	Present Value Factor	Cost to Stabilize
1st Year	$24,055,874	$19,165,828	$4,890,045	0.913242	$4,465,795
Total					$4,465,795

DIRECT CAPITALIZATION ANALYSIS		
	$ Amount	**$/Room**
Stabilized Total Revenue	$60,069,503	$171,627
Less: Stabilized Operating Expenses	$36,013,629	$102,896
Net Operating Income (NOI)	$24,055,874	$68,731
Overall Capitalization Rate	7.25%	
Preliminary Value Indication	$331,805,152	$948,015
Less: Cost to Stabilize	-$4,465,795	-$12,759
Value Indication	$327,339,357	$935,255
Rounded	**$327,000,000**	**$934,286**

As previously mentioned, the direct capitalization methodology is not typically utilized to price full service, urban hotels by hotel investors. As a result, we have relied on the discounted cash flow methodology.

METHODOLOGY

The Sales Comparison Approach involves a comparison of the subject property with other similar properties that have recently sold. This approach to value is based on the premise that a buyer would not pay more for a property than it would cost to acquire a comparable substitute property. It should be noted, however, that the reliance on substitute properties produces shortcomings in the validity of this approach. Geographic and demographic characteristics from each submarket restrict which sales may be selected. Recent sales with a similar property characteristic, franchise affiliation, income level, and location are also usually unique assets. Furthermore, the price at which a particular property sells is often influenced by complex buyer and/or seller motivations that are not known. As such, it can often be difficult to obtain enough information about a sale to make a precise comparison. Nevertheless, in our opinion, the sales identified herein do provide a sound basis for estimating market value.

COMPARABLE SALES DATA

The following table summarizes the market transactions that we have analyzed in arriving at our value indication for the subject property through the Sales Comparison Approach. In this instance, the comparables represent recent sales of full service hotels in New York City.

COMPARABLE HOTEL SALES

No.	Name/Location	Sate Date	No. of Rooms	Year Built/ Renovated	Sale Price	Sale Price/Room	OAR	NOI/Room
1	The New York EDITION 5 Madison Avenue New York, New York 10010	Oct-25	271	2015	$235,000,000	$867,159	N/A	N/A
2	Nine Orchard 9 Orchard Street New York, New York 10002	Aug-25	113	2022	$92,000,000	$814,159	N/A	N/A
3	Kimpton Hotel Eventi 851 6th Avenue New York, New York 10001	May-25	292	2008	$174,500,000	$597,603	N/A	N/A
4	Thompson Central Park South 119 West 56th Street New York, NY 10019	Sep-24	587	1939/2022	$308,000,000	$524,702	8.10%	$42,501
5	1 Hotel Central Park 1414 6th Avenue New York, New York 10019	Jul-24	229	1924/2023	$265,000,000	$1,157,205	6.04%	$69,895
Subject	Moxy NYC Chelsea 105 West 28th Street New York, NY		350	2019				$68,731

Source: Independent market research performed by Capright

ANALYSIS OF COMPARABLE SALES

The most widely used, market-oriented unit of comparison for hotel properties of the subject type is the sale price per room. Adjustments have been made to the comparable sales for the following factors:

- *Property Rights:* Based on our research, all of the transactions included herein involved property rights that are similar to those being appraised. Therefore, no adjustments are required for this factor.

- *Financing Terms:* All of the comparable sale properties were either all cash transactions or involved typical financing terms. Therefore, no adjustments are warranted for this factor.

- *Conditions of Sale:* Based on our research, all of the sale comparables were arm's length transactions. Therefore, no adjustments for sale conditions were required within our analysis.

- *Market Conditions:* The comparable sales included herein transpired between July 2024 and October of 2025. The sales occurred under similar market conditions compared to the date of value. Therefore, no adjustments were required for market conditions to these sales.

- *Age/Quality/Condition:* Sale 1, Sale 3 and Sale 4 were inferior to the subject property with respect to age, quality and condition. A positive adjustment was applied to these sales. No adjustments were made to the remaining sales.

- *Property Size:* In general terms, hotels with a smaller room count tend to trade at a higher price per room. Sale 2 is a smaller hotel that was adjusted downward for property size. Sale 4 is a larger hotel that required an upward adjustment. No adjustments were made to the remaining sales.

- Amenities: Sale 2 has few amenities and requires a positive adjustment for amenities. No adjustments were made to the remaining sales.

- *Location:* All of the sales are located in New York City. However, Sale 5 is located in a submarket with a high concentration of commercial room night demand generators. As a result, this sale was adjusted downward slightly for location. No adjustments were made to the remaining sales.

Adjustment Grid: The adjustments made to the comparable sales are summarized in the following grid. In some cases, adjustments may be derived directly from quantifiable data. However, in most instances, the adjustments stem from the judgment of the appraiser.

SUMMARY OF IMPROVED SALES ADJUSTMENTS					
	Sale 1	Sale 2	Sale 3	Sale 4	Sale 5
Unadjusted Price/Room	$867,159	$814,159	$597,603	$524,702	$1,157,205
Property Rights	0%	0%	0%	0%	0%
Subtotal	$867,159	$814,159	$597,603	$524,702	$1,157,205
Financing Terms	0%	0%	0%	0%	0%
Subtotal	$867,159	$814,159	$597,603	$524,702	$1,157,205
Conditions of Sale	0%	0%	0%	0%	0%
Subtotal	$867,159	$814,159	$597,603	$524,702	$1,157,205
Market Conditions	0%	0%	0%	0%	0%
Subtotal	$867,159	$814,159	$597,603	$524,702	$1,157,205
Other Adjustments					
Physical Characteristics:					
- Age/Quality/Condition	5%	0%	30%	30%	0%
- Property Size	0%	-5%	0%	5%	0%
- Amenities	0%	15%	0%	0%	0%
Subtotal Physical:	5%	10%	30%	35%	0%
- Location	0%	0%	0%	0%	-10%
- Other	0%	0%	0%	0%	0%
Overall Adjustment	5%	10%	30%	35%	-10%
Value Indication for Subject	$910,517	$895,575	$776,884	$708,348	$1,041,485

Conclusion: On an adjusted basis, the comparable sales range from $708,348 to $1,041,485 per room. The average of the adjusted sale prices is approximately $866,562 per room. More emphasis was placed on Sale 1, Sale 2 and Sale 5, which required the least adjustment. Based on the above analysis, it is our opinion that the market value of the subject property is reasonably estimated at $925,000 per room, inclusive of FF&E and any intangible business assets. The Sales Comparison Approach value indication, therefore, is calculated as follows:

SALES COMPARISON APPROACH - VALUE INDICATION	
Total Number of Rooms	350
Value Estimate/Room	$925,000
Preliminary Value Indication	$323,750,000
Less: Cost to Stabilize	-$4,465,795
Value Indication	$319,284,205
Rounded	**$319,000,000**

We were instructed to estimate the As Is market value of the fee simple interest in the subject property. In analyzing the subject, all three methods to value were considered. The values estimated based on each approach considered applicable are summarized below.

VALUE CONCLUSION SUMMARY	
Income Capitalization Approach	$322,000,000
Sales Comparison Approach	$319,000,000
Cost Approach	N/A
Reconciled	**$322,000,000**

The Income Capitalization Approach is considered the most persuasive method for valuing the subject property. This approach is predicated on the principle of anticipated economic benefits and therefore best reflects the investment characteristics of the subject. Investors typically acquire properties such as the subject. Interviews with market participants indicate that investors value properties such as the subject most commonly using the discounted cash flow technique, thus this approach is considered most appropriate.

The Sales Comparison Approach is predicated on the principle that an investor would pay no more for an existing property than for a comparable property with similar utility, location, etc. This approach is contingent on the reliability and comparability of available data. In this case, the data developed was considered sufficiently reliable to reach a value conclusion by the Sales Comparison Approach. However, the reliability of this approach is hindered by the myriad of differences among complex properties of this type. For this reason, the Sales Comparison Approach is given secondary consideration in the reconciliation.

The Cost Approach is predicated on the principle that an investor would pay no more for an existing property than it would cost to acquire land and construct a building with similar utility. In this case, there was sufficient land sales activity to arrive at a market value estimate for the underlying site. The reliability of the Cost Approach is hindered, however, by the need to make substantial, often subjective, estimates of developer profit and accrued depreciation. More importantly, buyers in the current market do not typically rely on this method. Accordingly, this approach was not developed.

In arriving at a final value conclusion, the greatest weight was placed on the Income Capitalization Approach. The final value conclusion and the approaches relied upon give strong consideration to the market behavior of the typical buyer and current market environment for the subject property type.

Predicated on the research and analysis contained in this report, we conclude that the As Is market value of the fee simple interest in the MOXY NYC Chelsea, as of December 31, 2025, is:

THREE HUNDRED TWENTY-TWO MILLION DOLLARS
($322,000,000)

The above value estimate is subject to the following extraordinary assumptions and hypothetical conditions. The use of extraordinary assumptions and hypothetical conditions could affect assignment results.

Extraordinary Assumptions:

- **None**

Hypothetical Conditions:

- **None**

Real property value includes values attributed to both the land and improvements. Personal property value includes values attributed to furniture, fixtures, and equipment, as well as any other kind of tangible property that is not real property. Intangible property value includes nonphysical assets, such as franchises, trademarks and goodwill.

PERSONAL PROPERTY

A lodging facility's personal property consists of furnishings, fixtures, and equipment (FF&E). Personal property is an integral part of a lodging facility. Without furniture, fixtures, and equipment, a hotel could not operate its facilities and rent its guestrooms, and thus would not generate any income attributable to real property. Lodging facilities are generally sold with their furniture, fixtures, and equipment in place. The physical separation of personal property from real property in a hotel is a theoretical rather than a practical matter.

The depreciated replacement cost is often used to determine the market value of the furniture, fixtures, and equipment. No furniture, fixtures, and equipment (FF&E) appraisal was contracted as part of this assignment. Based on recent cost surveys and our interviews with active developers, the replacement cost for the tangible personal property of a full-service hotel typically averages $39,907 per guestroom. In order to estimate the depreciated value of the FF&E, we have again relied upon the Marshall Valuation Service depreciation schedule for fixtures and equipment. In this analysis, we have assumed a typical life expectancy and effective age estimate, based upon the weighted actual age of all FF&E. The resultant depreciated cost of the FF&E for each valuation date can be calculated as follows:

FF&E VALUE ALLOCATION		
Hotel Replacement Costs		
Type	Good	
No. of Rooms	350	
Cost Per Room	$40,000	$14,000,000
Depreciation		
Effective Age	6	
Economic Life	10	
Depreciation Rate	60.0%	-$8,400,000
Indicated FF&E Value		$5,600,000
Rounded		**$5,600,000**
Source: MVS; compiled by Capright		

INTANGIBLE VALUE

Hotels are undisputedly a combination of business and real estate: the day-to-day operation of a hotel represents a business over and above the real estate value. The estimate of value for the business interest component of the going concern value is considerably more subjective than the personal property value estimate. This is due to the intangible nature of the business interest.

Numerous theories have been developed over time in an attempt to isolate the business component of a hotel. When hotels were routinely leased to hotel operators, separating the income and value attributable to each component was a simple matter. However, during the 1970s, the hotel property leases were replaced with the hotel management contract.

It is widely accepted today that managing agents are hired by hotel owners to operate a property in return for a management fee. The fee is paid to the operator as an operating expense, and what remains is net income available to pay debt service and generate a return on the owner's equity. Purchasers of hotels as real estate investments are able to passively own the property by employing a managing agent.

The real and personal property components of the subject have already been valued in this appraisal, in isolation of any business component, through the deduction of market rate management and franchise fees. By making these deductions, we believe that there is no business value included in our conclusion of market value given previously.

VALUE ALLOCATION CONCLUSION

Based on the foregoing, the value allocation of the subject has been concluded as follows:

SUMMARY OF VALUE COMPONENTS	
Real Estate Value	$316,170,589
FF&E Value	$5,829,411
Intangible Value	$0
Total Concluded Value	**$322,000,000**

We, the undersigned, do hereby certify that, to the best of our knowledge and belief:

- The statements of fact contained in this report are true and correct.
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions are our personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- We have no present or prospective interest in the property that is the subject of this report and no personal interest with respect to the parties involved.
- We have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.
- Our engagement in this assignment was not contingent upon developing or reporting predetermined results.
- Our compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of the appraisal.
- Our analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice, the requirements of the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute. In addition, this report conforms to the requirements of the Financial Institution Reform, Recovery, and Enforcement Act (FIRREA).
- The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.
- We have performed services involving the subject property in the past three years.
- As of the date of this report, Jules H. Marling IV, MAI, CRE, FRICS and Nina A. Owen, MAI have completed the continuing education program for Designated Members of the Appraisal Institute.
- Nina A. Owen, MAI inspected the subject property on November 21, 2025. Jules H. Marling IV, MAI, CRE, FRICS did not inspect the subject property.
- No one provided significant professional assistance to the persons signing this report.
- Jules H. Marling IV, MAI, CRE, FRICS and Nina A. Owen, MAI have extensive experience in the appraisal/review of similar property types.

Respectfully submitted,

CAPRIGHT



Jules H. Marling IV, MAI, CRE, FRICS
Managing Principal
Certified General Real Estate Appraiser
New York License No. 46000048458
Expires October 28, 2027
jmarling@capright.com



Nina A. Owen, MAI
Managing Director
nowen@capright.com

1. **Title and Marketability**
   Unless otherwise expressly stated in this report, it is assumed that the title to the subject property or properties is clear, marketable, and free of encumbrances that could negatively affect value. Capright has not conducted a title search and makes no representations or warranties regarding title conditions. We have not reviewed documentation related to liens, encumbrances, easements, deed restrictions, or other title matters. Any determination of title condition should be made through a qualified title company. Capright assumes no private deed restrictions impacting the subject property's use unless explicitly stated in this report.

2. **Interest Valued**
   Unless otherwise stated, the appraised value reflects a 100% fee simple or leased fee interest in the subject property, free and clear of debt.

3. **Effective Date and Assumptions**
   This appraisal assumes that no material changes have occurred between the most recent property inspection and the effective date of value. In cases when no inspection has been conducted, it is assumed that the property's condition remains unchanged from the time it was communicated by ownership or its representatives to the effective date of value. Future changes in the condition of the property, market conditions, or regulatory environment may impact the valuation.

4. **Structural and Building Systems**
   Unless otherwise noted, it is assumed that the subject property or properties are structurally sound, compliant with all applicable building codes, and that all mechanical, electrical, plumbing, HVAC, and elevator systems are in good working order. No independent engineering, architectural, or environmental assessments have been conducted. Capright is not qualified to assess structural integrity or building systems. We recommend that buyers, lenders, and other parties obtain independent engineering reports. If subsequent findings reveal structural deficiencies or system failures, Capright reserves the right to amend the conclusions of this appraisal accordingly.

5. **Environmental and Hazardous Materials**
   This appraisal assumes that the subject property is free of hazardous materials, including but not limited to asbestos, mold, lead-based paint, urea formaldehyde, and contaminated groundwater. Capright has not conducted environmental testing and is not qualified to detect such substances. If hazardous materials are discovered, they may significantly impact the conclusions in this report. To determine if the subject property suffers from environmental contamination, we recommend an assessment be performed by a qualified professional.

6. **Zoning and Land Use Regulations**
   Unless otherwise noted, it is assumed that the subject property is in compliance with all current zoning ordinances and land use regulations. Unless explicitly stated, we assume no pending zoning changes that could affect the property's allowable uses or density.

7. **Americans with Disabilities Act (ADA) Compliance**
   Capright has not conducted an ADA compliance review. If the property does not comply with ADA requirements, this may impact its value. Users of this report should obtain an independent ADA compliance analysis if necessary.

8. **Mineral, Air, and Development Rights**
   Unless explicitly stated, this appraisal does not consider mineral, subsurface, air, or development rights as contributing value to the subject property.

9. **Accuracy of Provided Data**
   All factual data provided by the client, property owner, or their representatives are assumed to be accurate unless otherwise noted. This includes, but is not limited to, property size, building dimensions, rent rolls, income and expense data, and zoning information. Capright has not independently verified all provided information. Any material inaccuracies may impact the appraisal conclusions, and Capright reserves the right to amend this report if errors are identified post-delivery. Clients should review this report promptly and notify Capright of any discrepancies within 30 days of receipt.

10. **Third-Party Data and Market Information**
    All third-party data, including comparable market transactions, zoning information, and economic indicators, are assumed to be reliable. Capright has not independently verified this data unless specifically noted. Any reliance on such data should be independently assessed by the user.

11. **Financial Projections and Market Conditions**
    Any financial forecasts contained in this report are based on current market expectations and available information at the time of valuation. Actual future performance may differ due to unforeseen economic and market conditions. Capright makes no representations or guarantees regarding the realization of these projections.

12. **Report Use and Confidentiality**
    This report may not be reproduced, in whole or in part, without the written consent of Capright. Distribution is limited to the client, its attorneys, accountants, and regulatory agencies as required by law. This report shall not be publicly disseminated or used for securities offerings or promotional purposes without the express written consent of Capright. Third parties not identified as intended users have no right to use or rely on our appraisal.

13. **Litigation and Expert Testimony**
    Unless otherwise noted, this appraisal was not prepared for litigation purposes. Capright does not agree to provide testimony, pretrial consultations, or related services unless explicitly stated in writing in the engagement agreement for this appraisal.

14. **Investment Decisions**
    This appraisal does not constitute investment advice or a recommendation to buy, sell, or hold the subject property or a related security interest in the subject property. Investment decisions should consider broader financial, legal, and strategic factors beyond the scope of this report.

15. **Limit of Liability**
    Unless otherwise agreed upon in writing prior to the commencement of this assignment, the liability of Capright and its employees, agents, or subcontractors, is strictly limited to the fee received for this appraisal assignment. In no event shall the appraiser or the appraisal firm be liable for any indirect, special, incidental, consequential, or punitive damages, including but not limited to lost profits, lost opportunities, or claims by third parties. This limitation of liability applies regardless of the cause of action, whether in contract, tort, negligence, or otherwise.

16. **Intended Users**
    This report is intended for use by sophisticated real estate professionals familiar with real estate principles and valuation methodologies.

Extraordinary Assumptions:

- **None**

Hypothetical Conditions:

- **None**

ADDENDA

- **Legal Description**
- **Competitive Hotel Properties**
- **Comparable Hotel Sales**
- **Evidence of Licensure**
- **Professional Qualifications**

LEGAL DESCRIPTION

Stewart Title Insurance Company

SCHEDULE A
(Continued)

Title No.: MMTNY-134732 **Policy No.:** M-8912-001252646

LEGAL DESCRIPTION

As to old Lot 30:
All that certain plot, piece or parcel of land, with the buildings and improvements thereon erected, situate, lying and being in the Borough of Manhattan, County of New York, City and State of New York, bounded and described as follows:

BEGINNING at a point on the northerly side of West 28th Street, distant 142 feet 10 inches (Deed: 142 feet 11 inches) westerly from the corner formed by the intersection of the northerly side of West 28th Street with the westerly side of Avenue of the Americas;

RUNNING THENCE northerly and parallel with the westerly side of Avenue of the Americas a distance of 98 feet 9 inches to a point on the center line of the block between West 28th Street and West 29th Street;

THENCE westerly along the center line of said block between West 28th Street and West 29th Street and parallel with the northerly side of West 28th Street a distance of 21 feet 5 inches (deed), 21 feet 4 3/7 inches (survey), to a point;

THENCE southerly and parallel with the westerly side of Avenue of the Americas and part of the distance through a party wall a distance of 98 feet 9 inches to a point on the northerly side of West 28th Street;

THENCE easterly along the northerly side of West 28th Street, 21 feet 5 inches (deed), 21 feet 4 3/7 inches (survey), to the point or place of BEGINNING.

As to old Lot 31:

ALL that certain plot, piece or parcel of land, situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows:

BEGINNING at a point on the northerly side of West 28th Street, therein distant 121 feet 5 inches westerly from the corner formed by the intersection of the northerly side line of West 28th Street with the westerly sideline of Avenue of the Americas;

RUNNING THENCE northerly and parallel with the westerly side line of Avenue of the Americas and part of the distance through a party wall, a distance of 98 feet, 9 inches to a point on the center of the block;

THENCE along the center line of said block parallel with the northerly side line of West 28th Street a distance of 21 feet 5 inches to a point;

THENCE southerly and parallel with the westerly side line of Avenue of the Americas and part of the distance through a party wall, a distance of 98 feet, 9 inches to a point on the northerly side line of West 28th Street;

THENCE easterly along the northerly side line of West 28th Street 21 feet 5 inches to the point or place of BEGINNING.

As to old Lot 32:

ALL that certain plot, piece or parcel of land, situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows:

BEGINNING at a point on the northerly side line of West 28th Street, therein distant 100 feet westerly from the corner formed by the intersection of the northerly side line of West 28th Street with the westerly sideline of Avenue of the Americas;

RUNNING THENCE northerly and parallel with the westerly side line of Avenue of the Americas, a distance of 98 feet, 9 inches to a point on the center of the block;

THENCE westerly along the center line of said block parallel with the northerly side line of West 28th Street a distance of 21 feet 5 inches to a point;

THENCE southerly and parallel with the westerly side line of Avenue of the Americas and part of the distance through a party wall, a distance of 98 feet, 9 inches to a point on the northerly side line of West 28th Street;

THENCE easterly along the northerly side line of West 28th Street 21 feet 5 inches to the point or place of BEGINNING.

Together with the benefits and subject to the burdens of Construction Access and Easement Agreement in CRFN 2015000127596

Being further known and described as follows:

All that certain plot, piece or parcel of land, situate, lying and being in the Borough of Manhattan, County, City and State of New York, bounded and described as follows:

BEGINNING at a point on the northerly side line of West 28th Street, therein distant 100 feet westerly from the corner formed by the intersection of the northerly side of West 28th Street with the westerly sideline of Avenue of the Americas;

RUNNING THENCE northerly parallel with the westerly side line of Avenue of the Americas, a distance of 98.75 feet (98 feet, 9 inches) to a point on the center of the block;

THENCE westerly along the center line of said block parallel with the northerly side line of West 28th Street a distance of 64.20 feet (64 feet 2-3/8 inches) to a point;

THENCE southerly and parallel with the westerly side of Avenue of the Americas and part of the distance through a party wall a distance of 98.75 feet (98 feet 9 inches) to a point on the northerly side of West 28th Street;

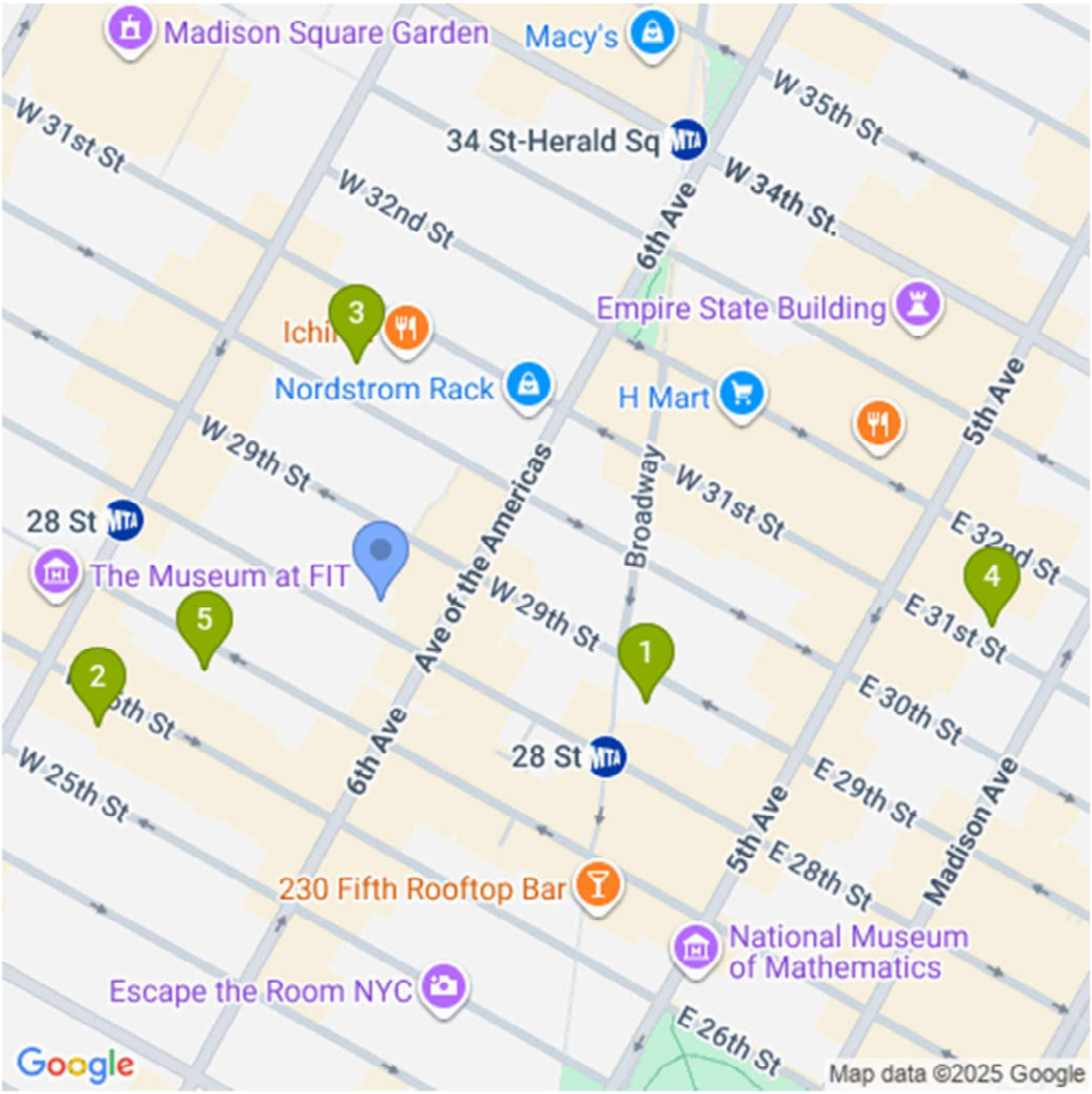
THENCE easterly along the northerly side line of West 28th Street 64.20 feet (64 feet 2-3/8 inches) to the point or place of BEGINNING.

NOTE: Being Block(s) 804, Lot(s) 32, Tax Map of the Borough of New York, County of New York.

NOTE: Lot and Block shown for informational purposes only.

COMPETITIVE HOTEL PROPERTIES

Hotel Map



	Asset	Address	City	State
Subject	MOXY NYC Chelsea	105 West 28th Street	New York	New York
1	Ace Hotel New York	20 West 29th Street	New York	New York
2	Hilton New York Fashion District	152 West 26th Street	New York	New York
3	Courtyard New York Manhattan Chelsea	135 West 30th Street	New York	New York
4	ArLo NoMad	11 East 31st Street	New York	New York
5	Innside by Melia NoMad	132 West 27th Street	New York	New York

Hotel Asset 1 - Ace Hotel New York

Asset Location



Asset:	Ace Hotel New York
Asset ID:	3353980
Asset Type:	Hotel
Flag:	Ace Hotel
Address:	20 West 29th Street
City:	New York
State:	New York
County:	New York County
Zip:	10001
Country:	USA
Latitude / Longitude:	40.745703/-73.988360
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	155,735 SF
Available Rooms:	286
Meeting Space SF:	4,000 SF
Land Area:	20,244 SF
Land Area Acres:	0.46 Acres
Land to Asset Ratio:	0.13 : 1

Asset Information

Delivery Status:	Built
Year Built:	1904
Renovations:	2008
Hotel Type:	Full Service
Tax ID / APN:	Multiple

Asset Features

Number of Buildings:	1
Floors:	12

Amenities:	Property amenities include a restaurant with a bar, approximately 3,400 square feet of meeting space, and a fitness center.

Hotel Asset 2 - Hilton New York Fashion District



Asset Location

Asset:	Hilton New York Fashion District
Asset ID:	736960
Asset Type:	Hotel
Flag:	Hilton
Address:	152 West 26th Street
City:	New York
State:	New York
County:	New York County
Zip:	10001
Country:	USA
Latitude / Longitude:	40.745518/-73.993750
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	245,095 SF
Available Rooms:	280
Meeting Space SF:	1,140 SF
Land Area:	9,826 SF
Land Area Acres:	0.23 Acres
Land to Asset Ratio:	0.08 : 1

Asset Information

Year Built:	2010
Class:	B
Hotel Type:	Full Service
Tax ID / APN:	0801-0071

Asset Features

Number of Buildings:	1
Floors:	1
Construction Type:	Concrete

Hotel Asset 2 - Hilton New York Fashion District

Amenities:	Property amenities include a restaurant, approximately 1,140 square feet of meeting space, a business center, and a fitness center.

Hotel Asset 3 - Courtyard New York Manhattan Chelsea

Asset Location



Asset:	Courtyard New York Manhattan Chelsea
Asset ID:	914352786
Asset Type:	Hotel
Flag:	Marriott
Address:	135 West 30th Street
City:	New York
State:	New York
County:	New York County
Zip:	10001
Country:	USA
Latitude / Longitude:	40.748226/-73.991200
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	121,000 SF
Available Rooms:	273
Meeting Space SF:	397 SF
Land Area:	10,018 SF
Land Area Acres:	0.23 Acres
Land to Asset Ratio:	0.08 : 1

Asset Information

Delivery Status:	Built
Year Built:	2013
Hotel Type:	Select Service
Owner:	Altitude Capital

Asset Features

Number of Buildings:	1
Floors:	20

Hotel Asset 3 - Courtyard New York Manhattan Chelsea

Amenities:	Property amenities include a restaurant with a bar, approximately 397 square feet of meeting space, a fitness center, and a business center.

Hotel Asset 5 - Innside by Melia NoMad

Asset Location



Asset:	ArLo NoMad
Asset ID:	914352854
Asset Type:	Hotel
Flag:	ARLO Hotels
Address:	11 East 31st Street
City:	New York
State:	New York
County:	New York County
Zip:	10016
Country:	USA
Latitude / Longitude:	40.746269/-73.984943
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	89,753 SF
Available Rooms:	249
Meeting Space SF:	1,800 SF
Land Area:	4,791 SF
Land Area Acres:	0.11 Acres
Land to Asset Ratio:	0.05 : 1

Asset Information

Delivery Status:	Built
Year Built:	2016
Hotel Type:	Full Service
Owner:	Eagle Point Hotel Partners

Asset Features

Number of Buildings:	1
Floors:	37
Amenities:	Property amenities include a restaurant with a bar, approximately 1,800 square feet of meeting space, a fitness center, and a business center.

Hotel Asset 5 - Innside by Melia NoMad

Asset Location



Asset:	Innside by Melia NoMad
Asset ID:	914352917
Asset Type:	Hotel
Flag:	Melia Hotels International
Address:	132 West 27th Street
City:	New York
State:	New York
County:	New York County
Zip:	10001
Country:	USA
Latitude / Longitude:	40.745941/-73.992698
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	147,220 SF
Available Rooms:	313
Meeting Space SF:	1,689 SF
Land Area:	11,761 SF
Land Area Acres:	0.27 Acres
Land to Asset Ratio:	0.08 : 1

Asset Information

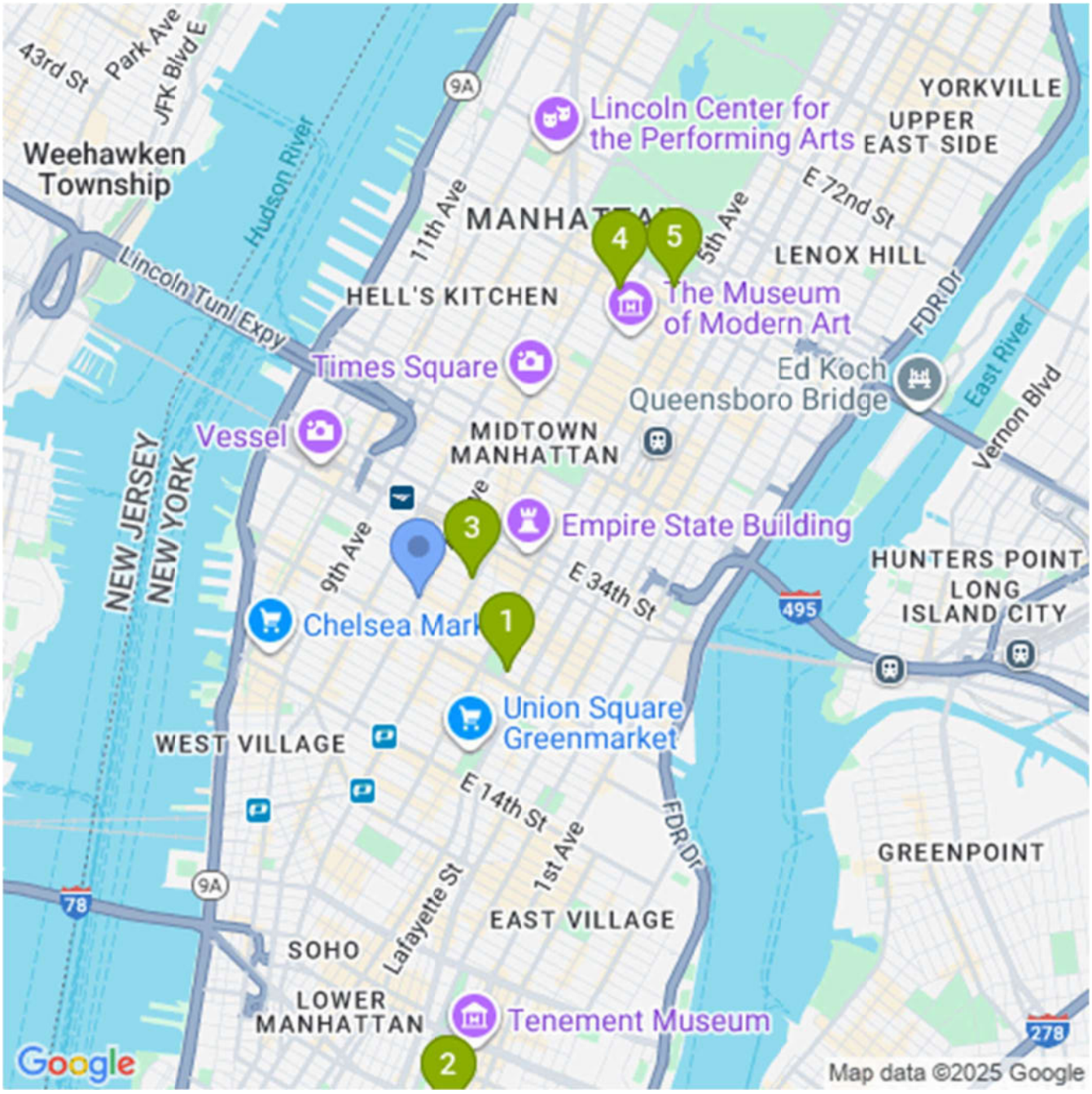
Delivery Status:	Built
Year Built:	2016
Owner:	Artimus Construction

Asset Features

Number of Buildings:	1
Floors:	21
Amenities:	Property amenities include a restaurant with an on-site bar, approximately 700 square feet of meeting space and a fitness center.

COMPARABLE HOTEL SALES

Hotel Sale Map



	Asset	Address	City	State
Subject	MOXY NYC Chelsea	105 West 28th Street	New York	New York
1	New York Edition	5 Madison Avenue	New York	New York
2	Nine Orchard	9 Orchard St	New York	New York
3	Kimpton Hotel Eventi	851 6th Avenue	New York	New York
4	Thompson Central Park NY	119 W 56th St	New York	New York
5	1 Hotel Central Park	1414 Sixth Ave	New York	New York

Hotel Sale 1 - New York Edition

Asset Location



Asset:	New York Edition
Asset ID:	3348546
Asset Type:	Hotel
Flag:	Edition
Address:	5 Madison Avenue
City:	New York
State:	New York
County:	New York
Zip:	10010
Country:	USA
Latitude / Longitude:	40.741234/-73.987366
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	248,199 SF
Available Rooms:	271
Meeting Space SF:	2,100 SF
Land Area:	83,897 SF
Land Area Acres:	1.93 Acres
Land to Asset Ratio:	0.34 : 1

Asset Information

Delivery Status:	Built
Year Built:	1909
Renovations:	2015
Hotel Type:	Full Service
Tax ID / APN:	1-0853-1

Asset Features

Number of Buildings:	1
Floors:	41

Hotel Sale 1 - New York Edition

Amenities:	Asset amenities include a restaurant, two bars, approximately 2,100 square feet of meeting space, a spa, a fitness center, and a game room.

Sale Details

Asset:	New York Edition
Sale Date:	10/09/2025
Buyer:	Kam Sang Co.
Seller:	Abu Dhabi Investment Authority
Sale Price:	$235,000,000
Price Qualifier:	Confirmed
Asset Size:	248,199 SF
Available Rooms:	271
Sale Per SF:	$946.82
Sale Price Per Room:	$867,159
Transaction Source:	Public Records

Hotel Sale 2 - Nine Orchard

Asset Location



Asset:	Nine Orchard
Asset ID:	1205750298
Asset Type:	Hotel
Flag:	Leading Hotels
Address:	9 Orchard St
City:	New York
State:	New York
County:	New York
Zip:	10002
Country:	USA
Latitude / Longitude:	40.714783/-73.992061
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	60,000 SF
Available Rooms:	113
Meeting Space SF:	4,720 SF
Land Area:	4,796 SF
Land Area Acres:	0.11 Acres
Land to Asset Ratio:	0.08 : 1

Asset Information

Delivery Status:	Built
Year Built:	1913
Renovations:	2022
Hotel Type:	Full Service
Tax ID / APN:	Multiple

Asset Features

Number of Buildings:	1
Floors:	13

Hotel Sale 2 - Nine Orchard

Sale Details

Asset:	Nine Orchard
Sale Date:	08/20/2025
Sale Status:	Closed
Buyer:	MML Hospitality
Seller:	DLJ RECP
Broker 1:	Eastdil Secured
Sale Price:	$92,000,000
Price Qualifier:	Confirmed
Asset Size:	60,000 SF
Available Rooms:	113
Sale Per SF:	$1,533.33
Sale Price Per Room:	$814,859
Sold Land Area Acres:	0.11 Acres
Sold Land Area SF:	4,796 SF
Percent Interest Sold:	100 %

Hotel Sale 3 - Kimpton Hotel Eventi

Asset Location



Asset:	Kimpton Hotel Eventi
Asset ID:	1173487082
Asset Type:	Hotel
Flag:	Kimpton
Address:	851 6th Avenue
City:	New York
State:	New York
County:	New York
Zip:	10001
Country:	USA
Latitude / Longitude:	40.746861/-73.990192
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	333,436 SF
Available Rooms:	292
Meeting Space SF:	20,000 SF
Land Area:	37,897 SF
Land Area Acres:	0.87 Acres
Land to Asset Ratio:	0.11 : 1

Asset Information

Delivery Status:	Built
Year Built:	2008
Hotel Type:	Full Service
Tax ID / APN:	Multiple

Asset Features

Property Amenities:	Property amenities include two restaurants, a bar, approximately 20,000 square feet of meeting space, and a fitness center. A curated art collection is on view throughout the hotel.
Number of Buildings:	1

Hotel Sale 3 - Kimpton Hotel Eventi

Floors:	23

Sale Details

Asset:	Kimpton Hotel Eventi
Sale Date:	05/01/2025
Buyer:	Blackstone Group Inc.
Seller:	DLJ Real Estate Capital Partners; JD Carlisle Development
Sale Price:	$174,500,000
Asset Size:	333,436 SF
Available Rooms:	292
Sale Per SF:	$523.34
Sale Price Per Room:	$597,603

Hotel Sale 4 - Thompson Central Park NY

Asset Location



Asset:	Thompson Central Park NY
Asset ID:	1049803124
Asset Type:	Hotel
Flag:	Thompson Hotels
Address:	119 W 56th St
City:	New York
State:	New York
County:	New York
Zip:	10019
Country:	USA
Latitude / Longitude:	40.764217/-73.978455
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	446,967 SF
Available Rooms:	587
Land Area:	22,092 SF
Land Area Acres:	0.51 Acres
Land to Asset Ratio:	0.05 : 1

Asset Information

Delivery Status:	Built
Year Built:	1939
Renovations:	2022
Hotel Type:	Full Service
Tax ID / APN:	Multiple

Asset Features

Number of Buildings:	1
Floors:	42

Hotel Sale 4 - Thompson Central Park NY

Sale Details

Asset:	Thompson Central Park NY
Sale Date:	09/16/2024
Sale Status:	Closed
Buyer:	Gencom Group
Seller:	GFI Capital Resources,Elliott Management
Broker 1:	Eastdil Secured
Sale Price:	$308,000,000
Price Qualifier:	Confirmed
Asset Size:	446,967 SF
Available Rooms:	587
Sale Per SF:	$689.09
Sale Price Per Room:	$524,702
Sold Land Area Acres:	0.51 Acres
Sold Land Area SF:	22,092 SF
Percent Interest Sold:	100 %

Hotel Sale 5 - 1 Hotel Central Park



Asset Location

Asset:	1 Hotel Central Park
Asset ID:	1020001637
Asset Type:	Hotel
Flag:	1 Hotels
Address:	1414 Sixth Ave
City:	New York
State:	New York
County:	New York
Zip:	10019
Country:	USA
Latitude / Longitude:	40.764758/-73.976541
CBSA:	New York-Newark-Jersey City, NY-NJ-PA
Region:	Northeast

Area Information

Asset Size:	109,908 SF
Available Rooms:	229
Meeting Space SF:	2,000 SF
Land Area:	7,125 SF
Land Area Acres:	0.16 Acres
Land to Asset Ratio:	0.06 : 1

Asset Information

Delivery Status:	Built
Year Built:	1924
Renovations:	2023
Hotel Type:	Full Service
Tax ID / APN:	12730071

Asset Features

Number of Buildings:	1
Floors:	18

Hotel Sale 5 - 1 Hotel Central Park

Sale Details

Asset:	1 Hotel Central Park
Sale Date:	06/30/2024
Sale Status:	Closed
Buyer:	Host Hotels & Resorts
Seller:	Starwood Capital
Sale Price:	$265,000,000
Price Qualifier:	Confirmed
Asset Size:	109,908 SF
Available Rooms:	229
Sale Per SF:	$2,411.11
Sale Price Per Room:	$1,157,205
Sold Land Area Acres:	0.16 Acres
Sold Land Area SF:	7,125 SF
Percent Interest Sold:	100 %

EVIDENCE OF LICENSURE

UNIQUE ID NUMBER
46000048458

State of New York
Department of State
DIVISION OF LICENSING SERVICES

FOR OFFICE USE ONLY
Control No. 1579569

EFFECTIVE DATE
MO. 10 | DAY 29 | YR. 25

EXPIRATION DATE
MO. 10 | DAY 28 | YR. 27

PURSUANT TO THE PROVISIONS OF ARTICLE 6E OF THE EXECUTIVE LAW AS IT RELATES TO R. E. APPRAISERS.

MARLING JULES H IV
C/O CAPRIGHT PROPERTY ADVISORS
401 N MICHIGAN AVE
STE 1750
CHICAGO, IL 60611

HAS BEEN DULY CERTIFIED TO TRANSACT BUSINESS AS A R. E. GENERAL APPRAISER

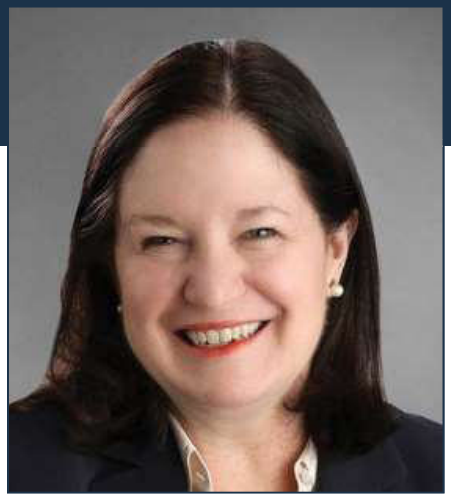
In Witness Whereof, The Department of State has caused its official seal to be hereunto affixed.

WALTER T. MOSLEY
SECRETARY OF STATE

DOS-1098 (Rev. 3/01)

PROFESSIONAL QUALIFICATIONS

NINA A. OWEN
MAI



+1 (312) 550-1696

nowen@capright.com

www.capright.com

401 North Michigan Avenue
Suite 1750
Chicago, IL 60611

Education

Cornell University
Ithaca, New York

- Master of Professional Studies - Real Estate Finance

Bryn Mawr College
Bryn Mawr, Pennsylvania

- BA - Art History

State Licenses

- Certified General Real Estate Appraiser (Numerous States)

CAPRIGHT
DELIVERING TRANSPARENCY

MANAGING DIRECTOR

Nina Owen, Managing Director with Capright, is the firm's hospitality practice leader.She brings over 25 years of experience in hospitality valuation and consulting, as well as hotel operating experience, to her role. Ms. Owen is one of the nation's leading experts on the valuation of hospitality assets including hotels, resorts, golf courses, marinas, waterparks, and casinos. In addition to valuation services, she has extensive experience with consulting engagements including value enhancement studies, feasibility studies, due diligence and litigation support.

Prior to joining Capright, Ms. Owen spent a significant portion of her career in the valuation and advisory practices of Cushman & Wakefield and CBRE where she completed assignments for a range of institutional, corporate, and individual clients for purposes of financial reporting, mortgage financing, acquisition and deposition, tax appeal, and purchase price allocation.

Ms. Owen is an active member of the Cornell Real Estate Council (CREC) and the Commercial Real Estate Women (CREW) Network. A respected thought leader in her practice area, she has authored several important articles and whitepapers and is a highly sought speaker for industry events.

Affiliations

Appraisal Institute

- Designated Member of the Appraisal Institute (MAI)

CREW Network

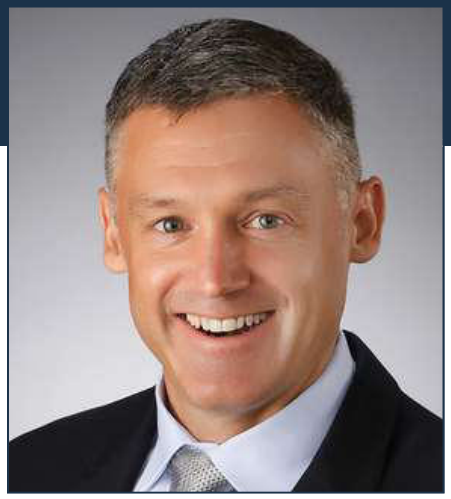
- Member, Hospitality & Leisure Council 2024 & 2025
- Member, Communications & Editorial Committee 2023
- Chair, Industry Research Committee 2022

Publications

- Hotel REIT Update

JULES “JAY” H. MARLING IV
MAI, CRE, FRICS

CEO & MANAGING PRINCIPAL



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Chicago, IL 60611

Jules “Jay” Marling, CEO, Managing Principal, and Founder of Capright, has been active in the commercial real estate industry since 1993. Mr. Marling has personally completed or overseen valuation assignments exceeding $1 trillion in aggregate asset value across the United States. His work spans all major commercial property types and serves a broad spectrum of institutional clients, including pension funds, trusts, corporations, lenders, and legal counsel.

Beyond valuation, Mr. Marling provides strategic consulting services in areas such as due diligence, feasibility analysis, property tax appeals, condominium conversions, redevelopment planning, and litigation support. His thought leadership includes published white papers and articles in top industry publications, along with frequent speaking engagements at industry events.

Mr. Marling also leads extensive valuation and consulting engagements throughout Latin America. Fluent in Portuguese and conversant in Spanish, he and his team of multilingual, multicultural professionals have pioneered modern valuation practices and International Valuation Standards (IVS) and International Financial Reporting Standards (IFRS) compliance for real estate funds operating in Brazil, Mexico, and Colombia. In 2015, Mr. Marling founded SiiLA™, now the most popular platform for commercial real estate news, data, and market analysis in Latin America.

Throughout his career, Mr. Marling has developed several cutting-edge real estate technology solutions, including Mango REIX™, a leading valuation compliance platform designed to enhance accuracy, efficiency, and transparency. This platform has played a pivotal role in enabling the creation of innovative commercial real estate investment vehicles that require high-frequency valuations.

Education

University of Chicago
Booth School of Business
Chicago, Illinois

- MBA - Finance and Economics

Northwestern University
College of Arts & Sciences
Evanston, Illinois

- BA - Philosophy
- Magna Cum Laude and Departmental Honors
- Admitted to Phi Beta Kappa and Golden Key National Honor Society

CAPRIGHT
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Affiliations

REIX Corporation (parent company of SiiLA™ and Mango REIX™)

- Chairman of the Board of Directors

Appraisal Institute

- Designated Member of the Appraisal Institute (MAI)

The Counselors of Real Estate

- Counselor of Real Estate (CRE)

Royal Institution of Chartered Surveyors

- Fellow (FRICS)

National Council of Real Estate Investment Fiduciaries (NCREIF)

- Past Chair of the Valuation Committee

State Licenses

- Real Estate Broker in Illinois
- Certified General Real Estate Appraiser (Numerous States)

CAPRIGHT

DELIVERING TRANSPARENCY



Comprehensive Valuation and Advisory Services

OUR ADVANTAGES

- Truly independent and unbiased
- A team with the highest level of technical skills in the marketplace
- Centralized operating structure that guarantees consistent work product
- Proprietary data, systems and technology
- Dedicated research team
- Operating in all major markets throughout the US and Latin America

WHY CHOOSE US?

- Highest quality third-party services
- Free from conflicts of interest
- Consistent, timely, and tailored work product

WHAT WE DO

- Valuation
- Advisory
- Debt Mark-to-Market
- NAV Calculation
- Portfolio Valuation
- Financial Reporting
- Compliance Review & Audit Assistance
- Managed Services
- Litigation Support
- Purchase Price Allocation
- + more

PROPERTY TYPES

- Office
- Hotels
- Life Science
- Medical Office
- Single-Family Rental
- Data Centers
- Multifamily
- Industrial/IOS
- Self-Storage
- Shopping Centers
- Student Housing
- + more

MEET THE TEAM

Capright has the most qualified staff in the industry. Our professionals include those with MAI (Appraisal Institute), ASA (American Society of Appraisers), FRICS and MRICS (Royal Institution of Chartered Surveyors), and CRE® (Counselors of Real Estate) designations.

CONTACT US

www.capright.com

info@capright.com

March 25, 2026

LIGHTSTONE ENTERPRISES LIMITED

Re. Valuation Report

Dear Sirs,

We, Marshall & Stevens Incorporated, hereby grant our consent to Lightstone Enterprises Limited (hereinafter: the "**Company**") to the inclusion of the appraisal report described below within the Company's Consolidated Financial Statements as of December 31, 2025 to be published in March 2026 on the Tel Aviv Stock Exchange.

Property Name	***Date of Appraisal Update Report***	***Date of which the Appraisal Update Report was signed***
Moxy Times Square	December 31, 2025	March 25, 2026

Best Regards,



Patrick T. Craig, MAI, MRICS
Principal, Executive Managing Director
Marshall & Stevens Inc.



Appraisal of Real Property

MOXY NYC Times Square

485 Seventh Avenue
New York, NY 10018

As of December 31, 2025



Prepared For
Lightstone Enterprises, Ltd.

Prepared By
Marshall & Stevens Incorporated
Real Estate Valuation Group
350 Fifth Avenue, Suite 3920
New York, NY 10118

M&S File ID: 10-11-36-64368

Transmittal Letter

March 23, 2026 File Reference: 10-11-36-64368

Mr. Seth Molod
Lightstone Enterprises, Ltd.
299 Park Avenue
New York, NY 10171

Re: Appraisal of Real Property
MOXY NYC Times Square
485 Seventh Avenue
New York, NY 10018

Dear Mr. Molod:

In accordance with your request, we are pleased to submit this Appraisal Report presenting our valuation of the fee simple interest in the real property known as MOXY NYC Times Square also referred to herein as (the "Subject Property").

The subject is a 16-story New York City landmarked building located on the northeast corner of Seventh Avenue and West 36th Street, on a site measuring 17,214 square feet (0.40 acres). As of the date of value, the subject is a 612-key, select service, hotel building completed in 2017. The hotel also contains a TAO restaurant, a lobby bar, and rooftop bar, measuring 15,000 square feet overall. Other amenities include a fitness center, guest lounge and approximately 810 square feet of meeting space spread across 3 meeting rooms. The subject site is located in the M1-6 zoning district, which dictates an as-of-right FAR of 10.0.

The purpose of this appraisal is to estimate the fair value of the Subject Property. The effective date of the appraisal is December 31, 2025. The intended user of the appraisal report is Lightstone Enterprises, Ltd. and the report is not intended to be used by any other user. The intended use of the appraisal is for use in a potential bond offering on the TASE (Tel Aviv Stock Exchange) by Lightstone Enterprises, Ltd.. This appraisal may be invalid if used for any other purpose.

This appraisal report has been prepared in accordance with our interpretation of your institution's guidelines, Title XI of the Financial Institutions Reform, Recovery, and Enforcement Act of 1989 (FIRREA), and the Uniform Standards of Professional Appraisal Practice (USPAP).

Fair Value As Is

Based on the Scope of Work agreed to with the client, and as outlined in the report, we developed an opinion that the Fair Value of the Fee Simple interest in the above property, subject to the assumptions and limiting conditions, certifications, extraordinary assumptions and hypothetical conditions, if any, and definitions, "As Is" on December 31, 2025, was:

FOUR HUNDRED SEVENTY SEVEN MILLION DOLLARS

$477,000,000

The value opinion in this report is qualified by certain assumptions and limiting conditions, certifications, and definitions. We particularly call your attention to the extraordinary assumptions and hypothetical conditions listed below.

Extraordinary Assumptions

In this report, we did not use any extraordinary assumptions.

Hypothetical Conditions

In this report, we did not use any hypothetical conditions.

This letter is invalid as an opinion of value if detached from the report, which contains the text, exhibits, and Addenda.

Respectfully submitted,

MARSHALL & STEVENS INCORPORATED

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ASSIGNMENT INFORMATION	
Report Type:	Appraisal Report
Interest Appraised:	Fee Simple
Date of Value:	12/31/25
Date of Report:	3/23/26
M&S File Reference:	10-11-36-64368

PROPERTY INFORMATION	
Common Property Name:	MOXY NYC Times Square
Address:	485 Seventh Avenue
City:	New York
State:	NY
County:	New York
Land Area SF:	17,214
Land Area Acres:	0.40
Site Utility:	Average
Site Topography:	Level at street grade
Site Shape:	Irregularly shaped

BUILDING INFORMATION	
Property Type:	Lodging & Hospitality
Number of Buildings:	1
Gross Building Area:	257,280 SF
Net Rentable Area:	168,450 SF
Number of Stories:	16
Quality:	Excellent
Condition:	Excellent
Year Built:	1906
Year Completed:	2017
Land to Building Ratio:	0.07:1
No. of Rooms	612
Average Room Size	275

HIGHEST & BEST USE	
As Vacant:	A hotel use built to its maximum feasible building area
As Improved:	A hotel building as is currently improved

VALUATION INDICES	Fair Value As Is
SALES COMPARISON APPROACH	
Indicated Value:	$477,000,000
Per Room:	$779,412
INCOME CAPITALIZATION APPROACH	
Discounted Cash Flow	
Holding Period:	10 Years
Projection Period:	11 Years
Terminal Capitalization Rate:	7.00%
Internal Rate of Return:	7.25%
Indicated Value:	$477,000,000
Per Room:	$779,412
FINAL VALUE CONCLUSION	
Concluded Value:	$477,000,000
Per Room:	$779,412



Source: Google Earth



Subject Exterior, October 21, 2019



Hotel Entrance, October 21, 2019



Seventh Avenue Facing North, October 21, 2019



Seventh Avenue Facing South, October 21, 2019



West 36th Street Facing East, October 21, 2019



West 36th Street Facing West, October 21, 2019



Hotel Lobby/Check-In Area, October 21, 2019



Typical Hallway Finishes, October 21, 2019



Standard King Room Finishes (Room 1731), October 21, 2019



Standard King Room Bathroom Finishes (Room 1731), October 21, 2019



Standard Quad-Bunk Finishes (Room 1738), October 21, 2019



Standard Quad-Bunk Bathroom Finishes (Room 1738), October 21, 2019



Standard Queen Finishes (Room 1740), October 21, 2019



Standard Queen Bathroom Finishes (Room 1740), October 21, 2019



Queen Loft Room Finishes (Room 1741), October 21, 2019



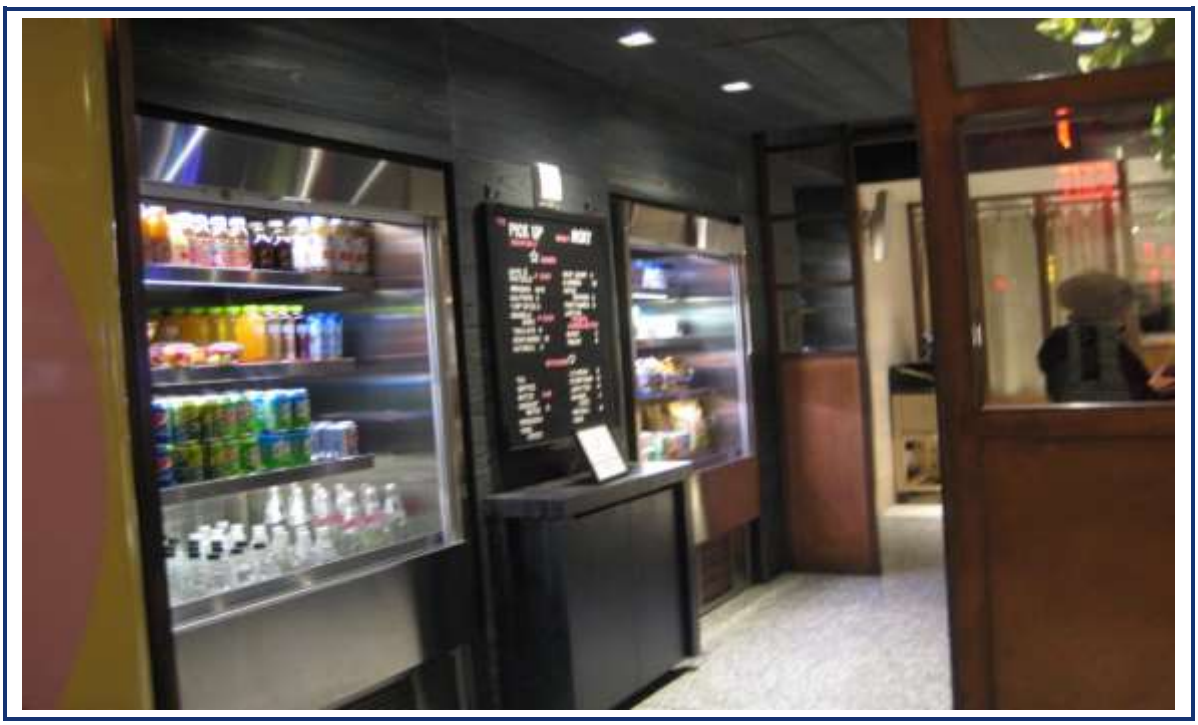
Queen Loft Bathroom Finishes (Room 1741), October 21, 2019



Legasea Restaurant, October 21, 2019



Bar Moxy, October 21, 2019



The Pickup, October 21, 2019



Egghead, October 21, 2019



Magic Hour Eastern Terrace, October 21, 2019



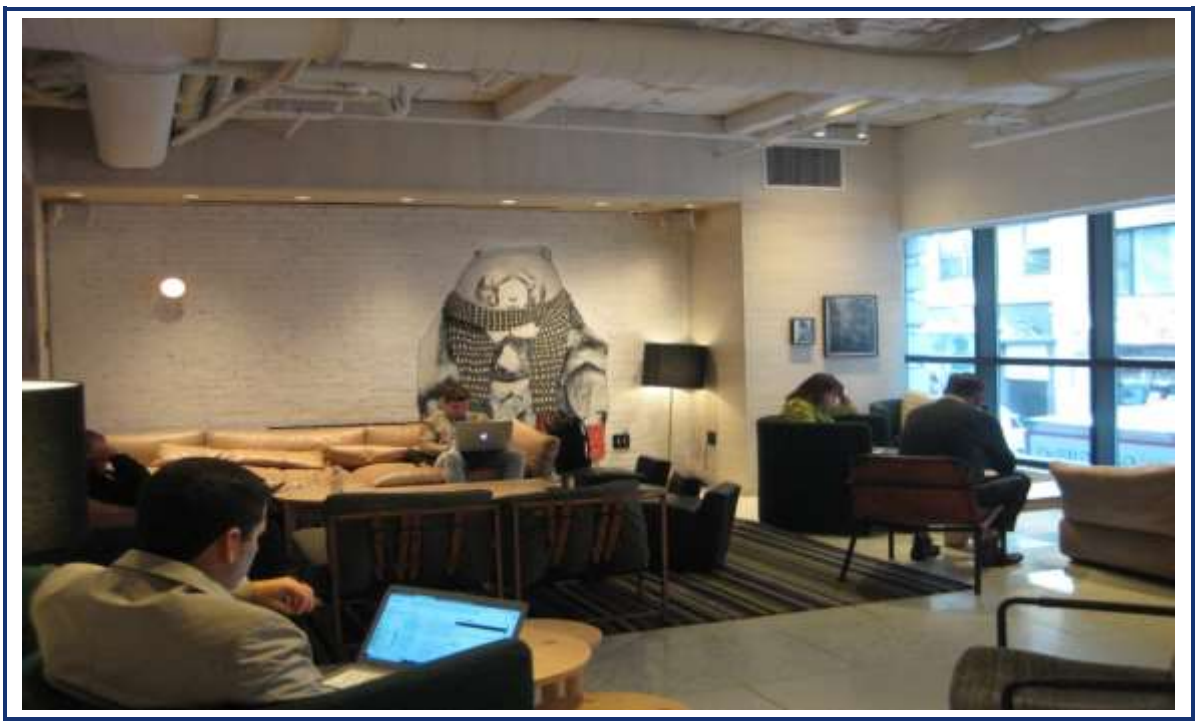
Magic Hour Elephant Room, October 21, 2019



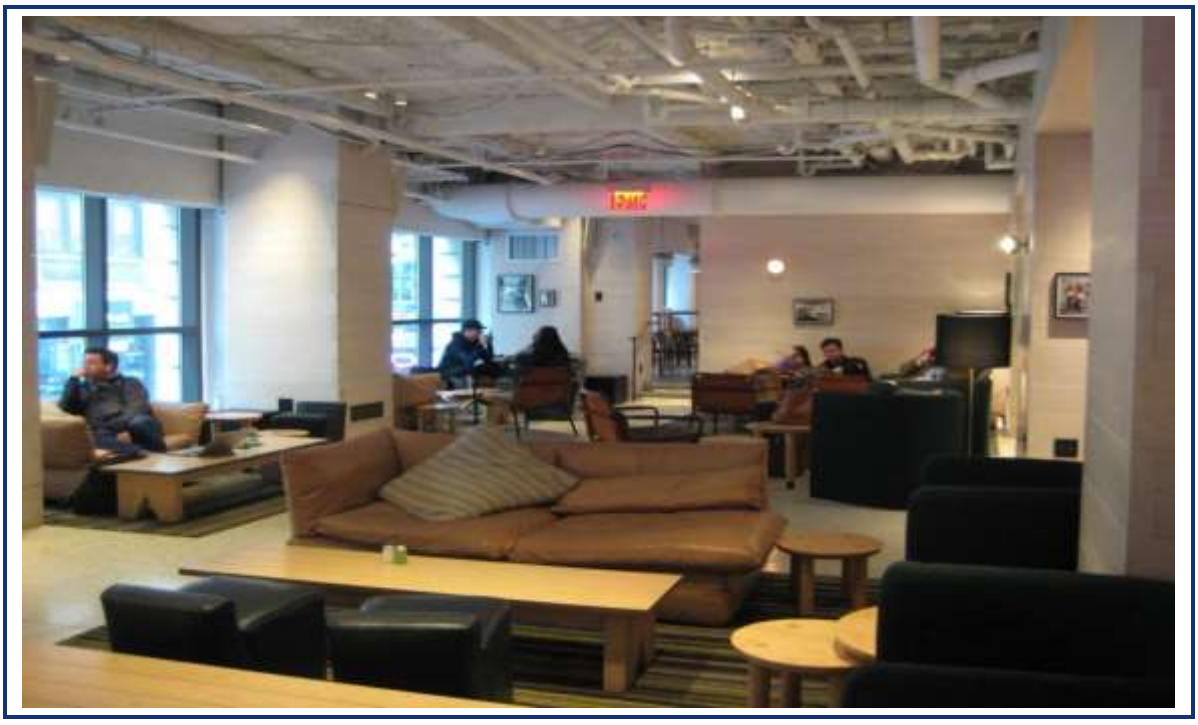
Magic Hour Western Terrace, October 21, 2019



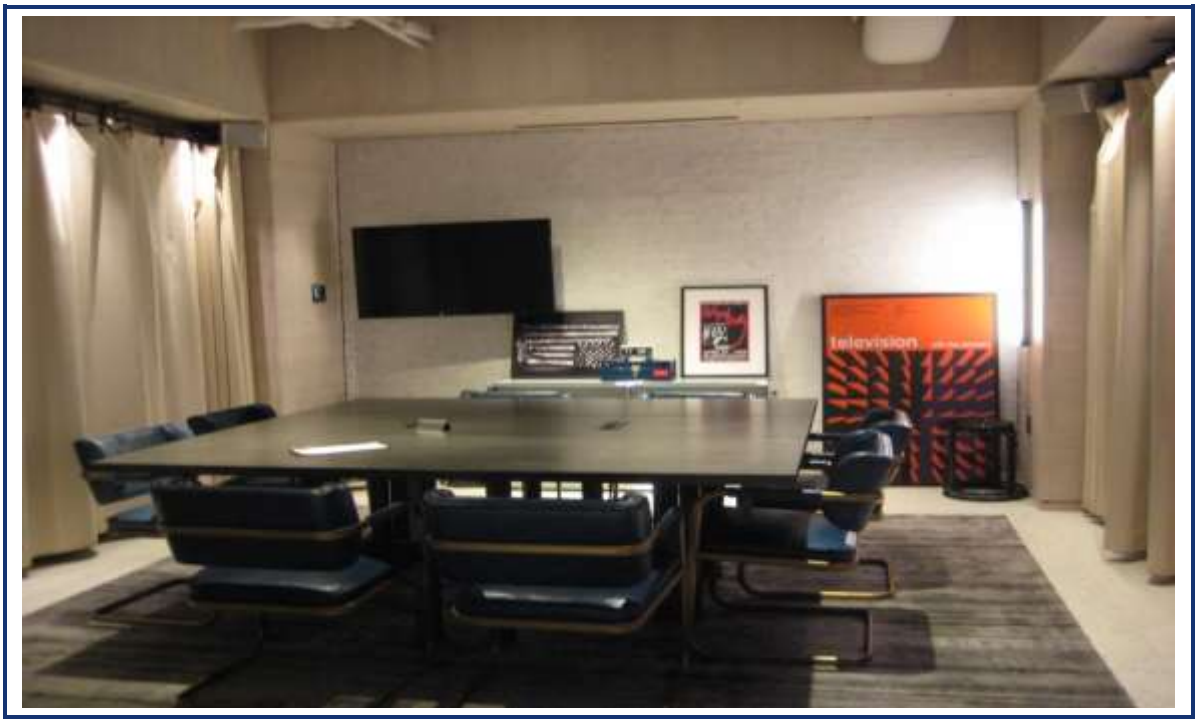
Magic Hour Mini Golf Course, October 21, 2019



Guest Lounge, October 21, 2019



Guest Lounge, October 21, 2019



Private Meeting Room, October 21, 2019



Subject Fitness Center, October 21, 2019



Subject Electric Panels, October 21, 2019



Subject Gas Meter, October 21, 2019



Subject Boilers, October 21, 2019



Subject Roof, October 21, 2019

Executive Summary
Subject Photographs
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SECTION 1: INTRODUCTION

Scope of Work

The scope of work presents the steps of the appraisal process employed to develop the appraisal. The scope of work employs a process of collecting, analyzing, reconciling, and reporting of factors pertaining to the valuation of the property. These factors include, but are not limited to:

- Identifying the property interest appraised, ownership and history, coupled with the dates and definition of value;
- Review of local taxation and zoning as they relate to the subject;
- Analysis of social, political, economic, and physical factors and trends of the region and district as they impact the property appraised;
- A survey and analysis of competitive market conditions, which included information obtained from representatives of local government agencies, quasi-government bodies, community and industry sources;
- Gathering, analyzing, and reconciling comparable data relevant to developing a well substantiated estimate of value by applicable valuation approaches; and
- Presenting the Sales Comparison Approach, Income Capitalization Approach and Reconciliation of Value.

In the course of our fieldwork, interviews were conducted concerning other properties located within the primary market. Information was obtained and verified to determine the degree of competitiveness of these properties. Information sources include property owners, property managers, grantors, grantees, other related parties, and other primary and secondary sources.

This appraisal report has been prepared in accordance with our interpretation of your institution's guidelines, Title XI of the Financial Institutions Reform, Recovery, and Enforcement Act of 1989 (FIRREA), and the Uniform Standards of Professional Appraisal Practice (USPAP).

This appraisal has addressed no issues of law, engineering, code conformance, insect or rodent infestation, or contamination by or discharge of asbestos or other hazardous materials, inter alia, unless specifically identified in the body of the report.

The results, opinions, and conclusions of our investigation are being presented in this *Appraisal Report*. Supporting documentation is retained in our files. This report is a recapitulation of the appraiser's data, analyses, and conclusions.

Identification of Property

Property Name:	MOXY NYC Times Square
Location:	485 Seventh Avenue, New York, NY 10018
Assessor Parcel Number:	Block 812, Lot 1001
Legal Description:	The legal description is presented in the Addenda of the report.

Property Ownership

Current Ownership:	Lightstone Acquisitions III LLC
Sale History:	To the best of our knowledge, the property has not transferred within the past three years.
Current Disposition:	To the best of our knowledge, the property is not under contract of sale nor is it being marketed for sale.

Relevant Dates & Assignment Information

Date of Valuation:	December 31, 2025
Date of Inspection:	As per our agreement with the client, no inspection of the subject property was made in performing this current valuation. For our prior appraisal, our most recent inspection was performed on October 21, 2019.
Interest Appraised:	Fee Simple
Value Provided:	Fair Value

Client, Intended Use and Intended Users

Client:	Lightstone Enterprises, Ltd.
Intended Use:	This appraisal is intended to provide an opinion of the fair value of the fee simple in the property for the use in a potential bond offering on the TASE (Tel Aviv Stock Exchange) by Lightstone Enterprises, Ltd.. This report is not intended for any other use. This appraisal may be invalid if used for any other purpose.
Intended User:	This appraisal report was prepared for the exclusive use of Lightstone Enterprises, Ltd.. Use of this report by others is not intended by the appraiser.

Extraordinary Assumptions

An extraordinary assumption is "an assumption, directly related to a specific assignment, which, if found to be false, could alter the appraiser's opinions or conclusions. Extraordinary assumptions presume as fact otherwise uncertain information about physical, legal or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

This appraisal does not incorporate any Extraordinary Assumptions.

Hypothetical Conditions

A hypothetical condition is "that which is contrary to what exists but is supposed for the purpose of analysis. Hypothetical conditions assume conditions contrary to known facts about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

This appraisal does not incorporate any Hypothetical Conditions.

Definitions of Value, Interest Appraised and Other Terms

The following definitions of pertinent terms are taken from the *Dictionary of Real Estate Appraisal,* published by the Appraisal Institute, as well as other sources.

For the purpose of our analysis, we utilized the FASB's definition of Fair Value below:

> *"The amount at which an asset (or liability) could be bought (or incurred) or sold (or settled) in a current transaction between willing parties, that is, other than in a forced or liquidation sale."* [1]

Fair Value As Is on Appraisal Date

The value of specific ownership rights of an identified parcel of real estate as of the effective date of the appraisal; related to what physically exists and excludes all assumptions concerning hypothetical conditions.

Fee Simple Estate

Absolute ownership unencumbered by any other interest or estate, subject to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat.

Leased Fee Estate

An ownership interest held by a landlord with the rights of use and occupancy conveyed by lease to others. The rights of the lessor (the leased fee owner) and the leased fee are specified by contract terms contained within the lease.

Leasehold Estate

The interest held by the lessee (the tenant or renter) through a lease conveying the rights of use and occupancy for a stated term under certain conditions.

Insurable Value

The value of an asset or asset group that is covered by an insurance policy; can be estimated by deducting costs of non-insurable items from replacement cost new.

[1] FASB Accounting Standards Codification Glossary.

Exposure Time

Exposure time is defined as the length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at the market value on the effective date of the appraisal. Exposure time is presumed to precede the effective date of the appraisal.

The reasonable exposure period is a function of price, time and use. It is not an isolated opinion of time alone. Exposure time is different for various types of real estate and under various market conditions. As noted above, exposure time is always presumed to precede the effective date of appraisal. It is the length of time the property would have been offered prior to a hypothetical market value sale on the effective date of appraisal. It is a retrospective opinion based on an analysis of recent past events, assuming a competitive and open market. It assumes not only adequate, sufficient and reasonable time but adequate, sufficient and a reasonable marketing effort. Exposure time and conclusion of value are therefore interrelated.

Based on our review of national investor surveys, discussions with market participants and information gathered during the sales verification process, a reasonable exposure time for the subject property at the value concluded within this report would have been approximately twelve (12) months. This assumes an active and professional marketing plan would have been employed by the current owner.

Marketing Time

Marketing time is an opinion of the time that might be required to sell a real property interest at the appraised value. Marketing time is presumed to start on the effective date of the appraisal and take place subsequent to the effective date of the appraisal. The opinion of marketing time uses some of the same data analyzed in the process of estimating reasonable exposure time and it is not intended to be a prediction of a date of sale.

We believe, based on the assumptions employed in our analysis, as well as our selection of investment parameters for the subject, that our value conclusion represents a price achievable within twelve (12) months.

SECTION 2: MARKET OVERVIEW AND PROPERTY DESCRIPTION

Overview

The United States has a highly developed diversified mixed economy. It is the world's largest economy by nominal GDP and second largest by purchasing power parity (PPP). As of 2025, it has the world's seventh highest nominal GDP per capita and ninth highest GDP per capita by PPP. According to the World Bank, the U.S. accounted for 14.8% of the global aggregate GDP in 2024 in purchasing power parity terms and 26.2% in nominal terms. The U.S. dollar is the currency most used in international transactions and the world's foremost reserve currency, backed by a large U.S. treasuries market, its role as the reference standard for the petrodollar system, and its linked Eurodollar. Several countries use it as their official currency and in others it is the de facto currency. Since the end of World War II, the economy has achieved relatively steady growth, low unemployment and inflation, and rapid advances in technology.

The American economy is fueled by high productivity, well-developed transportation infrastructure, and extensive natural resources. Americans have the sixth highest average household and employee income among OECD member states. In 2021, they had the highest median household income among OECD countries, although the country also had one of the world's highest income inequalities among the developed countries. The largest U.S. trading partners are Canada, Mexico, China, Japan, Germany, South Korea, the United Kingdom, Taiwan, India, and Vietnam. The U.S. is the world's largest importer and second-largest exporter. It has free trade agreements with several countries, including Canada and Mexico (through the USMCA), Australia, South Korea, Israel, and several others that are in effect or under negotiation. The U.S. has a highly flexible labor market, where the industry adheres to a hire-and-fire policy, and job security is relatively low. Among OECD nations, the U.S. has a highly efficient social security system; social expenditure stood at roughly 30% of GDP.

As expected, the United States Economy has many moving parts, and what follows is intended to provide a snapshot of leading indicators impacting the economy, and in particular the commercial real estate market.

CoStar - Capital Markets Data

As of October 15, 2025, CoStar reports that in the United States year over year overall sales volume was 18.2% and YTD 2025 21.00% measured against 2024. [2]

12 Month sales volume as of December 2024 was at $302 Billion. As indicated on the charts the sales volume in 2020 was lower than in prior years, but both 2023 and 2024 are below that level, at $256 and $302 billion respectively. COVID-19 impacted sales volume in 2020, while the high interest rate environment has significantly impacted 2023 and YTD 2024 results.



It is important to note that 12 Month Sales Volume was lower in 2022 than it was in 2021. In 2021, total 12 Month Sales Volume was $602 billion, versus $522 billion for 2022. Most attribute the slowdown to the repeated Fed Rate Hikes that occurred throughout 2022, and into 2023. The rate hikes caused mortgage rates to rise, which led directly to reduced transaction volume. In 2023, 12-month sales volume was down -51.1% compared to the prior year. As of October 2025, 12-month sales volume was $324 Billion, which is 18.4% above 2023 volume. Sales volume is expected to increase as interest rates are reduced.

MSCI – Price Growth

U.S. commercial property prices were virtually flat in June from the prior month and declined 0.7% over the past year, according to the RCA CPPI US National All-Property Index. The annual rate of decline for the index has slowed substantially over the last two years though, as the market has come to grips with the post-pandemic spike in interest rates.

Retail properties were again the leading sector index for price growth in June. The series was flat on the month but gained 3.5% from last year. The retail sector has rebounded over the past year, helped by a story of stronger income growth.

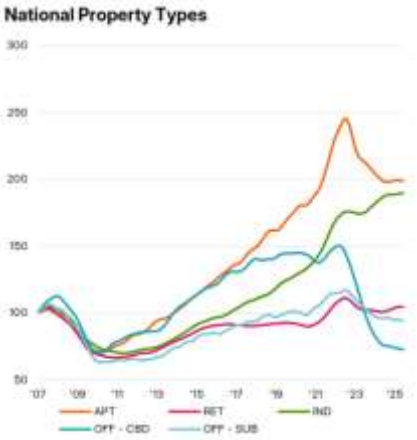
The **industrial** index, which was the best performing sector as recently as February, gained 1.6% YOY. Industrial prices have posted moderating annual growth for more than a year now, but monthly growth rates have ticked up over the last three months. In June, prices gained 0.3% from May.

Apartment prices were flat on the month but posted a slight annual increase of 0.1%. While not a substantial gain, it is the first year-over-year growth the sector has experienced since the end of

[2] https://product.costar.com/market-insights/app/download/USA/7/0/CapitalMarketsDataSheet

2022. Three rounds of rate cuts by the Federal Reserve since September of last year have helped the sector find more stability in pricing.

Office was the only major property type index to show a decline in prices from last June, down 1.9%. CBD and suburban properties both contributed to that drop, falling 4.2% and 2.1%, respectively. The spread between these two segments has narrowed to the smallest gap seen since the middle of 2022, before CBD prices plummeted. Prices in Non-Major Metros (NMM) well outperformed those in the 6 Major Metros (6MM) over the past year. The NMM index grew 1.1% YOY while the rate of decline for the 6MM index accelerated to 5.4% YOY, its largest annual drop in 18 months.

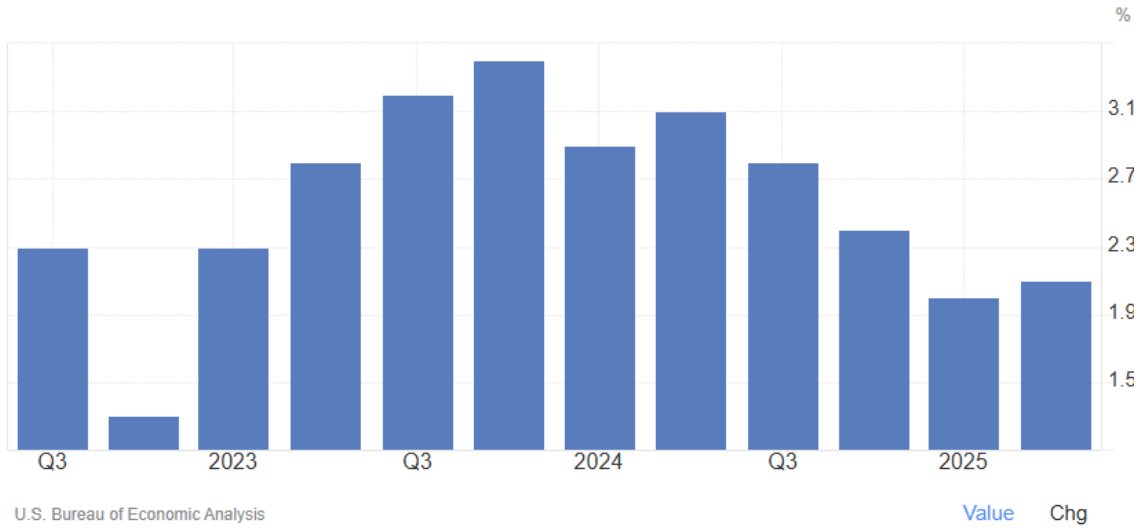


Change in RCA CPPI June 2025

	1-mth	3-mth	1-yr	3-yr	5-yr	10-yr
Office	-0.2%	-0.1%	-1.9%	-24.9%	-12.1%	3.7%
Office - CBD	-0.1%	-0.6%	-4.2%	-50.7%	-49.5%	-36.2%
Office - Sub	-0.6%	-1.0%	-2.1%	-19.5%	-4.8%	11.5%
Industrial	0.3%	0.5%	1.6%	8.4%	44.1%	102.7%
Retail	0.0%	0.1%	3.5%	-6.0%	15.6%	17.5%
Commercial	0.0%	-0.2%	-0.9%	-7.3%	13.0%	30.9%
Apartment	0.0%	-0.2%	0.1%	-18.5%	10.4%	68.1%
All Types	0.0%	-0.3%	-0.7%	-12.2%	12.0%	42.9%
6 Major Metros All Types	-0.3%	-1.0%	-5.4%	-16.6%	-4.5%	20.4%
Non-Major Metros All Types	0.1%	0.2%	1.1%	-9.8%	19.0%	53.6%

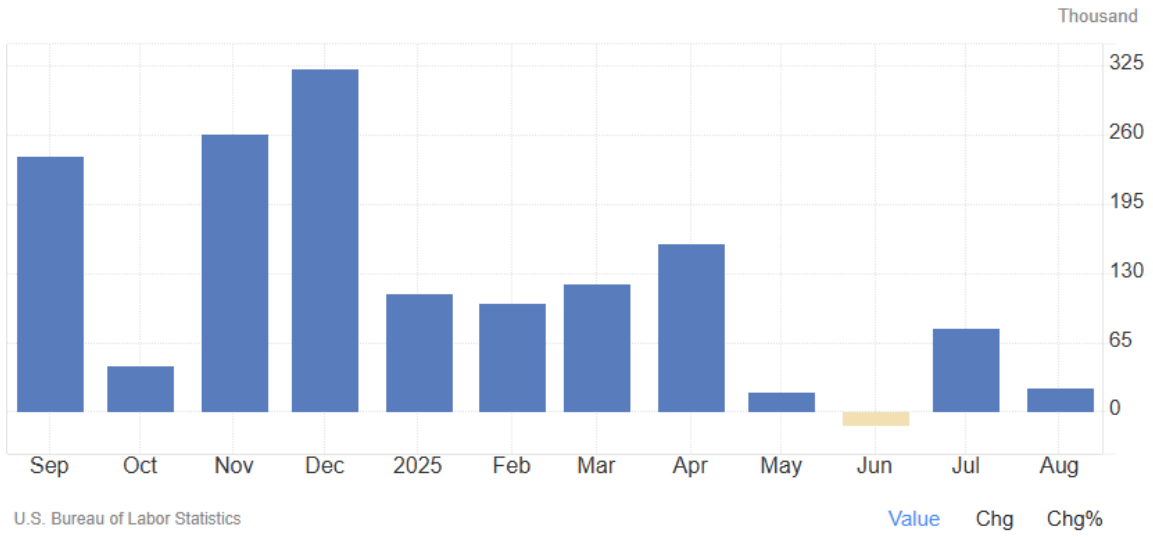
Gross Domestic Product

The US economy expanded 2.1% year-on-year in the second quarter of 2025, higher than 2% in the previous estimate, and above 2% in the previous period. Consumer spending went up 2.7%, public expenditure rose 1.9%, exports expanded 1.5% and imports a faster 1.8% while investment stalled.). *source: U.S. Bureau of Economic Analysis*



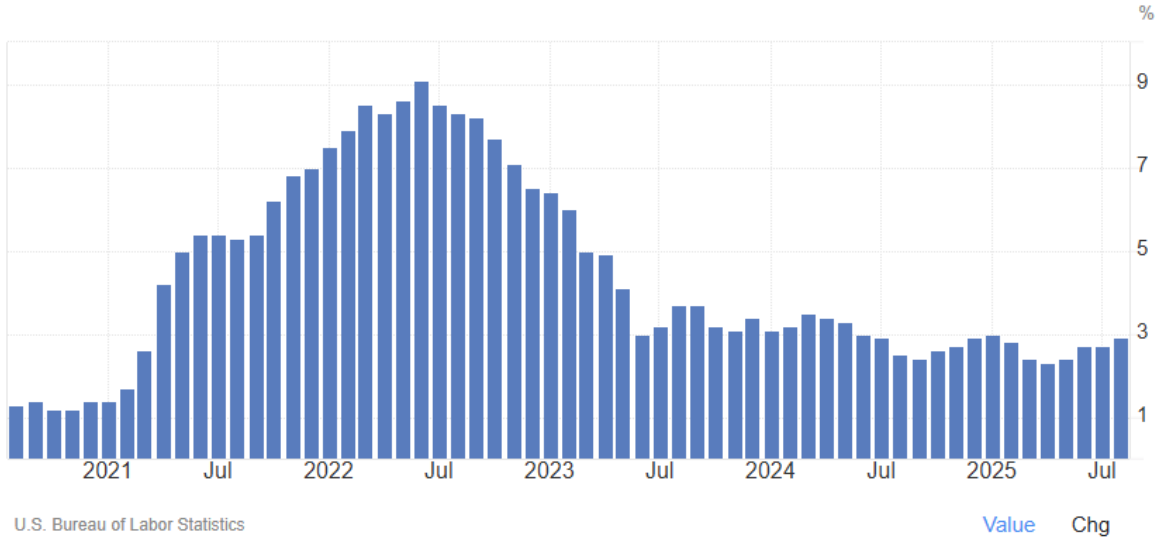
Monthly Jobs Report (Non-Farm Payrolls)

The US economy added 911K fewer jobs in the 12 months through March 2025 than initially reported - the largest downward revision since at least 2000 - according to the BLS's preliminary benchmark revision. This represents a -0.6% adjustment, compared with an absolute average change of 0.2% in total nonfarm employment over the past decade. Nearly all sectors added fewer jobs than initially estimated, with the steepest downward revisions in leisure and hospitality (-176K), professional and business services (-158K), retail trade (-126.2K), and wholesale trade (-110.3K). In contrast, payrolls were revised higher in transportation and warehousing (+6.6K) and utilities (+3.7K). The revision captures the gap between two independently compiled employment measures, each subject to distinct sources of error. A year earlier, the preliminary data showed a downward revision of 818K jobs, later adjusted to -598K. The latest figures suggest the labor market has weakened more than previously thought. *source: U.S. Bureau of Labor Statistics*



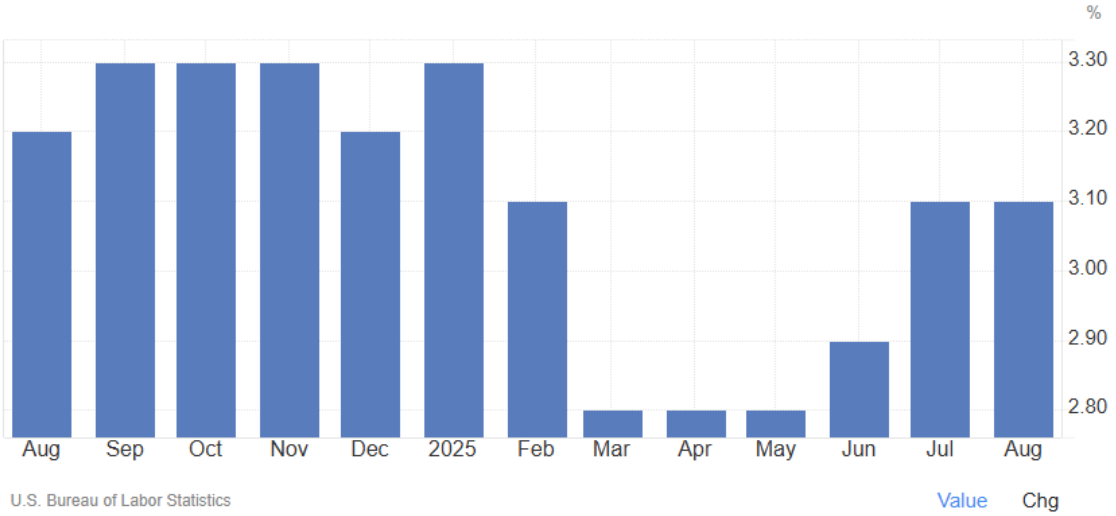
Inflation

The US annual inflation rate accelerated to 2.9% in August 2025, the highest since January, after holding at 2.7% in both June and July, in line with market expectations. Prices rose at a faster pace for food (3.2% vs 2.9% in July), used cars and trucks (6% vs 4.8%), and new vehicles (0.7% vs 0.4%). Also, energy cost increased for the first time in seven months (0.2% vs -1.6%). Prices for gasoline (-6.6% vs -9.5%) and fuel oil (-0.5% vs -2.9%) decreased less and the rise for natural gas prices remained elevated (13.8% vs 13.8%). Meanwhile, inflation steadied for transportation services (3.5% vs 3.5%) and slowed slightly for shelter (3.6% vs 3.7%).On a monthly basis, the CPI went up 0.4%, the most since January, above forecasts of 0.3%. Shelter rose 0.4% and made the largest upward pressure. On the other hand, core inflation remained steady at 3.1%, the same as in July and at February's peak, while core CPI rose 0.3% month-on-month, matching July's pace and market forecasts. *source: U.S. Bureau of Labor Statistics*



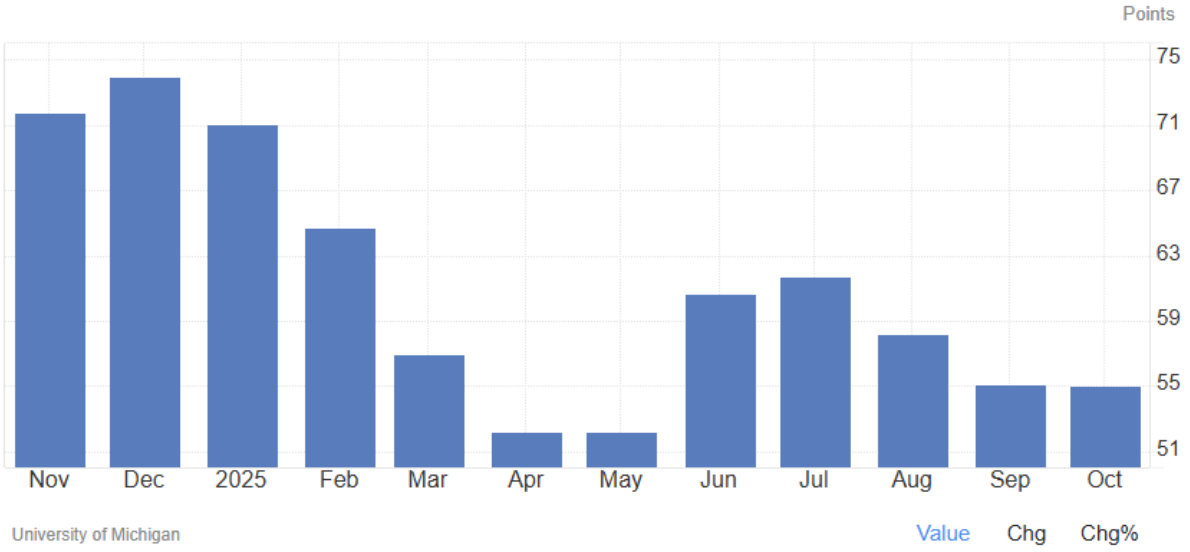
Consumer Price Index

The annual core consumer price inflation rate in the United States, which excludes volatile items such as food and energy, eased further to an over three-year low of 3.2% in July 2024, down from 3.3% in the prior month, in line with market forecasts. The shelter index, accounting for over two thirds of the total 12-month increase in the all items less food and energy index, rose by 5.1% in July, easing from 5.2% in June. Other indexes with slower increases over the last year included motor vehicle insurance (+18.6% vs +19.5%) and personal care (+3.2% vs +3.4%). On a monthly basis, core consumer prices rose by 0.2% from the previous month in July, up from a 0.1% increase in June, matching market estimates. *source: U.S. Bureau of Labor Statistics*



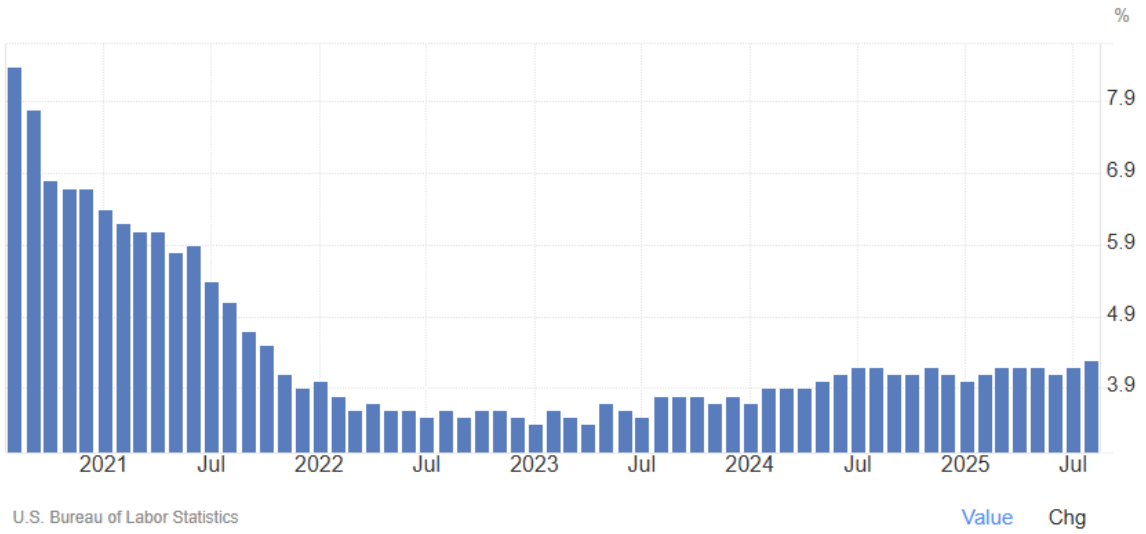
Consumer Confidence (Consumer Sentiment)

The University of Michigan consumer sentiment for the US came in at 55 in October 2025, compared to 55.1 in September and forecasts of 54.2, preliminary estimates showed. Consumer sentiment was virtually unchanged from September, as improvements in current personal finances and year-ahead business conditions were offset by declines in expectations for future personal finances as well as current buying conditions for durables. The current economic conditions subindex increased to 61 from 60.4 while the expectations gauge edged down to 51.2 from 51.7. Overall, consumers perceive very few changes in the outlook for the economy from last month. Meanwhile, year-ahead inflation expectations edged down to 4.6% from 4.7% while long-run inflation expectations held steady at 3.7%..*source: University of Michigan*



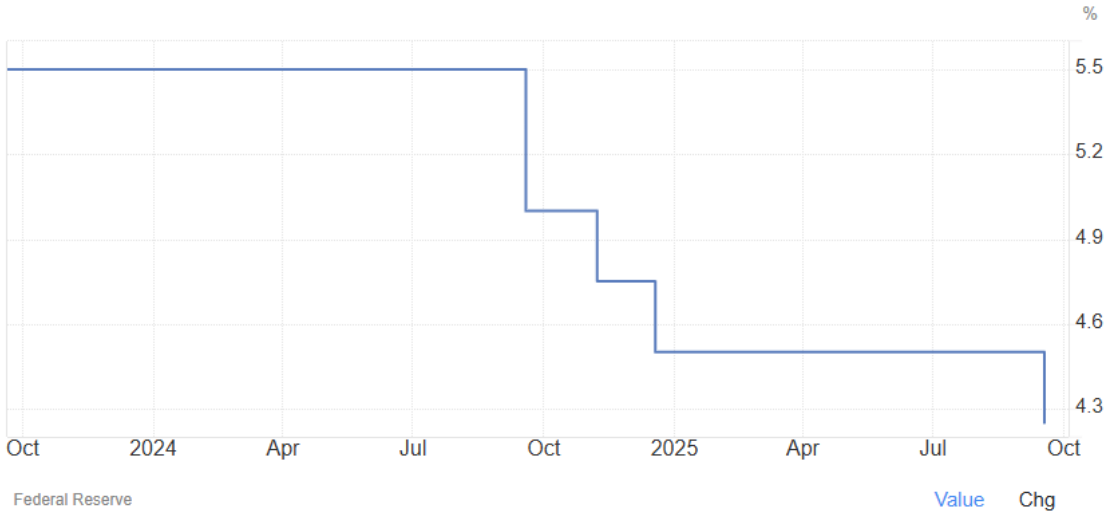
Unemployment Rate

The US unemployment rate rose to 4.3% in August of 2025 from 4.2% in the previous month, aligning with market expectations to reflect the highest proportion of joblessness since October of 2021. The number of unemployed increased by 148 thousand to 7.384 million in the period. In turn, the labor force increased by 436 to 170.778 million, driving the labor force participation rate to increase by 0.1 percentage point from the over two-year low in the previous month to 62.3%. The broader U-6 unemployment rate, which includes discouraged workers and those working part-time for economic reasons, rose to 8.1% from 7.9% in July. *source: U.S. Bureau of Labor Statistics*



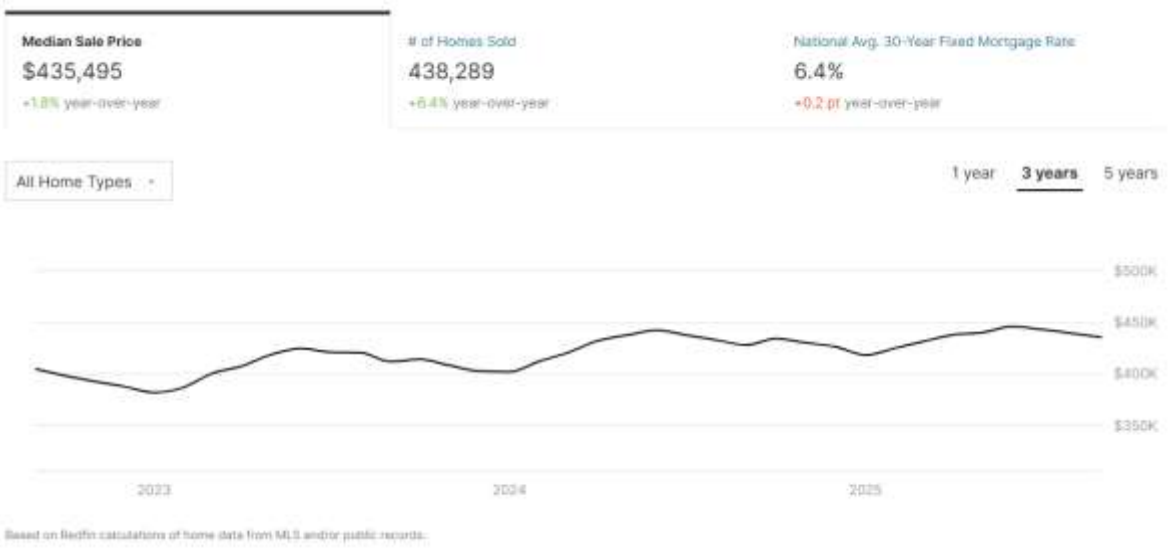
Federal Funds Rate

The Federal Reserve cut the federal funds rate by 25bps in September 2025, bringing it to the 4.00%–4.25% range, in line with expectations. It is the first reduction in borrowing costs since December. Newly appointed Governor Stephen Miran stood alone in voting against the 25bps move, favoring a half-point cut instead. The central bank also released new economic projections. The Fed expects to lower rates by another 50bps by the end of 2025, and a quarter point in 2026, slightly more than expected in June. GDP growth projections were revised higher for 2025 (1.6% vs 1.4% seen in the June projection), 2026 (1.8% vs 1.6%) and 2027 (1.9% vs 1.8%). PCE inflation is seen at 3% for this year, the same as in June but the projection was revised higher for 2026 (2.6% vs 2.4%). Core PCE projection was also left at 3.1% for 2025 but was revised up for 2026 to 2.6% from 2.4%. The unemployment rate continues to be expected at 4.5% for 2025 but was revised lower to 4.4% from 4.5% for next year. *source: Federal Reserve*



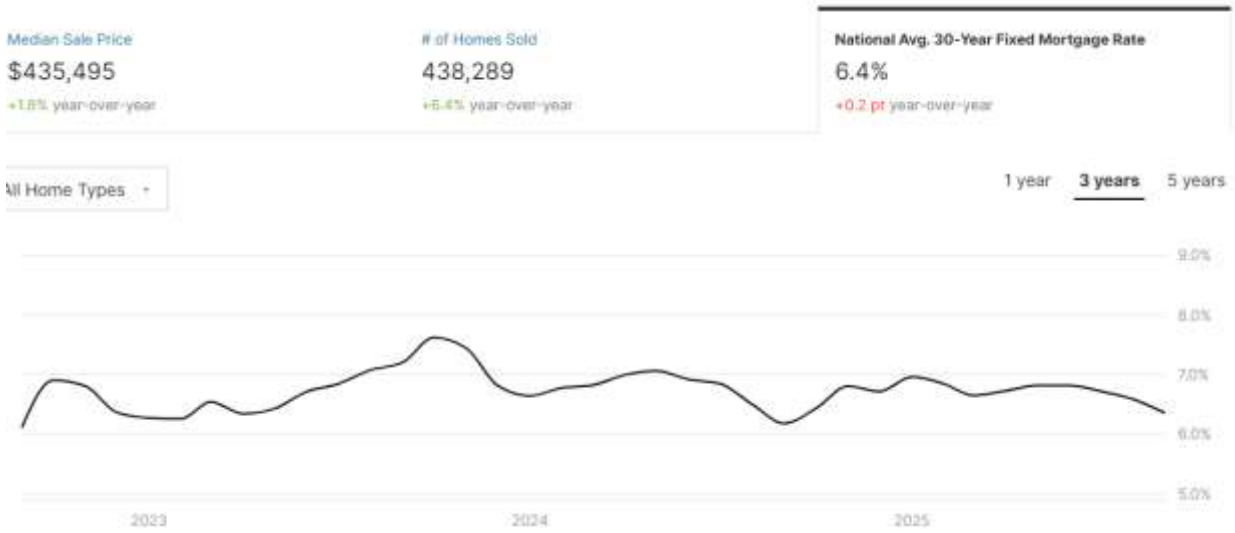
US Housing Market

In September 2025, U.S. home prices were up 1.8% compared to last year, selling for a median price of $435,495. On average, the number of homes sold was up 6.4% year over year and there were 438,289 homes sold in September this year, up 411,770 homes sold in September last year. *Source: https://www.redfin.com/us-housing-market*



National 30-Year Mortgage Rate

The national average 30 year fixed rate mortgage rate is at 6.4% and up 0.2 points year over year. *Source: https://www.redfin.com/us-housing-market*



Forecast for the US Economy Summary [3] *October 16, 2025*

Balancing Risks: The Fed, Tariffs, and a Slowing Economy

Higher tariffs and uncertainty are expected to weigh on real GDP growth in late 2025 and early 2026, despite economic activity appearing to be on a somewhat firmer trajectory earlier this year. Consumers will bear the brunt of higher prices, with the largest impacts projected in Q4 2025 through Q3 2026. Fiscal policy is expected to only modestly offset these effects. While the unemployment rate remains low, the sharp decline in employment gains over the last few months creates downside risks to the labor market.

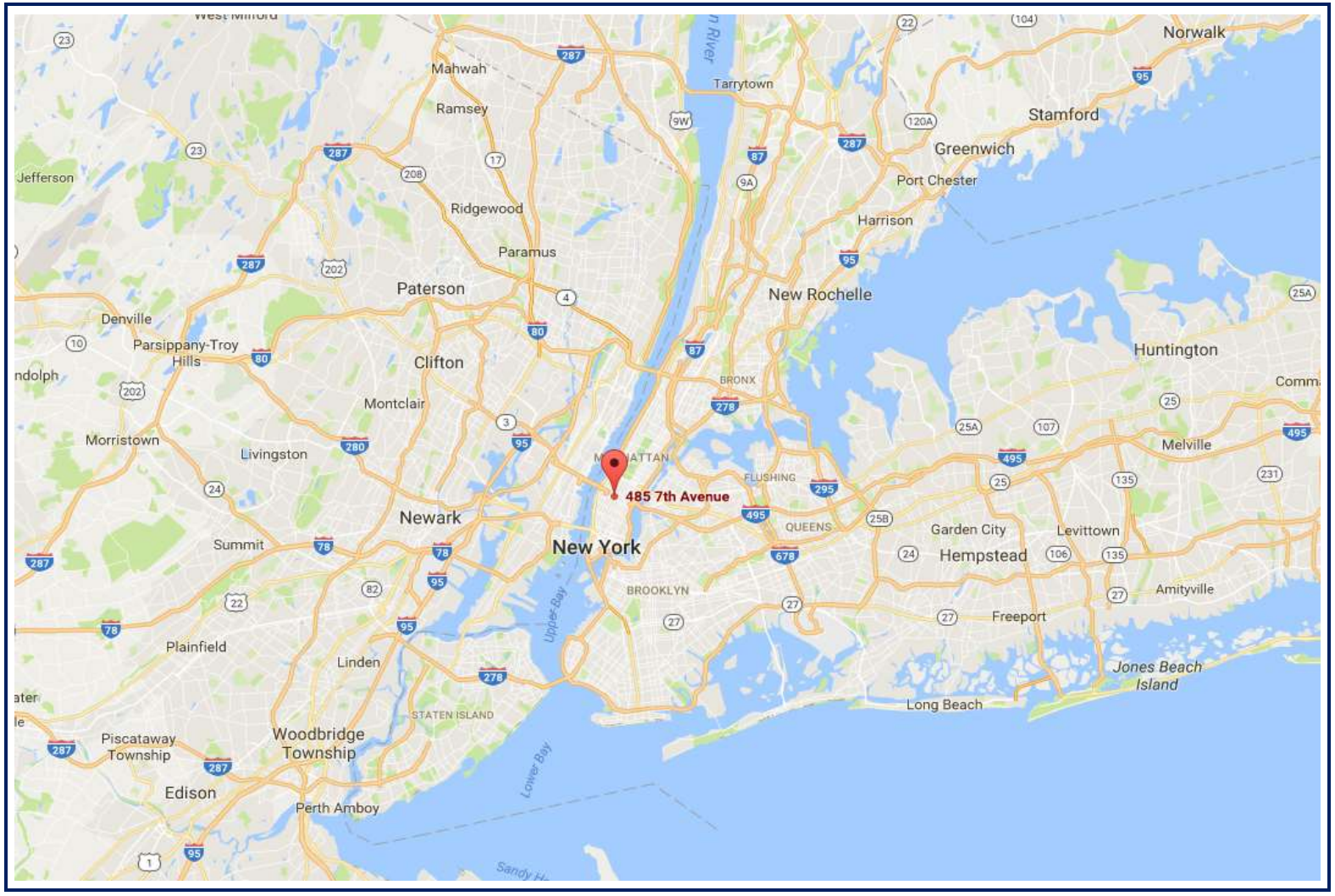
** There is no fixed timing rule for the NBER to call a recession. Determinations have taken between 4 and 21 months previously.*

The Conference Board US Economic Outlook, 2024-2027

q/q percentage change, seasonally adjusted annual rates (except where noted), updated as of 16 October 2025

	2025				2026				2027			
	I Q	II Q	III Q*	IV Q*	I Q	II Q*	III Q	IV Q	I Q	II Q	III Q	IV Q
Real GDP	−0.6	3.8	1.9	0.5	1.3	1.6	1.5	1.4	1.6	2.0	2.2	2.6
Real GDP (YoY)	2.0	2.1	1.7	1.4	1.9	1.3	1.2	1.4	1.5	1.6	1.8	2.1

[3] *https://www.conference-board.org/research/us-forecast*


485 7th Avenue
New York
Newark
Paterson
Clifton
Jersey City
Hoboken
Weehawken
Secaucus
Union City
North Bergen
Guttenberg
West New York
Fort Lee
Edgewater
Cliffside Park
Ridgefield Park
Teaneck
Hackensack
Englewood
Englewood Cliffs
Leonia
Palisades Park
Ridgefield
Fairview
Bogota
Carlstadt
East Rutherford
Rutherford
Lyndhurst
Kearny
Harrison
East Newark
Belleville
Nutley
Bloomfield
Glen Ridge
Montclair
Verona
Cedar Grove
Little Falls
Wayne
Passaic
Clifton
Paterson
Hawthorne
Glen Rock
Ridgewood
Ramsey
Mahwah
Oakland
Franklin Lakes
Wyckoff
Midland Park
Allendale
Saddle River
Upper Saddle River
Woodcliff Lake
Montvale
Park Ridge
Norwood
Old Tappan
Tenafly
Alpine
Demarest
Closter
Harrington Park
Northvale
New Milford
Bergenfield
Dumont
Haworth
Cresskill
Norwood
Pascack Park
Pascack Hills
Hillsdale
Washington Township
Westwood
Emerson
Oradell
River Edge
New Milford
Bergenfield
Dumont
Haworth
Cresskill
Norwood
Pascack Park
Pascack Hills
Hillsdale
Washington Township
Westwood
Emerson
Oradell
River Edge
Tenafly
Alpine
Demarest
Closter
Harrington Park
Northvale
Norwood
Old Tappan
Park Ridge
Montvale
Woodcliff Lake
Upper Saddle River
Saddle River
Allendale
Midland Park
Wyckoff
Franklin Lakes
Oakland
Mahwah
Ramsey
Ridgewood
Paramus
Jefferson
Denville
Parsippany-Troy Hills
Randolph
Morristown
Livingston
Summit
Plainfield
Linden
Piscataway Township
Edison
Woodbridge Township
Perth Amboy
Staten Island
Brooklyn
Queens
Bronx
Manhattan
Flushing
Tarrytown
Greenwich
Stamford
Norwalk
Port Chester
Harrison
New Rochelle
Huntington
Melville
Garden City
Levittown
Hempstead
Amityville
Freeport
Long Beach
Jones Beach Island
Lower Bay
Upper Bay
Hudson River

New York Metropolitan Area

New York is a hub of international business and is one of three centers for the world economy along with London and Tokyo. The city is a major center for banking and finance, retailing, world trade, transportation, tourism, real estate, insurance, media, theater, fashion and the arts in the United States. New York City is at the heart of the New York Metropolitan Area, which consists of 23 counties, 10 of which are located in New York State, 12 in New Jersey, and Pike County in Pennsylvania.

With a population of approximately 20 million, the New York Metropolitan Area is the most populated area in the U.S. followed by the Los Angeles metropolitan area with approximately 13 million. It was also rated number one nationally in terms of the size of its labor force. The New York Metropolitan Area is the largest regional economy in the United States and the second largest city economy in the world behind Tokyo, Japan.

New York City is located in the Northeastern United States, in the southeastern part of the state, approximately halfway between Washington, D.C. and Boston. Its sheltered harbor located at the mouth of the Hudson River feeding directly to the Atlantic Ocean has helped the city grow in significance as a population center and a port of trade.

Regional Infrastructure

The backbone of the metropolitan area is its cohesive and complex infrastructure. The Port Authority of New York & New Jersey operates and maintains infrastructure in the New York/New Jersey region's trade and transportation network. These facilities include America's busiest airport system, marine terminals and ports, the PATH rail transit system, six tunnels and bridges between New York and New Jersey, and the Port Authority Bus Terminal in Manhattan. The Port Authority is a financially self-supporting entity which receives no tax revenue from either state or from any local jurisdiction and has no power to tax, relying on revenue generated from facility operation, tolls, user fees from airports and bus terminals, fares, and rent from facilities, consumer services and from retail stores.

Approximately 140 million people travel through or travel to one of New York's three airports annually, resulting in the largest airport system in the United States, largest in the world in terms of flight operations, and second in the world (after London) in terms of passenger traffic. Of all three airports, John F. Kennedy International Airport (JFK) is the largest, located approximately 12 miles southeast of Lower Manhattan in the borough of Queens in New York City; JFK International Airport is the 20th busiest airport in the world. It is also the busiest international air passenger gateway to the United States, handling more international traffic than any other airport in North America.

Situated 15 miles southwest of Midtown Manhattan is Newark Liberty International Airport (EWR), second busiest in the Tri-State Region. Although entirely owned by the City of Newark, the airport is located within the city limits of both Newark and Elizabeth, New Jersey. Newark handled over 49 million passengers in 2023 and is the second-largest hub for United Airlines, which is the airport's largest tenant. And thirdly, handling approximately 32 million passengers in 2023 is LaGuardia Airport (LGA). Located in the northern part of Queens County on Long Island in the City of New York, LaGuardia is the smallest of the New York metropolitan area's three primary commercial airports. Most flights from LaGuardia go to destinations within the United States and Canada, as well as service to Aruba, the Bahamas, and Bermuda.

Another primary focus of the Port Authority of New York and New Jersey are its ports. In 2023, the Port of New York and New Jersey handled a total of 7.81 million TEUs (twenty-foot equivalent units), surpassing pre-pandemic levels by 4.4%. This achievement solidified its position as the second busiest port in the United States for loaded imports and exports, following the ports of Los Angeles and Long Beach, California

Also crucial in getting New Yorkers to their destination is the Metropolitan Transportation Authority (MTA) in New York. This public benefit corporation is accountable for public transportation in 12 counties in southeastern New York, along with two counties in southwestern Connecticut. In 2023, the average weekly ridership for the subway system was approximately 26.2 million passengers, while the buses handled around 7.6 million passengers weekly. The New Jersey link into the metro area is provided by the New Jersey Transit Rail Operations, which transports the public to and from New York City, Hoboken and Newark. The New Jersey Transit also operates rail service in Orange and Rockland counties in New York State.

In summary, the domestic and international impact of New York City and the greater metropolitan area surrounding it continues to flow smoothly due to a complex infrastructure that transports millions of people on a daily basis.

New York City

The five boroughs that comprise New York City make it the most populated city in the U.S. New York City's land area covers approximately 305 square miles, or approximately 195,000 acres. Excluding streets and major bodies of water, approximately 154,000 acres of land are useable. As of 2010, only 8,300 acres or 5.4% of the useable acreage was vacant, an indicator that New York City is densely developed. Roughly 41,500 acres or 27% of the useable acreage is open space used as public parks, playgrounds, nature preserves, cemeteries, amusement areas, beaches, stadiums and golf courses.



New York City is located inside of one of the world's largest natural harbors and consists of five boroughs: The Bronx, Brooklyn, Manhattan, Queens, and Staten Island. Throughout the boroughs there are hundreds of distinct neighborhoods, many with a definable history and character to call their own. If the boroughs were each independent cities, four of the boroughs (Brooklyn, Queens, Manhattan, and the Bronx) would be among the ten most populous cities in the United States.

- **Manhattan** is the most densely populated borough and is home to Central Park and most of the city's skyscrapers. The borough is the financial center of the city and contains the headquarters of many major corporations, the UN, a number of important universities, and many cultural attractions. Manhattan is loosely divided into Downtown, Midtown, and Uptown regions. Uptown Manhattan is divided by Central Park into the Upper East Side and the Upper West Side, and above the park is Harlem.

- **The Bronx** is New York City's northernmost borough, the location of Yankee Stadium, home of the New York Yankees, and home to the largest cooperatively owned housing complex in the United States, Co-op City. Except for a small section of Manhattan known as Marble Hill, the Bronx is the only section of the city that is part of the United States mainland. It is home to the Bronx Zoo, the largest metropolitan zoo in the United States, which spans 265 acres and is home to over 11,000 animals from over 650 species.

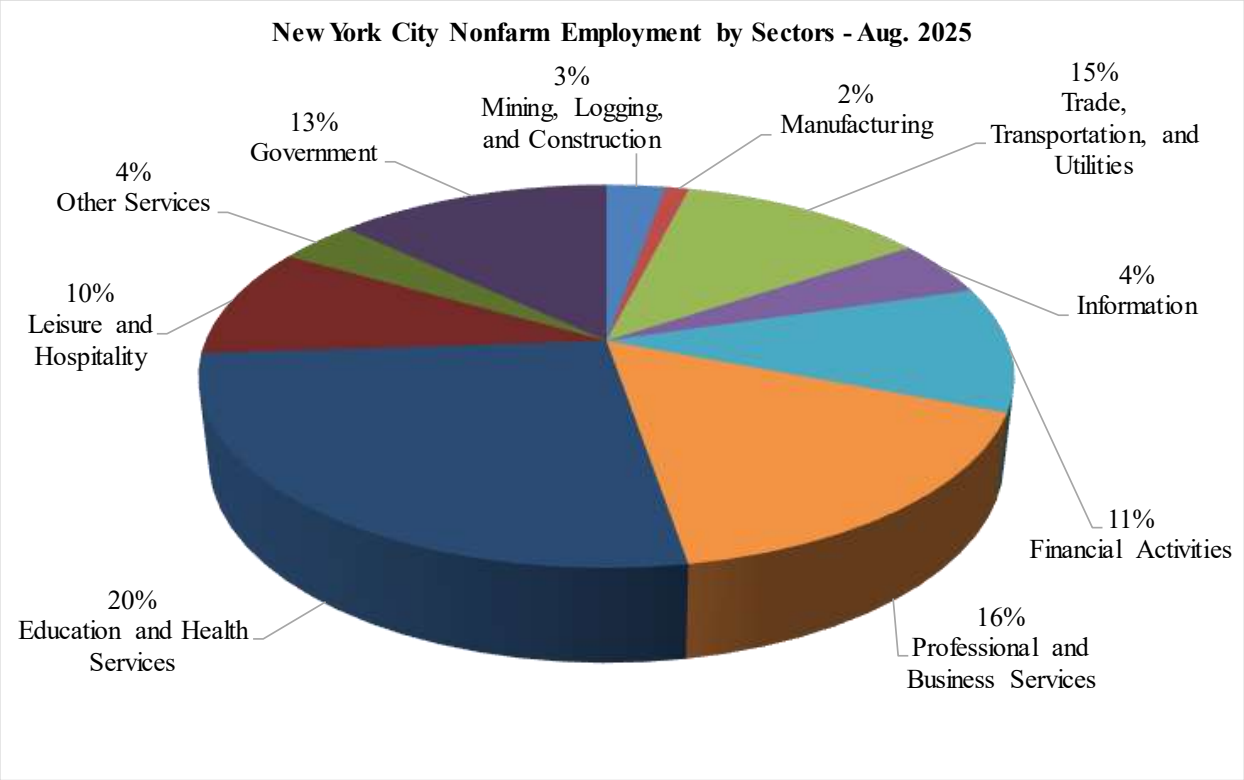
- **Brooklyn** on the western tip of Long Island is the city's most populous borough and was an independent city until 1898. Brooklyn is known for its cultural, social and ethnic diversity, an independent art scene, distinct neighborhoods and a distinctive architectural heritage. It is also the only borough outside of Manhattan with a distinct downtown neighborhood. The borough features a long beachfront and Coney Island, established in the 1870s as one of the earliest amusement grounds in the country. Brooklyn is now home to the Brooklyn Nets, who began playing at the Barclay's Center in September 2012.

- **Queens** is geographically the largest borough and the most ethnically diverse county in the United States, and rivals Brooklyn as the city's second most populous borough due to its growth. Historically a collection of small towns and villages founded by the Dutch, today the borough is predominantly residential and middle class. Queens is the site of Citi Field, the home of the New York Mets, and annually hosts the U.S. Open tennis tournament. Additionally, it is home to two of the three major airports serving the New York metropolitan area, LaGuardia Airport and John F. Kennedy International Airport.

- **Staten Island** is the most suburban in character of the five boroughs. Staten Island is connected to Brooklyn by the Verrazano-Narrows Bridge and to Manhattan by way of the free Staten Island Ferry. The Staten Island Ferry is one of the most popular tourist attractions in New York City as it provides unsurpassed views of the Statue of Liberty, Ellis Island and lower Manhattan. Located in central Staten Island, the 2,500 acres Greenbelt has some 28 miles of walking trails and one of the last undisturbed forests in the city. Designated in 1984 to protect the island's natural lands, the Greenbelt comprises seven city parks.

Economy

As of 2024, New York has an estimated gross domestic product of $1.9 trillion as per the Bureau of Economic Analysis U.S. Department of Commerce. New York City's economy accounts for the majority of the economic activity in the states of New York and New Jersey. The financial, insurance, health care, and real estate industries form the basis of New York's economy. The following graph shows the key employment sectors for New York City and its percentages by employee workforce.



Source: U.S. Census Bureau of Labor Statistics

The city is also the most important center for mass media, journalism and publishing in the United States, and is the preeminent arts center in the country. The three largest employment sectors in the New York economy are education and health services, professional and business services, and government. Creative industries such as media, advertising, fashion, design and architecture account for a growing share of employment, with New York City possessing a strong competitive advantage in these industries. Although manufacturing is declining, it remains consequential to the economy.

Unemployment

According to the U.S. Department of Labor, the unemployment rate in New York City was 5.8% in August 2025. This compares with an unemployment rate of 4.0% for the state of New York and 4.3% for the nation. The unemployment rate was 7.8% in Bronx County, 5.9% in Brooklyn, 5.2% in Manhattan, 5.2% in Queens County, and 5.4% on Staten Island. The figures are reflected below.

UNEMPLOYMENT RATE FOR NEW YORK CITY													
	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Trendline
United States	3.9%	3.9%	4.0%	4.1%	4.0%	4.1%	4.2%	4.2%	4.2%	4.1%	4.2%	4.3%	
New York State	4.2%	4.2%	4.3%	4.3%	4.4%	4.3%	4.2%	4.2%	4.0%	4.0%	4.0%	4.0%	
New York City	**5.3%**	**5.5%**	**5.5%**	**5.2%**	**5.3%**	**4.3%**	**4.5%**	**4.6%**	**4.3%**	**4.8%**	**5.7%**	**5.8%**	
Bronx County	6.8%	6.9%	7.1%	6.8%	7.1%	5.8%	5.9%	6.1%	5.8%	6.4%	7.6%	7.8%	
Kings County (Brooklyn)	5.7%	5.7%	5.8%	5.5%	5.4%	4.4%	4.6%	4.7%	4.5%	4.9%	5.8%	5.9%	
New York County (Manhattan)	4.8%	4.8%	4.8%	4.6%	4.8%	3.9%	4.1%	4.2%	3.9%	4.3%	5.2%	5.2%	
Queens County	4.7%	4.7%	4.8%	4.6%	4.7%	3.9%	4.1%	4.1%	3.9%	4.3%	5.1%	5.2%	
Richmond County (Staten Island)	4.8%	4.8%	4.9%	4.6%	4.6%	3.7%	3.9%	4.0%	3.8%	4.2%	5.3%	5.4%	

Source: U.S. Bureau of Labor Statistics

Employment

Total employment has remained relatively stable over the past decade in the State of New York, versus that of New York City, which increased 0.2% per annum. The chart below shows employment since 2016 for both the state and city. Peak employment in New York State and New York City occurred in 2019 and 2018, respectively.

EMPLOYMENT STATISTICS 2016-2025				
	New York State		New York City	
Year	Total	% Yearly Δ	Total	% Yearly Δ
2016	9,292,431	-	4,089,050	-
2017	9,377,644	0.9%	4,087,550	0.0%
2018	9,423,636	0.5%	4,298,925	5.2%
2019	9,483,312	0.6%	4,264,233	-0.8%
2020	8,625,396	-9.0%	4,266,067	0.0%
2021	8,868,743	2.8%	4,078,558	-4.4%
2022	9,206,500	3.8%	4,091,975	0.3%
2023	9,377,248	1.9%	4,096,483	0.1%
2024	9,412,829	0.4%	4,151,867	1.4%
2025	9,448,619	0.4%	4,177,720	0.6%
Growth Rate	**1.7%**	**0.2%**	**2.2%**	**0.2%**

Source: U.S. Bureau of Labor Statistics

Employers

Out of the 500 U.S. corporations with the largest revenues in 2022 listed by Fortune, 43 had headquarters in New York City. The following are the largest Fortune 500 corporations headquartered in New York City: Verizon, JPMorgan Chase, Citigroup, MetLife, AIG, Morgan Stanley, New York Life Insurance, Goldman Sachs Group, TIAA, American Express, and Time Warner.

Demographics

New York City had a 2025 total population of 8,688,336, growing at a compound annual rate of -0.1% since 2010, which is equal to the State of New York's annual growth rate of -0.1%. New York City represents 43.4% of the total New York State population (19,998,175). The population dynamics for the city are further broken down by its five boroughs: Bronx, Brooklyn, Queens, Staten Island and Manhattan. The chart below highlights the population by borough within the city of New York. New York is the most populous city in the United States. New York is the largest city in the United States, with a population more than double the next largest city, Los Angeles or roughly equivalent to the combined populations of Los Angeles, Chicago, and Houston, the United States' second, third, and fourth most populous cities respectively. The city has a population more than that of 38 U.S. states.

POPULATION

YEAR	US	New York State	New York City	Bronx	Kings (Brooklyn)	Queens	Richmond (Staten Island)	New York County (Manhattan)
2010 Total Population	308,745,538	19,378,097	8,174,897	1,385,108	2,504,700	2,230,486	468,730	1,585,873
2020 Total Population	331,449,281	20,201,249	8,804,190	1,472,654	2,736,074	2,405,464	495,747	1,694,251
2025 Total Population	339,887,819	19,998,175	8,688,336	1,446,977	2,703,396	2,364,633	495,036	1,678,294
2030 Total Population	347,149,422	19,911,436	8,644,179	1,427,965	2,699,365	2,364,719	496,574	1,655,556
10-20 Annual Growth Rate	0.3%	-0.1%	-0.1%	-0.2%	-0.1%	-0.2%	0.0%	-0.1%
25-30 Annual Growth Rate	0.5%	-0.1%	-0.1%	-0.3%	0.0%	0.0%	0.1%	-0.3%

Source: Sites To Do Business (STDB) Online

The 2025 median age for New York City is 38 versus the United States median age of 39.6 and 39.8 for New York State. The borough of Brooklyn, with a median age of 36.1 is the youngest, while Staten Island is the oldest at 40.8 years of age.

MEDIAN AGE

YEAR	US	New York State	New York City	Bronx	Kings (Brooklyn)	Queens	Richmond (Staten Island)	New York County (Manhattan)
2010	37.1	37.9	35.5	32.9	34.2	37.2	38.3	36.5
2025	39.6	39.8	38	36.9	36.1	40.1	40.8	38.1
2030	40.5	40.9	39.2	38.3	37.2	41.4	41.7	39.3

Source: Sites To Do Business (STDB) Online

As of 2025, there were 3,405,847 households within New York City, with Brooklyn having the largest share at 1,023,341. Through 2030, the city is expected to form households at a pace that is equal to the state but slower than the United States.

HOUSEHOLD TRENDS - NUMBER OF HOUSEHOLDS								
YEAR	US	New York State	New York City	Bronx	Kings (Brooklyn)	Queens	Richmond (Staten Island)	New York County (Manhattan)
2010	116,716,292	7,317,754	3,109,697	483,449	916,856	780,030	165,516	763,846
2025	132,422,916	7,815,341	3,405,847	529,277	1,023,341	851,224	173,988	828,017
2030	136,716,884	7,890,659	3,436,086	532,579	1,037,797	863,047	175,169	827,494
25-30 Annual Growth Rate	0.64%	0.19%	0.18%	0.12%	0.28%	0.28%	0.14%	-0.01%

Source: Sites To Do Business (STDB) Online

The average household size for New York City is 2.49 persons, which is above the state but below the United States. Staten Island has the largest household size of the boroughs, while Manhattan has the smallest. Growth forecast through 2030 is nominal.

AVERAGE HOUSEHOLD SIZE								
YEAR	US	New York State	New York City	Bronx	Kings (Brooklyn)	Queens	Richmond (Staten Island)	New York County (Manhattan)
2010	2.58	2.57	2.57	2.77	2.69	2.82	2.78	1.99
2025	2.50	2.48	2.49	2.63	2.60	2.74	2.80	1.93
2030	2.48	2.45	2.45	2.58	2.56	2.70	2.79	1.91

Source: Sites To Do Business (STDB) Online

New York City has a relatively high percentage of renters, with 64.7% of housing units being renter occupied. This is a significantly higher ratio versus the United States and New York State. Leading the way with the highest percentage of renters is the Bronx followed by Brooklyn.

HOUSING UNITS								
2025 Ownership	US	New York State	New York City	Bronx	Kings (Brooklyn)	Queens	Richmond (Staten Island)	New York County (Manhattan)
Total Housing Units	146,800,552	8,671,626	3,692,258	561,265	1,101,975	907,328	185,241	936,449
Owner Occupied	57.9%	46.2%	27.5%	17.7%	24.3%	37.8%	58.5%	21.1%
Renter Occupied	32.3%	44.0%	64.7%	76.6%	68.6%	56.0%	35.5%	67.3%
Vacant Housing Units	9.8%	9.8%	7.8%	5.7%	7.1%	6.2%	6.0%	11.6%

Source: Sites To Do Business (STDB) Online

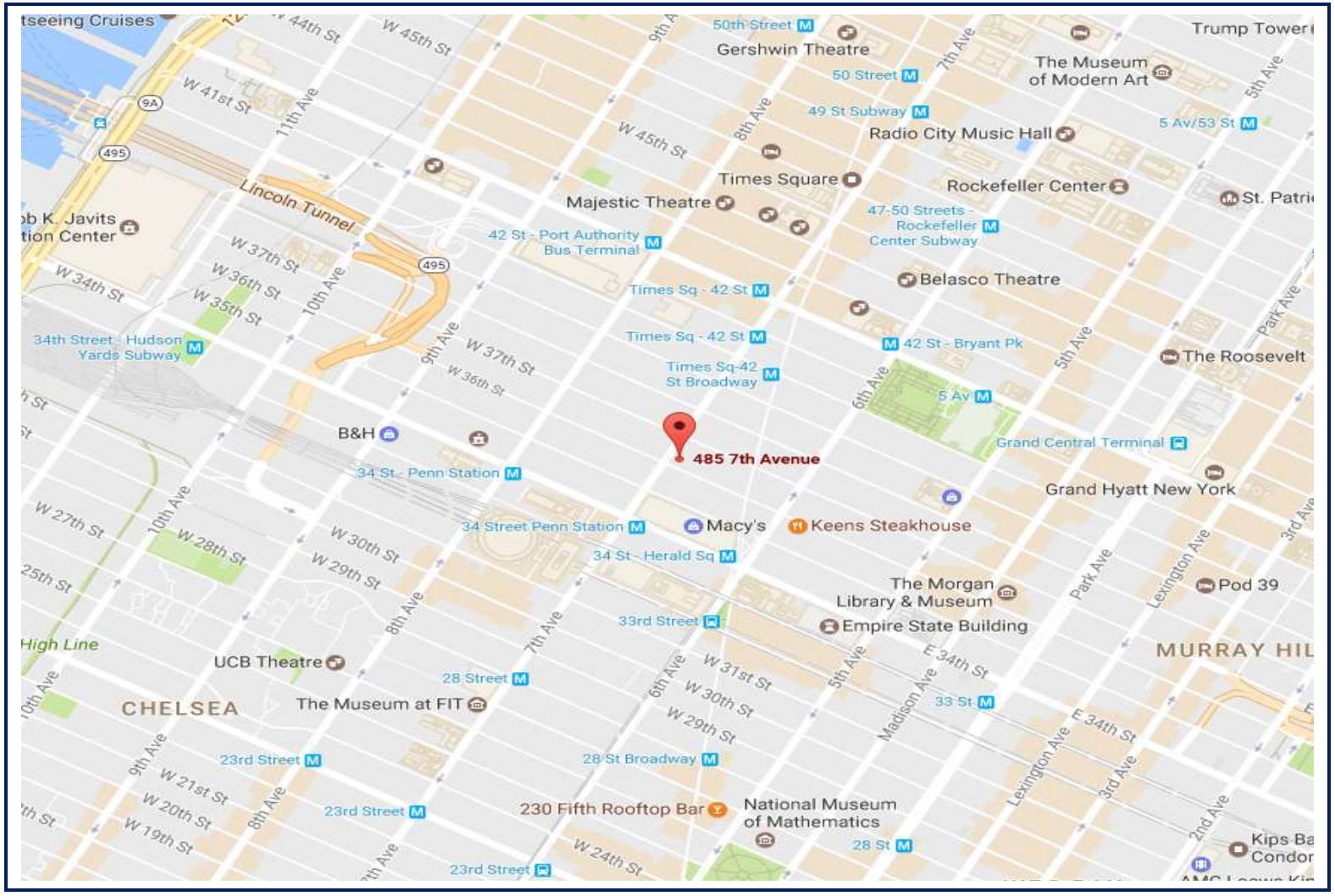
The 2025 median household income for the combined boroughs of New York City was $80,859, which was lower than the state's median income of $85,744 and lower than the United States median household income of $81,624. Note the median household income in correlation to the median age in a previous chart. The Bronx, which has the younger median age, also has a lower median household income ($48,791), whereas the higher income of Staten Island ($101,729) coincides with an older median age. Staten Island and Manhattan are the most affluent areas.

MEDIAN HOUSEHOLD INCOME								
YEAR	US	New York State	New York City	Bronx	Kings (Brooklyn)	Queens	Richmond (Staten Island)	New York County (Manhattan)
2025	$81,624	$85,744	$80,859	$48,791	$80,653	$84,827	$101,729	$110,382
2030	$92,476	$96,252	$91,339	$52,646	$91,465	$94,746	$112,750	$132,455
25-30 Annual Growth Rate	2.53%	2.34%	2.47%	1.53%	2.55%	2.24%	2.08%	3.71%

Source: Sites To Do Business (STDB) Online

Conclusion

The New York City region is one of the most heavily populated and prosperous regions in the country. Settled along the east coast, it harbors a strong scientific economy and a thriving real estate industry. Over the long term, the New York City region is expected to perform commensurate with the greater New York region, and will continue to be influenced by the direction of the national and global economies.


485 7th Avenue
Gershwin Theatre
50th Street
The Museum of Modern Art
Trump Tower
50 Street
49 St Subway
Radio City Music Hall
5 Av/53 St
Times Square
Rockefeller Center
Majestic Theatre
47-50 Streets Rockefeller Center Subway
42 St - Port Authority Bus Terminal
Belasco Theatre
Times Sq - 42 St
42 St - Bryant Pk
The Roosevelt
Times Sq-42 St Broadway
5 Av
Grand Central Terminal
B&H
34 St - Penn Station
Grand Hyatt New York
Macy's
Keens Steakhouse
34 Street Penn Station
34 St - Herald Sq
The Morgan Library & Museum
Pod 39
Empire State Building
33rd Street
High Line
UCB Theatre
28 Street
CHELSEA
The Museum at FIT
33 St
23rd Street
28 St Broadway
230 Fifth Rooftop Bar
National Museum of Mathematics
28 St
Lincoln Tunnel
34th Street - Hudson Yards Subway
MURRAY HIL

Location

The property is located within the Penn Plaza/Garment District, proximate to submarkets such as the Flatiron District, Gramercy Park, Herald Square, Midtown, Midtown South, Times Square and Union Square. Fashion-related structures serve as the predominant property type within the Garment District. This includes office buildings, fashion manufacturing and warehouse facilities, as well as wholesale and boutique fashion-oriented retail units.

The Penn Plaza/Garment District is bounded by West 42nd Street to the north, Fifth Avenue to the east, West 30th Street to the south, and Twelfth Avenue to the west.

Surrounding Uses

The Penn Plaza/Garment District contains a plethora of uses, inclusive of commercial, residential, industrial, and recreational. The residential structures in the neighborhood range from low to high-rise buildings, a good number of which contain grade-level retail. Regarded as a major fashion center, the Penn Plaza/Garment District is home to several office buildings and industrial structures, several of which are occupied by notable designers. Significant companies in the Garment District include Calvin Klein, Donna Karan, Liz Claiborne, Oscar de la Renta, Andrew Marc, Nicole Miller, Carolina Herrera, Hugo Boss, Badgley Mischka, and Jovani.

The Penn Plaza/Garment District also contains recreational uses such as restaurants, bars, hotels, and museums. Additionally, there are a number of heavy retail corridors within the neighborhood, comprised of individual boutiques and wholesalers as well as brand name retailers. The Penn Plaza/Garment District is also proximate to the New York Public Library and Bryant Park, two of the city's most popular and heavily visited sites by tourists and locals alike.

Adjacent Uses

North: 499 7th Avenue, Mixed Use Building with Grade-Level Retail
South: 469 7th Avenue, Mixed Use Building with Grade-Level Retail
East: 153 W 36th Street, Mixed Use Building with Grade-Level Retail
West: 488 7th Avenue, Mixed Use Building with Grade-Level Retail

Access

The subject property is located on the northeast corner of Seventh Avenue and West 36th Street. Highway access to the subject property is provided by the West Side Highway on the west side of Manhattan and Route 495 which provides access to the Lincoln Tunnel.

The subject property is in an accessible location within walking distance of the Herald Square station, B, D, F, M, N, Q and R lines; Penn Station 1, 2, 3, A, C, and E trains; and the Times Square station, 1, 2, 3, 7, N, Q and R lines. The subject property is also accessible via the public bus line.

Manhattan Community District 5

The subject property is located in Manhattan Community District 5, which encompasses the Penn Plaza/Garment District, Flatiron District, Gramercy Park, Herald Square, Midtown, Midtown South, Murray Hill, Times Square and Union Square submarkets. The information presented below is a profile of Manhattan Community District 5, as provided by the New York City Department of City Planning.

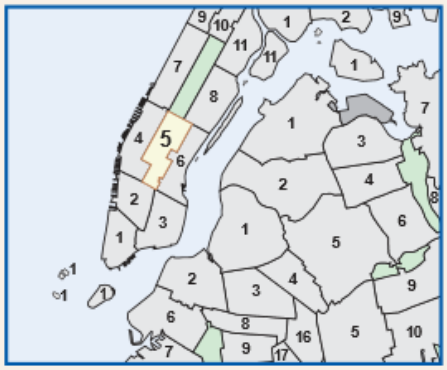
MANHATTAN COMMUNITY DISTRICT 5

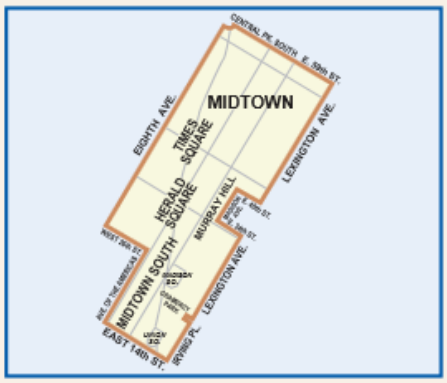
TOTAL POPULATION	1990	2000	2010
Number	43,507	44,028	51,673
% Change	—	1.2	17.4

VITAL STATISTICS	2005	2010
Births: Number	482	569
Rate per 1000	10.9	11.0
Deaths: Number	238	235
Rate per 1000	5.4	4.5
Infant Mortality: Number	5	—
Rate per 1000	10.4	5.3

INCOME SUPPORT	2005	2012
Cash Assistance (TANF)	1,255	1,221
Supplemental Security Income	1,340	1,310
Medicaid Only	2,498	2,943
Total Persons Assisted	**5,093**	**5,474**
Percent of Population	**11.6**	**10.6**

TOTAL LAND AREA	
Acres:	**1,005.3**
Square Miles:	**1.6**





LAND USE, 2012

	Lots	Lot Area Sq. Ft.(000)	Lot Area %
1- 2 Family Residential	15	24.5	0.1
Multi-Family Residential	296	1,845.9	6.4
Mixed Resid. / Commercial	435	2,588.8	8.9
Commercial / Office	1,570	17,636.9	60.8
Industrial	501	2,619.8	9.0
Transportation / Utility	18	842.8	2.9
Institutions	115	1,593.4	5.5
Open Space / Recreation	12	948.4	3.3
Parking Facilities	69	500.0	1.7
Vacant Land	92	386.1	1.3
Miscellaneous	12	16.3	0.1
Total	**3,135**	**29,003.0**	**100.0**

New York City Department of City Planning

Demographic Information

In order to further understand the dynamics of the area surrounding the subject property, we have presented demographic data from the area within Penn Plaza - Garment District. The boundaries of the area are shown in the map below.



Source: Site to Do Business

Population statistics for Penn Plaza - Garment District show that since 2020 there has been a 0.7% change in population, and from 2025 to 2030, there is an anticipated 0.2% increase. This area is a stable market, which is anticipated to grow moderately going forward.

POPULATION			
YEAR	US	New York	Penn Plaza - Garment District
2010 Total Population	308,745,538	19,378,097	27,815
2020 Total Population	331,449,281	20,201,249	45,095
2025 Total Population	338,440,954	19,998,175	46,285
2030 Total Population	344,873,411	19,911,436	46,754
20-24 Annual Growth Rate	0.5%	-0.3%	0.7%
25-30 Annual Growth Rate	0.4%	-0.1%	0.2%

Source: Sites To Do Business (STDB) Online

In 2025 the population in this neighborhood consists of 23,911 households. According to ESRI, household formation will occur at a 0.49% compound rate of growth within the subject area through 2030.

HOUSEHOLD TRENDS - NUMBER OF HOUSEHOLDS

YEAR	US	New York	Penn Plaza - Garment District
2010	116,716,292	7,317,754	14,938
2025	130,716,571	7,815,341	23,911
2030	134,930,577	7,890,659	24,499
25-30 Annual Growth Rate	0.64%	0.19%	0.49%

Source: Sites To Do Business (STDB) Online

According to ESRI, the ratio of home ownership within the subject area is equal to 14.5%. In contrast, the U.S. Census Bureau published its estimate of national homeownership rate of 57.9% in 2025.

HOME OWNERSHIP

YEAR	US	New York	Penn Plaza - Garment District
2010	57.7%	48.1%	19.1%
2025	57.9%	46.2%	14.5%
2030	59.0%	46.3%	14.6%

Source: Sites To Do Business (STDB) Online

Median household income times the number of households yields on significant measure of an area's retail sales potential. According to ESRI, the 2025 median household income within the subject area is $134,369. This figure is anticipated to increase by 4.06% to $163,927 in 2030.

MEDIAN HOUSEHOLD INCOME

YEAR	US	New York	Penn Plaza - Garment District
2025	$79,068	$85,744	$134,369
2030	$91,442	$96,252	$163,927
25-30 Annual Growth Rate	2.95%	2.34%	4.06%

Source: Sites To Do Business (STDB) Online

The 2025 median age for Penn Plaza - Garment District is 34.7 versus the United States median age of 39.3 and 39.8 for New York. This places the median age for Penn Plaza - Garment District below both national and state levels.

MEDIAN AGE			
YEAR	US	New York	Penn Plaza - Garment District
2010	37.1	37.9	34.6
2025	39.3	39.8	34.7
2030	40.4	40.9	35.7

Source: Sites To Do Business (STDB) Online

Special Hazards or Adverse Influences

The subject is located in a non-flood hazard area. No other special hazards or adverse influences were noted.

Conclusion

The subject is located in an established market, with adequate visibility and access, as well as a viable demand for retail uses. Our long term outlook for the subject is positive, although its success will remain tied to the influences of the regional economy.

United States Overview

According to Hotel News Resource Market Report, "The final revision of STR and Tourism Economics's U.S. hotel growth forecast for 2024 reflects a downgrade in growth rates. The firms revised down the projected gains in average daily rate (ADR) by -0.5 percentage points to +1.5% and revenue per available room (RevPAR) by -0.6 percentage points to +1.4%. Additionally, the occupancy rate for the year was adjusted by -0.1 percentage points to 62.9%."

"Amanda Hite, STR President, noted that higher-end hotels are expected to continue leading industry performance, driven by current economic conditions. She also highlighted the potential for stronger economic conditions following a change in the presidential administration, although this is not yet reflected in the data."

"The economic drivers support growth in travel activity in 2025. Aran Ryan, Director of Industry Studies at Tourism Economics, highlighted that consumer spending and business investment are expected to expand, supporting further gains in business and group travel demand. Additionally, growth in international visitation presents a potential boost for the industry."

TOURISM ECONOMICS

STR CoStar

U.S. Hotel Forecast

YoY – year over year (% change)

	2024 Actual	2025 Forecast	2026 Forecast
Supply (YoY)	+0.5%	+0.8%	+0.9%
Demand (YoY)	+0.6%	-0.4%	+0.5%
Occupancy	63.1%	62.3%	62.0%
ADR (YoY)	+1.8%	+0.8%	+0.9%
RevPAR (YoY)	+1.9%	-0.4%	+0.5%

The subject operates within the National Select-Service Lodging Segment, which historically has performed well although recent years have shown some softening in this segment. Market participants have been more cautious about near-term performance and investing in this segment, particularly due to existing concerns that supply is outpacing demand and residual impact from the Coronavirus pandemic. As per the PwC Real Estate Investor Survey Q4 2025, the average overall capitalization rate for this sector is 9.45%, a 45-basis point increase from 9.00% one-year prior.

Manhattan Hotel Market Analysis

The subject is located in Manhattan, the epicenter of the largest city in the United States and the number one tourist and business destination of the country. Some of the world's most visited tourist attractions are located in New York, including Times Square, Central Park, Grand Central, The Empire State Building, and many others. The city has a unique mix of museums, restaurants, theaters, hotels, entertainment, and shopping. The local population of Manhattan is 1.6 million people and the daily influx of commuters, visitors, and tourists more than doubles this number. Tourism, finance, health care, and real estate form the basis of the Manhattan economy.

New York hotels capitalize on the yearly influx of tourists and business travelers. Manhattan offers a hotel for every type of traveler, with posh accommodations at marquee locations that can garner upwards of $10,000 per night at the very top end, to much more modest hotels in the low-hundreds of dollars per night. Current average daily room rates in Manhattan hover around the low-to-mid $300s per night, with deals sometimes found below $100–$200 off-season or for limited-service properties. Common to all hotels in Manhattan is the fact that they have had to cope with recent shifts in the lodging sector. Nationwide, the hotel industry saw rapid supply expansion in the decade before the pandemic, and while New York City's hotel room count has increased significantly over the past couple of decades, supply growth has slowed more recently.

Although the expansion seen nationally in earlier years has moderated, New York City today has well over 120,000 hotel rooms citywide, a large share of which are in Manhattan. Supply growth is still becoming more apparent as demand growth slows, leaving many rooms unbooked at certain price points. STR and PwC data for Manhattan's lodging market show that occupancy averaged in the low-to-mid 80 percent range in early 2025, and average daily rates have increased compared to pandemic lows, reflecting stronger rate power despite softer demand growth in some segments. The most expensive Manhattan hotels have remained more resilient and have largely maintained high rates rather than slashing them, while limited-service or budget hotels face more pressure to compete on price.

Statistical Analysis

The table below summarizes statistics for occupancy rates, average daily rates, and RevPAR values for the subject property, the competitive set, and the larger market area as of November 2025.

Subject V. Market Occupancy & Revenue Statistics November 2025						
Sector	Occupancy YTD	Occ. YTD % Chg	Average Daily Rate YTD	ADR YTD % Chg	RevPAR YTD	RevPAR YTD %Chg
MOXY NYC Times Square	94.6%	-0.3%	$263.31	3.5%	$241.23	3.3%
Competitive Set	91.1%	0.0%	$261.67	2.3%	$225.60	2.3%
Market: New York City	86.6%	-0.2%	$320.84	4.6%	$268.71	4.3%
Market Class: Upper Midscale	87.9%	-0.5%	$227.89	1.2%	$195.15	0.7%

Source: MOXY NYC Times Square Monthly STR Report November 2025

According to the table, the MOXY NYC Times Square has a higher occupancy rate (94.6%) when compared with the competitive set, New York City, and upper midscale class markets. The subject's ADR is similar to the competitive set, but is lower than the New York market and higher than the upper midscale class market. As such, it also has the second highest RevPAR in comparison to the competitive set, the New York market, and the larger upper midscale class market. It is important to note that the subject is not considered stable as of the date of value due to current economic conditions. As economic conditions improve, the subject is expected to perform on par with the competitive set, and larger New York and upper midscale class markets which will also reflect higher occupancies and ADRs.

Subject V. Market Supply & Demand Statistics November 2025		
Sector	Supply YTD % Chg	Demand YTD % Chg
MOXY NYC Times Square	-0.3%	-0.6%
Competitive Set	0.3%	0.4%
Market: New York City	2.0%	1.8%
Market Class: Upper Midscale	4.1%	3.6%

Source: MOXY NYC Times Square Monthly STR Report November 2025

According to the table, the subject has seen a nominal changes in both supply and demand. There has been an increase in demand in New York City and for Upper Midscale hospitality properties in general. The hotels in the upper midscale and New York markets have also seen a slight increase in supply and an increase in demand, indicating residual impact to the subject and hotels within the subject's competitive set and returning of the market from recent conditions.

Comparable Properties

Located within the Penn Plaza/Garment District of Midtown and just south of Times Square, the subject is proximate to world-class shopping, dining, and tourist attractions, as well as several transportation hubs. There are six hotels within the subject's competitive market area considered to be competitive. Due to the subject's location about six blocks south of Times Square, four of the seven hotels are in the Times Square submarket. The competitive hotels include the Renaissance New York Midtown Hotel, the Paramount Hotel, Hyatt Times Square, Ace Hotel New York, Element New York Times Square West, and the Yotel New York @ Times Square.

Renaissance New York Midtown Hotel

The Renaissance New York Midtown Hotel is a full-service hotel located at 218 West 35th Street. Lodging options include standard guest rooms containing either one king or two queen beds. Suites offer two king beds and an additional half bathroom. In-room amenities include a flat screen television, work desk, marble bathroom, wet bar, coffee maker, iron and ironing board, hairdryer, robes, slippers, and a mini-refrigerator in the kitchen.

The Renaissance New York Midtown Hotel offers two on-site dining facilities. Rock & Reilly's is an Irish and American-fused bar offering international cuisine and specialty cocktails. My Belly's Playlist In Room Dining is a speak easy sandwich company specializing in American fare. Other hotel amenities include a fitness center and concierge lounge.

Business services include a business center, free WiFi and approximately 10,430 square feet of flexible event space that can accommodate up to 714 guests.

The Renaissance New York Midtown Hotel appears to be in good condition overall and is considered comparable to the subject property in location and accommodations.

Paramount Hotel

The Paramount Hotel is a full-service hotel located at 235 West 46th Street. Lodging options include guest rooms and three different suites equipped with a mix of double, queen and king beds. In-room amenities include a flat screen television, a work desk with lamp, iHome iPod docking station and other designer amenities.

The Paramount Hotel features two dining facilities: a lobby restaurant known as the Paramount Bar & Grill and a café located on the lobby level called Corso Coffee. Other hotel amenities include a fitness center and a storied nightclub known as the Diamond Horseshoe.

Business services include a business center, free WiFi and approximately 2,355 square feet of flexible meeting space than can accommodate up to 110 guests. Events can also be held in the Diamond Horseshoe, which offers approximately 6,000 square feet of space.

The Paramount Hotel appears to be in good condition overall and is considered comparable to the subject property in location and similar in accommodations.

Hyatt Centric Times Square

The Hyatt Times Square is a full-service hotel located at 135 West 45th Street. Lodging options include standard guest rooms with one king or two queen beds, and suites offer two king beds with separate sitting and work areas. In-room amenities include floor-to-ceiling windows, a flat-screen television, and other standard amenities.

On-site dining options include the T45 Restaurant, a bistro-style restaurant serving American fare for lunch and dinner, and Bar 54, a rooftop bar serving specialty cocktails and a bar menu. Other hotel amenities include a fitness center, spa and salon, and rooftop bar/lounge.

Business services include a business center, free WiFi and approximately 11,102 square feet of meeting space that can accommodate up to 875 guests.

The Hyatt Times Square hotel appears to be in good condition overall and is considered superior to the subject property in location and similar in accommodations.

Ace Hotel New York

The Ace Hotel New York is a full-service hotel located at 20 West 29th Street. Lodging options include a bunk bed, mini, small, medium, large, double or loft suite rooms. Bunk bed rooms feature twin bunk beds, a mini refrigerator, flat-screen television, bathrobe, fully-stocked minibar and free high-speed wireless internet access. Mini rooms offer one full size bed and the same amenities, with the addition of vintage furniture. Small rooms offer a full, queen or king size bed, original art and vintage furniture. Medium-sized rooms offer a full, queen or king bed, original art, curated minibar, and the addition of an acoustic Martin guitar in some rooms. All medium-sized rooms offer views of Broadway and 29th Street. Large rooms offer a king bed, upgraded bathroom finishes, a turntable with records, and a curated mini bar. Some include an acoustic Martin guitar. Double rooms offer the same amenities as small rooms, with two double beds. Loft suites feature a separate living area, built-in banquette, hardwood floors, a turntable, curated minibar, upgraded bathroom finishes, and an in-room safe.

The Ace Hotel New York offers options for dining, including the Breslin Bar & Dining Room and the John Dory Oyster Bar. Room service is also available. Other hotel amenities include a fitness center, full-service concierge, and retail shops.

Business services include Liberty Hall, a 2,700-square foot flexible event space that can host fashion shows, corporate meetings, weddings, photoshoots, cocktail parties, and more, and the Boardroom, a 700-square foot space equipped with audio/visual equipment and printing and scanning capabilities. These event spaces can accommodate 200 and 20 guests in seating formats respectively.

The Ace Hotel New York appears to be in good condition overall and is considered comparable to the subject property in location and accommodations.

Element New York Times Square West

The Element New York Times Square West is a select-service hotel located at 311 West 39th Street. Lodging options include a variety of guest rooms. All available rooms offer either one king bed or two double beds. In-room amenities include a flat screen television, ergonomic workstation, rainfall showerhead, fully equipped kitchenette, complimentary bottled water and coffee, and other standard amenities.

On-site dining options include Rise, a breakfast bar. Other hotel amenities include a fitness center, pantry and guest lounge.

Business services include a business center, free WiFi and approximately 492 square feet of meeting space that can accommodate up to 20 guests.

The Element New York Times Square West appears to be in excellent condition overall and is considered superior to the subject property in location but inferior in amenities.

Yotel New York @ Times Square

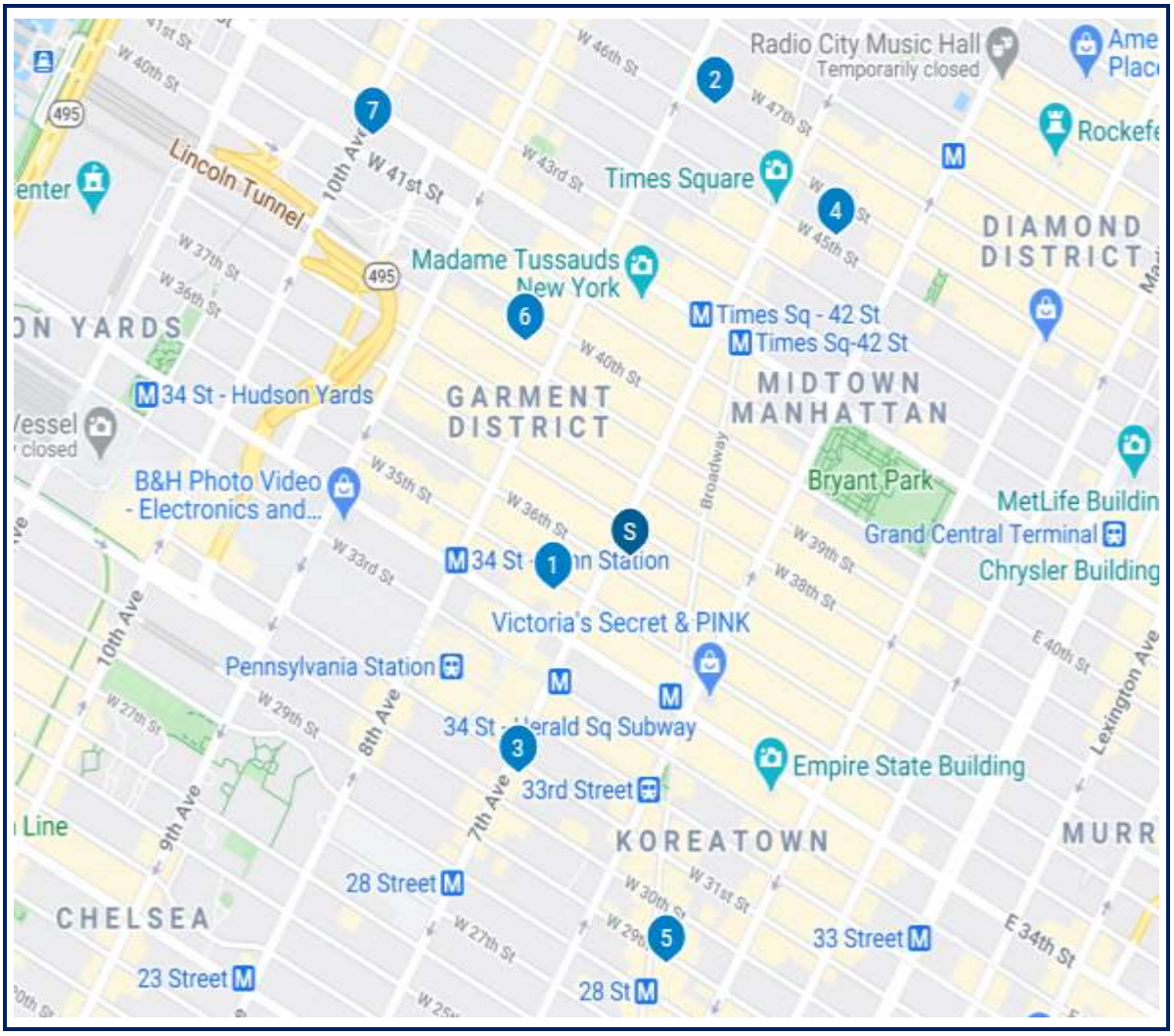
The Yotel New York @ Times Square is a select-service hotel located at 570 10th Avenue. Lodging options include standard guest rooms with one king, one queen, or one queen with one or two sets of bunk beds, and suites offer a circular king bed with separate sitting and work areas. In-room amenities include a technowall with television, monsoon shower with heated towel racks, workdesk iron and ironing board, hairdryer, and other standard amenities.

On-site dining options include the Green Fig, a Mediterranean fusion restaurant open for breakfast, lunch and dinner, as well as a rooftop terrace bar and lounge. Other hotel amenities include a fitness center and rooftop cinema club.

Business services include a business center, free WiFi and approximately 6,300 square feet of meeting space that can accommodate up to 312 guests.

The Yotel @ Times Square hotel appears to be in good condition overall and is considered inferior to the subject property in location and similar in accommodations.

COMPETITIVE PROPERTIES MAP



Comparable Hotel No. 1



Name: Renaissance New York Midtown Hotel
Address: 218 West 35th Street
City/State: New York, NY

PROPERTY INFORMATION

Building Area:	216,021	**Quality:**	Average
Number of Rooms:	348	**Condition:**	Good
Average Room Size:	621	**Location:**	Excellent
Stories:	39	**Fitness Center:**	Yes
Opened:	2016	**Business Center:**	Yes
Occupancy:	100%	**Indoor Pool:**	No
		Outdoor Pool:	No
		Meeting Space:	10,430

RENTAL RATES

Guest Room Rates	**1/20/2026 (Tue)**	**5/25/2026 (Mon)**	**8/19/2026 (Wed)**	**10/15/2026 (Thu)**
Best Available Rate	$352.00	$597.00	$705.00	$1,169.00

Comments: This is a 39-story full-service hotel located on 35th Street between 7th and 8th Avenues. The hotel features 348 guest rooms and suites. Amenities include a fitness center and concierge lounge. On-site dining options include Rock & Reilly's, an international-themed upscale pub open for breakfast, lunch and dinner, and My Belly's Playlist In Room Dining, a speak easy sandwich company specializing in American fare, open for breakfast, lunch and dinner. Business services include a business center, free WiFi and approximately 10,430 square feet of flexible event space that can accommodate up to 714 guests.

Comparable Hotel No. 2



Name: Paramount Hotel Times Square
Address: 235 West 46th Street
City/State: New York, NY

PROPERTY INFORMATION

Building Area:	215,879	**Quality:**	Average
Number of Rooms:	600	**Condition:**	Good
Average Room Size:	360	**Location:**	Excellent
Stories:	18	**Fitness Center:**	Yes
Opened:	1928	**Business Center:**	Yes
Occupancy:	87%	**Indoor Pool:**	No
		Outdoor Pool:	No
		Meeting Space:	2,355

RENTAL RATES

Guest Room Rates	**1/20/2026 (Tue)**	**5/25/2026 (Mon)**	**8/19/2026 (Wed)**	**10/15/2026 (Thu)**
Best Available Rate	$130.00	$184.50	$218.50	$414.00

Comments: This is a 18-story full-service hotel located in midtown Manhattan. It features 600 guest rooms and suites. Amenities include a fitness center, storied nightclub and a lobby bar/cafe. On-site dining options include Paramount Bar & Grill, a lobby restaurant and Corso Coffee, a cafe located on the lobby level. Business services include a business center, free WiFi and approximately 2,355 square feet of flexible event space that can accommodate up to 200 guests.

Comparable Hotel No. 3



Name: Hyatt Centric Times Square New York
Address: 135 West 45th Street
City/State: New York, NY

PROPERTY INFORMATION

Building Area:	270,000	**Quality:**	Average
Number of Rooms:	487	**Condition:**	Good
Average Room Size:	554	**Location:**	Excellent
Stories:	53	**Fitness Center:**	Yes
Opened:	2013	**Business Center:**	Yes
Occupancy:	87%	**Indoor Pool:**	No
		Outdoor Pool:	No
		Meeting Space:	11,102

RENTAL RATES

Guest Room Rates	**1/20/2026 (Tue)**	**5/25/2026 (Mon)**	**8/19/2026 (Wed)**	**10/15/2026 (Thu)**
Best Available Rate	$225.00	$333.00	$324.00	$377.00

Comments: This is a 53-story full-service hotel located on 45th Street, between 6th and 7th Avenues. The hotel features 487 guest rooms and suites. Amenities include a fitness center, spa and salon, and a rooftop bar/lounge. On-site dining options include the T45 restaurant, a bistro-style restaurant featuring American cuisine for lunch and dinner. Bar 54 is a rooftop bar serving specialty cocktails and a bar menu. Business services include a business center, free WiFi and approximately 11,102 square feet of flexible event space that can accommodate up to 875 guests.

Comparable Hotel No. 4



Name: Ace Hotel New York
Address: 20 West 29th Street
City/State: New York, NY

PROPERTY INFORMATION

Building Area:	185,000	**Quality:**	Average
Number of Rooms:	286	**Condition:**	Good
Average Room Size:	647	**Location:**	Excellent
Stories:	13	**Fitness Center:**	Yes
Opened:	2009	**Business Center:**	No
Occupancy:	86%	**Indoor Pool:**	No
		Outdoor Pool:	No
		Meeting Space:	3,400

RENTAL RATES

Guest Room Rates	**1/20/2026 (Tue)**	**5/25/2026 (Mon)**	**8/19/2026 (Wed)**	**10/15/2026 (Thu)**
Best Available Rate	$197.00	$311.00	$422.00	$594.00

Comments: The Ace Hotel New York is located 20 West 29th Street. It is a full-service hotel offering a fitness center, full-service concierge and retail shops. Dining options include the Breslin Bar & Dining Room and the John Dory Oyster Bar. Business services include free Wi-Fi and 2 meeting rooms comprising 3,400 square feet of event space that can accommodate up to 220 guests.

Comparable Hotel No. 5



Name: Element New York Times Square West
Address: 311 West 39th Street
City/State: New York, NY

PROPERTY INFORMATION

Building Area:	177,000	**Quality:**	Average
Number of Rooms:	411	**Condition:**	Good
Average Room Size:	431	**Location:**	Excellent
Stories:	39	**Fitness Center:**	Yes
Opened:	2010	**Business Center:**	Yes
Occupancy:	86%	**Indoor Pool:**	No
		Outdoor Pool:	No
		Meeting Space:	492

RENTAL RATES

Guest Room Rates	**1/20/2026 (Tue)**	**5/25/2026 (Mon)**	**8/19/2026 (Wed)**	**10/15/2026 (Thu)**
Best Available Rate	$149.00	$228.00	$264.00	$405.00

Comments: This is a 39-story select-service hotel located on West 39th Street, between 8th Avenue and 9th Avenue. The hotel features 411 guest rooms and suites. Amenities include a fitness center, pantry and guest lounge. On-site dining options include Rise, a breakfast bar. Business services include a business center, free WiFi and approximately 492 square feet of flexible event space that can accommodate up to 20 guests.

Comparable Hotel No. 6



Name: Yotel New York @ Times Square
Address: 570 10th Avenue
City/State: New York, NY

PROPERTY INFORMATION

Building Area:	1,003,752	**Quality:**	Average
Number of Rooms:	713	**Condition:**	Good
Average Room Size:	1,408	**Location:**	Excellent
Stories:	59	**Fitness Center:**	Yes
Opened:	2011	**Business Center:**	Yes
Occupancy:	93%	**Indoor Pool:**	No
		Outdoor Pool:	No
		Meeting Space:	6,300

RENTAL RATES

Guest Room Rates	**1/20/2026 (Tue)**	**5/25/2026 (Mon)**	**8/19/2026 (Wed)**	**10/15/2026 (Thu)**
Best Available Rate	$162.00	$235.00	$284.00	$412.00

Comments: This is a 59-story select-service hotel located on 10th Avenue, between W 41st and W 42nd Streets. The hotel features 713 guest rooms and suites. Amenities include a fitness center and rooftop cinema club. On-site dining options include Green Fig , a Mediterranean fusion restaurant, and rooftop terrace bar and lounge. Business services include a business center, free WiFi and approximately 6,300 square feet of flexible event space that can accommodate up to 312 guests.

Summary of Competition

The competitive hotel properties have a total of 5,018 rooms, with occupancy levels between 76.0 percent and 100.0 percent. Average occupancy for the competitive properties is 88.0 percent. This information is summarized below:

SUMMARY OF COMPETITION	
Number of Rooms in Competitive Inventory:	5,018
Total SF in Competitive Inventory:	2,067,652
Average Room Size (SF) in Comp Set:	412
Occupied SF in Competitive Inventory:	1,883,545
Minimum Occupancy:	76%
Maximum Occupancy:	100%
Average Occupancy:	88%

The above statistics can be compared to the subject property:

SUBJECT DATA (FORECAST)	
Number of Rooms in Subject:	612
Total SF in Subject:	168,450
Average Room Size (SF) in Subject:	275
Occupancy % of Subject:	95.0%

As can be seen from the above analysis, the subject has 612 rooms within 172,287 square feet of space, yielding an average room size of 275 square feet. Management has forecasted an occupancy of 93.6% in the first year.

Market Demand Segmentation

Commercial Demand

Commercial demand is generated through individuals or organizations meeting and conducting business in the Denver market. Fittingly, this demand tends to be higher during the work-week than on the weekends and is not affected by seasons, aside from a small potential decline around holidays. These types of visitors tend to stay between one and three days with 1.2 to 1.3 persons per room, as business travelers tend not to share rooms and have larger corporate accounts. Lodging choices tend to be influenced by brand loyalty and frequent traveler programs.

New York City is home to more corporate headquarters of any city in the nation. Many of the world's top Fortune 500 companies are based in NYC, including J.P. Morgan Chase & Co, Citigroup, Verizon Communications, American International Group, Goldman Sachs Group, Pfizer, MetLife, New York Life Insurance, Morgan Stanley, News Corporation, Hess, Time Warner, American Express, TIAA-CREF and Philip Morris International. The financial, insurance, health care, and real estate industries form the basis of New York's economy. Most major corporations have offices in and around New York City, making it the most heavily-traveled corporate destination in the United States.

Meeting & Group Demand

Meeting and group demand is generated through groups reserving space for gatherings of 10 or more persons with a range of purposes including meetings, seminars, trade shows, etc. This type of demand tends to be lowest in the winter and highest in the spring and fall seasons, while summer demand fluctuates. Corporate visitors tend to stay between three and five days and demand tends to be highest Monday-Thursday, similar to commercial travelers, however budget conscious groups prefer weekends and summer. Choice of lodging tends to trend toward hotels with plenty of meeting space, business services, and on-site dining options.

New York offers over 2.1 million square feet of convention center space to accommodate large gatherings. The city's largest ballroom measures over 54,000 square feet and its largest exhibit space measures 840,000 square feet. Some of the more popular event venues include Madison Square Garden, the Waldorf Astoria Hotel, the Trump SoHo New York, and French-cuisine restaurant Bouley. Event planning services are ample throughout the city to assist prospective organizers in ensuring their events run smoothly. In addition to public landmarks and venues, most hotels feature event space that caters to all types of gatherings, from business meetings, to trade shows, to weddings. Accommodations range from simple meeting rooms to lavish ballrooms, with advanced equipment rental and catering options.

Leisure Demand

Leisure demand is generated by visitors looking for entertainment in amusement parks, shopping malls, museums, and dining, etc. This type of demand tends to be highest on the weekends and weekdays only during the holidays, when commercial demand tends to be lower. Leisure visitors tend to stay between one and four days with 1.8 to 2.5 persons per room. Lodging choices tend to be influenced by disposable income, and thus the overall economy and employment levels.

New York City offers endless possibilities for leisure travelers. Its landmark skyscrapers, world-class shopping and dining, luxurious hotels, culture, theater and arts, sports, and more provide a year-round draw for tourists. The city's extensive transportation system makes commuting to different areas quick and convenient. Furthermore, the city offers lodging options for every out-of-town visitor, from no-frills, basic hotels to the most elegant hotel addresses in the world.

Travelers can reach the city by the Port Authority Trans-Hudson (PATH) system, the Long Island Rail Road, New Jersey Transit, and the Metro-North Railroad and then further along to their destinations by the New York City Subway or the New York City Bus. These transportation lines all meet in Penn Station, Grand Central, and the new Fulton Center downtown, making all areas of the city accessible to both experienced locals and tourists.

Penetration Analysis

Market penetration index is designed as an index to measure the hotel's share of market demand. The tables below break market penetration into a) two indexes (occupancy and average rate); and b) three demand segments (commercial, meeting and group, and leisure):

ESTIMATED 2026 MARKET PENETRATION ANALYSIS

Property	Room Count	Year Built	Occ.	Total Room Nights	Occupied Room Nights	Occupancy Penetration	ADR	ADR Penetration	RevPAR
MOXY New York Times Square	**612**	**1906**	**94%**	**223,380**	**209,977**	**104%**	**$270.00**	**77%**	**$253.80**
Renaissance New York Midtown Hotel	348	2016	100%	127,020	127,020	111%	$706.00	202%	$706.00
Paramount Hotel Times Square	600	1928	87%	219,000	190,530	96%	$237.00	68%	$206.19
Hyatt Centric Times Square New York	487	2013	87%	177,755	154,647	96%	$315.00	90%	$274.05
Ace Hotel New York	286	2009	86%	104,390	89,775	95%	$381.00	109%	$327.66
Element New York Times Square West	411	2010	86%	150,015	129,013	95%	$262.00	75%	$225.32
Yotel New York @ Times Square	713	2011	93%	260,245	242,028	103%	$273.00	78%	$253.89
Total:	**3,457**			**1,261,805**	**1,142,990**				

2026 ESTIMATED MARKET DEMAND ANALYSIS

	Est. 2026 Market Mix				Occupied Room Nights		
Property	**Commercial**	**M&G**	**Leisure**	**Total**	**Commercial**	**M&G**	**Leisure**
MOXY New York Times Square	**25%**	**15%**	**60%**	**100%**	**52,494**	**31,497**	**125,986**
Renaissance New York Midtown Hotel	30%	30%	40%	100%	38,106	38,106	50,808
Paramount Hotel Times Square	20%	20%	60%	100%	38,106	38,106	114,318
Hyatt Centric Times Square New York	35%	15%	50%	100%	54,126	23,197	77,323
Ace Hotel New York	45%	20%	35%	100%	40,399	17,955	31,421
Element New York Times Square West	20%	5%	75%	100%	17,955	4,489	67,332
Yotel New York @ Times Square	20%	15%	65%	100%	17,955	13,466	58,354
Totals/ Averages:	**28%**	**17%**	**55%**	**100%**	**259,142**	**166,816**	**525,543**

New Construction & Renovation

According to CoStar Realty Group, Inc, there are currently 15 hotels under construction in Manhattan. The smallest of these hotels is a proposed Days Inn that is anticipated to yield 48 rooms. The largest is a proposed independent hotel known as The Torch, currently under construction, which is anticipated to yield 825 rooms. This hotel is proximate to the subject property, but it remains to be seen whether it will garner the same competition.

As per CoStar, there are also a number of hotels proximate to the subject that will be completed in the near future. The table below summarizes these hotels:

Proposed Hotels			
Project Name	**Project Address**	**Room Count**	**Completion Date**
Kimpton Rockefeller Center	32 W 48th Street	529	Nov-25
aloft Hotel New York	450 11th Avenue	379	Jul-25
The Torch	740 8th Avenue	825	May-27
Totals:		1,733	

It is important to note that as of the date of this report, none of the above hotels are anticipated to be directly competitive with the subject. Therefore, at this time, we have added no additional proposed rooms in our analysis.

The following table illustrates an estimated projection of the market's occupancy over the upcoming years:

MARKET OCCUPANCY ESTIMATE SCHEDULE													
Segment	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038
Commercial													
Annual Growth Rate	-	1.0%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%
Base Demand	871	880	884	888	893	897	902	906	911	915	920	925	929
Available Room Nights	259,142	261,733	263,042	264,357	265,679	267,007	268,342	269,684	271,032	272,388	273,750	275,118	276,494
Displaced Demand	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Induced Demand	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total Demand	259,142	261,733	263,042	264,357	265,679	267,007	268,342	269,684	271,032	272,388	273,750	275,118	276,494
Meeting & Group													
Annual Growth Rate	-	1.0%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%
Base Demand	536	541	544	547	549	552	555	558	560	563	566	569	572
Available Room Nights	166,816	168,484	169,326	170,173	171,024	171,879	172,738	173,602	174,470	175,342	176,219	177,100	177,986
Displaced Demand	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Induced Demand	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total Demand	166,816	168,484	169,326	170,173	171,024	171,879	172,738	173,602	174,470	175,342	176,219	177,100	177,986
Leisure													
Annual Growth Rate	-	1.0%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%
Base Demand	1719	1737	1745	1754	1763	1772	1780	1789	1798	1807	1816	1825	1834
Available Room Nights	525,543	530,798	533,452	536,119	538,800	541,494	544,201	546,922	549,657	552,405	555,167	557,943	560,733
Displaced Demand	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Induced Demand	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total Demand	525,543	530,798	533,452	536,119	538,800	541,494	544,201	546,922	549,657	552,405	555,167	557,943	560,733
Totals:	951,500	961,015	965,820	970,649	975,503	980,380	985,282	990,209	995,160	1,000,135	1,005,136	1,010,162	1,015,213
Commercial	259,142	261,733	263,042	264,357	265,679	267,007	268,342	269,684	271,032	272,388	273,750	275,118	276,494
Meeting & Group	166,816	168,484	169,326	170,173	171,024	171,879	172,738	173,602	174,470	175,342	176,219	177,100	177,986
Leisure	525,543	530,798	533,452	536,119	538,800	541,494	544,201	546,922	549,657	552,405	555,167	557,943	560,733
Total Market Demand	951,500	961,015	965,820	970,649	975,503	980,380	985,282	990,209	995,160	1,000,135	1,005,136	1,010,162	1,015,213
Growth Rate	-	1.0%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%
Market Overview													
Current Room Count	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457
Proposed Room Count	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Available Room Nights	1,261,805	1,261,805	1,265,262	1,261,805	1,261,805	1,261,805	1,265,262	1,261,805	1,261,805	1,261,805	1,265,262	1,261,805	1,261,805
Market Occupancy	75.4%	76.2%	76.3%	76.9%	77.3%	77.7%	77.9%	78.5%	78.9%	79.3%	79.4%	80.1%	80.5%

The following table illustrates the subject's projected penetration rate and demand capture:

PROJECTED SUBJECT PENETRATION SCHEDULE													
Calendar Year	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038
SUBJECT FAIR SHARE													
Market Room Count	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457	3,457
Subject Room Count	612	612	612	612	612	612	612	612	612	612	612	612	612
Fair Share	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%
SUBJECT ROOM NIGHT CAPTURE													
Commercial													
Fair Share	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%
Penetration Factor	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%	89.7%
Market Share	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%
Demand	259,142	286,352	302,817	304,331	305,853	307,382	308,919	310,463	312,016	313,576	315,144	316,719	318,303
Market Share	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%	15.9%
Capture	41,171	45,494	48,110	48,351	48,592	48,835	49,079	49,325	49,571	49,819	50,068	50,319	50,570
Meeting & Group													
Fair Share	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%
Penetration Factor	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%	87.5%
Market Share	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%
Demand	166,816	184,331	194,930	195,905	196,885	197,869	198,858	199,853	200,852	201,856	202,866	203,880	204,899
Market Share	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%	15.5%
Capture	25,840	28,554	30,195	30,346	30,498	30,651	30,804	30,958	31,113	31,268	31,424	31,582	31,740
Leisure													
Fair Share	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%	17.7%
Penetration Factor	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%	109.1%
Market Share	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%
Demand	525,543	580,725	614,116	617,187	620,273	623,374	626,491	629,624	632,772	635,936	639,115	642,311	645,522
Market Share	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%	19.3%
Capture	101,496	112,153	118,602	119,195	119,791	120,390	120,992	121,597	122,205	122,816	123,430	124,047	124,667
Total Capture	168,507	186,201	196,907	197,892	198,881	199,876	200,875	201,879	202,889	203,903	204,923	205,947	206,977

The following table illustrates the subject's projected occupancy over the upcoming years:

SUBJECT PROPERTY ESTIMATED OCCUPANCY													
Calendar Year	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038
ESTIMATED SUBJECT OCCUPANCY													
Total Room Capture	209,977	211,027	223,161	224,277	225,398	226,525	227,658	228,796	229,940	231,090	232,245	233,406	234,573
Available Room nights	223,380	223,380	223,380	223,380	223,380	223,380	223,380	223,380	223,380	223,380	223,380	223,380	223,380
Occupancy	94.0%	94.5%	99.9%	100.4%	100.9%	101.4%	101.9%	102.4%	102.9%	103.5%	104.0%	104.5%	105.0%
Rounded Occupancy	**94.0%**	**94.5%**	**99.9%**	**100.4%**	**100.9%**	**101.4%**	**101.9%**	**102.4%**	**102.9%**	**103.5%**	**104.0%**	**104.5%**	**105.0%**
Overall Market Share	22.1%	22.0%	23.1%	23.1%	23.1%	23.1%	23.1%	23.1%	23.1%	23.1%	23.1%	23.1%	23.1%
Overall Penetration	142.2%	142.3%	142.6%	142.2%	142.2%	142.2%	142.6%	142.2%	142.2%	142.3%	142.6%	142.2%	142.2%
Total Captured Room Nights	209,977	211,094	223,157	224,274	225,390	226,507	227,624	228,741	229,858	231,198	232,315	233,432	234,549

The following table illustrates the subject's projected ADR over the upcoming years:

SUBJECT ADR PROJECTION		
Year Ended	**% Change**	**Projected ADR**
2026	-	$270.00
2027	1.8%	$274.86
2028	3.0%	$283.11
2029	3.0%	$291.60
2030	3.0%	$300.35
2031	3.0%	$309.36
2032	3.0%	$318.64
2033	3.0%	$328.20
2034	3.0%	$338.04
2035	3.0%	$348.18
2036	3.0%	$358.63
CAGR:		2.6%

Competitive Position of the Subject Property

The subject's competitive position is linked to two characteristics: its market area and the physical design and appeal (brand) of the property. In terms of market area, the subject is located in a well-populated area that is easily accessible and that has good visibility.

In terms of physical design and appeal (brand), the subject property is expected to compare favorably to the other hotel properties contained within the study. Based on our knowledge of the marketplace, we feel that the subject will be competitive at the current occupancy and average rate levels.

Conclusion

Overall, the New York City residential market appears to be stable and looks to remain stable throughout the remainder of the year. Performance will continue to be impacted by the direction of the local and national economy. The subject is well positioned in terms of its physical characteristics, and is adequately located. Going forward, the market, as well as the subject's outlook is positive.

SUBJECT PROPERTY IDENTIFIERS	
Property Name	MOXY NYC Times Square
Address	485 Seventh Avenue
City	New York
State	NY
Zip Code	10018
County	New York
Assessor's Parcel Identification:	Block 812, Lot 1001
Street Location	The subject property is located on the northeast corner of Seventh Avenue and West 36th Street

SITE INFORMATION	
Land Area Gross SF:	17,214
Land Area Acres:	0.40
Site Utility:	Average
Site Topography:	Level at street grade
Site Shape:	Irregularly shaped
Frontage:	Average
Access:	Average
Visibility:	Average
Location Rating:	Average
Public Utilities:	All available
Frontage:	The subject property has frontage on the following streets:
Seventh Avenue:	97 feet
West 36th Street:	174 feet
Flood Map Number:	3604970088F
Flood Map Date:	09/05/07
Flood Zone:	X
Flood Zone Comment:	FEMA Zone X: Areas determined to be outside the 500 year flood plain.
Property Rating:	Average
Site Improvements:	The site improvements include curbing, yard lighting and drainage.

Soil Conditions:	We did not receive nor review a soil report. However, we assume that the soil's load-bearing capacity is sufficient to support existing and/or proposed structure(s). We did not observe any evidence to the contrary during our prior physical inspection of the property. Drainage appears to be adequate.
Land Use Restrictions:	We were not given a title report to review. We do not know of any easements, encroachments, or restrictions that would adversely affect the site's use. However, we recommend a title search to determine whether any adverse conditions exist.
Wetlands:	We were not given a Wetlands survey. If subsequent engineering data reveal the presence of regulated wetlands, it could materially affect property value. We recommend a wetlands survey by a competent engineering firm.
Hazardous Substances:	We observed no evidence of toxic or hazardous substances during our prior inspection of the site. However, we are not trained to perform technical environmental inspections and recommend the services of a professional engineer for this purpose.

Tax Map


7 AV
W 37 ST
42
6
69
68
63
162
161
812
1001 - 1004
C2600
46 ST
12
13
16
19
W 36 ST
1001 - 1003
68
C2579

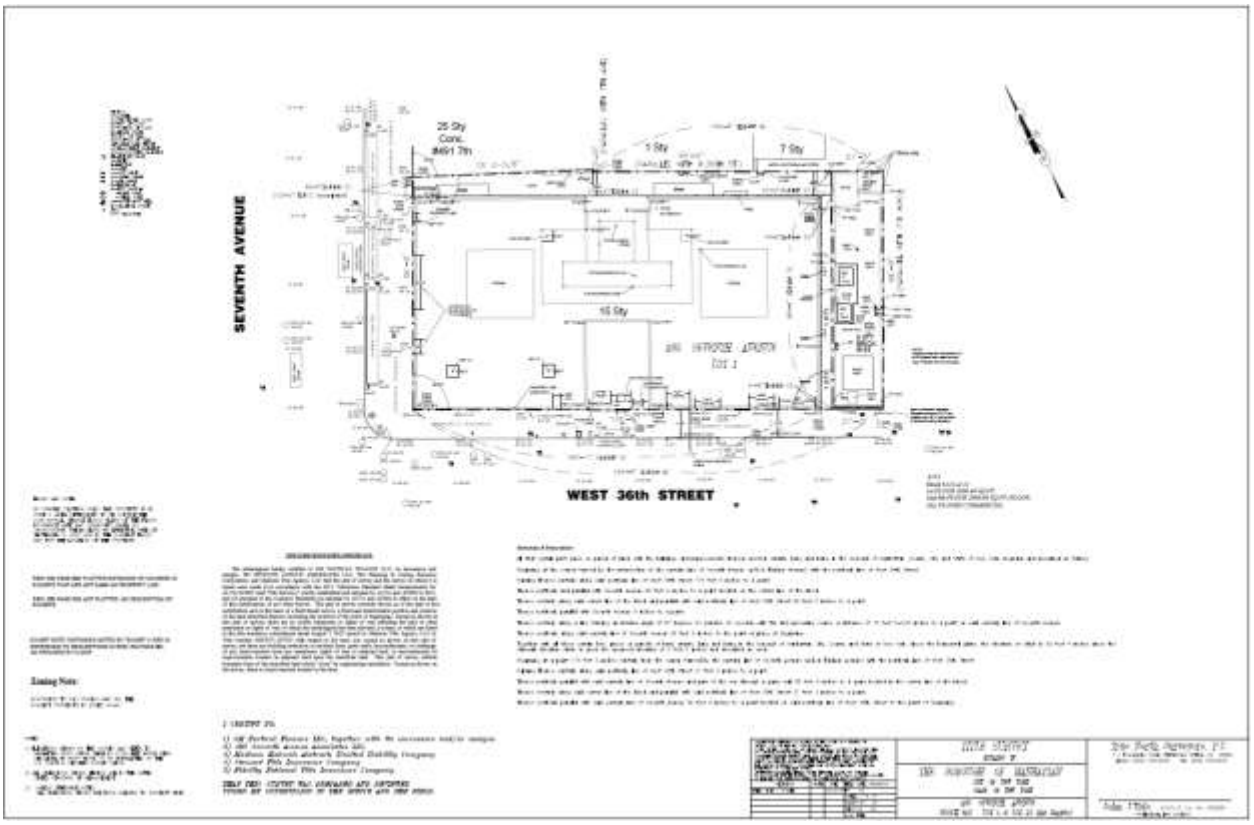
Zoning Map


C6-7
C6-4
C6-6.5
C6-7
C6-6
C6-4.5
R8A
C1-7A
C6-4M
M1-6
GC
BROADWAY
TIMES
BRYANT PARK
PUBLIC LIBRARY
EAST
FORTY-
C6-4.5
C6-4M
C6-4
C5-2
C6-6
C6-4.5
C6-6
C5-3
M1-6
C6-4.5
C5-3
C5-2.5
GENERAL POST OFFICE
JOE LOUIS PLAZA
PENN R.R. STATION
M1-5
M1-6D
C6-6
C6-4.5
C6-4
C6-2
FASHION
C6-4
C5-3
R9X
R8B
R10
R8B
THIRTY

Flood Map


KU1447
W 35TH STREET
6TH AVENUE
W 43RD STREET
7TH AVENUE
BRYANT PARK
ZONE X
KU1449
E 43RD STREET
W 35TH STREET
W 37TH STREET
BROADWAY
5TH AVENUE
E 41ST STREET
W 39TH STREET
W 35TH STREET
W 37TH STREET
6TH AVENUE
5TH AVENUE
E 38TH STREET
E 39TH STREET
MADISON SQUARE GARDEN
85°
JOINS PANEL 0201
86°

Site Survey


SEVENTH AVENUE
WEST 36th STREET
25 Sty
Conc.
#491 7th
1 Sty
7 Sty
15 Sty

Room Mix

Dispersion of Mobility & Commication RMs by Room Type

	ROOMS		MOBILITY		COMMUNICATION	
Unit type	Total	% of total	Mobility Accessible RMs Provided	% of total	Communication Accessible RMS Provided	% of total
Twin	19	3.10%	1	5.26%	1	3.23%
Twin Quad	23	3.76%	1	5.26%	1	3.23%
Full	126	20.59%	4	21.05%	6	19.35%
Full/Full	72	11.76%	2	10.53%	4	12.90%
Queen	230	37.58%	7	36.84%	12	38.71%
Qn/Twn Bunk	58	9.48%	1	5.26%	3	9.68%
King	78	12.75%	2	10.53%	3	9.68%
King Suite	6	0.98%	1	5.26%	1	3.23%
TOTALS	***612***	***100%***	***19***	***100.00%***	***31***	***100.00%***

BUILDING INFORMATION	
Property Type:	Lodging & Hospitality
Tenancy:	Multi-Tenant
Gross Building Area:	257,280
Net Rentable Area:	168,450
No. Rooms	612
Ave Room Size	275
Number of Stories	16
Number of Buildings	1

HOTEL AMENITIES	
Hotel Amenities:	A second floor restaurant (TAO Group), lobby bar, lounge, rooftop sky bar, fitness center, 24-hour light food and beverage outlets, library,and studio/conference rooms.
Room Amenities:	Keyless room entry, LED TV, complimentary Wi-Fi, platform bed with movement sensor light, peg wall, textured glass door and wall bathroom with signature vanity, lounge chair and wood flooring.

BUILDING FEATURES	
Year Built	1906
Year Refurbished	2017
Building Quality:	Excellent
Building Condition	Excellent
Land to Bldg Ratio	0.07:1

CONSTRUCTION DETAILS	
Basic Construction	Steel and masonry
Foundation	Poured concrete slab
Framing	Structural steel with masonry and concrete encasement
Floors	Concrete poured over a metal deck
Exterior Walls	Brick
Roof Type	Flat with parapet walls
Roof Surface	Sealed membrane
Windows	Thermal windows in aluminum frames
Pedestrian Doors	Glass and metal

MECHANICAL DETAILS	
Heat Source	Gas
Heat System	Baseboard Heat
Cooling System	Central HVAC
Cooling Equipment Location	Roof mounted
Fire Protection	100% sprinklered
Security	Exterior monitors
Electrical Metering:	The building has a master meter.

INTERIOR DETAIL	
Hotel Area	
Floor Covering:	Carpet
Walls:	Drywall
Ceilings:	2 x 2 acoustical tile
Lighting:	Fluorescent
Doors:	Wood

Roof & Mechanical Inspections:

We did previously inspect the roof of the building and make a detailed inspection of the mechanical systems. The appraisers, however, are not qualified to render an opinion as to the adequacy or condition of these components. The client is urged to retain an expert in this field if detailed information is needed about the adequacy and condition of the roof and mechanical systems.

Cost to Cure:

Curable physical deterioration refers to those items that are economically feasible to cure as of the effective date of the appraisal. This element of depreciation is commonly referred to as deferred maintenance and is measured as the cost of repairing or restoring the item to new or reasonably new condition. We have not been provided with a capital expenditure plan, or an engineering report that would identify specific costs required of repairing deficiencies at the subject property.

During our previous inspection, we did not notice any deferred maintenance that would require immediate repair. Therefore, we made no lump sum deductions.

General Information

The subject property is located in the taxing jurisdiction of City of New York. The assessor's parcel identification number is Block 812, Lot 1001. The assessment and taxes for the property are presented below:

PROPERTY ASSESSMENT INFORMATION	
Assessor's Parcel Number:	Block 812, Lot 1001
Assessing Authority:	City of New York
Current Tax Year:	2025/2026
Assessment Ratio (% of market Value):	45%
Are taxes current?	Taxes are current
Is there a grievance underway?	Not to our knowledge
The subject's assessment and taxes are:	At market levels

ASSESSED VALUE	
Land:	$5,891,214
Improvements:	37,420,548
Total:	$43,311,762
Exemption:	0
Taxable Assessment:	$43,311,762

TAX LIABILITY	
Total Tax Rate	10.84800%
Total Property Taxes	**$4,698,460**
Number of Rooms	612
Property Taxes per Room	$7,677
Building Area (SF)	168,450
Property Taxes per Square Foot	$27.89

Analysis

Total taxes for the property are $4,698,460, or $27.89 per square foot. The New York City Department of Finance calculates assessments on all real property situated within their taxing jurisdiction. Current tax policy assesses all real property at 45% of full market value. Reassessed properties are assigned target values that are typically phased-in over a five year period with 20% of the target amount added to each succeeding year's transitional assessment.

Tax Comparables

To determine if the taxes on the property are reasonable, we examined the actual tax burdens of similar properties in the market. They are illustrated in the table below:

REAL ESTATE TAX COMPARABLES								
No.	Property Name & Location	NRA (SF)	No. Rooms	Year Built	Assessment	AV/SF	Taxes	Taxes/SF
S	SUBJECT PROPERTY	168,450	612	1906	$43,311,762	$257.12	$4,698,460	$27.89
1	Springhill Suites Chelsea, 140 West 28th Street, New York, NY	115,375	284	2021	$46,771,390	$405.39	$5,073,760	$43.98
2	Homewood Suites New York Midtown, 312-318 West 37th Street, New York, N	119,685	293	2014	$23,183,010	$193.70	$2,582,940	$21.58
3	Hyatt Times Square, 135 West 45th Street, New York, NY	270,000	487	2013	$47,250,090	$175.00	$5,217,341	$19.32
4	Hilton NY Fashion District, 152 W 26th Street, New York, NY	122,236	280	2010	$22,864,720	$187.05	$2,480,365	$20.29
Minimum		115,375	280	2010	$22,864,720	$175.00	$2,480,365	$19.32
Maximum		270,000	487	2021	$47,250,090	$405.39	$5,217,341	$43.98
Average		156,824	336	2015	35,017,303	$240.29	3,838,602	$26.29

The comparable properties reflect taxes ranging from $19.32 to $43.98 per square foot with an average of $26.29 per square foot of net rentable area. It is our opinion that the subject is assessed in-line with the tax comparables.

ICAP Abatement

The subject currently benefits from an ICAP tax abatement that started in the 2018/2019 tax year. The current tax liability abatement amount is $2,391,217. The base tax exemption is calculated as follows:

$$Post\ Completion\ Tax - (115\%\ x\ Initial\ Tax) = Year\ 1\ Abatement\ Base$$

The abatement will phase out at 20% per year starting from Year 9. The abatement will expire in the 2029/2030 tax year. In the following analysis, the annual tax savings are projected and discounted to a present worth in order to quantify the value of the entire tax benefits package. This contributory value will subsequently be added to the capitalized value in our sales comparison and discounted cash flow analysis. The annual tax savings are discounted to a present value at a 7.25% rate. The calculation of the ICAP benefit is estimated at $6,120,000. The calculations are illustrated on the following page.

ICAP Abatement Analysis - Lot 1001 (Hotel Condo)

Program Summary

Original Term	12
No. of Years @ 100% Abatement	8
Year Reduction Begins	9
Annual Reduction	20%

Inception Year	2018	2019
Year 1 of Projection	2025	2026
Year of Program		8
No. of Years Remaining		4
Base Abatement	$2,391,217	
Current Year Abatement	$2,391,217	

Tax Rate **(2024/25)**	10.848%
Est. Tax Rate Increase	2.00%
Discount Rate	7.25%

				Assessment Information					Abated Taxes		Unabated Taxes		Tax Savings		
Projection Year	Year of Program	Tax Year		Land Assessment	Improved Assessment	Total Assessment	Abated %	Annual Abatement	Est. Tax Rate	Taxes	Est. Tax Rate	Taxes	Tax Savings	Discount Factor	Present Val. Of Savings
1	8	2025	2026	$5,891,214	$35,081,126	$40,972,340	100.00%	$2,391,217	10.848%	$2,053,462	10.848%	$4,444,679	$2,391,217	0.9324	$2,229,573
2	9	2026	2027	$5,891,214	$35,081,126	$40,972,340	80.00%	$1,912,974	11.065%	$2,620,599	11.065%	$4,533,573	$1,912,974	0.8694	$1,663,085
3	10	2027	2028	$5,891,214	$35,081,126	$40,972,340	60.00%	$1,434,730	11.286%	$3,189,514	11.286%	$4,624,244	$1,434,730	0.8106	$1,162,997
4	11	2028	2029	$5,891,214	$35,081,126	$40,972,340	40.00%	$956,487	11.512%	$3,760,242	11.512%	$4,716,729	$956,487	0.7558	$722,919
5	12	2029	2030	$5,891,214	$35,081,126	$40,972,340	20.00%	$478,243	11.742%	$4,332,820	11.742%	$4,811,064	$478,243	0.7047	$337,025

Present Value of Tax Savings $6,115,600
Rounded $6,120,000

General Information

The property is zoned M1-6 - Light Manufacturing District within Special Garment Center District by the City of New York. A summary of the subject's zoning is provided below:

ZONING	
Municipality Governing Zoning:	City of New York
Current Zoning:	M1-6 - Light Manufacturing District within Special Garment Center District
Current Use:	Lodging & Hospitality
Is current use permitted:	Yes
Permitted Uses:	Permitted uses within this district include office, retail, light industrial, auto service and various commercial uses
Prohibited Uses:	Prohibited uses within this district include residential and community facility uses

ZONING REQUIREMENTS	CODE	CONFORMANCE
Maximum Floor Area Ratio (FAR):	10.0 times lot area	Pre-Existing, Non-Conforming
Maximum Buildable Area (FAR):	172,140 SF	Pre-Existing, Non-Conforming

Special Garment Center District

The Special Garment Center District (GC) was created to maintain opportunities for apparel production, and wholesale and showroom uses in existing buildings in designated Preservation Areas on selected midblocks between West 35th and West 40th Streets west of Broadway. In Preservation Area 1 (P-1), east of Eighth Avenue, hotels are not permitted and the conversion of industrial space to office use is permitted only by certification by the chairperson of the City Planning Commission that an equal amount of comparable floor area has been preserved for specified industrial uses. In Preservation Area 2 (P-2), between Eighth and Ninth Avenues, conversion of larger buildings to residential, office or hotel use is permitted only by authorization of the City Planning Commission. The Inclusionary Housing designated areas Program is applicable within the P-2 area.

New York City Landmark

As of October 28, 2014, the subject property was designated a New York City Landmark by the New York City Landmarks Preservation Commission (LPC). This designation indicates that the subject building has special historical, cultural, or aesthetic value to the City of New York, state or nation, is an important part of the City's heritage and that the LPC must approve in advance any alteration, reconstruction, demolition, or new construction affecting the subject.

Ordinary exterior repairs and maintenance, like replacing broken window glass or removing small amounts of painted graffiti do not require a permit. Interior work generally does not require LPC review, except in the following cases:

- When the work requires a permit from the Buildings Department or,
- When work on the interior affects the exterior or,
- When the interior has been designated by the Landmarks Commission as an interior landmark

It is important to note that landmark designation does not "freeze" a building or an area. Alterations, demolition, and new construction continue to take place, but the LPC must review the proposed changes and determine whether they are appropriate. This review helps ensure that the special qualities of the designated buildings are not compromised or destroyed. In addition, new construction may occur when an owner of a vacant lot or building of no significance in a historic district wishes to construct a new building on the site. The Commission has approved such proposals when the design of the new building was found to be appropriate to the character of the historic district.

Zoning Conformance

Property value is affected by whether or not an existing or proposed improvement conforms to zoning regulations, as discussed below.

Conforming Uses

An existing or proposed use that conforms to zoning regulations implies that there is no legal risk and that the existing improvements could be replaced “as-of-right.”

Pre-Existing, Non-Conforming Uses

In many areas, existing buildings pre-date the current zoning regulations. When this is the case, it is possible for an existing building that represents a non-complying use to still be considered a legal use of the property. Whether or not the rights of continued use of the building exist depends on local laws. Local laws will also determine if the existing building may be replicated in the event of loss or damage.

Non-Conforming Uses

A proposed non-conforming use to an existing building might remain legal via variance or special use permit. When appraising a property that has such a non-complying use, it is important to understand the local laws governing this use.

Other Restrictions

We know of no deed restrictions, private or public, that further limit the subject property's use. The research required to determine whether or not such restrictions exist is beyond the scope of this appraisal assignment. Deed restrictions are a legal matter and only a title examination by an attorney or title company can usually uncover such restrictive covenants. We recommend a title examination to determine if any such restrictions exist.

Zoning Conclusions

We have analyzed the zoning requirements in relation to the subject property, and considered the compliance of the existing or proposed use. We are not experts in the interpretation of complex zoning ordinances, but based on our review of public information, the subject property is a pre-existing, non-conforming use.

Detailed zoning studies are typically performed by a zoning or land use expert, including attorneys, land use planners, or architects. The depth of our study correlates directly with the scope of this assignment, and it considers all pertinent issues that have been discovered through our due diligence.

We note that this appraisal is not intended to be a detailed determination of compliance, as that determination is beyond the scope of this real estate appraisal assignment.

Definition of Highest And Best Use

According to *The Dictionary of Real Estate Appraisal*, a publication of the Appraisal Institute, the highest and best use is defined as:

> *The reasonably probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and that results in the highest value. The four criteria the highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum profitability.*

Highest & Best Use Criteria

We have evaluated the sites highest and best use both as currently improved and as if vacant. In both cases, the property's highest and best use must meet four criteria's. That use must be (1) legally permissible, (2) physically possible, (3) financially feasible, and (4) maximally productive.

Legally Permissible

The first test concerns permitted uses. According to our understanding of the zoning ordinance, noted earlier in this report, the site may legally be improved with structures that accommodate various industrial and commercial uses. Aside from the site's zoning regulations, we are not aware of any legal restrictions that limit the potential uses of the subject.

Physically Possible

The second test is what is physically possible. As discussed in the "Site Description" section of the report, the site's size, soil, topography, etc. do not physically limit its use. The subject site is of adequate shape and size to accommodate almost all urban uses.

Financial Feasibility and Maximal Productivity

The third and fourth tests are what is financially feasible and what will produce the highest net return. After analyzing the physically possible and legally permissible uses of the property, the highest and best use must be considered in light of financial feasibility and maximum productivity. For a potential use to be seriously considered, it must have the potential to provide a sufficient return to attract investment capital over alternative forms of investment. A positive net income or acceptable rate of return would indicate that a use is financially feasible.

Highest & Best Use of Site As Though Vacant

Considering the subject site's physical characteristics and location, as well as the state of the local market, it is our opinion that the Highest and Best Use of the subject site as though vacant is a hotel use built to its maximum feasible building area.

Highest & Best Use of Property As Improved

According to the Dictionary of Real Estate Appraisal, highest and best use of the property as improved is defined as:

> *The use that should be made of a property as it exists. An existing property should be renovated or retained "as is" so long as it continues to contribute to the total market value of the property, or until the return from a new improvement would more than offset the cost of demolishing the existing building and constructing a new one.*

In analyzing the Highest and Best Use of a property as improved, it is recognized that the improvements should continue to be used until it is financially advantageous to alter physical elements of the structure or to demolish it and build a new one.

Legally Permissible

As described in the Zoning Analysis section of this report, the subject site is zoned M1-6 - Light Manufacturing District within Special Garment Center District. The site is improved with a lodging & hospitality building containing 257,280 square feet of gross building area. In the Zoning section of this appraisal, we determined that the existing improvements represent a legal use under current zoning. We also determined that the existing use is a permitted use in this zone.

Physically Possible

The subject improvements were constructed in 1906 and were last refurbished in 2017. The improvements are in excellent condition. We know of no current or pending municipal actions or covenants that would require a change to the current improvements.

Financially Feasible and Maximally Productive

In the Reconciliation section, we concluded to a fair value for the subject property, as improved, of $477,000,000. In our opinion, the improvements contribute significantly to the value of the site.

Conclusion

It is our opinion that the existing building adds value to the site as if vacant, dictating a continuation of its current use. In addition, the leases encumbering the subject property mandate a continuation of the current use. It is our opinion that the Highest and Best Use of the subject property as improved is a hotel building as is currently improved.

SECTION 3: VALUATION

Overview

In traditional valuation theory, appropriate methodology includes three approaches to estimating the value of an asset which are the Cost Approach, Sales Comparison Approach, and Income Capitalization Approach. These three methods incorporate fundamental concepts and principles in the estimation of value.

In appraisal practice, an approach to value is included or eliminated based on its applicability to the property type being valued and the quality of information available. The reliability of each approach is dependent upon the availability and comparability of the market data uncovered as well as the motivation and thinking of purchasers in the market for a property such as the subject property.

The valuation process is concluded by analyzing each approach to value used in the appraisal. When more than one approach is used, each approach is judged based on its applicability, reliability, and the quantity and quality of its data. An opinion of value is chosen that either corresponds to one of the approaches, or is a correlation of all the approaches used in the appraisal.

The Cost Approach

The Cost Approach derives value by focusing on the replacement cost of the existing improvements on the subject property. First, the amount it would cost to recreate the asset including basic square foot costs, refinements, current and local multipliers, soft costs, indirect costs and entrepreneurial profit, less any depreciation, is evaluated. Depreciation results from three sources: physical deterioration, functional obsolescence, and external obsolescence. Site improvements are also valued in a similar way minus depreciation. Once a depreciated value conclusion is complete, a cost for the land, assumed vacant is valued using the sales comparison approach described below. An indication of value is concluded by adding these three elements together.

The Sales Comparison Approach

The Sales Comparison Approach derives value by comparing the subject property to other similar real property transactions. It relies on the principle of substitution which states, “A buyer will not pay more for one property than another that is equally desirable.” Data is gathered on reasonably suitable properties. Adjustments are then made for factors including market conditions, zoning, location, conditions of sale, etc. The resulting adjusted value leads to an estimate of the price one might expect to realize upon sale of the property.

The Income Capitalization Approach

The Income Capitalization Approach has its foundation in the principal of anticipation of future economic benefits. This approach first determines the income-producing capacity of a property by utilizing contract rents on leases in place and by estimating market rent from rental activity at competing properties for the vacant space. Deductions are then made for vacancy and collection loss and operating expenses. The resulting net operating income (NOI) is divided by an overall capitalization rate which is derived through an understanding of local market trends and research related to rates indicated in recent transactions and data from sources such as the PWC Real Estate Investor Survey, Realty Rates and RERC. The capitalization rate represents the relationship between net operating income and value. This method is referred to as Direct Capitalization.

The Discount Cash Flow Method utilizes periodic cash flows (which consist of net operating income less capital costs) and a reversionary value at the end of the projected years of analysis which are developed and discounted to a present value using an internal rate of return that is determined by analyzing current investor yield requirements for similar investments.

Valuation Process Conclusion

We have considered all three approaches available in developing an opinion of value for the Subject Property. Investors acquiring this type of asset are purchasing the property based on its net operating income. Therefore, the Income Approach is utilized. The Sales Comparison Approach is the second methodology utilized in order to develop a market value based on typical investor behavior. The Cost Approach is considered less reliable due to the scarcity of land sales in the vicinity of the subject, and therefore, precluded from this assignment. Considering all of the aspects that would influence an investment decision in the subject property, we conclude that the Sales Comparison Approach and Income Capitalization Approach are the most appropriate techniques for this assignment.

Methodology

Using the Sales Comparison Approach, we developed an opinion of value by comparing the subject property to similar, recently sold properties in the surrounding or competing area. This approach relies on the principle of substitution, which holds that when a property is replaceable in the market, its value tends to be set at the cost of acquiring an equally desirable substitute property, assuming that no costly delay is encountered in making the substitution.

By analyzing sales that qualify as arm's-length transactions between willing and knowledgeable buyers and sellers, we can identify value and price trends. The basic steps of this approach are:

- Research recent, relevant property sales and current offerings in the competitive area;
- Select and analyze properties that are similar to the subject property, analyzing changes in economic conditions that may have occurred between the sale date and the date of value, and other physical, functional, or locational factors;
- Identify sales that include favorable financing and calculate the cash equivalent price;
- Reduce the sale prices to a common unit of comparison such as price per square foot or per unit;
- Make appropriate comparative adjustments to the prices of the comparable properties to relate them to the subject property; and
- Interpret the adjusted sales data and draw a logical value conclusion.

The most widely used and market-oriented unit of comparison for properties such as the subject is the sales price per room. All comparable sales were analyzed on this basis. The following pages contain a summary of the improved properties that we compared to the subject property, a map showing their locations, and the adjustment process. Comparable improved sale data sheets are presented in the Addenda of this report.

Due to the nature of the subject property and the level of detail available for the comparable data, we have elected to analyze the comparables through the application of a traditional adjustment grid using percentage adjustments.

We note that several of the comparable sales analyzed herein reflect pre-crisis conditions. Nevertheless, these are the best comparables to use in our analysis.

SUMMARY OF IMPROVED SALES

No.	Property Name Address, City, State	Land (SF)	Building GLA	Year Built	Stories	No. Rooms	Ave Room Size	Quality	Cond.	Grantor	Grantee	Value Interest	Sale Date	NOI/ Room	Sale Price	$/Room	OAR
S	Subject Property	17,214	168,450	1906	16	612	275	Excellent	Excellent	-	-	-	-	$48,352	-	-	-
1	Stewart Hotel 371 7th Avenue New York, NY	21,569	473,391	1929	28	610	400	Good	Good	Sioni Group, Highgate Capital Group, LLC, & Patriarch Partners LLC	Slate Property Group & Breaking Ground Building and Restoring Lives	Leased Fee	Dec-2025	N/A	$260,000,000	$426,230	-
2	The New York EDITION 5 Madison Avenue New York, NY	6,534	234,928	1909	41	271	350	Excellent	Excellent	Abu Dhabi Investment Authority	Kam Sang Company, Inc.	Leased Fee	Oct-2025	N/A	$235,000,000	$867,159	-
3	Kimpton Hotel Eventi 851 6th Avenue New York, NY	37,897	333,436	2008	23	292	400	Good	Good	DLJ Real Estate Capital Partners	BRE Hotels & Resorts LLC	Leased Fee	May-2025	N/A	$174,500,000	$597,603	-
4	Thompson Central Park New York 119 W 56th Street New York, NY	23,087	536,719	1939	42	587	375	Good	Good	GFI Capital Resources Group, Inc	Gencom	Leased Fee	Sep-2024	N/A	$308,000,000	$524,702	-
5	1 Hotel Central Park 1414 6th Avenue New York, NY	6,970	109,908	1924	18	234	470	Excellent	Excellent	1414 Holdings LLC	1414 CPNY LLC	Leased Fee	Jul-2024	$72,479	$265,000,000	$1,132,479	6.04%
Minimum		6,534	109,908	1909	18	234	350	-	-	-	-	-	Jul-2024	$72,479	$174,500,000	$426,230	6.04%
Maximum		37,897	536,719	2008	42	610	470	-	-	-	-	-	Dec-2025	$72,479	$308,000,000	$1,132,479	6.04%
Average		19,211	337,676	1942	30	399	399	-	-	-	-	-	Apr-2025	$72,479	$248,500,000	$709,634	6.04%

COMPARABLE IMPROVED SALES MAP



IMPROVED SALE ADJUSTMENT GRID

No.	$/Room & Date	Property Rights Conveyed	Conditions of Sale	Financing	Market [1] Conditions	$/Room Subtotal	Location	Size	Age, Quality & Condition	Retail/Parking	Utility	Economics	Other	Adj. $/Room
1	**$426,230**	Leased Fee	Arm's-Length	None	Inferior	**$426,656**	Inferior	Similar	Inferior	Inferior	Superior	Similar	Similar	**$533,320**
	12/25	0.0%	0.0%	0.0%	0.1%	0.001	5.0%	0.0%	15.0%	10.0%	-5.0%	0.0%	0.0%	25.0%
2	**$867,159**	Leased Fee	Arm's-Length	None	Inferior	**$871,494**	Inferior	Smaller	Superior	Inferior	Superior	Similar	Similar	**$827,920**
	10/25	0.0%	0.0%	0.0%	0.5%	0.005	5.0%	-10.0%	-5.0%	10.0%	-5.0%	0.0%	0.0%	-5.0%
3	**$597,603**	Leased Fee	Arm's-Length	None	Inferior	**$605,372**	Inferior	Smaller	Inferior	Similar	Superior	Similar	Similar	**$575,103**
	5/25	0.0%	0.0%	0.0%	1.3%	0.013	5.0%	-10.0%	5.0%	0.0%	-5.0%	0.0%	0.0%	-5.0%
4	**$524,702**	Leased Fee	Arm's-Length	None	Inferior	**$538,344**	Superior	Similar	Inferior	Inferior	Superior	Similar	Similar	**$565,261**
	9/24	0.0%	0.0%	0.0%	2.6%	0.026	-5.0%	0.0%	5.0%	10.0%	-5.0%	0.0%	0.0%	5.0%
5	**$1,132,479**	Leased Fee	Arm's-Length	None	Inferior	**$1,166,453**	Superior	Smaller	Similar	Similar	Superior	Superior	Similar	**$816,517**
	7/24	0.0%	0.0%	0.0%	3.0%	0.03	-5.0%	-10.0%	0.0%	0.0%	-5.0%	-10.0%	0.0%	-30.0%
Minimum	$426,230													$533,320
Maximum	$1,132,479													$827,920
Average	$709,634													$663,624

(1) Market Conditions Adjustment

Date of Value (for adjustment calculations): 12/31/25

Percentage Adjustment Method

Adjustment Process

The sales we have used were the best available comparables to the subject property. The major points of comparison for this type of analysis include the property rights conveyed, the financial terms incorporated into the transaction, the conditions or motivations surrounding the sale, changes in market conditions since the sale, the location of the real estate, its physical traits and the economic characteristics of the property.

The first adjustment made to the market data takes into account differences between the subject property and the comparable property sales with regard to the legal interest transferred. Advantageous financing terms or atypical conditions of sale are then adjusted to reflect a normal market transaction. Next, changes in market conditions are accounted for, creating a time adjusted price. Lastly, adjustments for location, physical traits and the economic characteristics of the market data are made in order to generate the final adjusted unit rate for the subject property. We have made a downward adjustment to those comparables considered superior to the subject and an upward adjustment to those comparables considered inferior.

Property Rights Conveyed

The property rights conveyed in a transaction typically have an impact on the price that is paid. Acquiring the fee simple interest implies that the buyer is acquiring the full bundle of rights. Acquiring a leased fee interest typically means that the property being acquired is encumbered by at least one lease, which is a binding agreement transferring rights of use and occupancy to the tenant. A leasehold interest involves the acquisition of a lease, which conveys the rights to use and occupy the property to the buyer for a finite period of time. At the end of the lease term, there is typically no reversionary value to the leasehold interest. Since we are valuing the interest as reflected by each of the comparables, an adjustment for property rights is not required.

Financial Terms

The financial terms of a transaction can have an impact on the sale price of a property. A buyer who purchases an asset with favorable financing might pay a higher price, as the reduced cost of debt creates a favorable debt coverage ratio. A transaction involving above-market debt will typically involve a lower purchase price tied to the lower equity returns after debt service. We have analyzed all of the transactions to account for atypical financing terms. To the best of our knowledge, all of the sales used in this analysis were accomplished with cash or market-oriented financing. Therefore, no adjustments were required.

Conditions of Sale

Adjustments for conditions of sale usually reflect the motivations of the buyer and the seller. In many situations the conditions of sale may significantly affect transaction prices. However, all sales used in this analysis are considered to be arms-length transactions between knowledgeable buyers and sellers on the open market. Therefore, no adjustments were warranted.

Market Conditions

The sales that are included in this analysis occurred between July 2024 and December 2025. As the market improved in the time period prior to March 2020, we have applied an annual adjustment of 3.0 percent prior to this date. The market remained static in the time period between March 2020 and January 2024, and thus we applied an annual adjustment of 0.0 percent within this window. The market improved in the time period after January 2024 and thus we applied an annual adjustment of 2.0 percent after this date.

The table below shows the breakdown of the market conditions adjustment calculation per period for each comparable.

IMPROVED SALE MARKET CONDITIONS ADJUSTMENT

No. & Sale Date	CAGR Prior To: 3/12/2020 3.00%	CAGR From: 3/12/2020 0.00%	CAGR From: 1/1/2024 2.00%	Total Market Conditons Adjustment
1	Inferior	Inferior	Inferior	Inferior
12/25	N/A	N/A	0.1%	0.1%
2	Inferior	Inferior	Inferior	Inferior
10/25	N/A	N/A	0.5%	0.5%
3	Inferior	Inferior	Inferior	Inferior
5/25	N/A	N/A	1.3%	1.3%
4	Inferior	Inferior	Inferior	Inferior
9/24	N/A	N/A	2.6%	2.6%
5	Inferior	Inferior	Inferior	Inferior
7/24	N/A	N/A	3.0%	3.0%

Date of Value (for adjustment calculations): 12/31/25

Location

An adjustment for location is required when the locational characteristics of a comparable property differ from those of the subject property. The subject property is rated average in location. We have made a downward adjustment to those comparables considered superior in location compared to the subject. Conversely, an upward adjustment was made to those comparables considered inferior.

Physical Traits

Each property has various physical traits that determine its appeal. These traits include size, age, condition, quality, parking ratio and utility. Each comparable was adjusted accordingly.

Economic Characteristics

The economic characteristics of a property include its occupancy levels, operating expense ratios, tenant quality, and other items not covered under prior adjustments that would have an economic impact on the transaction. Each comparable was adjusted accordingly.

Other

This category accounts for any other adjustments not previously discussed. Based on our analysis of these sales, none required any additional adjustment.

Discussion of Comparable Sales

Comparable Sale No. 1

This property is known as Stewart Hotel, located at 371 7th Avenue in New York, NY. It sold in December 2025 from Sioni Group, Highgate Capital Group, LLC, & Patriarch Partners LLC to Slate Property Group & Breaking Ground Building and Restoring Lives for $260,000,000, equivalent to $426,230 per room. This property has a land area of 0.50 acres, and is improved with a building containing 473,391 square feet of net rentable area and 610 rooms. The building was built in 1929, and it was in good condition at the time of sale. As the property is located in a slightly inferior market, an upward location adjustment of 5% was applied. The subject has been better maintained and is newer and therefore an upward age, quality and condition adjustment of 15% was applied. The property also does not contain a parking component. Therefore, an upward retail/parking adjustment of 10% was applied. The property has a larger average room size and therefore a downward utility adjustment of 5% was applied. After all adjustments, this comparable indicated a value of $533,320 per room.

Comparable Sale No. 2

This property is known as The New York EDITION, located at 5 Madison Avenue in New York, NY. It sold in October 2025 from Abu Dhabi Investment Authority to Kam Sang Company, Inc. for $235,000,000, equivalent to $867,159 per room. This property has a land area of 0.15 acres, and is improved with a building containing 234,928 square feet of net rentable area and 271 rooms. The building was built in 1909, and it was in excellent condition at the time of sale. As the property is located in a slightly inferior market, an upward location adjustment of 5% was applied. As the property has fewer rooms than the subject, a downward size adjustment of 10% was applied. As the property has been more recently renovated, a downward age, quality and condition adjustment of 5% was applied. The property also does not contain a parking component. Therefore, an upward retail/parking adjustment of 10% was applied. The property has a larger average room size and therefore a downward utility adjustment of 5% was applied. After all adjustments, this comparable indicated a value of $827,920 per room.

Comparable Sale No. 3

This property is known as Kimpton Hotel Eventi, located at 851 6th Avenue in New York, NY. It sold in May 2025 from DLJ Real Estate Capital Partners to BRE Hotels & Resorts LLC for $174,500,000, equivalent to $597,603 per room. This property has a land area of 0.87 acres, and is improved with a building containing 333,436 square feet of net rentable area and 292 rooms. The building was built in 2008, and it was in good condition at the time of sale. As the property is located in a slightly inferior market, an upward location adjustment of 5% was applied. As the property has fewer rooms than the subject, a downward size adjustment of 10% was applied. As the subject has been more recently renovated, an upward age, quality and condition adjustment of 5% was applied. The property has a larger average room size and therefore a downward utility adjustment of 5% was applied. After all adjustments, this comparable indicated a value of $575,103 per room.

Comparable Sale No. 4

This property is known as Thompson Central Park New York, located at 119 W 56th Street in New York, NY. It sold in September 2024 from GFI Capital Resources Group, Inc to Gencom for $308,000,000, equivalent to $524,702 per room. This property has a land area of 0.53 acres, and is improved with a building containing 536,719 square feet of net rentable area and 587 rooms. The building was built in 1939, and was in good condition at the time of sale. As the property is located in a superior market, a downward location adjustment of 5% was applied. The subject has also been better maintained. As such, an upward age, quality and condition adjustment of 5% was applied. The property also does not contain a retail/parking component. Therefore, an upward retail/parking adjustment of 10% was applied. The property has a larger average room size and therefore a downward utility adjustment of 5% was applied. After all adjustments, this comparable indicated a value of $565,261 per room.

Comparable Sale No. 5

This property is known as 1 Hotel Central Park, located at 1414 6th Avenue in New York, NY. It sold in July 2024 from 1414 Holdings LLC to 1414 CPNY LLC for $265,000,000, equivalent to $1,132,479 per room. This property has a land area of 0.16 acres, and is improved with a building containing 109,908 square feet of net rentable area and 234 rooms. The building was built in 1924, and it was in excellent condition at the time of sale. The transaction reflected an overall rate of 6.04%. As the property is located in a superior market, a downward location adjustment of 5% was applied. As the property has fewer rooms than the subject, a downward size adjustment of 10% was applied. The property has a larger average room size and therefore a downward utility adjustment of 5% was applied. The property sold at a higher NOI per room and therefore a downward economics adjustment of 10% was applied. After all adjustments, this comparable indicated a value of $816,517 per room.

Summary

After adjustments the comparable improved sales reflect unit prices ranging from $533,320 to $827,920 per room with an average adjusted price of $663,624 per room. With primary reliance on the higher end of sales, given the subject's landmarked location in Times Square, along with the prestige of the MOXY franchise, we conclude that the indicated value by the Percentage Adjustment Method was:

SALES COMPARISON APPROACH CONCLUSION	
Fair Value As Is	
Indicated Value per Room	$770,000
Number of Rooms	x 612
Preliminary Value	$471,240,000
Rounded to nearest $1,000,000	**$471,000,000**
ADJUSTMENTS TO PRELIMINARY VALUE	
PLUS ICAP Tax Benefit	$6,120,000
Indicated Value	$477,360,000
Rounded to nearest $1,000,000	**$477,000,000**
Per Room	$779,412

Note: The subject benefits from an ICAP tax benefit. Therefore, we have discounted the benefit to a present value and added it to the conclusion of the Sales Comparison Approach to arrive at an As Is value.

Methodology

The Income Capitalization Approach has its foundation in the principal of anticipation of future economic benefits. This approach first determines the income-producing capacity of a property by utilizing contract rents on leases in place and by estimating market rent from rental activity at competing properties for the vacant space. Deductions are then made for vacancy and collection loss and operating expenses. The resulting net operating income (NOI) is divided by an overall capitalization rate which is derived through an understanding of local market trends and research related to rates indicated in recent transactions and data from sources such as the PWC Real Estate Investor Survey, Realty Rates and RERC. The capitalization rate represents the relationship between net operating income and value. This method is referred to as Direct Capitalization.

The Discount Cash Flow Method utilizes periodic cash flows (which consist of net operating income less capital costs) and a reversionary value at the end of the projected years of analysis which are developed and discounted to a present value using an internal rate of return that is determined by analyzing current investor yield requirements for similar investments.

Investors acquiring this type of asset will typically look at year one returns, but must also consider long-term strategies. Hence, depending on certain factors, that the discounted cash flow techniques has merit. Considering all of the aspects that would influence an investment decision in the subject property, we conclude that both methods are appropriate in this assignment.

Franchise Abstract

The subject property is franchised to Marriott International, Inc. A summary of the franchise agreement is provided on the following chart:

FRANCHISE ABSTRACT	
Franchisor:	Marriott International, Inc.
Franchisee:	485 Seventh Avenue Associates LLC
Franchise Term:	30 years
Start Date:	December 24, 2015
End Date:	December 23, 2045
Keys Franchised:	612
Franchise Fee:	There is a franchise fee of 1% of Gross Rooms Revenue for Year 1; 2% of Gross Rooms Revenue for Years 2 and 3; 4% for Year 4; 5% for Year 5 and 5.5% for the remainder of the term
Marketing Contribution Fee:	There is a marketing fund contribution fee equal to 2.5% of the Hotel's Gross Room Sales for each month, not to exceed 3.5% of Gross Rooms Sales for each month
Renewal Options:	None

Franchise Information

Marriott International, Inc. is a global hospitality company that manages and franchises a diversified portfolio of hotels, resorts, and lodging facilities across all market segments. Headquartered in Bethesda, Maryland, the company operates and licenses nearly 10,000 properties in over 140 countries and territories and supports one of the world's largest travel loyalty programs, Marriott Bonvoy. Marriott completed its acquisition of Starwood Hotels & Resorts in 2016, a transaction that established the company as the largest hotel operator in the world and significantly expanded its brand portfolio. In recent years, Marriott has continued to grow through international expansion, new brand introductions, and a substantial global development pipeline, reinforcing its leading position in the hospitality industry.

Revenue & Expense Analysis

We have developed an opinion of the property's annual income and operating expenses after reviewing its budget and reviewing the operating performance of similar buildings. We analyzed each item of expense and developed an opinion as to what a typical informed investor would consider normal. The table below summarizes historical and budgeted figures.

REVENUE AND EXPENSE ANALYSIS - HOTEL

	2022 Actual			2023 Actual			Trailing 12 Months			Partial Year [2] Annualized			2025 Actual			M&S Year One [1]		
SUBJECT OVERVIEW																		
Days Open	365			365			365			364			334			365		
No. of Rooms	612			612			612			612			612			612		
Total Available Rooms	223,380			223,380			223,380			222,991			204,408			223,380		
Total Occupied Room Nights	170,064			204,144			206,067			205,150			191,636			212,211		
Occupancy	76.1%			91.4%			92.2%			92.0%			93.8%			95.0%		
Average Daily Rate	$258.62			$257.41			$272.44			$262.21			$281.40			$270.00		
RevPAR	$196.90			$235.24			$251.32			$241.23			$263.82			$256.50		
REVENUE	**Total**	**% Sales**	**$/ORN**	**Total**	**% Sales**	**$/ORN**	**Total**	**% Sales**	**$/ORN**	**Total**	**% Sales**	**$/ORN**	**Total**	**% Sales**	**$/ORN**	**Total**	**% Sales**	**$/ORN**
Rooms	$43,982,625	65.7%	$258.62	$52,548,160	67.9%	$257.41	$56,140,031	69.9%	$272.44	$53,792,709	69.8%	$262.21	$53,926,961	70.7%	$281.40	$57,296,970	66.3%	$270.00
Food & Beverage	18,886,811	28.2%	111.06	19,190,341	24.8%	94.00	18,567,220	23.1%	90.10	17,701,348	23.0%	86.28	17,099,620	22.4%	89.23	23,340,000	27.0%	109.98
Rentals & Other Income	4,034,811	6.0%	23.73	5,654,916	7.3%	27.70	5,588,233	7.0%	27.12	5,617,473	7.3%	27.38	5,299,597	6.9%	27.65	5,730,000	6.6%	27.00
Subtotal	$66,904,247	100.0%	$393.41	$77,393,417	100.0%	$379.11	$80,295,484	100.0%	$389.66	$77,111,530	100.0%	$375.88	$76,326,179	100.0%	$398.29	$86,366,970	100.0%	$406.99
DEPARTMENTAL EXPENSES																		
Rooms	$8,867,853	20.2%	$52.14	$10,186,011	19.4%	$49.90	$12,249,816	21.8%	$59.45	$11,955,547	22.2%	$58.28	$11,191,340	20.8%	$58.40	$12,032,364	21.0%	$56.70
Food & Beverage	14,667,795	77.7%	86.25	17,047,740	88.8%	83.51	15,998,132	86.2%	77.64	15,613,087	88.2%	76.11	14,753,855	86.3%	76.99	20,305,800	87.0%	95.69
Rentals & Other Income	845,127	20.9%	4.97	1,575,455	27.9%	7.72	1,186,543	21.2%	5.76	1,154,942	20.6%	5.63	1,037,103	19.6%	5.41	1,146,000	20.0%	5.40
Subtotal	$24,380,775	36.4%	$143.36	$28,809,206	37.2%	$141.12	$29,434,491	36.7%	$142.84	$28,723,576	37.2%	$140.01	$26,982,299	35.4%	$140.80	$33,484,164	38.8%	$157.79
GROSS OPERATING INCOME	$42,523,472	63.6%	$250.04	$48,584,211	62.8%	$237.99	$50,860,993	63.3%	$246.82	48,387,954	62.8%	$235.87	$49,343,880	64.6%	$257.49	$52,882,806	61.2%	$249.20
UNDISTRIBUTED OPERATING EXPENSES																		
Administrative & General	$3,847,455	5.8%	$22.62	$4,329,708	5.6%	$21.21	$4,129,323	5.1%	$20.04	$4,048,790	5.3%	$19.74	$3,840,380	5.0%	$20.04	$4,318,349	5.0%	$20.35
Sales & Marketing	6,174,952	9.2%	36.31	1,853,364	2.4%	9.08	2,097,140	2.6%	10.18	2,062,290	2.7%	10.05	4,338,130	5.7%	22.64	4,318,349	5.0%	20.35
Franchise Fee	0	0.0%	0.00	5,474,173	7.1%	26.82	5,834,057	7.3%	28.31	5,615,949	7.3%	27.37	3,241,635	6.0%	16.92	3,437,818	6.0%	16.20
Repairs and Maintenance	1,719,386	2.6%	10.11	1,831,201	2.4%	8.97	2,403,000	3.0%	11.66	2,318,719	3.0%	11.30	2,070,334	2.7%	10.80	2,159,174	2.5%	10.17
Utilities	1,229,960	1.8%	7.23	1,073,453	1.4%	5.26	1,126,277	1.4%	5.47	1,112,533	1.4%	5.42	1,061,399	1.4%	5.54	1,295,505	1.5%	6.10
Subtotal	$12,971,752	19.4%	$76.28	$14,561,899	18.8%	$71.33	$15,589,797	19.4%	$75.65	$15,158,280	19.7%	$73.89	$14,551,877	19.1%	$75.93	$15,529,194	18.0%	$73.18
GROSS OPERATING PROFIT	$29,551,719	44.2%	$173.77	$34,022,312	44.0%	$166.66	$35,271,196	43.9%	$171.16	$33,229,674	43.1%	$161.98	$34,792,003	45.6%	$181.55	$37,353,612	43.2%	$176.02
Base Management Fee	2,785,263	4.2%	16.38	1,734,359	2.2%	8.50	1,940,418	2.4%	9.42	1,879,094	2.4%	9.16	1,930,820	3.6%	10.08	1,890,809	3.3%	8.91
INCOME BEFORE FIXED CHARGES	$26,766,456	40.0%	$157.39	$32,287,953	41.7%	$158.16	$33,330,778	41.5%	$161.75	$31,350,580	40.7%	$152.82	$32,861,183	43.1%	$171.48	$35,462,803	41.1%	$167.11
FIXED CHARGES																		
Real Estate & Personal Property Taxes	$2,215,024	3.3%	$13.02	$2,123,873	2.7%	$10.40	$2,148,471	2.7%	$10.43	$2,150,068	2.8%	$10.48	$1,970,739	2.6%	$10.28	$4,698,460	5.4%	$22.14
Insurance	774,637	1.2%	4.55	953,343	1.2%	4.67	$1,011,348	1.3%	4.91	1,006,669	1.3%	4.91	928,077	1.2%	4.84	1,100,000	1.3%	5.18
FF&E Reserves	1,807,561	2.7%	10.63	2,897,017	3.7%	14.19	2,246,720	2.8%	10.90	2,162,054	2.8%	10.54	2,121,338	2.8%	11.07	2,205,944	2.6%	10.40
CAM Income	0	0.0%	0.00	0	0.0%	0.00	0	0.0%	0.00	0	0.0%	0.00	0	0.0%	0.00	(466,800)	-0.5%	(2.20)
Allocations	76,234	0.1%	0.45	53,856	0.1%	0.26	17,504	0.0%	0.08	17,632	0.0%	0.09	14,889	0.0%	0.08	15,000	0.0%	0.07
Subtotal	$4,873,455	7.3%	$28.66	$6,028,090	7.8%	$29.53	$5,424,042	6.8%	$26.32	$5,336,424	6.9%	$26.01	$5,035,043	6.6%	$26.27	$7,552,604	8.7%	$35.59
NET OPERATING INCOME	**$21,893,001**	**32.7%**	**$128.73**	**$26,259,863**	**33.9%**	**$128.63**	**$27,906,736**	**34.8%**	**$135.43**	**$26,014,156**	**33.7%**	**$126.81**	**$27,826,140**	**36.5%**	**$145.20**	**$27,910,199**	**32.3%**	**$131.52**

Gross Revenue

After a thorough analysis of the historical departmental revenue, projected gross revenue for the subject property is estimated to be $86,366,970 in year one.

Gross Operating Income

We have analyzed the historical and budgeted gross operating income, and have made a projection of the future gross operating income based on these figures. After a thorough analysis, we have projected that total gross operating income for the coming year will be $52,882,806 in year one.

Gross Operating Profit

After a thorough analysis, we have projected that total gross operating profit for the coming year will be $37,353,612 in year one.

Income Before Fixed Charges

After a thorough analysis, we have projected that total income before fixed charges for the coming year will be $35,462,803 in year one.

Departmental Expense Analysis

Departmental expenses are typically correlated to an affiliated revenue source and can vary significantly depending on occupancy. As such, most of these expenses have been estimated as a percentage of its respective departmental revenues.

Rooms

This category includes all labor costs, supply costs, central or franchise reservation fees, equipment leases and travel agent commissions affiliated with rooms revenue. As per the historicals, this expense has ranged from 19.4% to 22.0% of rooms revenue, averaging 20.9% of rooms revenue. This equates to a range of $49.90 to $59.45 per occupied room night, averaging $54.94 per occupied room night. The 2025 operating statement shows a rooms expense of 20.8% of rooms revenue or $58.40 per occupied room. Based on our analysis, we have estimated this expense for year one at $12,032,364 equating to 21.0% of rooms revenue, or $56.70 per occupied room night.

Food & Beverage

This category represents the cost of goods sold, labor costs, and special promotion costs. As per the historicals, this expense has ranged from 77.7% to 88.8% of food and beverage revenue, averaging 85.2% of food and beverage revenue. This equates to a range of $76.11 to $86.25 per occupied room night, averaging $80.87 per occupied room night. The 2025 operating statement shows a food and beverage expense of 86.3% of food and beverage revenue or $76.99 per occupied room. Based on our analysis, we have estimated this expense for year one at $20,305,800 that equates to 87.0% of food and beverage revenue, or $95.69 per occupied room night.

Rentals & Other Income

This category represents any rental or other departmental expenses incurred in the operation of the property not specifically covered elsewhere. As per the historicals, this expense has ranged from 20.6% to 27.9% of other revenue, averaging 22.6% of other revenue. This equates to a range of $4.97 to $7.72 per occupied room night, averaging $5.24 per occupied room night. The 2025 operating statement shows a rentals and other income expense of 19.6% of other revenue or $5.41 per occupied room. Based on our analysis, we have estimated this expense for year one at $1,146,000 that equates to 20.0% of other revenue, or $5.40 per occupied room night.

Departmental Expense Conclusion

We thoroughly analyzed the subject's operating expense history, and used this information to make our projections. As per the historicals, total departmental expenses ranged from 36.4% to 37.2% of rooms revenue, averaging 36.9% of total departmental revenue. This equates to a range of $140.01 to $143.36 per occupied room night, averaging $141.83 per occupied room night. The 2025 operating statement shows a total departmental expense of 35.4% of total departmental revenue or $140.80 per occupied room. Based on our analysis, we have estimated this expense for year one at $33,484,164 that equates to 38.8% of total departmental revenue, or $157.79 per occupied room night.

Undistributed Operating Expense Analysis

Undistributed operating expenses are typically determined utilizing the hotel's total gross revenue. As such, most of these expenses have been estimated as a percentage of the subject's total gross revenue.

Administrative & General

The items in this category usually include professional fees and other general administrative expenses needed to operate the property. Administrative expenses can be provided either in the following expense subcategories or in a bulk total. 1) Professional Fees – Fees paid for any professional services contracted for or incurred in property operation; or 2) Other Administrative – Any other general administrative expenses incurred in property operation. As per the historicals, this expense has ranged from 5.1% to 5.8% of total gross revenue, averaging 5.4% of total gross revenue. This equates to a range of $19.74 to $22.62 per occupied room night, averaging $20.90 per occupied room night. The 2025 operating statement shows an administrative fee expense of 5.0% of total gross revenue or $20.04 per occupied room. Based on our analysis, we have estimated this expense for year one at $4,318,349 that equates to 5.0% of total gross revenue, or $20.35 per occupied room night.

Sales & Marketing

This category represents expenses related to marketing, promotion, sales, and publicity and all related printing, stationary, artwork, magazine space, broadcasting, and postage related to marketing. As per the historicals, this expense has ranged from 2.4% to 9.2% of total gross revenue, averaging 4.2% of total gross revenue. This equates to a range of $9.08 to $36.31 per occupied room night, averaging $16.40 per occupied room night. The 2025 operating statement shows a sales and marketing expense of 5.7% of total gross revenue or $22.64 per occupied room. Based on our analysis, we have estimated this expense for year one at $4,318,349 that equates to 5.0% of total gross revenue, or $20.35 per occupied room night.

Franchise Fees

This represents the cost of all franchise fees as dictated by the hotel's franchising or license agreement. This expense usually includes a marketing, program, and/or royalty fee that is paid as a percentage of total gross revenue. We have estimated this expense for year one at $3,437,818 that equates to 6.0% of total gross rooms revenue, or $16.20 per occupied room night.

Repairs and Maintenance

This category includes all expenses incurred for the general repairs and maintenance of the building including common areas and general upkeep. Repairs and maintenance expense includes elevator, HVAC, electrical and plumbing, structural/roof, and other repairs and maintenance expense items. Repairs and Maintenance expenses can be provided either in the following expense subcategories or in a bulk total. 1) Elevator - The expense of the contract and any additional expenses for elevator repairs and maintenance. This expense item may also include escalator repairs and maintenance. 2) HVAC – The expense of the contract and any additional expenses for heating, ventilation and air-conditioning systems. 3) Electrical & Plumbing - The expense of all repairs and maintenance associated with the property's electrical and plumbing systems. 4) Structural/Roof - The expense of all repairs and maintenance associated with the property's building structure and roof. 5) Pest Control – The expense of insect and rodent control. 6) Other Repairs & Maintenance - The cost of any other repairs and maintenance items not specifically included in other expense categories. As per the historicals, this expense has ranged from 2.4% to 3.0% of total gross revenue, averaging 2.7% of total gross revenue. This equates to a range of $8.97 to $11.66 per occupied room night, averaging $10.51 per occupied room night. The 2025 operating statement shows a repairs and maintenance expense of 2.7% of total gross revenue or $10.80 per occupied room. Based on our analysis, we have estimated this expense for year one at $2,159,174 that equates to 2.5% of total gross revenue, or $10.17 per occupied room night.

Utilities

This category represents the cost of all utilities, services rendered by public and private utility companies (e.g., electricity, gas, heating fuel, water/sewer, and other utility providers). Utility expenses can be provided either in expense, subcategories, or in a bulk total. As per the historicals, this expense has ranged from 1.4% to 1.8% of total gross revenue, averaging 1.5% of total gross revenue. This equates to a range of $5.26 to $7.23 per occupied room night, averaging $5.84 per occupied room night. The 2025 operating statement shows a utilities expense of 1.4% of total gross revenue or $5.54 per occupied room. Based on our analysis, we have estimated this expense for year one at $1,295,505 that equates to 1.5% of total gross revenue, or $6.10 per occupied room night.

Undistributed Operating Expense Conclusion

We thoroughly analyzed the subject's operating expense history, and used this information to make our projections. As per the historicals, total undistributed operating expenses have ranged from 18.8% to 20.8% of total gross revenue, averaging 19.5% of total gross revenue. This equates to a range of $54.91 to $76.28 per occupied room night, averaging $67.26 per occupied room night. The 2025 operating statement shows total undistributed operating expenses of 19.1% of total gross revenue or $75.93 per occupied room. Based on our analysis, we have estimated this expense for year one at $15,529,194 that equates to 18.0% of total gross revenue, or $73.18 per occupied room night.

Management Fees

Management is an expense item representing the sum paid for management services. Management services may be contracted for or provided by the property owner. Management expenses may include supervision, on-site offices, telephone service, clerical help, legal or accounting services, printing and postage, and advertising. Management fees may occasionally be included among recoverable operating expenses. In the local market, management fees for this type of property typically range from 2.5 to 4.0 percent of total gross rooms revenue. We have utilized a management fee of 3.0 percent of total gross rooms revenue, which we consider to be market oriented.

Fixed Charges Expense Analysis

Fixed charges are typically not correlated to a specific revenue source or sensitive to the subject's occupancy. As such, most of these expenses have not been estimated as a percentage of the subject's total gross revenue.

Real Estate & Personal Property Taxes

This category represents the tax levied on real estate (i.e., on the land, appurtenances, improvements, structures and buildings); typically by the state, county and/or municipality in which the property is located. This category also includes the personal property tax levied on the property. A complete discussion of the taxes is included in the Real Property Taxes and Assessments section of this report. We have estimated this expense for year one at $4,698,460 that equates to 5.4% of total gross revenue, or $22.14 per occupied room night.

Property Insurance

This category includes coverage for loss or damage to the property caused by the perils of fire, lightning, extended coverage perils, vandalism and malicious mischief, and additional perils. We have estimated this expense for year one at $1,100,000 that equates to 1.3% of total gross revenue, or $5.18 per occupied room night.

Furniture, Fixtures & Equipment Reserves

This expense category is to account for the periodic replacement of the furniture, fixtures, and equipment in the hotel. A widely utilized method for estimating FF&E reserves is to base the expense off a percentage of total gross revenue. It is typical of the market to utilize 3.0 to 5.0 percent of total gross revenue for FF&E reserves. We have utilized a FF&E reserve of 4.0 percent of total gross revenue for all years, which we consider to be market oriented.

CAM Income

This expense category is to account for CAM income attributed to food and beverage operations. This is calculated as -2.5 percent of food and beverage revenue. Therefore, we have estimated this expense for year one at -$466,800 which equates to 0.5% of total food and beverage revenue, or -$2.20 per occupied room night.

Fixed Charges Expense Conclusion

We thoroughly analyzed the subject's operating expense history, and used this information to make our projections. We have estimated total fixed charges for year one at $7,552,604 that equates to 8.7% of total gross revenue, or $35.59 per occupied room night.

Operating Expense Comparables

The following table illustrates detailed expense levels at buildings considered to be similar to the subject property, based on location and physical attributes.

COMPARABLE EXPENSE ANALYSIS - HOTEL						
Hotel Class	**Full Service Hotels**		**Full Service Hotels**		**Full Service Hotels**	
Classification	Rate Groups		Geographic Divisions		Property Size	
Group	$150 to $300		New England & Middle Atlantic		Over 300 Rooms	
	2024 $/PAR	**% Sales**	**2023 $/PAR**	**% Sales**	**2024 $/PAR**	**% Sales**
REVENUE						
OPERATING EXPENSES						
Rooms	$54,056	71.0%	$73,326	77.7%	$58,889	67.1%
Food and Beverage	17,228	22.6	15,572	16.5	22,842	26.0
Other Operated Departments	2,616	3.4	2,704	2.9	3,538	4.0
Miscellaneous Income	2,194	2.9	2,762	2.9	2,509	2.9
Total Revenue	$76,093	100.0%	$94,364	100.0%	$87,779	100.0%
DEPARTMENTAL EXPENSES*						
Rooms	$14,379	26.4%	$22,577	30.8%	$17,494	29.6%
Food and Beverage	12,231	71.0	13,757	88.3	16,499	72.2
Other Operated Departments	1,031	39.4	1,307	48.3	1,318	37.3
Total Departmental Expenses	$27,640	36.3%	$37,640	39.9%	$35,310	40.2%
TOTAL DEPARTMENTAL PROFIT	$48,453	64.2%	$56,724	60.1%	$52,468	59.8%
UNDISTRUBUTED OPERATING EXPENSES						
Administrative and General	$6,606	8.6%	$8,252	8.7%	$7,510	8.6%
Information and Telecommunications Systems	1,112	1.4	1,370	1.5	$1,305	1.5
Sales and Marketing	7,571	9.7	8,375	8.9	7,577	8.6
Property Operations and Maintenance	3,344	4.3	4,353	4.6	3,864	4.4
Utilities	2,470	3.3	2,932	3.1	2,759	3.1
Total Undistributed Expenses	$21,103	27.2%	$25,283	26.8%	$23,016	26.2%
GROSS OPERATING PROFIT	$27,350	37.1%	$31,442	33.3%	$29,452	33.6%
Management Fee	$2,564	3.4%	$3,057	3.2%	$2,898	3.3%
INCOME BEFORE NON-OPERATING INCOME AND EXPENSES	$24,786	33.6%	$28,385	30.1%	$26,554	30.3%
NON-OPERATING INCOME AND EXPENSES						
Income	$443	0.6%	$290	0.3%	$317	0.4%
Rent	1,912	2.5	1,296	1.4	1,443	1.6
Property and Other Taxes	2,840	3.7	4,666	4.9	3,543	4.0
Insurance	1,273	1.7	1,087	1.2	1,419	1.6
Other	1,214	1.6	1,713	1.8	1,658	1.9
Total Non-Operating Income and Expenses	$6,797	8.9%	$8,471	9.0%	$7,745	8.8%
EBITDA	**$17,989**	**23.6%**	**$19,914**	**21.1%**	**$18,809**	**21.4%**

The subject is a 612-room select service hotel located in the New England & Middle Atlantic region of the country. As the full-service category was the closest class category to select service hotels, it was utilized in this analysis. As per 2025 PKF Trends report, the revenue and expense data compiled above represent the typical operating figures for full service hotels by rate groups, geographic divisions, and property size. Compared to the data above, the projected expense data for the subject is closest in range to the rate groups segment. We believe the subject may be slightly out of range of the comparables, but that is because it is located in Manhattan, which is one of the most aggressive markets in the nation.

Discounted Cash Flow Method

In the Discounted Cash Flow Method, we employed a proprietary Excel Model to model the income characteristics of the property and to make a variety of cash flow assumptions. We attempted to reflect the most likely investment assumptions of typical buyers and sellers in this particular market segment. The following tables illustrate the assumptions used in the discounted cash flow analysis.

DISCOUNTED CASH FLOW MODELING ASSUMPTIONS - HOTEL	
GENERAL CASH FLOW ASSUMPTIONS	
Valuation Scenario:	**Fair Value As Is**
Cash Flow Start Date:	Jan-26
Calendar or Fiscal Analysis:	Fiscal
Investment Holding Period:	10 Years
Analysis Projection Period:	11 Years
GROWTH RATES	
ADR:	3.00%
Expenses:	Varies
Consumer Price Index (CPI):	3.00%
Real Estate Taxes:	3.00%
RATES OF RETURN	
Terminal Capitalization Rate:	7.00%
Internal Rate of Return:	7.25%
Reversionary Sales Cost:	4.00%
VALUATION	
Fair Value As Is	$471,071,429
Rounded to nearest $1,000,000	**$471,000,000**
Value $/Room	$769,608
ADJUSTMENTS TO PRELIMINARY VALUE	
PLUS ICAP Tax Benefit	$6,120,000
Indicated Value	$477,120,000
Rounded to nearest $1,000,000	**$477,000,000**
Value $/Room	$779,412

Note: The subject benefits from an ICAP tax benefit. Therefore, we have discounted the benefit to a present value and added it to the conclusion of the Discounted Cash Flow to arrive at an As Is value.

Terminal Capitalization Rate Selection

A terminal capitalization rate was used to develop an opinion of the market value of the property at the end of the assumed investment holding period. The rate is applied to the net operating income in the reversionary year. We have determined an appropriate terminal capitalization rate based on indicated rates in current investor surveys.

TERMINAL CAPITALIZATION RATES			
Survey	**Date**	**Range**	**Average**
PWC Real Estate Investor Survey - National Select Service Lodging	4Q 2025	8.00% - 11.00%	9.30%

Given the subject's relatively new condition and strong location, we have selected a terminal rate that is below the range of terminal rates indicated by investor surveys. The subject has also maintained a healthy occupancy level despite current economic conditions. Therefore, we have applied a 7.00 percent terminal capitalization rate in our analysis.

Reversionary Sales Costs

We have estimated the cost of sale at the time of reversion to be 4.00 percent, which is in keeping with local market practice.

Discount Rate Selection

We have determined an appropriate discount rate based on indicated rates in current investor surveys:

DISCOUNT RATES (IRR)			
Survey	**Date**	**Range**	**Average**
PWC Real Estate Investor Survey - National Select Service Lodging	4Q 2025	10.00% - 12.00%	11.00%

We previously discussed all factors that would influence our selection of a discount rate for the subject property. As the subject is located in a superior market, is in excellent condition, and has performed relatively well despite ongoing economic conditions, we have selected a discount rate that is below the indicated range in the table above. Therefore, given all of these factors, we have discounted our cash flow and reversionary value projections at an internal rate of return of 7.25 percent.

DISCOUNTED CASH FLOW ANALYSIS											
Analysis Start Date:	Jan-26										
Period	1	2	3	4	5	6	7	8	9	10	11
Year Ending	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**	**2036**
SUBJECT OVERVIEW											
Days Open	365	365	365	366	365	365	365	366	365	365	365
No. of Rooms	612	612	612	612	612	612	612	612	612	612	612
Total Available Rooms	223,380	223,380	223,380	223,992	223,380	223,380	223,380	223,992	223,380	223,380	223,380
Total Occupied Nights	212,211	212,211	212,211	212,792	212,211	212,211	212,211	212,792	212,211	212,211	212,211
Occupancy	95.0%	95.0%	95.0%	95.0%	95.0%	95.0%	95.0%	95.0%	95.0%	95.0%	95.0%
Average Daily Rate	$270.00	$278.10	$286.44	$295.04	$303.89	$313.00	$322.39	$332.07	$342.03	$352.29	$362.86
RevPAR	$256.50	$264.20	$272.12	$280.28	$288.69	$297.35	$306.27	$315.46	$324.93	$334.67	$344.71
REVENUE											
Rooms	$57,296,970	$59,015,879	$60,786,355	$62,781,480	$64,488,245	$66,422,892	$68,415,579	$70,661,109	$72,582,087	$74,759,550	$77,002,336
Food & Beverage	$23,340,000	$24,040,200	$24,761,406	$25,504,248	$26,269,376	$27,057,457	$27,869,181	$28,705,256	$29,566,414	$30,453,406	$31,367,008
Rentals & Other Income	$5,730,000	$5,901,900	$6,078,957	$6,261,326	$6,449,165	$6,642,640	$6,841,920	$7,047,177	$7,258,593	$7,476,350	$7,700,641
Subtotal:	**$86,366,970**	**$88,957,979**	**$91,626,718**	**$94,547,054**	**$97,206,786**	**$100,122,989**	**$103,126,679**	**$106,413,542**	**$109,407,094**	**$112,689,306**	**$116,069,986**
DEPARTMENTAL EXPENSES											
Rooms	$12,032,364	$12,393,335	$12,765,135	$13,184,111	$13,542,531	$13,948,807	$14,367,272	$14,838,833	$15,242,238	$15,699,505	$16,170,491
Food & Beverage	$20,305,800	$20,914,974	$21,542,423	$22,188,696	$22,854,357	$23,539,987	$24,246,187	$24,973,573	$25,722,780	$26,494,463	$27,289,297
Rentals & Other Income	$1,146,000	$1,180,380	$1,215,791	$1,252,265	$1,289,833	$1,328,528	$1,368,384	$1,409,435	$1,451,719	$1,495,270	$1,540,128
Subtotal:	**$33,484,164**	**$34,488,689**	**$35,523,349**	**$36,625,072**	**$37,686,721**	**$38,817,323**	**$39,981,843**	**$41,221,841**	**$42,416,737**	**$43,689,239**	**$44,999,916**
GROSS OPERATING INCOME	**$52,882,806**	**$54,469,290**	**$56,103,369**	**$57,921,982**	**$59,520,064**	**$61,305,666**	**$63,144,836**	**$65,191,701**	**$66,990,357**	**$69,000,068**	**$71,070,070**
UNDISTRIBUTED OPERATING EXPENSES											
Administrative & General	$4,318,349	$4,447,899	$4,581,336	$4,727,353	$4,860,339	$5,006,149	$5,156,334	$5,320,677	$5,470,355	$5,634,465	$5,803,499
Advertising Sales & Promotion	$4,318,349	$4,447,899	$4,581,336	$4,727,353	$4,860,339	$5,006,149	$5,156,334	$5,320,677	$5,470,355	$5,634,465	$5,803,499
Franchise Fees	$3,437,818	$3,540,953	$3,647,181	$3,766,889	$3,869,295	$3,985,374	$4,104,935	$4,239,667	$4,354,925	$4,485,573	$4,620,140
Repairs and Maintenance	$2,159,174	$2,223,949	$2,290,668	$2,363,676	$2,430,170	$2,503,075	$2,578,167	$2,660,339	$2,735,177	$2,817,233	$2,901,750
Utilities	$1,295,505	$1,334,370	$1,374,401	$1,418,206	$1,458,102	$1,501,845	$1,546,900	$1,596,203	$1,641,106	$1,690,340	$1,741,050
Subtotal:	**$15,529,194**	**$15,995,070**	**$16,474,922**	**$17,003,476**	**$17,478,245**	**$18,002,592**	**$18,542,670**	**$19,137,562**	**$19,671,918**	**$20,262,076**	**$20,869,938**
GROSS OPERATING PROFIT	**$37,353,612**	**$38,474,221**	**$39,628,447**	**$40,918,506**	**$42,041,820**	**$43,303,074**	**$44,602,167**	**$46,054,139**	**$47,318,438**	**$48,737,992**	**$50,200,131**
Base Management Fee	$1,890,809	$1,947,533	$2,005,959	$2,071,284	$2,128,122	$2,191,966	$2,257,725	$2,331,249	$2,395,220	$2,467,077	$2,541,089
INCOME BEFORE FIXED CHARGES	**$35,462,803**	**$36,526,687**	**$37,622,488**	**$38,847,222**	**$39,913,697**	**$41,111,108**	**$42,344,442**	**$43,722,890**	**$44,923,218**	**$46,270,915**	**$47,659,042**
FIXED CHARGES											
Real Estate & Personal Property Taxes	$4,698,460	$4,839,414	$4,984,596	$5,134,134	$5,288,158	$5,446,803	$5,610,207	$5,778,513	$5,951,868	$6,130,425	$6,314,337
Insurance	$1,100,000	$1,133,000	$1,166,990	$1,202,000	$1,238,060	$1,275,201	$1,313,458	$1,352,861	$1,393,447	$1,435,251	$1,478,308
FF&E Reserves	$2,205,944	$2,596,711	$2,674,612	$2,761,712	$2,837,496	$2,922,621	$3,010,300	$3,108,331	$3,193,627	$3,289,436	$3,388,119
CAM Income	($466,800)	($601,005)	($619,035)	($637,606)	($656,734)	($676,436)	($696,730)	($717,631)	($739,160)	($761,335)	($784,175)
Subtotal:	**$7,537,604**	**$7,968,120**	**$8,207,164**	**$8,460,240**	**$8,706,980**	**$8,968,189**	**$9,237,235**	**$9,522,074**	**$9,799,782**	**$10,093,776**	**$10,396,589**
NET OPERATING INCOME	**$27,925,199**	**$28,558,567**	**$29,415,324**	**$30,386,982**	**$31,206,718**	**$32,142,919**	**$33,107,207**	**$34,200,816**	**$35,123,436**	**$36,177,139**	**$37,262,453**

Discounted Cash Flow Method Conclusion – Value As Is

The results of the DCF analysis are presented below:

DISCOUNTED CASH FLOW ANALYSIS - HOTEL						
Year No.	Year Ending	Net Cash Flow		Discount Factor 7.25%		Present Value of Cash Flows
1	2026	$27,925,199	x	0.9324009	=	$26,037,482
2	2027	$28,558,567	x	0.8693715	=	$24,828,005
3	2028	$29,415,324	x	0.8106028	=	$23,844,144
4	2029	$30,386,982	x	0.7558068	=	$22,966,688
5	2030	$31,206,718	x	0.7047150	=	$21,991,841
6	2031	$32,142,919	x	0.6570769	=	$21,120,369
7	2032	$33,107,207	x	0.6126591	=	$20,283,432
8	2033	$34,200,816	x	0.5712439	=	$19,537,008
9	2034	$35,123,436	x	0.5326284	=	$18,707,738
10	2035	$36,177,139	x	0.4966232	=	$17,966,406
Total Present Value of Cash Flows:						**$217,283,113**

Reversion Year		*NOI/Income*	/	*Terminal OAR*	=	*Reversion*
11	2036	$37,262,453	/	7.00%	=	$532,320,756
		Less: Cost of Sale		4.00%		($21,292,830)
Net Reversion						$511,027,926
x Discount Factor						0.4966232
Total Present Value of Reversion						**$253,788,316**

Total Present Value of Cash Flows & Reversion:	**$471,071,429**
Rounded to nearest $1,000,000	**$471,000,000**
Total Room Count	612
Value Per Room:	$769,608

Income Capitalization Approach Summary

The following is a summary of our concluded values in the Income Capitalization Approach:

INCOME CAPITALIZATION APPROACH CONCLUSION		
Methodology	**As Is Value**	**$/Room**
Discounted Cash Flow	$477,000,000	$779,412
Income Approach Conclusion	**$477,000,000**	**$779,412**

This appraisal employs two typical approaches to value: the Sales Comparison Approach and the Income Capitalization Approach. Based on our analysis and knowledge of the subject property type and relevant investor profiles, it is our opinion that these approaches would be considered meaningful and applicable in developing a credible value conclusion. The approaches indicated the following:

FINAL VALUE RECONCILIATION		
	As Is Value	
Date of Value	December 31, 2025	$/Room
Sales Comparison Approach		
Conclusion	$477,000,000	$779,412
Income Capitalization Approach		
Discounted Cash Flow	$477,000,000	$779,412
Conclusion	$477,000,000	$779,412
Final Value Conclusion	**$477,000,000**	**$779,412**

We have given most weight to the Income Capitalization approach because this mirrors the methodology used by purchasers of this property type.

Fair Value As Is

Based on the Scope of Work agreed to with the client, and as outlined in the report, we developed an opinion that the Fair Value of the Fee Simple interest in the above property, subject to the assumptions and limiting conditions, certifications, extraordinary assumptions and hypothetical conditions, if any, and definitions, "As Is" on December 31, 2025, was:

FOUR HUNDRED SEVENTY SEVEN MILLION DOLLARS

$477,000,000

In consideration of the performance by Marshall & Stevens, Inc. ("M&S") of the services specified on the terms specified in the Engagement Letter of which these General Contractual Conditions are a part, client agrees to the following general terms and conditions. The Engagement Letter and these General Contractual Conditions are collectively referred to as the "Agreement."

1. Client represents and warrants that the person who authorized this engagement is empowered to do so and that information provided by or on behalf of client is true, accurate and complete in all material respects and may be relied upon by M&S.

2. The use of the report is conditioned upon the truth and accuracy of all client representations and warranties and performance by client of its obligations under this Agreement, including, without limitation, payment of all M&S' fees and expenses. The report may only be relied upon by the intended users of the report and may only be used for the intended uses specified in the Engagement Letter.

3. Unless specifically brought to our attention, we will assume there are no hidden or unexpected conditions that would adversely affect value. The presence of hazardous substances can create an actual or potential liability that may adversely affect marketability and value. In the development of our opinion of value, no consideration was given to such liability or its impact on value unless M&S was specifically retained to prepare an environmental or toxic contamination report. Except to the extent such a report was prepared by M&S, client releases M&S from any and all liability related in any way to environmental matters.

4. The Report assumes (a) responsible ownership and competent management of the Property; (b) there are no hidden or unapparent conditions of the Property, subsoil or structures that render the Property more or less valuable (no responsibility is assumed for such conditions or for arranging for engineering studies that may be required to discover them); (c) full compliance with all applicable federal, state and local zoning and environmental regulations and laws, unless noncompliance is stated, defined and considered in the Report; and (d) all required licenses, certificates of occupancy and other governmental consents have been or can be obtained and renewed for any use on which the value opinion contained in the Report is based.

5. The physical condition of the improvements considered by the Report is based on visual inspection by the Appraiser or other person identified in the Report. M&S assumes no responsibility for the soundness of structural components or for the condition of mechanical equipment, plumbing or electrical components.

6. M&S's reports, the Marshall & Stevens name, and the name of any subcontractor, are not to be used outside the client's organization, without M&S's prior written approval, except for such copies as may be provided to client's auditors, legal counsel, or to representatives of applicable taxing authorities in the ordinary course. M&S will likewise preserve the confidential nature of information received from client in accordance with its established professional standards; provided, however, that M&S will be permitted to use client's name in its materials to identify client as a client of M&S.

7. M&S warrants that it performed its services in a professional manner in accordance with professional valuation standards. M&S makes no further warranty of any kind, express or implied. Client acknowledges that (i) it is not relying upon M&S for legal advice or for advice requiring specialized expertise, investigation or knowledge beyond that customarily employed by valuation professionals, (ii) M&S's services are not fiduciary in nature and (iii) M&S does not, by entering into this Agreement or performing services for client, assume, abridge, abrogate or undertake to discharge any duty of client to any other person. M&S specifically disclaims liability as an insurer or guarantor. M&S's liability under this Agreement, regardless of the legal theory asserted, is limited to the amount of the fee paid. Client acknowledges that M&S is a limited liability entity, and waives any right to make any claim against any affiliate, member, shareholder officer, director, or employee of M&S with respect to this Agreement.

8. Client agrees to defend, indemnify and hold harmless M&S, its affiliates, and their respective employees, directors, agents or subcontractors (collectively, the "M&S Parties") against all third party claims and any third party judgments, losses, damages or expenses relating to the performance, or non-performance, of services by M&S or any one or more M&S Parties under this Agreement.

9. If M&S, or any of its personnel, is requested or compelled to produce documents or testify with regard to the work performed, client agrees to reimburse M&S for all associated costs, including reasonable attorneys' fees, preparation and travel time, interview, deposition and court time and expenses, and to compensate M&S at M&S's then-existing rates for the time spent by M&S personnel.

10. In the event of a dispute involving interpretation or performance under this Agreement, the dispute will be determined through arbitration under the rules of commercial arbitration of the American Arbitration Association, the results of which shall be binding on all parties to this agreement. The arbitration shall be conducted in the city in which the M&S' office accepting this engagement is located. The party prevailing at the arbitration shall recover from the other party its costs and expenses, including attorneys', arbitrators' and stenographers' fees. Notwithstanding the above, M&S reserves the right to sue for its fees and expenses in civil court and, if it is made a party to any third-party litigation, to have its indemnification rights determined by the court hearing such action. In no event may any claim be brought against M&S more than one year after the date such services were performed or the date on which such services, it is claimed, should have been performed. Client consents to the jurisdiction and venue of any such court.

11. This Agreement is to be interpreted under the laws of the state in which the M&S office accepting this engagement is located. It is the intent of the parties that this Agreement be interpreted in a fair and evenhanded manner, and without reference to any rule of interpretation placing responsibility for ambiguity or uncertainty upon the drafting party. This Agreement constitutes the entire agreement between the parties with respect to the subject matter hereof, and may only be amended in a writing signed by both parties hereto.

12. No opinion is intended to be expressed and no responsibility is assumed for the legal description or for any matters that are legal in nature or require legal expertise or specialized knowledge beyond that of a real estate appraiser. Title to the Property is assumed to be good and marketable and the Property is assumed to be free and clear of all liens unless otherwise stated. No survey of the Property was undertaken.

13. The opinions are only as of the date stated in the Report. Changes since that date in external and market factors or in the Property itself can significantly affect the conclusions in the Report.

14. The Report is to be used in whole and not in part. No part of the Report shall be used in conjunction with any other analyses. Publication of the Report or any portion thereof without the prior written consent of M&S is prohibited.

15. Unless otherwise stated in the Report, compliance with the requirements of the Americans with Disabilities Act of 1990 (ADA) has not been considered in arriving at the opinion of value. Failure to comply with the requirements of the ADA may adversely affect the value of the Property. M&S recommends that an expert in this field be employed to determine the compliance of the Property with the requirements of the ADA and the impact of these matters on the opinion of value.

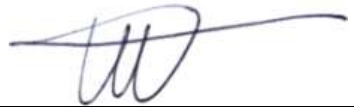
16. If the Report is referred to or included in any offering material or prospectus, the Report shall be deemed referred to or included for informational purposes only and M&S, its employees and the Appraiser have no liability to such recipients. M&S disclaims any and all liability to any party other than the party that retained M&S to prepare the Report.

17. By use of this Report each party that uses this Report agrees to be bound by all of the Assumptions and Limiting Conditions, Hypothetical Conditions and Extraordinary Assumptions stated herein.

We certify that, to the best of our knowledge and belief:

- The statements of fact contained in this report are true and correct.
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions, and is our personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- We have no present or prospective interest in the property that is the subject of this report, and no personal interest with respect to the parties involved.
- We have no bias with respect to the property that is the subject of this report or to the parties involved with this assignment.
- Our engagement in this assignment was not contingent upon developing or reporting predetermined results.
- Our compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the requirements of the Code of Professional Ethics & Standards of Professional Appraisal Practice of the Appraisal Institute, which include the Uniform Standards of Professional Appraisal Practice.
- The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.
- As per our agreement with the client, no inspection of the subject property was made in performing this current valuation. For our prior appraisal, our most recent inspection was performed on October 21, 2019.
- Patrick T. Craig MAI, MRICS and Thomas Marretta have provided services regarding the subject property within the prior three years, including other appraisal reports.
- No one provided significant real property appraisal assistance to the persons signing this report.

- As of the date of this report, Patrick T. Craig MAI, MRICS has completed the continuing education program for Designated Members of the Appraisal Institute.



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SECTION 4: ADDENDA

Engagement Letter

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Real Estate
Fairness & Solvency Opinions

June 6, 2025

Mr. William G. Ellis, CPA
Senior Vice President, Chief Accounting Officer
Lightstone Group
1985 Cedar Bridge Avenue, Suite 1
Lakewood, NJ 08701

RE: Appraisal of Real Property:
MOXY NYC Times Square
485 Seventh Avenue, New York, NY 10018

Dear Mr. Ellis:

Marshall & Stevens, Incorporated ("M&S", "we", "us", or "our") appreciates the opportunity to present this letter (the "Engagement Letter") to provide the real estate valuation-consulting services described herein for Lightstone Group (the "Client", "you", or "your").

SUBJECT OF THE ASSIGNMENT

The subject is a 16-story New York City landmarked building located on the northeast corner of Seventh Avenue and West 36th Street, on a site measuring 17,214 square feet (0.40 acres). The subject is a 612-key hotel building completed in 2017, and which also contains retail units.

INTENDED USERS & INTENDED USE

The appraisal will be prepared for Lightstone Group. Intended users include the Client and its accountant and/or advisor. No other users are intended. This report is intended only for use in financial reporting. The report is not intended for any other use.

TYPE OF OPINION

Fair Value

TYPE OF REPORT & RIGHTS APPRAISED

We will provide an independent opinion of value for the Leased Fee interest in the subject property on a quarterly basis as outlined below through Q2 2029. A Restricted Letter will be provided for each of the first three calendar quarters (March, June and September). An Appraisal Report will be provided for the December date of value.

DATE OF VALUE

The dates of value of our analysis of the subject property are:

- March 31, 2025, 2026, 2027, 2028, 2029
- June 30, 2025, 2026, 2027, 2028, 2029
- September 30, 2025, 2026, 2027, 2028
- December 31, 2025, 2026, 2027, 2028

SCOPE OF WORK

M&S will provide an Appraisal Report or Restricted Letter, as outlined herein, in accordance with USPAP, the Code of Ethics and Certifications Standards of the Appraisal Institute and State Licensing Laws. As per the scope of work agreed to with the Client, the appraiser will not inspect the property. The appraiser will research relevant market data and perform analysis to the extent necessary to produce credible appraisal results.

REPORT DELIVERY

The table below outlines the delivery time frame for each quarterly report:

Value Date	Delivery Date
• March 31, 2025, 2026, 2027, 2028, 2029	• March 20, 2025, 2026, 2027, 2028, 2029
• June 30, 2025, 2026, 2027, 2028, 2029	• June 15, 2025, 2026, 2027, 2028, 2029
• September 30, 2025, 2026, 2027, 2028	• September 15, 2025, 2026, 2027, 2028
• December 31, 2025, 2026, 2027, 2028	• December 15, 2025, 2026, 2027, 2028

This is a 5-year contract. As noted above, we will start with a valuation of the subject property as of the March 31, 2025 valuation date. Updated analyses will be provided each quarter thereafter, covering a total of four quarters, with our last quarter ending June 30, 2029.

These delivery dates are contingent upon our timely receipt of all requested information. Any delay may result in revised delivery expectations. The appraisal reports will be delivered in electronic format.

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PROFESSIONAL FEE

Based on our understanding of the work to be performed, our professional fees (the "Fees") are presented below:

Date of Value	Report	Fee
March 31, 20xx	Restricted Letter	[redacted]
June 30, 20xx	Restricted Letter	
September 30, 20xx	Restricted Letter	
December 31, 20xx	Appraisal Report	

* Subject to change if a value change event occurs.

The Fees quoted are inclusive of expenses related to the preparation of the reports. All invoices are due and payable on presentation and are subject to carrying charges of 1.5% per month beginning one (1) month from date of the original invoice. Collection costs, including legal fees and court costs, if needed, would be additional.

Work canceled prior to completion will be billed in accordance with professional time, office charges, and expenses incurred through the date of cancellation, plus reasonable administrative termination costs.

Fees are in no way contingent upon values concluded by M&S. Fees invoiced are due and payable regardless of whether our conclusions coincide with client expectations.

RETAINER

No retainer is required at acceptance of this assignment.

CHANGES TO ENGAGEMENT LETTER

The identity of the Client, intended users, or intended use; the date of value; type of value or interest appraised; or property appraised cannot be changed without a new Engagement Letter.

GENERAL CONTRACTUAL CONDITIONS

The appraisal process will initiate upon receipt of the signed Engagement Letter and the applicable retainer. This Engagement Letter is subject to withdrawal if it is not executed by the Client within five (5) business days. The attached General Contractual Conditions are an essential part of this Engagement Letter; please sign and date as indicated.

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ACCEPTANCE

We look forward to working with you to complete the valuation in a timely and cost-effective manner. If you have any questions or comments regarding our proposed services, please do not hesitate to contact me at 212.897.9481.

To authorize this assignment, please return a signed copy of the Engagement Letter, including the signed General Contractual Conditions, to ptcraig@marshall-stevens.com.

We appreciate this opportunity to be of service and look forward to working with you on this important assignment.

Sincerely,

MARSHALL & STEVENS INCORPORATED

Patrick T. Craig, MAI, MRICS
Executive Managing Director

LIGHTSTONE GROUP

SIGNATURE

William G. Ellis
PRINTED NAME

SVP, Chief Accounting Officer
TITLE

June 12, 2025
DATE

GENERAL CONTRACTUAL CONDITIONS

In consideration of the performance by Marshall & Stevens, Incorporated, ("M&S") of the services specified on the terms specified in the Engagement Letter of which these General Contractual Conditions are a part, Client agrees to the following general terms and conditions. The Engagement Letter and these General Contractual Conditions are collectively referred to as the "Agreement."

1. Client represents and warrants that the person authorizing this engagement is empowered to do so and that information provided by or on behalf of Client is (or will be) true, accurate and complete in all material respects and may be relied upon by M&S.

2. The use of the report is conditioned upon the truth and accuracy of all Client representations and warranties and performance by Client of its obligations under this Agreement, including, without limitation, payment of all M&S' fees and expenses. The report may only be relied upon by the addressee of the report and may only be used for the purposes specified in the Engagement Letter. Delivery schedules quoted assume (unless otherwise stated) that (i) written authorization and the retainer requested will be received in a timely manner, (ii) all supporting information to be provided by the Client will be readily available; and (iii) M&S personnel will be afforded ready access to all things and persons necessary for the engagement.

3. Fees are due and payable regardless of whether or not conclusions reached coincide with Client expectations and are in no way related to values determined by M&S. Any fees or reimbursements not timely paid will be subject to a late payment fee in the amount equal to 1.5% per month of the amount outstanding (or, if less, the maximum amount allowed by applicable law). Client agrees to reimburse M&S for any costs and expenses incurred (including, without limitation, reasonable attorneys' fees) in collecting any and all amounts owed under this Agreement. Except as may be otherwise provided in the Engagement Letter, reimbursable out-of-pocket expenses include, by way of example and without limitation, travel and lodging expense, duplication and data scanning services, long-distance telecommunications charges, internet access, data base access charges, and data transmission and storage charges. In the event that the M&S name or any valuation rendered by M&S is to be disclosed in any filing made with any governmental or quasi-governmental agency or distributed to Client's existing or potential future security holders or creditors, then M&S will be provided a reasonable opportunity to review and comment upon such disclosure and will be reimbursed for its reasonable attorney fees and expenses reasonably incurred, in connection with such review and comment process. Attorney fees and expenses related to the collection of amounts owed to M&S under this Agreement or to review of proposed disclosure are exempt from any cap on the reimbursement of out-of-pocket costs set forth in the Engagement Letter.

4. Unless specifically brought to our attention, we will assume there are no hidden or unexpected conditions that would adversely affect value. The presence of hazardous substances can create an actual or potential liability that may adversely affect marketability and value. In the development of our opinion of value, no consideration will be given to such liability or its impact on value unless M&S is specifically retained to prepare an environmental or toxic contamination report. Except to the extent such a report is prepared by M&S, Client releases M&S from any and all liability related in any way to environmental matters.

5. M&S's reports, the Marshall & Stevens name, and the name of any subcontractor, are not to be used outside the Client's organization, without M&S's prior written approval, except for such copies as may be provided to Client's auditors, legal counsel, or to representatives of applicable taxing authorities in the ordinary course. M&S will likewise preserve the confidential nature of confidential information received from Client in accordance with its established professional standards.

[Continued on Next Page]

6. M&S warrants that it will perform its services in a professional manner in accordance with professional valuation standards. M&S makes no further warranty of any kind, express or implied. Client acknowledges that (i) it is not relying upon M&S for legal advice or for advice requiring specialized expertise, investigation or knowledge beyond that customarily employed by valuation professionals, (ii) M&S's services are not fiduciary in nature and (iii) M&S does not, by entering into this Agreement or performing services for Client, assume, abridge, abrogate or undertake to discharge any duty of Client to any other person. M&S specifically disclaims liability as an insurer or guarantor. M&S's liability under this Agreement, regardless of the legal theory asserted, is limited to the amount of the fee paid to and not previously refunded by M&S. Client acknowledges that M&S is a limited liability entity, and waives any right to make any claim against any affiliate, member, shareholder officer, director, or employee of M&S with respect to this Agreement.

7. Client agrees to defend, indemnify and hold harmless M&S, its affiliates, and their respective employees, directors, agents or subcontractors (collectively, the "M&S Parties") against any and all third party claims and any and all third party judgments, losses, damages or expenses relating to M&S's services under this Agreement including, without limitation, and reliance or purported reliance by any third party on any report or advice provided by M&S.

8. If M&S, or any of its personnel, is requested or compelled to produce documents or testify with regard to any work performed under this Agreement, Client agrees to reimburse M&S for all associated costs, including reasonable attorneys' fees, preparation and travel time, interview, deposition and court time and expenses, and to compensate M&S at M&S's then-existing rates for the time spent by M&S personnel.

9. In the event of a dispute involving interpretation or performance under this Agreement, the dispute will be determined through arbitration under the rules of commercial arbitration of the American Arbitration Association, the results of which shall be binding on all parties to this agreement. The arbitration shall be conducted in the city in which the M&S' office accepting this engagement is located. The party prevailing at the arbitration shall recover from the other party its costs and expenses, including attorneys', arbitrators' and stenographers' fees. Notwithstanding the above, M&S reserves the right to sue for its fees and expenses in civil court and, if it is made a party to any third-party litigation, to have its indemnification rights determined by the court hearing such action. In no event may any claim be brought against M&S more than one year after the date such services were performed or the date on which such services, it is claimed, should have been performed. Client consents to the jurisdiction and venue of any such court.

10. This Agreement is to be interpreted under the laws of the state in which the M&S office accepting this engagement is located. It is the intent of the parties that this Agreement be interpreted in a fair and evenhanded manner, and without reference to any rule of interpretation placing responsibility for ambiguity or uncertainty upon the drafting party. This Agreement constitutes the entire agreement between the parties with respect to the subject matter hereof, and may only be amended in a writing signed by both parties hereto.

Acknowledged and Agreed

LIGHTSTONE GROUP

By: William G. Ellis

Its: SVP, Chief Accounting Officer

Date: June 12, 2025

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Improved Sales Comparable Data Sheets

Stewart Hotel

Comparable 1



Sale Information

Buyer	Slate Property Group & Breaking Ground Building and Restoring Lives	
Seller	Sioni Group, Highgate Capital Group, LLC, & Patriarch Partners LLC	
Sale Date	12/19/2025	
Transaction Status	Recorded	
Sale Price	$260,000,000	$549 /SF NRA
Analysis Price	$260,000,000	$549 /SF NRA
Rights Transferred	Fee Simple	

Income Analysis

Occupancy	95.0%

Property

Type	Hospitality
Gross Building Area (GBA)	473,391 SF
Net Rentable Area (NRA)	473,391 SF
Units	610
Buildings	1 Building, 28 Floors
Year Built	1929 (Renovated 2012)
Land Area	0.4952 Acres (21,569 SF)
FAR	21.95
Zoning	C6-4

371 7th Avenue
New York, NY 10001

County
New York



Remarks

In December 2025, Slate Property Group and Breaking Ground purchased this 610-key hospitality building, known as the Stewart Hotel, from Sioni Group, with partners Patriarch Partners and Highgate Capital, for a total of $260 million (roughly $426,230 per key).

The New York EDITION

Comparable 2



Sale Information

Buyer	Kam Sang Company, Inc.	
Seller	Abu Dhabi Investment Authority	
Sale Date	10/9/2025	
Transaction Status	Recorded	
Sale Price	$235,000,000	$1,000 /SF NRA
Analysis Price	$235,000,000	$1,000 /SF NRA
Rights Transferred	Fee Simple	

Income Analysis

Occupancy	92.0%

Property

Type	Hospitality
Gross Building Area (GBA)	234,928 SF
Net Rentable Area (NRA)	234,928 SF
Units	271
Buildings	1 Building, 41 Floors
Year Built	1909 (Renovated 2015)
Land Area	0.15 Acres (6,534 SF)
FAR	35.95

5 Madison Avenue
New York, NY 10010

County
New York



Remarks

n October 2025, Kam Sang Company purchased this 271-key hotel, known as the New York EDITION, for a total of $235 million* (roughly $867,160 per key).

Kimpton Hotel Eventi

Comparable 3



Sale Information

Buyer	BRE Hotels & Resorts LLC	
Seller	DLJ Real Estate Capital Partners	
Sale Date	5/1/2025	
Transaction Status	Recorded	
Sale Price	$174,500,000	$523 /SF NRA
Analysis Price	$174,500,000	$523 /SF NRA
Rights Transferred	Fee Simple	

Income Analysis

Occupancy	95.0%

Property

Type	Hospitality
Gross Building Area (GBA)	333,436 SF
Net Rentable Area (NRA)	333,436 SF
Units	292
Buildings	1 Building, 23 Floors
Year Built	2008
Land Area	0.87 Acres (37,897 SF)
FAR	8.80
Zoning	C64X

851 6th Avenue
New York, NY 10001

County
New York



Remarks

DLJ Real Estate Capital Partners sold a hotel in New York City to BRE Hotels & Resorts LLC for $174.5 million, or about $597,603 per key. Operating as Kimpton Hotel Eventi, the property is a twenty-three story 333,436-square foot luxury hotel with a total of 292 keys. It also features three restaurants and a 450-space parking garage

Thompson Central Park New York

Comparable 4



Sale Information

Buyer	Gencom	
Seller	GFI Capital Resources Group, Inc	
Sale Date	9/16/2024	
Transaction Status	Recorded	
Sale Price	$308,000,000	$574 /SF NRA
Analysis Price	$308,000,000	$574 /SF NRA
Rights Transferred	Fee Simple	

Income Analysis

Occupancy	91.0%

Property

Type	Hospitality
Gross Building Area (GBA)	536,719 SF
Net Rentable Area (NRA)	536,719 SF
Units	587
Buildings	1 Building, 42 Floors
Year Built	1939 (Renovated 2022)
Land Area	0.53 Acres (23,087 SF)
FAR	23.25
Zoning	C66.5

119 W 56th Street
New York, NY 10019

County
New York



Remarks

This 587-key hotel property, known as the Thompson Central Park New York, traded in September 2024 for a total of $308 million* - translating to roughly $524,702 per key

1 Hotel Central Park

Comparable 5



Sale Information

Buyer	1414 CPNY LLC	
Seller	1414 Holdings LLC	
Sale Date	7/12/2024	
Transaction Status	Recorded	
Sale Price	$265,000,000	$2,411 /SF NRA
Analysis Price	$265,000,000	$2,411 /SF NRA
Rights Transferred	Leased Fee	

Income Analysis

Net Operating Income	$16,006,000	$145.63 /SF NRA
Cap Rate	6.04%	

Property

Type	Hospitality
Gross Building Area (GBA)	109,908 SF
Net Rentable Area (NRA)	109,908 SF
Units	234 Units
Buildings	1 Building, 18 Floors
Year Built	1924 (Renovated 2015, 2023)
Land Area	0.16 Acres (6,970 SF)
FAR	15.77
Zoning	C5-1

1414 6th Avenue
New York, NY 10019

County
New York



Remarks

This 234-key hospitality property, known as the "1 Hotel Central Park" in New York City, traded in July 2024 for a total of $265 million* - equating to roughly $1.13 million per key. The seller was Starwood Capital Group. They sold the asset to Host Hotels & Resorts. According to a press release from the buyer, the asset accrued approximately $16 million in net income, yielding a 6.04% capitalization rate** on the trade, as well as 11.1x EBITDA and $735 in RevPAR.

Legal Description

Exhibit A

Legal Description

ALL that certain plot piece or parcel of land, situate, lying and being in the Borough of Manhattan, County of New York, City and State of New York, bounded and described as follows:

BEGINNING at the corner formed by the intersection of the Easterly line of Seventh Avenue (aka Fashion Avenue) with the Northerly line of West 36th Street;

RUNNING THENCE Easterly along said Northerly line of West 36th Street 174 feet 5 inches to a point;

THENCE Northerly and parallel with Seventh Avenue 98 feet 9 inches to a point located on the center line of the block;

THENCE Westerly along said center line of the block and parallel with said Northerly line of West 36th Street 99 feet 5 inches to a point;

THENCE Northerly parallel with Seventh Avenue 9 inches to a point;

THENCE Westerly along a line forming an interior angle of 87 degrees 54 minutes 00 seconds with the last preceding course a distance of 75 feet 5/8 inches to a point on said Easterly line of Seventh Avenue;

THENCE Southerly along said Easterly line of Seventh Avenue 96 feet 9 inches to the point of BEGINNING.

TOGETHER with all those certain lots, pieces or parcels of land, situate, lying and being in the Borough of Manhattan, City, County and State of New York, above the horizontal plane, the elevation of which is 60 feet 4 inches above the sidewalk elevation which is given the assumed elevation of 0 feet 0 inches and described as such;

BEGINNING at a point 174 feet 5 inches Easterly of the corner formed by the Easterly line of Seventh Avenue (aka Fashion Avenue) with the Northerly line of West 36th Street;

RUNNING THENCE Easterly along said Northerly line of West 36th Street 21 feet 3 inches to a point;

THENCE Northerly parallel with said Easterly line of Seventh Avenue and part of the way through a party wall 98 feet 9 inches to a point located in the center line of the block;

THENCE Westerly along said center line of the block and parallel with said Northerly line of West 36th Street 21 feet 3 inches to a point;

THENCE Southerly parallel with said Easterly line of Seventh Avenue 98 feet 9 inches to a point located on said Northerly line of West 36th Street to the point of BEGINNING.

For information only: Premises is known as 485 7th Avenue, New York, New York

Historical Operating Statement (2020, 2021, 2022)

Database:	MRI_PROD		**8 Year YTD Comparative Income Statement**		
Report ID:	ASC_CMPIN1-5		**Income Stmt - 2015 Version**		
Group:	7902		**Production**		
HT-IS2015			**485 7th Avenue**		
Accrual					
Actual					
		YTD Thru			
		Aug 2023	2022	2021	2020
Rooms Available		148,716.00	223,380.00	223,380.00	223,992.00
Rooms Sold		132,524.00	170,064.00	132,405.00	77,929.00
Operating Revenue					
Rooms		29,332,538.82	43,982,625.35	21,954,958.66	9,376,101.40
Food & Beverage		12,389,467.34	18,886,810.90	11,647,824.81	5,033,299.08
Other Income		4,102,350.63	4,034,810.83	518,600.97	802,847.70
Total Operating Revenue		**45,824,356.79**	**66,904,247.08**	**34,121,384.44**	**15,212,248.18**
Departmental Expenses					
Rooms		6,581,068.96	8,867,852.56	5,392,403.60	3,182,018.33
Food & Beverage		10,539,924.43	14,667,795.25	8,358,894.48	5,601,824.12
Other Operated		1,029,080.80	845,127.49	28,508.15	5,958.39
Total Departmental Expenses		**18,150,074.19**	**24,380,775.30**	**13,779,806.23**	**8,789,800.84**
Total Departmental Profit		**27,674,282.60**	**42,523,471.78**	**20,341,578.21**	**6,422,447.34**
Undistributed Operating Expenses					
Administrative and General		2,376,046.12	3,487,457.56	2,513,673.23	1,695,710.08
Information & Telecom Systems		281,825.22	359,997.64	307,202.72	246,669.67
Sales and Marketing		4,298,415.82	6,174,951.76	2,899,839.48	1,589,607.69
Property Operation & Maintenance		1,190,414.18	1,719,385.51	1,216,904.69	1,081,334.56
Utilities		711,873.08	1,229,959.97	740,515.97	736,413.21
Total Undistributed Expenses		**8,858,574.42**	**12,971,752.44**	**7,678,136.09**	**5,349,735.21**

Database:	MRI_PROD		**8 Year YTD Comparative Income Statement**		
Report ID:	ASC_CMPIN1-5		**Income Stmt - 2015 Version**		
Group:	7902		**Production**		
HT-IS2015			**485 7th Avenue**		
Accrual					
Actual					
		YTD Thru			
		Aug 2023	2022	2021	2020
Rooms Available		148,716.00	223,380.00	223,380.00	223,992.00
Rooms Sold		132,524.00	170,064.00	132,405.00	77,929.00
Gross Operating Profit		**18,815,708.18**	**29,551,719.34**	**12,663,442.12**	**1,072,712.13**
Non-Operating Income and Expenses					
Management fees		1,136,069.62	2,785,263.13	669,268.65	286,010.20
Property taxes		1,449,254.82	2,215,023.57	2,510,864.28	2,460,020.70
Insurance		607,134.91	774,636.53	734,921.52	789,257.94
FF&E expense		1,228,674.11	1,807,561.29	395,239.42	286,010.04
Allocations		41,201.94	76,233.75	64,060.33	76,051.74
Total Non-Operating Inc & Exp		**4,462,335.40**	**7,658,718.27**	**4,374,354.20**	**3,897,350.62**
EBITDA		**14,353,372.78**	**21,893,001.07**	**8,289,087.92**	**(2,824,638.49)**
Owner's Expense					
Asset Management Fees		128,943.20	143,132.26	178,523.40	199,227.78
Lease expense		0.00	0.48	(0.03)	25,379.11
Owner expenses		235,920.30	424,596.39	998,324.53	755,441.52
Other non operating inc/exp		124,765.03	(595,373.63)	(110,729.78)	83,505.31
Pre-opening Expenses		0.00	0.00	0.00	31,880.81
Interest expense		15,386,935.81	17,264,187.13	14,046,432.52	14,975,874.36
FF&E contra		(1,228,663.20)	(1,807,552.29)	(385,645.83)	(386,497.88)
Depreciation & amortization		7,431,401.31	11,100,600.26	10,936,250.74	10,777,097.07
Adjusted Net Operating Income		**(7,725,929.67)**	**(4,636,589.53)**	**(17,374,067.63)**	**(29,286,546.57)**
Gain / Loss on disposal of assets		0.00	0.00	(691,522.85)	0.00
		0.00	**0.00**	**(691,522.85)**	**0.00**
Adjusted net income		**(7,725,929.67)**	**(4,636,589.53)**	**(16,682,544.78)**	**(29,286,546.57)**

Historical Operating Statement (2023)

Database:	MRI_PROD Comparative Income Statement					Page: 1			
Report ID:	PRM_CRSTBABN HT-ISMOXY - Income Stmt - 2015 Version - Moxy					Date: 10/11/2024			
	Production					Time: 11:10 AM			
YTD Thru Dec 2023									
			HOTEL	**HOTEL**	**HOTEL**	**HOTEL**	**HOTEL**	**RETAIL**	**TOTAL HOTEL**
			GL Entity-790020	GL Entity-790021	GL Entity-790023	GL Entity-790024	GL Entity-790025	GL Entity-790034	
		Total	485 7th Avenue Associates LLC	Seventh Avenue Holdings LLC	485 Pref Equity LLC	LSG 485 Holdings LLC	485 7th Avenue F&B Operations	485 Retail Parcels LLC	
		Actual	Actual	Actual	Actual	Actual	Actual	Actual	
	Rooms Available	223,380.00	223,380.00	0.00	0.00	0.00	0.00	0.00	223,380.00
	Rooms Sold	204,144.00	204,144.00	0.00	0.00	0.00	0.00	0.00	204,144.00
	Occupancy %	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Average Daily Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	REVPAR	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
									0
									0
Operating Revenue									0
	Rooms	52,548,159.70	52,548,159.70	0.00	0.00	0.00	0.00	0.00	52,548,159.70
	Food & Beverage	19,190,341.21	0.00	0.00	0.00	0.00	19,190,341.21	0.00	19,190,341.21
	Other Income	6,403,974.66	5,263,790.76	391,125.62	0.00	0.00	0.00	749,058.28	5,654,916.38
									0
Total Operating Revenue		78,142,475.57	57,811,950.46	391,125.62	0.00	0.00	19,190,341.21	749,058.28	77,393,417.29
									0
Departmental Expenses									0
	Rooms	10,186,011.04	10,186,011.04	0.00	0.00	0.00	0.00	0.00	10,186,011.04
	Food & Beverage	17,047,740.23	(1,150,595.05)	0.00	0.00	0.00	18,198,335.28	0.00	17,047,740.23
	Other Operated	1,575,454.63	1,575,454.63	0.00	0.00	0.00	0.00	0.00	1,575,454.63
									0
Total Departmental Expenses		28,809,205.90	10,610,870.62	0.00	0.00	0.00	18,198,335.28	0.00	28,809,205.90
									0
									0
Total Departmental Profit		49,333,269.67	47,201,079.84	391,125.62	0.00	0.00	992,005.93	749,058.28	48,584,211.39
									0
Undistributed Operating Expenses									0
	Administrative and General	3,904,678.08	3,873,260.28	11,749.11	0.00	0.00	4,335.24	15,333.45	3,889,344.63
	Information & Telecom Systems	440,363.81	440,363.81	0.00	0.00	0.00	0.00	0.00	440,363.81
	Sales and Marketing	1,853,364.18	1,853,364.18	0.00	0.00	0.00	0.00	0.00	1,853,364.18
	Property Operation & Maintenance	1,831,201.30	1,831,201.30	0.00	0.00	0.00	0.00	0.00	1,831,201.30
	Utilities	1,081,392.87	1,073,452.87	0.00	0.00	0.00	0.00	7,940.00	1,073,452.87
									0
Total Undistributed Expenses		9,111,000.24	9,071,642.44	11,749.11	0.00	0.00	4,335.24	23,273.45	9,087,726.79
									0
									0
Gross Operating Profit		40,222,269.43	38,129,437.40	379,376.51	0.00	0.00	987,670.69	725,784.83	39,496,484.60
									0
Non-Operating Income and Expenses									0
	Management fees	1,734,358.53	1,734,358.53	0.00	0.00	0.00	0.00	0.00	1,734,358.53
	Franchise Fees	5,474,172.67	5,474,172.67	0.00	0.00	0.00	0.00	0.00	5,474,172.67
	Property taxes	2,175,282.00	2,123,873.34	0.00	0.00	0.00	0.00	51,408.66	2,123,873.34
	Insurance	966,958.89	953,342.98	0.00	0.00	0.00	0.00	13,615.91	953,342.98
	Allocations	53,856.44	53,856.44	0.00	0.00	0.00	0.00	0.00	53,856.44
									0
Total Non-Operating Inc & Exp		10,404,628.53	10,339,603.96	0.00	0.00	0.00	0.00	65,024.57	10,339,603.96
									0
									0
EBITDA		29,817,640.90	27,789,833.44	379,376.51	0.00	0.00	987,670.69	660,760.26	29,156,880.64
									0
	FF&E Replacement Reserves	2,897,017.45	1,734,358.56	778,852.08	0.00	0.00	383,806.81	0.00	2,897,017.45
									0
		2,897,017.45	1,734,358.56	778,852.08	0.00	0.00	383,806.81	0.00	2,897,017.45
									0
									0
Net Operating Income		26,920,623.45	26,055,474.88	(399,475.57)	0.00	0.00	603,863.88	660,760.26	26,259,863.19
									0
Owner's Expense									0
									0
	Asset Management Fees	173,564.17	0.00	173,564.17	0.00	0.00	0.00	0.00	173,564.17
	Owner expenses	644,883.06	2,232.52	434,819.57	147,214.00	26,606.35	0.00	34,010.62	610,872.44
	Other non operating inc/exp	91,688.14	19,130.58	83,226.07	0.00	0.00	0.00	(10,668.51)	102,356.65
	Interest expense	23,715,085.09	16,323,557.89	373,057.43	2,484,508.33	3,623,882.37	0.00	910,079.07	22,805,006.02
	FF&E contra	(2,897,017.45)	0.00	(2,897,017.45)	0.00	0.00	0.00	0.00	(2,897,017.45)
	Depreciation & amortization	11,185,601.23	0.00	10,393,540.53	0.00	0.00	0.00	792,060.70	10,393,540.53
									0
Total Owner Expense		32,913,804.24	16,344,920.99	8,561,190.32	2,631,722.33	3,650,488.72	0.00	1,725,481.88	31,188,322.36
									0
									0
Adjusted Net Operating Income		(5,993,180.79)	9,710,553.89	(8,960,665.89)	(2,631,722.33)	(3,650,488.72)	603,863.88	(1,064,721.62)	(4,928,459.17)
									0
									0
Adjusted Net Income		(5,993,180.79)	9,710,553.89	(8,960,665.89)	(2,631,722.33)	(3,650,488.72)	603,863.88	(1,064,721.62)	(4,928,459.17)

Historical Operating Statement (December 2024 to November 2025)

Actual	
	Dec 2024 Thru Nov 2025
Rooms Available	223,380.00
Rooms Sold	206,067.00
Occupancy %	0.00
Average Daily Rate	0.00
REVPAR	0.00
Operating Revenue	
10-3110000 Transient - Retail	7,755,281.35
10-3130000 Transient - Local Corporate	1,170,167.10
10-3135000 Transient - National Corporate	7,137,176.84
10-3140000 Transient - Government	46,412.00
10-3160000 Transient - National Discount	3,341,681.18
10-3165000 Transient - Local Discount	0.00
10-3170000 Transient - Packages	9,053,270.87
10-3175000 Transient - TPI	8,255,192.33
10-3176000 Transient - TPI Commission	9,071,423.15
10-3190000 Transient - Brand Rewards Program	1,543,782.72
10-3200000 Group - Corporate	4,592,968.34
10-3210000 Group - SMERF	79,463.00
10-3220000 Group - Tour and Travel	243,322.00
10-3270000 Transient - FIT	3,759,155.20
10-3300000 Guaranteed No-shows	31,732.89
10-3500000 Room Adjustments	0.00
48-3902000 Check Out Fees	59,002.09
	56,140,031.06
20-3116000 Restaurant - Banquet Food	179,071.23
20-3130000 Restaurant - Dinner	0.00
20-3140000 Restaurant - Overnight	384,859.51
20-3150000 Restaurant - Food	4,332,763.99
20-3230000 Lounge Food - Dinner	1,537,276.62
20-3340000 Fine Dining - Dinner	1,183,383.30
20-3599000 Local Catering - Other	63,777.68
20-3711000 Restaurant - Liquor	6,145,312.32
20-3711200 Restaurant - Liquor - Dinner	1,177,647.00
20-3711400 Restaurant - Liquor - Banquet	707,961.50
20-3712000 Restaurant - Beer	703,474.50
20-3712200 Restaurant - Beer - Dinner	362,667.00
20-3712400 Restaurant - Beer - Banquet	91,112.08
20-3713000 Restaurant - Wine	838,668.68
20-3713200 Restaurant - Wine - Dinner	365,027.00
20-3713400 Restaurant - Wine - Banquet	194,022.00
20-3713500 Restaurant - Bar Consumables	43,193.28
20-3713600 Restaurant - Banquet Bar Consumb	1,206.00
20-3900000 Beverage - Other	74,647.45
20-3912000 Other Income - Coat Check	8,302.01
20-3913000 Other Income - Administrative Fees	84,054.58
20-3914000 Other Income - Miscellaneous	1,422,640.72
20-3916000 F&B Complimentary Services/Gifts	(1,334,242.14)
20-3999000 Allowances - Beverage	394.13
	18,567,220.44

40-3200000 Long Distance Telephone	0.00
40-3999000 Telephone Allowances	0.00
48-3000000 Attrition	21,116.47
48-3050000 Gift Shop	106,934.78
48-3100000 Guest Laundry & Valet	25,876.00
48-3400000 Interest Income	0.00
48-3500000 Rental	350.00
48-3580000 Resort Fee	4,872,545.00
48-3620000 Parking - Valet	40,255.50
48-3700000 Vending Income	9,000.00
48-3850000 ATM Transaction Fee Income	0.00
48-3900000 Miscellaneous-Operational Income	108,023.05
48-3901000 Cancellation Fees	404,131.84
48-3903000 Pet Fees, Smoking Fees, Damages	0.00
	5,588,232.64
Total Operating Revenue	**80,295,484.14**
Departmental Expenses	
10-5125000 Director of Operations - Rooms	642,089.87
10-5210000 Front Desk - Associates	456,074.37
10-5300000 Reservations	103,307.57
10-5395000 Rooms Transferred Wages	2,918.80
10-5400000 Housekeeping - Supervisors	0.00
10-5600000 Leased Labor	6,443,021.60
10-5900000 Bonus Pay	89,811.42
10-5910000 Holiday	36,760.31
10-5911000 Sick Pay	0.00
10-5912000 Vacation	70,632.93
10-5920000 FICA	123,901.24
10-5950000 Worker's Compensation	19,580.47
10-5960000 401K Employer Contribution	6,399.15
10-5970000 Health Insurance	78,134.59
10-6100000 Cable TV	67,517.92
10-6150000 Cleaning Supplies	112,870.11
10-6182000 Commissions - Travel Agent	1,749,156.36
10-6200000 Contract Cleaning	25,949.48
10-6260000 Dues & Supscriptions	10,808.55
10-6280000 Equipment Rental	0.00
10-6300000 Guest/Room Supplies	208,356.23
10-6302000 Guest/Room Supplies - Guest items	462,425.79
10-6350000 Operating Supplies	16,084.24
10-6400000 Gratis Food	120,653.71
10-6500000 Laundry Allocation	0.00
10-6510000 Laundry - Outside Service	939,796.07
10-6610000 Linen	0.00
10-6650000 Printing Stationary & Office Supplies	74,148.38
10-6655000 Postage and Overnight Delivery Cha	628.58
10-6682000 Reservations - Central	17,495.96
10-6751000 Uniforms - Purchase & Issue	27,371.71
10-6752000 Uniforms - Cleaning	1,339.90
10-6901000 Travel	44.43
10-6920000 Transportation - Guest	0.00
10-6940000 Training Expenses	0.00
10-6990000 Miscellaneous	1,655.16
10-6991000 Miscellaneous - Franchise Interventi	339,901.21
10-6992000 Miscellaneous - Guest Relocation	980.08
	12,249,816.19

20-4100001 Purchases - Meat	1,039,258.51
20-4100002 Purchases - Fish	338,465.55
20-4100003 Purchases - Sushi	12,780.00
20-4100004 Purchases - Grocery	463,679.09
20-4100005 Purchases - Coffee/Tea	13,800.36
20-4100006 Purchases - Produce	326,273.64
20-4100007 Purchases - Bread	90,725.56
20-4100008 Purchases - Dairy	165,871.39
20-4100009 Purchases - Cooking Wines	6,671.29
20-4100010 Food Purchases - Miscellaneous	0.00
20-4100013 Purchases - Water	31,719.61
20-4100014 Purchases - Misc Bar	7,892.34
20-4120000 Employee Meals	48.97
20-4701000 Cost of Beverage - Liquor	1,145,329.90
20-4702000 Cost of Beverage - Beer	179,319.99
20-4703000 Cost of Beverage - Wine	239,871.21
20-5125000 Dir of Operations - F&B	76,176.31
20-5150000 Management-Kitchen	561,081.32
20-5200001 Payroll - Fry	0.00
20-5200002 Payroll - Grill	0.00
20-5200003 Payroll - Saute	0.00
20-5200006 Payroll - Line Cooks	1,382,885.83
20-5200007 Payroll - Garde Manger	0.00
20-5200008 Payroll - Receiving	0.00
20-5200009 Payroll - Butcher	0.00
20-5200011 Payroll - BBQ	0.00
20-5200015 Payroll - Prep	0.00
20-5200019 Payroll - Dishwasher	0.00
20-5200021 Payroll - Dessert	0.00
20-5200024 Payroll - Sweeper	0.00
20-5200026 Payroll - Stocker	0.00
20-5200027 Payroll - Porter	0.00
20-5200029 Payroll - Bread	0.00
20-5500000 Front of the House	2,627,599.58
20-5500001 Payroll - Bartenders	10,257.10
20-5500004 Payroll - Bar Back	0.00
20-5500007 Payroll - Cocktail Servers	0.00
20-5500009 Payroll - Presentation Cocktail Srvr	0.00
20-5500011 Payroll - Host	0.00
20-5500013 Payroll - Servers	0.00
20-5500015 Payroll - Coffee Station	0.00
20-5500016 Payroll - Set Up	0.00
20-5500017 Payroll - Runner	674.62
20-5500018 Payroll - Buspeople	0.00
20-5500022 Payroll - Polisher	0.00
20-5500024 Payroll - Banquet Attendant	0.00
20-5500025 Payroll - Bathroom Attendant	0.00
20-5810001 Payroll - Banquet Bartenders	0.00
20-5810002 Payroll - Banquet Bar Back	0.00
20-5810004 Payroll - Banquet Cocktail	0.00
20-5810008 Payroll - Banquet Coffee	0.00
20-5810009 Payroll - Banquet Salaries	0.00
20-5810010 Payroll - Banquet Servers	0.00
20-5810011 Payroll - Banquet Line Cook	201,927.14
20-5810015 Payroll - Banquet Porters	0.00
20-5810016 Payroll - Banquet Runners	0.00
20-5810017 Payroll - Banquet Buspeople	0.00

20-5810017 Payroll - Banquet Buspeople	0.00
20-5810018 Payroll - Banquet Security	15,546.44
20-5810021 Payroll - Banquet Managers	26,419.34
20-5899000 F&B Transferred Wages	0.00
20-5900000 Bonus Pay	(9,523.03)
20-5910000 Holiday	40,720.28
20-5912000 Vacation	99,172.91
20-5920000 FICA	755,727.54
20-5930000 FUTA	0.00
20-5940000 SUTA	0.00
20-5947000 MTA	0.00
20-5950000 Worker's Compensation	127,090.89
20-5960000 401K Employer Contribution	64,237.76
20-5970000 Health Insurance	109,752.41
20-5980000 Employee meals	2,125.98
20-5985000 Employee Exp - Other	0.00
20-5990000 Benefits - Other	0.00
20-6000000 Payroll - Gen & Admin/Office/Cleric	91,479.26
20-6010000 Benefits - Gen & Admin/Office/Cleri	78,221.36
20-6020000 Bank Charges	17,017.60
20-6110000 Cash Overages and Shortages	7.60
20-6150000 Cleaning Supplies	111,881.45
20-6180000 Coat Check Expense	77,012.82
20-6200000 Contract Cleaning	422,795.94
20-6225000 Corporate Office Reimburseables	0.00
20-6250000 Decorations	96,912.91
20-6280000 Equipment Rental	54,386.41
20-6430000 Information Systems / Computer	120,195.56
20-6450000 Licenses & Permits	54,570.52
20-6550000 China, Glass, Silver	36,593.85
20-6551000 China	16,282.20
20-6552000 Glassware	32,057.47
20-6611000 Linen Rental	6,465.90
20-6630000 Menus	0.00
20-6640000 Payroll Processing	34,012.35
20-6642000 Pest Control	31,510.63
20-6645000 Postage	6,903.44
20-6650000 Printing Stationary & Office Supplie:	88,281.55
20-6660000 Professional Fees	154,348.60
20-6671000 Operating Supplies - Bar	8,102.13
20-6672000 Operating Supplies - Paper	17,004.59
20-6673000 Operating Supplies - Kitchen Utensil	53,477.73
20-6677000 Off-site Storage	14,332.60
20-6690000 F&B Maintenance Contracts	309,055.52
20-6710000 Advertising	1,969.38
20-6710001 Public Relations/Marketing	175,485.04
20-6710002 Public Relations - Gifts	0.00
20-6710003 Party Commissions	110,732.46
20-6710007 Out of House Promoters	413,755.04
20-6720000 Mgt Fee - Beverage	1,113,210.83
20-6730000 Music & Entertainment	150,498.32
20-6740000 Outside Security	754,132.29
20-6750000 Uniforms	91,214.52
20-6780000 Dues and Subscriptions	17,513.71
20-6800000 Telephone	222,093.48
20-6900000 Travel & Entertainment	0.00
20-6901000 Travel	8,312.97
20-6940000 Training Expenses	0.00
20-6950000 F&B Use Tax	39,372.23
20-6975000 Service Charge Clearing	512,138.08
20-6985000 F&B Allocated Expenses	210,007.57
20-6990000 Miscellaneous	77,642.18
20-6991000 F&B FF&E Reserve	0.00
20-9882500 F&B Bad Debt	13,564.34
	15,998,132.26

48-4050000 Cost of Gift Shop	82,071.35
48-4100000 Cost of Guest Laundry & Valet	22,461.15
48-4620000 Cost of Parking - Valet	38,020.00
48-4850000 Rental/Tenant Space Expense	1,043,990.05
	1,186,542.55
Total Departmental Expenses	**29,434,491.00**
Total Departmental Profit	**50,860,993.14**
Undistributed Operating Expenses	
50-5100000 Management	625,719.46
50-5350000 Administrative	121,644.57
50-5390000 Employee Retention Credits (IRS)	0.00
50-5890000 A&G - Leased Labor	735,774.60
50-5900000 Bonus Pay	179,244.04
50-5910000 Holiday	22,823.77
50-5911000 Sick Pay	0.00
50-5912000 Vacation	47,721.01
50-5920000 FICA	69,678.14
50-5950000 Worker's Compensation	13,931.06
50-5960000 401K Employer Contribution	3,926.10
50-5970000 Health Insurance	45,153.74
50-6060000 Armored Car	6,423.21
50-6080000 Bad Debt	13,330.93
50-6090000 Bank Charges	3,377.90
50-6120000 Cash Overages and Shortages	66.50
50-6125000 Over/Under Tax Collections	9,122.92
50-6200000 Contract Services	16,597.90
50-6250000 Payroll Processing	13,993.89
50-6260000 Donations	3,805.84
50-6270000 Employee Relations	314,104.90
50-6450000 Licenses & Permits	41,722.53
50-6480000 Loss and Damage	0.00
50-6640000 Postage	694.58
50-6650000 Printing Stationary & Office Supplie:	11,203.73
50-6752000 Uniforms - Cleaning	1,310.90
50-6770000 Professional Fees	89,403.90
50-6771000 Legal Fees	36,418.27
50-6773000 Consultant Fees	0.00
50-6780000 Dues and Subscriptions	2,754.00
50-6800000 Telephone	0.00
50-6820000 Recruitment	3,859.55
50-6900000 Travel & Entertainment	5,952.18
50-6901000 Travel	6,823.52
50-6940000 Training Expenses	9,490.76
50-6950000 Outside Security	0.00
50-6990000 Miscellaneous	31,771.42
50-6995000 F&B ProRata A&G	0.00
55-6125000 Credit Card Commissions	1,641,477.66
	4,129,323.48
40-4100000 Cost of Local	7,535.64
40-4210000 Cost of T1	40,937.74
40-4250000 Cost of Long Distance - Guestroor	6,720.00
40-4310000 Administrative & General	5,974.41
40-4312000 Centralized Information Systems	196,094.68
40-4315000 Cost of Cell Phones	16,207.71
40-4355000 Information Security	0.00
40-4360000 Information Systems	0.00
40-4385000 Sales & Marketing	3,983.00
40-6200000 Contract Services	0.00
40-6280000 Equipment Rental	13,508.90
40-6690000 Maintenance Contract/Service	82,346.65
	373,308.73

60-5100000 Management	211,294.31
60-5200000 Sales Assistants	118,913.85
60-5500000 Sales Leased Labor	0.00
60-5900000 Bonus Pay	45,604.61
60-5910000 Holiday	9,729.91
60-5911000 Sick Pay	0.00
60-5912000 Vacation	19,298.31
60-5920000 FICA	33,565.53
60-5950000 Worker's Compensation	5,737.49
60-5960000 401K Employer Contribution	4,632.49
60-5970000 Health Insurance	22,505.49
60-6030000 Agency Fees	73,984.43
60-6100000 Complimentary Services/Gifts	973.09
60-6522000 Cooperative - Franchise	0.00
60-6523000 Cooperative - Other	0.00
60-6640000 Postage	0.00
60-6650000 Printing Stationary & Office Supplie:	17,281.64
60-6710000 Advertising	137,376.08
60-6711000 Advertising - Newspaper	0.00
60-6712000 Advertising - Radio/TV	0.00
60-6713000 Advertising - Coupons	0.00
60-6714000 Advertising - Magazines	0.00
60-6716000 Advertising - Brochures/Collateral	69,823.21
60-6762000 Guest Rewards Programs	398,559.42
60-6770000 Professional Fees	190,624.00
60-6780000 Dues and Subscriptions	72,672.93
60-6790000 Public Relations	25,260.68
60-6795000 Selling Promotion	109,579.46
60-6805000 Trade Shows	16,522.88
60-6901000 Travel	4,060.25
60-6902000 In House Entertainment	2,182.78
60-6940000 Training Expenses	0.00
60-6950000 Website	501,495.03
60-6990000 Miscellaneous	5,462.29
65-6311000 Franchise Fees - Rooms	3,379,080.34
65-6314000 Franchise Fees-Marketing	0.00
65-6315000 Program Fee	919,030.58
65-6320000 Marketing Assessment	1,535,945.61
	7,931,196.69
20-6880000 R&M - Kitchen Equipment	0.00
70-5100000 Management	99,398.42
70-5350000 Leased Labor - Maintenance	989,346.75
70-5900000 Bonus Pay	30,762.13
70-5910000 Holiday	3,850.89
70-5912000 Vacation	10,825.82
70-5920000 FICA	10,496.78
70-5950000 Worker's Compensation	1,572.56
70-5960000 401K Employer Contribution	659.31
70-5970000 Health Insurance	6,525.30
70-6070000 Building	61,200.42
70-6073000 Building - plumbing/boiler	26,249.60
70-6074000 Building - Signage repairs	458.06
70-6076000 Building - Painting	15,630.18
70-6290000 Elevator	11,721.68
70-6300000 Furniture & Equipment	6,897.41
70-6460000 Light Bulbs	1,455.54
70-6490000 Locks and Keys	1,090.97
70-6500000 Life/Safety	18,470.70
70-6620000 Pest Control	4,935.47
70-6650000 Printing Stationary & Office Supplie:	2,673.47
70-6670000 Operating Supplies	2,100.84
70-6720000 Mechanical & Electrical	16,277.65
70-6721000 Mechanical & Electrical - Boiler	2,989.56
70-6723000 Mechanical & Electrical - HVAC	55,803.08

70-6723000 Mechanical & Electrical - HVAC	55,803.08
70-6751000 Uniforms - Purchase & Issue	3,185.00
70-6752000 Uniforms - Cleaning	5,739.14
70-6810000 Trash Removal	142,660.41
70-6825000 Maintenance Service Contract	485,929.51
70-6840000 Snow Removal	619.97
70-6878000 R&M-General Repairs & Maintenan	3,574.18
70-6885000 R&M - Laundry Equipment	0.00
70-6901000 Travel	283.72
70-6990000 Miscellaneous	0.00
70-7677000 Operating Supplies - Tools & Suppli	6,306.29
	2,029,690.81
75-7100000 Electric	555,801.37
75-7200000 Gas	193,624.95
75-7400000 Water	376,850.86
75-7999000 Miscellaneous	0.00
	1,126,277.18
Total Undistributed Expenses	**15,589,796.89**
Gross Operating Profit	**35,271,196.25**
Non-Operating Income and Expenses	
76-8100000 Management Fees	1,851,695.32
76-8200000 Management Incentive Fees	88,722.78
	1,940,418.10
77-9401000 Property Taxes - Real Estate	2,148,470.53
77-9403000 Property Taxes - Prior Year	0.00
	2,148,470.53
77-9501100 Property Insurance - Property	1,011,347.91
77-9510000 Property Insurance - Deductible	0.00
77-9511000 Property Insurance - Settlements	0.00
	1,011,347.91
77-9210000 TRS FF&E Expense	2,246,719.52
	2,246,719.52
	0.00
80-6990000 Miscellaneous	17,504.12
	17,504.12
	0.00
Total Non-Operating Inc & Exp	**7,364,460.18**
EBITDA	**27,906,736.07**

Historical Operating Statement (2025 YTD)

Actual	
	YTD Thru
	Nov 2025
Rooms Available	204,408.00
Rooms Sold	188,054.00
Occupancy %	0.00
Average Daily Rate	0.00
REVPAR	0.00
Operating Revenue	
10-3110000 Transient - Retail	5,963,761.01
10-3130000 Transient - Local Corporate	1,155,043.62
10-3135000 Transient - National Corporate	6,458,883.57
10-3140000 Transient - Government	45,044.00
10-3160000 Transient - National Discount	2,758,021.45
10-3165000 Transient - Local Discount	0.00
10-3170000 Transient - Packages	8,642,416.72
10-3175000 Transient - TPI	7,419,867.46
10-3176000 Transient - TPI Commission	8,007,804.69
10-3190000 Transient - Brand Rewards Program	1,161,880.91
10-3200000 Group - Corporate	4,329,593.34
10-3210000 Group - SMERF	79,463.00
10-3220000 Group - Tour and Travel	243,322.00
10-3270000 Transient - FIT	2,961,067.56
10-3300000 Guaranteed No-shows	26,261.75
10-3500000 Room Adjustments	0.00
48-3902000 Check Out Fees	57,552.09
	49,309,983.17
20-3116000 Restaurant - Banquet Food	128,058.98
20-3130000 Restaurant - Dinner	0.00
20-3140000 Restaurant - Overnight	328,935.51
20-3150000 Restaurant - Food	3,845,668.11
20-3230000 Lounge Food - Dinner	1,391,953.75
20-3340000 Fine Dining - Dinner	947,782.30
20-3599000 Local Catering - Other	23,331.68
20-3711000 Restaurant - Liquor	5,613,552.31
20-3711200 Restaurant - Liquor - Dinner	1,008,977.00
20-3711400 Restaurant - Liquor - Banquet	565,320.00
20-3712000 Restaurant - Beer	647,150.50
20-3712200 Restaurant - Beer - Dinner	322,928.00
20-3712400 Restaurant - Beer - Banquet	74,421.08
20-3713000 Restaurant - Wine	737,443.68
20-3713200 Restaurant - Wine - Dinner	311,965.00
20-3713400 Restaurant - Wine - Banquet	155,100.00
20-3713500 Restaurant - Bar Consumables	38,967.28
20-3713600 Restaurant - Banquet Bar Consumb	956.00
20-3900000 Beverage - Other	47,012.51
20-3912000 Other Income - Coat Check	7,057.33
20-3913000 Other Income - Administrative Fees	80,828.82
20-3914000 Other Income - Miscellaneous	1,138,534.44
20-3916000 F&B Complimentary Services/Gifts	(1,190,102.84)
20-3999000 Allowances - Beverage	394.13
	16,226,235.57

40-3200000 Long Distance Telephone	0.00
40-3999000 Telephone Allowances	0.00
48-3000000 Attrition	21,116.47
48-3050000 Gift Shop	106,934.78
48-3100000 Guest Laundry & Valet	23,942.50
48-3400000 Interest Income	0.00
48-3500000 Rental	350.00
48-3580000 Resort Fee	4,471,595.00
48-3620000 Parking - Valet	36,195.50
48-3700000 Vending Income	9,000.00
48-3850000 ATM Transaction Fee Income	0.00
48-3900000 Miscellaneous-Operational Income	103,216.19
48-3901000 Cancellation Fees	376,999.94
48-3903000 Pet Fees, Smoking Fees, Damages	0.00
	5,149,350.38
Total Operating Revenue	**70,685,569.12**
Departmental Expenses	
10-5125000 Director of Operations - Rooms	587,834.06
10-5210000 Front Desk - Associates	423,359.82
10-5300000 Reservations	96,497.25
10-5395000 Rooms Transferred Wages	2,918.80
10-5400000 Housekeeping - Supervisors	0.00
10-5600000 Leased Labor	5,797,866.83
10-5900000 Bonus Pay	79,912.11
10-5910000 Holiday	28,546.25
10-5911000 Sick Pay	0.00
10-5912000 Vacation	64,181.86
10-5920000 FICA	112,133.60
10-5950000 Worker's Compensation	18,035.76
10-5960000 401K Employer Contribution	5,457.87
10-5970000 Health Insurance	75,114.98
10-6100000 Cable TV	62,441.69
10-6150000 Cleaning Supplies	103,496.16
10-6182000 Commissions - Travel Agent	1,528,848.02
10-6200000 Contract Cleaning	25,949.48
10-6260000 Dues & Supscriptions	9,962.01
10-6280000 Equipment Rental	0.00
10-6300000 Guest/Room Supplies	184,835.25
10-6302000 Guest/Room Supplies - Guest items	379,057.63
10-6350000 Operating Supplies	14,700.42
10-6400000 Gratis Food	120,653.71
10-6500000 Laundry Allocation	0.00
10-6510000 Laundry - Outside Service	840,013.00
10-6610000 Linen	0.00
10-6650000 Printing Stationary & Office Supplies	63,383.34
10-6655000 Postage and Overnight Delivery Cha	301.60
10-6682000 Reservations - Central	16,573.63
10-6751000 Uniforms - Purchase & Issue	21,584.66
10-6752000 Uniforms - Cleaning	1,192.95
10-6901000 Travel	44.43
10-6920000 Transportation - Guest	0.00
10-6940000 Training Expenses	0.00
10-6990000 Miscellaneous	1,421.09
10-6991000 Miscellaneous - Franchise Interventi	291,952.92
10-6992000 Miscellaneous - Guest Relocation	980.08
	10,959,251.26

20-4100001 Purchases - Meat	907,345.72
20-4100002 Purchases - Fish	301,356.89
20-4100003 Purchases - Sushi	12,780.00
20-4100004 Purchases - Grocery	408,824.84
20-4100005 Purchases - Coffee/Tea	12,673.40
20-4100006 Purchases - Produce	282,531.18
20-4100007 Purchases - Bread	78,150.17
20-4100008 Purchases - Dairy	148,425.95
20-4100009 Purchases - Cooking Wines	6,165.19
20-4100010 Food Purchases - Miscellaneous	0.00
20-4100013 Purchases - Water	29,089.67
20-4100014 Purchases - Misc Bar	7,039.46
20-4120000 Employee Meals	48.97
20-4701000 Cost of Beverage - Liquor	1,018,719.91
20-4702000 Cost of Beverage - Beer	162,404.29
20-4703000 Cost of Beverage - Wine	206,354.33
20-5125000 Dir of Operations - F&B	66,589.57
20-5150000 Management-Kitchen	511,143.46
20-5200001 Payroll - Fry	0.00
20-5200002 Payroll - Grill	0.00
20-5200003 Payroll - Saute	0.00
20-5200006 Payroll - Line Cooks	1,248,119.61
20-5200007 Payroll - Garde Manger	0.00
20-5200008 Payroll - Receiving	0.00
20-5200009 Payroll - Butcher	0.00
20-5200011 Payroll - BBQ	0.00
20-5200015 Payroll - Prep	0.00
20-5200019 Payroll - Dishwasher	0.00
20-5200021 Payroll - Dessert	0.00
20-5200024 Payroll - Sweeper	0.00
20-5200026 Payroll - Stocker	0.00
20-5200027 Payroll - Porter	0.00
20-5200029 Payroll - Bread	0.00
20-5500000 Front of the House	2,413,689.55
20-5500001 Payroll - Bartenders	8,671.16
20-5500004 Payroll - Bar Back	0.00
20-5500007 Payroll - Cocktail Servers	0.00
20-5500009 Payroll - Presentation Cocktail Srvr	0.00
20-5500011 Payroll - Host	0.00
20-5500013 Payroll - Servers	0.00
20-5500015 Payroll - Coffee Station	0.00
20-5500016 Payroll - Set Up	0.00
20-5500017 Payroll - Runner	674.62
20-5500018 Payroll - Buspeople	0.00
20-5500022 Payroll - Polisher	0.00
20-5500024 Payroll - Banquet Attendant	0.00
20-5500025 Payroll - Bathroom Attendant	0.00
20-5810001 Payroll - Banquet Bartenders	0.00
20-5810002 Payroll - Banquet Bar Back	0.00
20-5810004 Payroll - Banquet Cocktail	0.00
20-5810008 Payroll - Banquet Coffee	0.00
20-5810009 Payroll - Banquet Salaries	0.00
20-5810010 Payroll - Banquet Servers	0.00
20-5810011 Payroll - Banquet Line Cook	168,760.98
20-5810015 Payroll - Banquet Porters	0.00
20-5810016 Payroll - Banquet Runners	0.00
20-5810017 Payroll - Banquet Buspeople	0.00

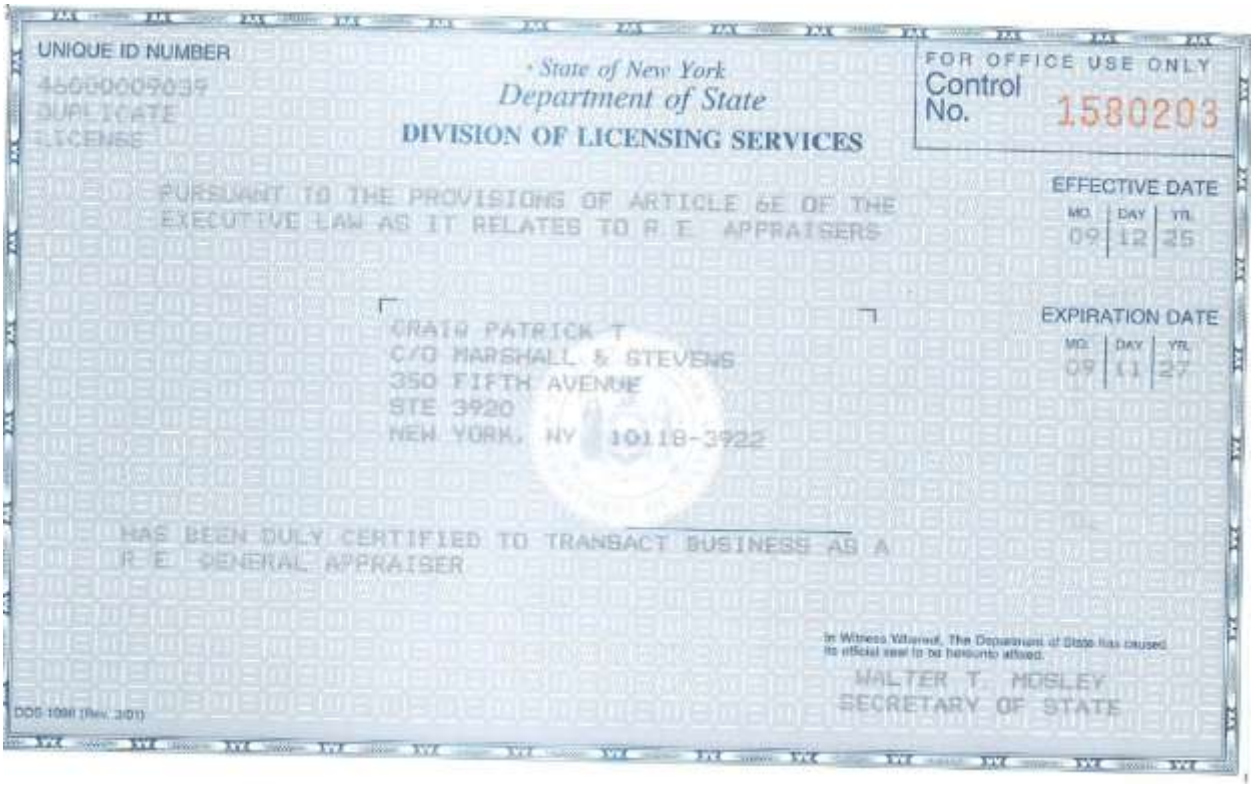
20-5810017 Payroll - Banquet Buspeople	0.00
20-5810018 Payroll - Banquet Security	11,363.78
20-5810021 Payroll - Banquet Managers	25,252.44
20-5899000 F&B Transferred Wages	0.00
20-5900000 Bonus Pay	(26,834.39)
20-5910000 Holiday	24,756.28
20-5912000 Vacation	87,368.91
20-5920000 FICA	684,844.43
20-5930000 FUTA	0.00
20-5940000 SUTA	0.00
20-5947000 MTA	0.00
20-5950000 Worker's Compensation	117,671.48
20-5960000 401K Employer Contribution	61,881.77
20-5970000 Health Insurance	101,173.16
20-5980000 Employee meals	2,125.98
20-5985000 Employee Exp - Other	0.00
20-5990000 Benefits - Other	0.00
20-6000000 Payroll - Gen & Admin/Office/Cleric	74,637.05
20-6010000 Benefits - Gen & Admin/Office/Cleri	69,599.36
20-6020000 Bank Charges	14,374.60
20-6110000 Cash Overages and Shortages	7.18
20-6150000 Cleaning Supplies	101,943.94
20-6180000 Coat Check Expense	70,856.00
20-6200000 Contract Cleaning	387,186.81
20-6225000 Corporate Office Reimburseables	0.00
20-6250000 Decorations	88,479.05
20-6280000 Equipment Rental	47,290.11
20-6430000 Information Systems / Computer	109,165.89
20-6450000 Licenses & Permits	50,952.60
20-6550000 China, Glass, Silver	36,089.50
20-6551000 China	13,145.42
20-6552000 Glassware	30,104.31
20-6611000 Linen Rental	6,465.50
20-6630000 Menus	0.00
20-6640000 Payroll Processing	30,287.93
20-6642000 Pest Control	28,966.66
20-6645000 Postage	6,412.92
20-6650000 Printing Stationary & Office Supplie:	80,084.16
20-6660000 Professional Fees	145,727.60
20-6671000 Operating Supplies - Bar	7,299.94
20-6672000 Operating Supplies - Paper	15,744.66
20-6673000 Operating Supplies - Kitchen Utensil	49,827.33
20-6677000 Off-site Storage	11,273.97
20-6690000 F&B Maintenance Contracts	284,537.93
20-6710000 Advertising	(2,830.62)
20-6710001 Public Relations/Marketing	170,395.04
20-6710002 Public Relations - Gifts	0.00
20-6710003 Party Commissions	74,239.72
20-6710007 Out of House Promoters	372,591.16
20-6720000 Mgt Fee - Beverage	972,903.79
20-6730000 Music & Entertainment	129,421.24
20-6740000 Outside Security	669,432.97
20-6750000 Uniforms	79,013.32
20-6780000 Dues and Subscriptions	13,085.67
20-6800000 Telephone	200,838.92
20-6900000 Travel & Entertainment	0.00
20-6901000 Travel	8,312.97
20-6940000 Training Expenses	0.00
20-6950000 F&B Use Tax	37,872.23
20-6975000 Service Charge Clearing	463,807.70
20-6985000 F&B Allocated Expenses	186,853.91
20-6990000 Miscellaneous	75,405.50
20-6991000 F&B FF&E Reserve	0.00
20-9882500 F&B Bad Debt	11,030.14
	14,311,996.84

48-4050000 Cost of Gift Shop	82,071.35
48-4100000 Cost of Guest Laundry & Valet	20,842.75
48-4620000 Cost of Parking - Valet	34,480.00
48-4850000 Rental/Tenant Space Expense	921,302.43
	1,058,696.53
Total Departmental Expenses	**26,329,944.63**
Total Departmental Profit	**44,355,624.49**
Undistributed Operating Expenses	
50-5100000 Management	581,291.27
50-5350000 Administrative	105,760.29
50-5390000 Employee Retention Credits (IRS)	0.00
50-5890000 A&G - Leased Labor	671,172.52
50-5900000 Bonus Pay	162,347.20
50-5910000 Holiday	17,904.29
50-5911000 Sick Pay	0.00
50-5912000 Vacation	42,452.82
50-5920000 FICA	63,176.88
50-5950000 Worker's Compensation	12,729.62
50-5960000 401K Employer Contribution	3,606.97
50-5970000 Health Insurance	43,516.98
50-6060000 Armored Car	5,909.43
50-6080000 Bad Debt	12,770.14
50-6090000 Bank Charges	2,932.14
50-6120000 Cash Overages and Shortages	0.90
50-6125000 Over/Under Tax Collections	9,122.92
50-6200000 Contract Services	16,158.57
50-6250000 Payroll Processing	12,184.70
50-6260000 Donations	844.63
50-6270000 Employee Relations	273,578.96
50-6450000 Licenses & Permits	27,991.00
50-6480000 Loss and Damage	0.00
50-6640000 Postage	608.32
50-6650000 Printing Stationary & Office Supplie:	10,158.22
50-6752000 Uniforms - Cleaning	1,197.05
50-6770000 Professional Fees	86,071.90
50-6771000 Legal Fees	35,486.09
50-6773000 Consultant Fees	0.00
50-6780000 Dues and Subscriptions	2,524.50
50-6800000 Telephone	0.00
50-6820000 Recruitment	3,535.30
50-6900000 Travel & Entertainment	5,897.10
50-6901000 Travel	6,695.69
50-6940000 Training Expenses	8,292.31
50-6950000 Outside Security	0.00
50-6990000 Miscellaneous	21,694.20
50-6995000 F&B ProRata A&G	0.00
55-6125000 Credit Card Commissions	1,463,777.68
	3,711,390.59
40-4100000 Cost of Local	6,907.67
40-4210000 Cost of T1	37,541.42
40-4250000 Cost of Long Distance - Guestroor	6,160.00
40-4310000 Administrative & General	5,509.00
40-4312000 Centralized Information Systems	175,312.29
40-4315000 Cost of Cell Phones	14,679.34
40-4355000 Information Security	0.00
40-4360000 Information Systems	0.00
40-4385000 Sales & Marketing	3,656.00
40-6200000 Contract Services	0.00
40-6280000 Equipment Rental	13,267.75
40-6690000 Maintenance Contract/Service	75,258.30
	338,291.77

60-5100000 Management		196,999.44
60-5200000 Sales Assistants		109,773.67
60-5500000 Sales Leased Labor		0.00
60-5900000 Bonus Pay		38,181.81
60-5910000 Holiday		7,296.70
60-5911000 Sick Pay		0.00
60-5912000 Vacation		17,597.46
60-5920000 FICA		31,755.43
60-5950000 Worker's Compensation		5,734.37
60-5960000 401K Employer Contribution		4,164.65
60-5970000 Health Insurance		21,135.70
60-6030000 Agency Fees		67,100.00
60-6100000 Complimentary Services/Gifts		973.09
60-6522000 Cooperative - Franchise		0.00
60-6523000 Cooperative - Other		0.00
60-6640000 Postage		0.00
60-6650000 Printing Stationary & Office Supplie:		9,179.07
60-6710000 Advertising		124,608.69
60-6711000 Advertising - Newspaper		0.00
60-6712000 Advertising - Radio/TV		0.00
60-6713000 Advertising - Coupons		0.00
60-6714000 Advertising - Magazines		0.00
60-6716000 Advertising - Brochures/Collateral		66,373.88
60-6762000 Guest Rewards Programs		345,159.71
60-6770000 Professional Fees		175,456.00
60-6780000 Dues and Subscriptions		64,900.71
60-6790000 Public Relations		19,560.68
60-6795000 Selling Promotion		102,563.23
60-6805000 Trade Shows		16,173.88
60-6901000 Travel		4,343.09
60-6902000 In House Entertainment		1,376.23
60-6940000 Training Expenses		0.00
60-6950000 Website		457,021.35
60-6990000 Miscellaneous		3,003.28
65-6311000 Franchise Fees - Rooms		2,979,883.20
65-6314000 Franchise Fees-Marketing		0.00
65-6315000 Program Fee		813,577.50
65-6320000 Marketing Assessment		1,354,492.37
		7,038,385.19
20-6880000 R&M - Kitchen Equipment		0.00
70-5100000 Management		88,716.98
70-5350000 Leased Labor - Maintenance		891,338.11
70-5900000 Bonus Pay		28,049.19
70-5910000 Holiday		3,342.25
70-5912000 Vacation		10,825.82
70-5920000 FICA		9,145.26
70-5950000 Worker's Compensation		1,395.14
70-5960000 401K Employer Contribution		551.21
70-5970000 Health Insurance		6,178.49
70-6070000 Building		47,894.27
70-6073000 Building - plumbing/boiler		21,826.34
70-6074000 Building - Signage repairs		458.06
70-6076000 Building - Painting		13,936.71
70-6290000 Elevator		1,159.88
70-6300000 Furniture & Equipment		8,170.28
70-6460000 Light Bulbs		691.23
70-6490000 Locks and Keys		1,090.97
70-6500000 Life/Safety		18,470.70
70-6620000 Pest Control		4,935.47
70-6650000 Printing Stationary & Office Supplie:		2,516.77
70-6670000 Operating Supplies		2,100.84
70-6720000 Mechanical & Electrical		13,261.26
70-6721000 Mechanical & Electrical - Boiler		2,989.56
70-6723000 Mechanical & Electrical - HVAC		52,373.54

70-6723000 Mechanical & Electrical - HVAC	52,373.54
70-6751000 Uniforms - Purchase & Issue	2,940.86
70-6752000 Uniforms - Cleaning	5,376.29
70-6810000 Trash Removal	128,920.38
70-6825000 Maintenance Service Contract	410,211.07
70-6840000 Snow Removal	335.09
70-6878000 R&M-General Repairs & Maintenan	2,095.23
70-6885000 R&M - Laundry Equipment	0.00
70-6901000 Travel	283.72
70-6990000 Miscellaneous	0.00
70-7677000 Operating Supplies - Tools & Suppli	5,620.00
	1,787,200.97
75-7100000 Electric	499,359.73
75-7200000 Gas	176,537.16
75-7400000 Water	343,924.99
75-7999000 Miscellaneous	0.00
	1,019,821.88
Total Undistributed Expenses	**13,895,090.40**
Gross Operating Profit	**30,460,534.09**
Non-Operating Income and Expenses	
76-8100000 Management Fees	1,633,779.99
76-8200000 Management Incentive Fees	88,722.78
	1,722,502.77
77-9401000 Property Taxes - Real Estate	1,970,895.98
77-9403000 Property Taxes - Prior Year	0.00
	1,970,895.98
77-9501100 Property Insurance - Property	922,780.11
77-9510000 Property Insurance - Deductible	0.00
77-9511000 Property Insurance - Settlements	0.00
	922,780.11
77-9210000 TRS FF&E Expense	1,981,882.60
	1,981,882.60
	0.00
80-6990000 Miscellaneous	16,162.87
	16,162.87
	0.00
Total Non-Operating Inc & Exp	**6,614,224.33**
EBITDA	**23,846,309.76**

Appraiser License



UNIQUE ID NUMBER
4500000090390
DUPLICATE
LICENSE

State of New York
Department of State
DIVISION OF LICENSING SERVICES

FOR OFFICE USE ONLY
Control No. 1580203

PURSUANT TO THE PROVISIONS OF ARTICLE 6E OF THE EXECUTIVE LAW AS IT RELATES TO R.E. APPRAISERS

EFFECTIVE DATE
MO. 09 | DAY 12 | YR. 25

EXPIRATION DATE
MO. 09 | DAY 11 | YR. 27

CRAIG PATRICK T
C/O MARSHALL & STEVENS
350 FIFTH AVENUE
STE 3920
NEW YORK, NY 10118-3922

HAS BEEN DULY CERTIFIED TO TRANSACT BUSINESS AS A
R.E. GENERAL APPRAISER

In Witness Whereof, The Department of State has caused its official seal to be hereunto affixed.

WALTER T. MOSLEY
SECRETARY OF STATE

DOS 1098 (Rev. 3/01)

Marshall & Stevens Professional Qualifications

marshall stevens

PROFESSIONAL QUALIFICATIONS

HISTORY

The Marshall & Stevens organization was established in 1932. Founded by innovators, we have remained a firm of innovators, pioneering new concepts to provide realistic solutions to unique valuation issues. Since inception, we have grown in size, stature, and reputation.

A national leader in the field of professional appraisal and valuation consulting, Marshall & Stevens' practice encompasses all types of tangible and intangible property, serving a variety of business, tax, and financial requirements.

Members of the firm have been expert witnesses in a significant number of landmark court decisions regarding valuation issues.

WE SERVE

Marshall & Stevens' clients include many of the nation's most distinguished corporations, institutions, and government agencies.

The firm also serves the appraisal and valuation consulting needs of individual entrepreneurs, commerce and industry, health and educational institutions, land developers, taxing authorities, and local, state, and federal governments, as well as foreign industries and governments throughout the world.

The work Marshall & Stevens prepares is regularly reviewed and accepted by national and international corporations, their law, audit, financing and insurance firms, as well as government and regulatory agencies. We are recognized for the quality of our work, independence, and the ability to substantiate our conclusions.

WE COUNSEL

Marshall & Stevens' consultants work closely with trusted advisors, agencies and enterprises.

ACCOUNTANTS & FINANCIAL CONSULTANTS: Transaction consulting and due diligence, allocation of purchase price, impairment and financial reporting issues, property records and control, return on investments, and values for financing.

ATTORNEYS: Estate planning and reporting, shareholder dispute, issues of fairness and solvency, bankruptcy and restructuring, eminent domain and condemnation proceedings, ad valorem and IRC Sections 482, 861, and 6038A tax problems, as well as other tax-related services and litigation support.

BANKERS & TRUST OFFICERS: Financing valuations estate tax reporting, gift tax deductions, and difficulties evolving from stewardship of property via trust and estate services.

CORPORATE OFFICERS: Transaction consulting and due diligence, fairness and solvency opinions, allocation of purchase price, impairment testing and other financial reporting services, tax reporting valuations, financing, ESOPs, capital asset review and evaluation services, valuation of closely held stock, insurance placement, condemnation, property economics, useful life determination, and cash flow studies involving segregation of IRC Section 1245 property from the capitalized costs of buildings, as well as inbound and outbound transfer pricing analyses under IRC Section 482.

GOVERNMENT AGENCIES: Valuation of property administered by agencies of the government; eminent domain; public highways, urban renewal, public parks, and easements valuations; guidance in disposition of major facilities; and valuation consulting to state and local property assessors.

INSURANCE AGENTS, BROKERS, ADVISORS, & COMPANIES: Valuation of assets for insurance placement purposes, proper valuation of varying assets for rate-making purposes, and assistance at the time of casualty to prove the amount of loss.

MANAGEMENT CONSULTANTS: Feasibility studies, plant site selection, underwriters' surveys, analyses in acquisition studies, and areas where property economics become a part of the management consultant's contracted services.

WE VALUE

BUSINESS ENTERPRISES, PARTIAL INTERESTS, AND EQUITY INVESTMENTS: Large, medium, and small public and private corporations, LLCs and partnerships (whole or fractional); options, futures, and other derivatives; capital stock and ESOPs.

REAL ESTATE AND IMPROVEMENTS: Industrial, commercial, and multifamily properties and developments; hotels, hospitals, schools, and institutional and public property; undeveloped acreage; farmland and ranch lands; large government tracts; land improvements such as paving, railroad sidings, and water, sewerage, and drainage systems; and property rights such as rights-of-way, easements, nonconforming use, water, air access.

INTANGIBLES: Patents, software, intellectual property, IPR&D and other technology, contracts, customer lists, licenses, franchises, trademarks, trade names, goodwill, agreements, processes, rights, subscription lists and financial instruments including auction rate securities, derivatives and interest rate swaps.

MACHINERY AND EQUIPMENT: Machinery, equipment, fixtures and furniture, special purpose facilities and processing plants, vehicles, plant piping and wiring, cranes and hoists, conveyors, signs, mobile equipment, patterns, drawings, dies, jigs, and fixtures.

OPINIONS & ADVISORY: Fairness and solvency opinions, transaction advisory and due diligence, litigation support, and corporate finance.

QUALITY VALUATION
QUALITY DECISION MAKING
INDEPENDENCE & INTEGRITY

Professional Qualifications

marshall stevens

PROFESSIONAL QUALIFICATIONS

Patrick T. Craig, MAI, MRICS

PRESENT POSITION

Mr. Craig is Executive Managing Director of the Real Estate Valuation Group of Marshall & Stevens Incorporated. Responsibilities include national oversight of real estate valuation personnel and strategic growth initiatives designed to maximize synergy amongst our other valuation disciplines on behalf of our growing client base. Mr. Craig was appointed to the Senior Management Team of Marshall & Stevens in 2015 and head of the New York Office of Marshall & Stevens in 2017.

EXPERIENCE

Mr. Craig has over 39 years of experience in the real estate business involving valuation of single assets or portfolios, serving clients in the estate planning, tax appeal, private equity, fraud related, financial services, banking, REIT, insurance, legal, accounting, audit, corporate, development, pension and asset management sectors. His experience includes valuation and consulting for vacant land, proposed and existing real estate projects and real estate portfolios including office, industrial, apartment, retail, hotel, mixed-use, self-storage, marine-related and community facility uses. Mr. Craig also provides dispute resolution and litigation support services and has been involved in matters related to damage claims, marital proceedings, tax certiorari and valuation disputes.

EMPLOYMENT

Mr. Craig entered the real estate business in 1986. Prior to joining Marshall & Stevens, he led the Northeast valuation practice for Colliers International, while running the firm's Portfolio Valuation Group and Business Innovation Committee, and serving on the firm's Global Leadership Team. Prior to Colliers International, he spent almost two decades with Cushman & Wakefield serving in numerous leadership roles including co-leader of its Portfolio Valuation Group, as Chairman of the firm's Business Innovation Committee, and as a member of the Global Business Initiatives Council. Prior to Cushman & Wakefield, he held real estate appraisal positions at Dorman & Wilson and European American Bank.

EDUCATION

Mr. Craig earned a BA in Economics from University of Massachusetts, Amherst.

PROFESSIONAL AFFILIATIONS

Mr. Craig holds the MAI designation from the Appraisal Institute; and the MRICS designation from the Royal Institute of Chartered Surveyors. He serves as Chapter President of the Metro NY Chapter of the Appraisal Institute. His service to the Appraisal Institute commenced in 2010, including being a Board Member, Regional Representative and Officer. His commitment to the Appraisal Institute remains ongoing.

PROFESSIONAL LICENSING

Mr. Craig is currently licensed as a Certified General Real Estate Appraiser in: New York, New Jersey, Connecticut, Pennsylvania, Georgia, Florida, Michigan, Virginia, Illinois, Iowa, Minnesota, Washington, and Washington DC.

TESTIMONY

Mr. Craig has been a designated expert in the Nassau County, NY Supreme Court, U.S. Bankruptcy Court, Court of Common Pleas Erie County PA, Cook County, IL Circuit Court, the 15th Judicial Court of Palm Beach County, FL, the 13th Judicial Circuit Court of Hillsborough County, FL and County of Los Angeles Assessment Appeals Board.

TESTIMONY (continued)

Below is a listing of matters whereby Mr. Craig has supplied expert reports and/or testimony:

- The Estate of Virgil John Cuculici v. Dana Cuculici and Alexander Cuculici (Dispute)
  Circuit Court of Hillsborough County, Florida (File: 10-CP-000091 Probate Division)
  Dispute case, Expert Report, Depositions, Trial Testimony

- Five Mile Capital Westin North Shore SPE LLC v. Berkadia Commercial Mortgage, LLC, et al.
  Circuit Court of Cook County, Illinois (Case: 12 CH 10805 Law Division)
  Damages case, Expert Rebuttal Reports, Depositions, Trial Testimony

- Cragar Properties, LLC v. County of Los Angeles Assessment Appeals Board
  Los Angeles County Assessment Appeals Board
  Expert Report, Settlement Meeting, Case Ongoing

- Burton Handelsman v. Lucille Handelsman (Matrimonial)
  Palm Beach County, Florida, Fifteenth Judicial Court
  Expert Reports, Deposition, Case Settled

- Erie Indemnity Company v. Erie Board of Assessment Appeals
  Court of Common Pleas of Erie County, PA
  Expert Reports, Trial Strategy, Trial Prep, Case Settled

- Burman v. Burman (Matrimonial)
  Nassau County Supreme Court
  Expert Reports, Deposition, Trial Testimony

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PROFESSIONAL QUALIFICATIONS

Thomas Marretta

PRESENT POSITION

Mr. Marretta is a Manager in the Real Estate Valuation Group of Marshall & Stevens Incorporated.

EXPERIENCE

Mr. Marretta joined the Marshall and Stevens Real Estate Valuation Group as an intern in June of 2022 and has since been promoted to a full-time permanent position with the firm as an associate. His responsibilities include reviewing the executed engagement letter and scope of work for each assignment, requesting and reviewing documentation pertaining to the subject, analyzing regional and local markets, gathering and analyzing assessment, tax and zoning information, performing critical research on comparable properties including land sales, improved property sales, real estate tax comparables, comparable rents and operating expense comparables. Additionally, he also assists with cash flow modeling, abstracting leases, reviewing legal documents, reviewing tax exemptions, and assisting with the development of the valuation conclusions put forth in appraisal reports. Mr. Marretta is also involved in researching new business opportunities and managing relations with existing and potential clients for the firm. Mr. Marretta has experience with the following types of properties: vacant land, commercial condominiums, industrial, multifamily, office, and retail projects.

EMPLOYMENT

Prior to joining Marshall and Stevens, Mr. Marretta worked as a college financial representative for Northwestern Mutual, where he obtained his Life Insurance Producers and Accident & Health Insurance Producers licenses. He was responsible for curating clients and acting in a fiduciary capacity to assist with financial planning and insurance policies. Mr. Marretta was also involved in a business development internship with Centaur Products, and athletic facility design and contracting company based in Canada. He was responsible for market research concerning indigenous populations eligibility for government grants toward community recreational facilities. His team devised a suggested action plan for Centaur Products to penetrate the indigenous population market segment involving strategic marketing tactics, partnerships, and potential projects throughout the provinces of Alberta, Manitoba, Saskatchewan, and British Columbia.

EDUCATION

Mr. Marretta holds a B.A. from The College of New Jersey, where he majored in finance. He is currently pursuing his New York State Certified General Real Estate Appraiser license.